STATE OF NEW YORK
DEPARTMENT OF PUBLIC SERVICE

Case 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

Case 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.

STAFF INITIAL BRIEF

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I. INTRODUCTION

The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) (collectively, the Companies) filed on April 30, 2019, initial testimony, including panels and individual witnesses, and exhibits in support of a request to increase KEDNY's annual gas revenue requirement by approximately $236.8 million (19.3% increase in delivery revenues or 13.6% increase in total revenues) and to increase KEDLI's annual gas revenue requirement by approximately $49.4 million (6.0% increase in delivery revenues or 4.1% increase in total revenues) for the rate year ending March 31, 2021 (Rate Year). On January 29, 2020 the Companies filed its third supplemental testimony, including panels and individual witnesses, and exhibits in support of its corrected and updated request, to increase KEDNY's annual gas revenue requirement by approximately $179.8 million (16.0% increase in delivery revenues or 11.05% increase in total revenues), and KEDLI's by approximately $37.5 million (7.34% increase in delivery revenues or 5.06% increase in total revenues).

Over the past 12 months, Department of Public Service Staff (Staff) has vigorously prosecuted its statutory duty conducting a thorough analysis of the Companies' rate request on behalf of the Companies' customers and the State of New York. Through this extensive analysis Staff has determined that the Companies' rate requests are excessive. The Companies requests cannot be said to be just and reasonable and are not necessary to enable the Companies to provide safe, adequate, and reliable service.

Accordingly, Staff recommends that the New York State Public Service Commission (the Commission) reduces the KEDNY's and KEDLI's requests, as of the

evidentiary hearing in these proceedings, by approximately $149.2 million and $77.3 million, respectively. Staff recommends authorizing rates for KEDNY that will increase its annual gas revenue requirement by approximately $30.588 million, or an increase of approximately 4.46% in delivery revenues and 3.08% in total revenues. Staff recommends authorizing rates for KEDLI that will decrease its annual gas revenue requirement by approximately $39.737 million, or a decrease of approximately 2.08% in delivery revenues and 1.43% in total revenues.

In support of its recommendations Staff has logged numerous hours in quantitative and qualitative analysis of the Companies' filings, issued over 1000 discovery requests seeking responses to multifaceted points of inquiry, held technical conferences with the Companies' and other parties' subject matter experts, and participated in nine days of Evidentiary Hearings during which Staff Counsel conducted cross examination of the Companies and other parties' witnesses, and Staff witnesses were subject to cross-examination regarding their positions.

Where appropriate, Staff has supported expenditures in the public interest and have similarly recommended removal of unsupported or poorly conceived expenditures and programs. Staff also propose mechanisms necessary to protect customers and ensure the efficient and effective management of the Companies' operations. It is for these reasons that the Commission should adopt Staff's recommendations as discussed herein.

II. PROCEDURAL BACKGROUND

On April 30, 2019, the Companies filed tariff leaves, initial testimony, and exhibits in support of their request to increase gas delivery rates. for the rate year ending March 31, 2021 (Rate Year). In May 2019, the New York State Department of Environmental Conservation (DEC) denied Transcontinental Gas Pipe Line LLC's (Transco) application for water quality certification permits for the Northeast Supply Enhancement (NESE) Project.[1] National Grid contracted to transport gas via the pipeline to serve additional customers and meet anticipated forecast demand.[2] In response to this permit denial, National Grid implemented a moratorium effective May 15, 2019 ceasing to fulfill requests for new firm service connections

[1] DEC letter to Transco, Re: Notice of Denial of Water Quality Certification (May 15, 2019).

[2] Cases 18-G-0709 and 18-G-0711, KEDNY and KEDLI Tariff Filings, KEDNY and KEDLI Letter (filed May 23, 2019).

or additional firm load from existing service customers.[3] This moratorium affected KEDNY's and KEDLI's service territories in the Boroughs of Brooklyn and Queens, and the Counties of Nassau, and Suffolk.[4]

On May 30, 2019, Administrative Law Judges (ALJs) Maureen F. Leary and James A. Costello presided over a procedural conference and technical conference in these proceedings. Thereafter, the ALJs issued a ruling providing a procedural schedule for these proceedings.[5] The ALJ's ruling provided that: the Companies would file corrections and updates on July 3, 2019; Staff and intervenors would file testimony and exhibits on August 30, 2019; all parties would file rebuttal testimony and exhibits on September 18, 2019; and the evidentiary hearings would commence on October 2, 2019.

On June 11, 2019, the Companies filed their first supplemental testimony and exhibits that explained the net impacts to the Companies' proposed revenue requirements in the event that the NESE project was not available during the Rate Year. This adjusted KEDNY's revenue requirement to an increase of $242.5 million and an increase of $64.6 million for KEDLI. On July 3, 2019, the Companies filed corrections and updates testimony and revised exhibits that reflected a total revenue requirement increase of $195.6 million for KEDNY and $61.2 million for KEDLI. These adjustments were based on the assumption that NESE would be in service by the winter spanning 2020 and 2021.

On August 30, 2019, Staff filed initial testimony and exhibits and proposed a revenue requirement increase for KEDNY of $ 2.205 million and a decrease for KEDLI of $51.852 million.[6] On or around August 30, 2019, the following intervenors also filed initial testimony and exhibits: Public Utility Law Project of New York, Inc. (PULP), City of New York (NYC), Estates NY Real Estate Services, LLC (Estates), Environmental Defense Fund (EDF), Utility Intervention Unit of the New York Department of State's Division of Consumer Protection (UIU), Sane Energy Project (SEP), Robert Wyman, and New York State Larborers' Organizing Fund. Then, on or about September 18, 2019, Staff, the Companies, Estates, NYC,

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3 Cases 18-G-0709 and 18-G-0711, supra, KEDNY and KEDLI Letter (filed May 23, 2019).

4 Grid's letter to PSC Secretary, Cases 18-G-0709 and 18-G-0711 (May 23, 2019)

5 Cases 19-G-0309 and 19-G-0310, KEDNY and KEDLI – Gas Rates, Ruling on Schedule (issued June 5, 2019).

6 Staff identified errors in the original revenue formula, this resulted in changes to Staff's proposed revenue requirements which are reflected in Staff's supplemental filing on January 29, 2020.

and Mr. Wyman, filed rebuttal testimony and exhibits. The Companies' rebuttal filings presented updated revenue requirements calculated on the assumption that NESE would not be completed by the winter of 2020/2021. At the time they filed their rebuttal testimony, KEDNY requested a total revenue requirement increase for KEDNY of $190.491 million and KEDLI requested an increase of $66.523 million.

The parties began settlement discussions that commenced on September 24, 2019 and continued October 10, 15, 16, 23, and 24, 2019. This involved multiple breakout sessions for larger issues within the rate case. All parties were provided with notice of these meetings and were allowed to participate. On September 25, 2019, the Companies requested an extension for the suspension period of the proceedings in light of facilitating settlement negotiations by the parties.[7] Terms of the one-month suspension included a request for a make whole provision, supported by Staff. The requested make whole provision addressed the possibility that procedural delays would require that the Commission not issue a rate order in these proceedings until some point after April 1, 2020. The requested make whole provision would put the Companies in the same financial position as if the rates had gone into effect on April 1, 2019.[8] On September 27, 2019, ALJs Costello and Leary issued a ruling that the evidentiary hearings would be postponed in light of the parties undergoing settlement negotiations.[9] The evidentiary hearings were rescheduled to begin on November 12, 2019. In light of the events identified in the ensuing paragraphs, the evidentiary hearings were ultimately postponed until February 2020.[10]

On November 26, 2019 the Commission issued an order in Case 19-G-0678 approving a settlement between the National Grid and DPS Staff that lifted the moratorium the

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7 Case 19-G-0309 and 19-G-0310, supra, National Grid Letter (filed September 25, 2019).

8 The Companies requested additional one-month extensions on October 31, 2019, November 12, 2019, and December 9, 2019, each time making note of the make whole provision that Staff agreed to support. Additionally, in the November 12, 2019 letter to request an extension, Companies also requested "a Commission grant of a limited waiver of the Commission's Policy Statement on Test Periods in Major Rate Proceedings, permitting the Companies to use a historic test year consisting of the twelve months ending December 31, 2019 in their next base rate filings," and an additional make whole provision that would apply to the Companies' next base rate filings, to put the Companies in the same financial position had the new rates been filed on April 31, 2020.

9 Case 19-G-0309 and 19-G-0310, supra, Ruling Postponing Hearing and Revising Procedural Schedule (issued Sept. 27, 2019).

10 Case 19-G-0309 and 19-G-0310, supra, Notice of Evidentiary Hearing (issued October 25, 2019).

Companies has imposed in May 2019, on National Grid's downstate gas service territories.[11] In addition to lifting the moratorium through September 1, 2021, the November 2019 Order provided that the Companies would connect gas service for initial residential and commercial customers within the KEDNY/KEDLI service territories that were denied service when the moratorium was in effect and "provide service to all future customers as soon as practicable."

The parties recognized that the November 2019 Order would affect the Companies' revenue requirements for the Rate Year, accordingly, they requested that the ALJs authorize additional process in these proceedings. On December 10, 2019, the ALJs issued a ruling providing for the filing of additional testimony to address the impacts of the November 2019 Order on the Companies' Rate Year revenue requirements. That order stated that the Companies would file their second supplemental testimony on December 13, 2019, and Staff and other intervenors would file responsive testimony on January 29, 2020. Further, that ruling scheduled the start of the evidentiary hearing for February 10, 2020.[12]

On December 13, 2019, the Companies filed second supplemental testimony and exhibits reflecting the impacts of the November 2019 Order. Based on these filings, the Companies requested revenue requirement increase of $199.701 million and $60.724 million for KEDNY and KEDLI, respectively.

On January 16, 2020 the Commission issued an order setting state-wide energy efficiency targets and budgets.[13] On January 21, 2020 ALJs Costello and Leary issued a ruling, in response to the 2020 Energy Efficiency Order, directing the Companies and Staff to file testimony on January 29, 2020 to reflect their position in light of the updated targets and budgets set by the Commission.[14] This ruling also provided intervenors with the opportunity to file testimony on the issue as well.

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[11] Case 19-G-0678, Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, KEDNY and KEDLI, Order Adopting and Approving Settlement (issued November 26, 2019) (November 2019 Order).

[12] Case 19-G-0309 and 19-G-0310, supra, Ruling Modifying Procedural Schedule (issued December 10, 2019).

[13] Case 18-M-0084, A Comprehensive Energy Efficiency Initiative, Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios through 2025 (issued January 16, 2020) (2020 Energy Efficiency Order).

[14] Case 19-G-0309 and 19-G-0310, supra, Ruling Requiring Additional Testimony Related to Energy Efficiency Initiative Order (issued January 21, 2019).

On January 29, 2020, the Companies filed their third supplemental testimony and exhibits that addressed impacts of the Commission's 2020 Energy Efficiency Order. This set forth updated revenue requirement increases of $199.594 million increase and $59.476 million increase for KEDNY and KEDLI, respectively.

On January 29, 2020, Staff also filed supplemental testimony that responded to the Companies second supplemental testimony filed on December 13, 2019, and reflected updates based on the 2020 Energy Efficiency Order. Staff's supplemental filing reflected a revenue requirement increase of $28.993 for KEDNY and a revenue requirement decrease of $42.982 million for KEDLI. SEP also filed supplemental testimony on January 30, 2020 in response to the 2020 Energy Efficiency Order.

The evidentiary hearing was held on February 10-14, 19, 20, 24, and 25, 2020. On February 12, 2020, at the evidentiary hearing, Staff provided corrected supplemental testimony and exhibits that reflected a revenue requirement increase of $31.024 million for KEDNY and a decrease of $39.902 million for KEDLI.

III. SUMMARY OF REVENUE REQUIREMENT AND RATE DRIVERS

As set forth in the previous section, these proceedings have had more than the usual number of rounds of testimony. Each round provided revised revenue requirement requests from the Companies and recommendations from Staff. Appended to this brief, Staff provides its current revenue requirement recommendations for KEDLI and KEDNY in Appendix 1 and Appendix 2, respectively. These recommendations build on the ones Staff provided at the evidentiary hearing, with some movement based on Staff's analysis of the record as presented through the hearings.

Staff recommends authorizing rates for KEDNY that will increase its annual gas revenue requirement by approximately $30.588 million, or an increase of approximately 4.46% in delivery revenues and 3.08% in total revenues.[15] Staff recommends authorizing rates for

[15] Staff's recommended overall base revenue increase for KEDNY is $55.666 million, and is reflected by Staff's recommended base delivery revenue requirement increase of $30.588 million, less incremental gross revenue taxes of $1.076 million, plus the impact of removing both the current sur-credit for the effects of the 2017 Tax Cuts and Jobs Act of $44.641 million and the surcharge for energy efficiency programs of $18.487 million. Staff recommends reflecting these two items components in KEDNY's base rate revenue requirement.

KEDLI that will decrease its annual gas revenue requirement by approximately $39.737 million, or a decrease of approximately 2.08% in delivery revenues and 1.43% in total revenues.[16]

The major drivers of increases from the Companies' current rates to Staff's recommended revenue requirements are as follows. First, capital investment is increasing rate base. The revenue requirement impact of the increases in rate base are $114.0 million for KEDNY and $52.9 million for KEDLI. Second, Other Initiatives, which includes incremental employees and new programs represents an increase of $50.3 million for KEDNY and $32.8 million for KEDLI. Third, depreciation expense is increasing by $36.6 million for KEDNY and $20.4 million, as a result of the increases in capital investment, and also as a result of the proposed amortization of leak prone pipe (LPP) assets. Two additional drivers impacting KEDNY, but not KEDLI are: a NYC law regarding paving requirements has led to a $26.0 million increase; and site investigation and remediation (SIR), which reflects a $25.3 million increase.

Other items offset these increases. First, increasing levels of sales, which result in an increase in net margins, decreases the revenue requirements by approximately $77.0 million for KEDNY, and $48.7 million for KEDLI. Second, due to the change in federal tax rates in 2017, the Companies have excess accumulated deferred income tax (ADIT) balances that need to be returned to customers. The Companies proposed to return the unprotected excess ADIT balance to customers over 44 years for KEDNY and 47 years for KEDLI. Staff recommends returning these monies to customers over 10 years, which results in a revenue requirement decrease of $20.5 million for KEDNY and $8.1 million for KEDLI.

It should also be noted that one of the major differences between the Companies' revenue requirement requests and Staff's recommended revenue requirements is the return on equity (ROE). The Companies current rate plan reflects a 9.0% ROE. Staff recommends that the Commission authorize an 8.2% ROE, whereas KEDNY and KEDLI seek a 9.65% ROE, a difference of 145 basis points. Ten basis points is worth approximately $3.4 million for

[16] Staff's recommended overall base revenue decrease for KEDLI is $16.796 million, and is reflected by Staff's recommended base delivery revenue requirement decrease of $39.737 million, less decremental gross revenue taxes of $0.592 million, plus the impact of removing both the current sur-credit for the effects of the 2017 Tax Cuts and Jobs Act of $31.827 million and the surcharge for energy efficiency programs of $9.478 million. Staff recommends reflecting these two items components in KEDLI's base rate revenue requirement.

KEDNY and $2.1 million for KEDLI. Staff's recommendation reduces the Companies' requested revenue requirements by $49.0 million and $31.8 million for KEDNY and KEDLI, respectively. Thus, the difference in ROE plays a major part of the $149.2 million and $77.3 million difference between the Companies' and Staff's revenue requirement changes for KEDNY and KEDLI, respectively.

As explained in detail in the sections below, Staff's recommended revenue requirements appropriately reflect KEDNY and KEDLI's cost of providing safe, adequate, and reliable service in the Rate Year. The Commission should adopt Staff's recommendations as they result in just and reasonable rates for customers.

IV. REVENUES

A. Gas Sales Forecast

To forecast customers and volumetric throughput during the Rate Year, the Companies created econometric models by correlating historic customer counts and throughput with economic variables and evaluated those models in the Rate Year. The Companies used economic models with historical data up to February 2018 to create their initial forecast.[17] The Companies use the methodology of classifying their customers by service class, and within those service classes, further classify customers by rate code to distinguish between variations in services and rates, e.g., sales and transportation, low income discount, etc.[18]

The Companies performed their forecasts by integrating the individual rate codes into six separate rate groups for each Company: Residential Heating, Residential Non-Heating, Commercial, Multi-Family, Temperature-Controlled, and Other.[19] Two separate models were developed for each rate group, one to forecast the number of customers, i.e., the number of active flowing meters, and one to forecast use-per-customer.[20] The forecast provided by the Companies in their initial filing assumed that the NESE project would be in service, and that no moratoriums would be enacted in the Companies' service territories.[21] With their Corrections and Updates

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17 T. 5141. Poe Direct Testimony p. 11 lines 3-7.

18 T. 5141.

19 T. 5141 (Poe Direct Testimony p. 11 lines 11-13).

20 T. 5142 – 5143 (Poe Direct Testimony p. 12 lines 3-14 p. 13 lines 1-4).

21 T. 5148 (Poe Direct Testimony p. 18 lines 8-11).

filing, the Companies added historical data up through February 2019 to the models which is then reflected in the re-calculated forecast.[22]

In the Companies' first Supplemental filing, they addressed the effect on the Companies' forecast if the NESE project were not in service during the Rate Year.[23] In the Companies' Second Supplemental Testimony, they updated the forecast to reflect the November 2019 Order, which includes the impact of the incremental energy efficiency and demand response programs the November 2019 Order required the Companies to undertake.[24] In the Companies' Third Supplemental Testimony, they added the impacts of the energy efficiency amounts set by the Commission in the 2020 Energy Efficiency Order to the forecast provided in their Second Supplemental Testimony.[25]

Staff reviewed the Companies' forecasts and took issue with the Companies' Second Supplemental Testimony forecast because they did not accurately reflect the existence or effect of the moratorium on the Companies' projected growth in customers.[26] The moratorium lasted six months, preventing new gas service connections to existing and new customers within the Companies' service territory in the boroughs of Brooklyn, Queens, Nassau and Suffolk counties. The November 2019 Order lifted the moratoriums in the Companies' service territories and required the Companies to expand their demand response programs. In the Companies' Second Supplemental Testimony, they used the same growth assumptions as in their Corrections and Updates Testimony, and although they reflected the impact of the incremental energy efficiency and reduction of demand response during peak day usage resulting from the November 2019 Order on the gas usage volumes,[27] the Companies forecasted an overall decline of demand response customers.[28] The impacts of the moratorium were also not reflected in in the Companies' Third Supplemental Testimony where they adjusted their forecast for the incremental energy efficiency impacts, in response to the 2020 Energy Efficiency Order which

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22 T. 5189.

23 T. 5178.

24 T. 5192, 5195.

25 T. 5198.

26 T. 2923.

27 T. 5195.

28 T. 2923 – 2924.

required utilities to increase incremental energy efficiency amounts.[29] Other than reflecting changes from the Commission's order, the Companies' forecasts remain consistent with what they provided in their Second Supplemental Testimony. Thus, they did not account for the impacts of the moratorium on the Companies' gas forecasts.

In Staff's Supplemental Testimony, Staff accounted for the moratorium impacts and the increase in demand response by: using the actual meter counts from January 2019 to November 2019 provided by the Companies in the response to IR-DPS-1063, by maintaining the historical proportion of non-firm customers to the customers in the otherwise applicable firm and multi-family service classes, and by increasing the energy efficiency impact agreed to in the November 2019 Order to account for the amounts ordered in the 2020 Energy Efficiency Order.[30] After examining the Companies' Third Supplemental workpapers, Staff identified an error in Staff's Supplemental forecast. Initially, Staff adjusted the Companies' Second Supplemental forecast by increasing the energy efficiency impact by the ordered increase in the incremental energy efficiency amounts in the 2020 Energy Efficiency Order. However, the Companies adjusted their Second Supplemental forecast by reflecting the entire incremental energy efficiency impacts, not just the increase in the 2020 Energy Efficiency Order. In response to IR NG-88, Staff agrees with the Companies' incremental energy efficiency impact but opposes the Companies' proposed forecasts as they do not properly reflect the moratorium impacts or the increases in demand response programs.[31] Based on the information received in NG-88, Staff has made the appropriate adjustments to our forecasts which reflect the Rate Year forecast at 1,262,868 total customer count for KEDNY, and 610,765 total customer for KEDLI, and the Rate Year total usage of 1,693,859,460 therms for KEDNY, and 1,051,581,445 therms for KEDLI.

The Commission should adopt Staff's recommendations because it depicts a more accurate forecast for the rate year reflecting the impacts of the moratorium, the expanded demand response program from the November 2019 Order, and the incremental efficiency impact from the 2020 Energy Efficiency Order. Staff's recommended forecasts will benefit rate payers because it will minimize reconciliation amounts in the revenue decoupling mechanism.

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29 T. 2924 – 2925.

30 T. 2924 – 2925.

31 Ex. 733, p.1.

B. Newtown Creek Imputation

For years, KEDNY has been working on the Newtown Creek renewable gas project. This project, when operational, will capture waste gas from the Newtown Creek wastewater treatment facility, process it to pipeline quality, and inject it into KEDNY's system. In 2009, KEDNY estimated that the project would cost $8.3 million, in 2012 KEDNY increased that estimate to $14.4 million.[32] When KEDNY filed these cases, it estimated the capital costs at $32 million,[33] and now, KEDNY estimates the project will cost almost $38 million.[34] In April 2019, KEDNY explained that it began construction in July 2018 and expected to bring the project online in November 2019.[35] However, the project still remains incomplete. As of the evidentiary hearing in these cases, the Companies latest guess was that the project would come online in April or May 2020.[36] One can only speculate as to how the COVID-19 pandemic has affected and will continue to affect this most recent projection.

In Case 16-G-0059, Staff raised concerns with this project and it did not believe that the in-service date would occur in the rate year in question in that case, calendar year 2017.[37] In that case, Staff proposed a number of rate making options for the Commission's consideration. Ultimately, Case 16-G-0059 culminated in a joint proposal adopted by the Commission in the 2016 Rate Order.[38] The 2016 Rate Order adopted a number of provisions to address the Newtown Creek project.[39] First, it excluded the projected costs from the revenue requirement. Second, it allowed KEDNY to defer the return on and return of the project and have those costs reviewed for the potential recovery in its next base rate filing, i.e., these proceedings. Notably, this did not guarantee KEDNY recovery of these costs, just that they would be reviewed and considered in these proceedings. Additionally, KEDNY has not deferred any costs, as the project has yet to go into service. Third, in calculating any revenue requirement for purposes of

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32 T. 3616.

33 T. 3613.

34 T. 3620; Ex. 489, p. 275 (Response to IR DPS-972).

35 T. 103-104.

36 T. 520.

37 T. 3610.

38 Cases 16-G-0058 and 16-G-0059, KEDLI & KEDNY – Gas Rates, Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans (issued December 16, 2016) (2016 Rate Order).

39 2016 Rate Order, Attachment 1, Joint Proposal, provision 5.6, p. 22.

deferring the return on and return of the costs of the project, KEDNY was required to exclude $1.6 million annually, starting on the in service date and continuing for 20 years. Fifth, the revenue requirement was required to reflect a 40-year depreciable life. Sixth, New York City agreed to support KEDNY's reasonable efforts to mitigate the effects of the revenue requirement exclusion, including, but not limited to, supporting KEDNY's application(s) for property tax abatements.

In these proceedings, KEDNY proposed to include the entire costs of the Newtown Creek project in rates. At the time of the initial filing, this included a total capital cost of approximately $32 million, depreciated over 20 years, and $0.668 million in Rate Year O&M costs.[40] Four months later, by the time Staff filed its direct testimony in these proceedings, the estimate of the total capital cost had increased to approximately $38 million plus or minus 10 percent.[41] The Rate Year O&M costs do reflect a 20-year tax abatement New York City has granted, for $14.4 million of the capital costs.

KEDNY forecasts that the revenue requirement impact of the Newtown Creek project would be offset by revenues of $1.0 million from the sale of the renewable natural gas, and $0.9 million from the sale of the project's environmental attributes.[42] KEDNY, however, is not willing to risk these revenues not materializing. KEDNY proposes to true-up the actual revenues, such that any variances will be deferred for future recovery from, or refund to, KEDNY customers. Any revenues realized above the level necessary to fully reimburse customers for the project costs will be shared evenly between customers and NYC beginning in the fifth year after the project becomes operational. Revenue sharing will then be assessed every year thereafter for the remainder of the project. KEDNY will track these costs on an annual basis and compare to the project's cumulative revenue requirement.[43]

Staff is concerned with the overall cost of the project and the resulting ongoing annual revenue requirement impact to customers.[44] The project began with a more reasonable capital cost of $8.3 million, however the cost has since escalated exponentially. Yet, KEDNY

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40 T. 105.

41 T. 3616; Ex. 489, p.275 (Response to IR DPS-972).

42 T. 105-106.

43 T. 106.

44 T. 3619.

continues to want customers to bear all the costs, and all the risks of the project. Based on the most recent estimate of total capital costs of approximately $38 million, a 20-year depreciable life, Rate Year O&M expenses of $0.688 million, and offset by $1.9 million in revenues, KEDNY proposes that customers pay $3.3 million in the Rate Year to subsidize this project. KEDNY asks that customers pay up to an additional $1.9 million, if the forecasted revenues do not materialize. Put another way, in order for the revenues from the sale of the gas to meet the revenue requirement of the project that produces the gas, KEDNY would need to sell the gas produced by the Newtown Creek Project for approximately $29/dth gas in the system.[45] This is approximately seven times current gas costs of approximately $4/dth.[46] This cannot be justified.

Even if the Commission were to adopt the adjustments set forth in the 2016 Rate Order, i.e., a 40-year depreciable life and an annual revenue requirement imputation of $1.6 million in addition to guaranteeing customers the benefit of at least $1.9 million in annual revenues, customers would still be subsidizing KEDNY's runaway Newtown Creek project by $0.8 million. Such an action should be the minimum of what the Commission should adopt with regard to the Newtown Creek project.

However, Staff does not believe that even this represents a reasonable and equitable resolution of this issue. KEDNY continued to pursue this project even as it allowed the capital costs to spiral out of control, to almost five times the original estimate. KEDNY claims that the project should be viewed in light of the environmental benefits, and not simply with a view of the costs.[47] This, however, does not support requiring customers to bear all the costs and risks as KEDNY asks, nor even the costs with the minimal adjustments identified in the preceding paragraph. Pursuant to the 2016 Rate Order, KEDNY was supposed to mitigate the revenue requirement of this project. Despite New York City's signature on the joint proposal that resulted in the 2016 Rate Order, KEDNY failed to extract any concessions from New York City with regard to additional property tax abatements or otherwise.[48] Faced with that failure, KEDNY merely forged ahead, increasing the costs of the project; it now proposes to foist those costs, and all risks, onto customers.

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[45] T. 3619.

[46] T. 3618.

[47] T. 182-183.

[48] T. 273, 518.

In light of the tortured history of KEDNY's flailing implementation of this project, Staff proposes that KEDNY bear the risks of the project not providing sufficient revenues to meet its costs. To that end, Staff recommends that the Commission impute a level of revenue in KEDNY's revenue requirement to equal the actual annual costs of the project. KEDNY should test annually to determine if the actual revenues exceed the actual revenue requirement of the project. If the actual revenues do not exceed the actual revenue requirement of the project, no reconciliation should be permitted. If the actual revenues exceed the actual revenue requirement, shareholders can retain any revenues from previous cumulative shortfalls.[49]

Staff's recommendation reasonably places the risks that the project cannot produce revenues sufficient to meet its costs squarely where it belongs, on KEDNY. The Company has forged ahead with this project even when faced with set back after set back. It should not be allowed to shift the costs of its stubbornness onto customers. Accordingly, the Commission should adopt Staff's recommendation and impute a level of revenues sufficient to meet the Rate Year revenue requirement of the Newtown Creek project.

C. Per Class Versus Per Customer Revenue Decoupling Mechanism

The Companies proposed to implement a revenue per class mechanism for Service Classification (SC) No. 1B – Residential Heat, remove the growth incentives in the revenue decoupling mechanism (RDM) for SC Nos. 2 – Non-Residential and 3 – Multiple Family, expand the RDM to SC No. 1A – Residential Non-Heat and align the RDM reconciliation with the Companies' fiscal year.[50] The Companies proposed to implement a revenue per class mechanism for SC No. 1B because it would support the Commission's goals to promote energy conservation.[51] The growth incentives were removed from SC Nos. 2 and 3 because the forecasts used to develop the RDM targets already reflect the Companies' historic robust level of customers and load growth.[52] The Companies proposed to expand the RDM to SC No. 1A to account for the customer migration between SC No. 1A and 1B.[53] Without the RDM for SC No. 1A, the Companies would lose the revenue associated with conversions from

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49 T. 3623.

50 T. 2682, 2767.

51 T. 2683, 2767.

52 T. 2683, 2768.

53 T. 2684, 2768.

SC No. 1A to SC No. 1B.[54] The Companies proposed to align their RDM reconciliations with their fiscal year to match the timing of the revenue per class targets.[55]

Staff agreed with the Companies proposals and recommended that the RDM targets be updated based on the revenues and customer counts approved by the Commission in these proceedings.[56] The Companies agreed with Staff's recommendation.[57]

D. Rate Year Revenues at Current Rates

The Companies forecasted Rate Year revenues by multiplying the applicable current rates by the forecasted billing determinants derived from the sales forecasts.[58] The Companies allocated the total Rate Year usage to the usage blocks in each SC using an ogive analysis.[59] Then they priced out revenues at the rate code level and aggregated the revenues to the SC level.[60] The Companies believe that pricing out revenues at the rate code level is more accurate because the rate codes that comprise a service class could have different usage profiles.[61]

The Companies initially normalized the bill frequency data used in the ogive analysis by removing negative values that primarily represent canceled bills.[62] Additionally, in the Companies rebuttal testimony, they agreed to revise the data normalization methodology for the bill frequency data used in the ogive analysis to include negative values to account for canceled bills or rebills that would increase the amount in a block step or cause the block step to be negative.[63]

Staff initially forecasted the Companies' Rate Year revenues by multiplying the applicable current rates by the forecasted billing determinants derived from the forecasts assuming NESE would not be in service during the Rate Year, updated for the corrections and

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54 T. 2684, 2768.
55 T. 2685, 2769.
56 T. 2971.
57 T. 2846.
58 T. 2643, 2728.
59 T. 2635 2730.
60 T. 2811.
61 T. 2811.
62 Ex. 492, p. 345.
63 T. 2812.

updates filing forecasts provided in response to IR DPS-798 as shown in Ex. 494.[64] Staff forecasted revenues were priced out by service class instead of rate codes.[65] Staff used an ogive analysis to allocate Rate Year usage to the blocks of each service class.[66] Additionally, Staff recommended that the Companies revise their bill frequency data normalization to account for canceled bills and rebills that would increase usage in a block step beyond the amount possible, e.g., the block step errors for KEDNY SC1A shown in Exhibit___(SRP-2).[67] Staff updated the revenue forecast in its supplemental filing to correct the errors identified in IR NG-02 and increased minimum charge revenues by 1.3889% to account for the Companies pro-rated bills described in the response to IR DPS-1027.[68] Lastly, Staff also updated the revenue forecasts, shown in Ex. 522, to account for the November 2019 Order and the January 2020 Energy Efficiency Order.[69]

Pricing out revenues by service class is more efficient and does not materially sacrifice accuracy.[70] The Companies should revise their raw billing system data to account for canceled bills and rebills to ensure that the correct usage is allocated to each block step.[71] Any inaccuracies in the price-out could lead to a larger RDM charge, which would increase bill volatility.

Staff updated its sales forecast was updated to reflect the response to IR NG-88, as stated in Section IV.A, above, which causes a change in revenues. The updated gross margin for KEDNY is $1.274 billion, the purchased gas is $468.5 million, and the revenue taxes are $63.6 million for total revenues of $1.806 billion. KEDLI's updated gross margin is $829.5 million, the purchased gas is $331.4 million, and the revenue taxes are $11.9 million for total revenues of $1.173 billion.

64 T. 2929.
65 T. 2030.
66 T. 2930.
67 T. 2931-2932.
68 T. 2993-2994.
69 T. 3001-3002.
70 T. 2930-2931.
71 T. 2933.

V. EXPENSES

A. Operation and Maintenance

1. Consultants

The Companies use third-party consultants for a variety of reasons. Some consultants are hired directly by KEDNY and/or KEDLI, while other consultants are hired by National Grid Service Company. For those hired by National Grid Service Company, the total cost is allocated among the operating utilities, including KEDNY and KEDLI.

To forecast Consultants expense for the Rate Year, the Companies began with the Historic Test Year actual expenses and made normalizing adjustments to exclude the costs associated with the GBE program, the Appreciate program, and the additional review of Historic Test Year costs done for this rate case.[72] The Companies then increased this normalized Historic Test Year figure by an inflation factor of 3.96%.[73]

Included in the normalized Historic Test Year, and ultimately the Rate Year, are charges from the consultant AlixPartners LLP (AlixPartners). The Rate Year forecast of Consultants' expense includes a total of $1.146 million and $0.714 million for KEDNY and KEDLI, respectively, resulting from AlixPartners costs in the Historic Test Year.[74]

Staff recommends that the charges associated with the vendor AlixPartners should be normalized out of the Historic Test Year when developing the Rate Year forecast of Consultants' expense. These Historic Test Year charges were extraordinary and similar charges cannot reasonably be expected to recur during the Rate Year.

The Companies engaged AlixPartners to design, launch, and execute a "Fact Base, Opportunity Assessment, and Roadmap" of National Grid's Information Services division, as well as help with executing a transformation plan.[75] As shown in the single/sole source procurement documentation, the Companies were seeking to employ a refreshed strategy that "goes beyond traditional reviews and analysis offered by technology consultants" and that AlixPartners is a "niche consultancy firm."[76] In response to IR DPS-932 Attachment 1, the

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72 T. 1848, 2112-2113.

73 T. 1972, 2231.

74 Ex. 505, p. 5.

75 Ex. 504, pp. 802-821 (Response to IR DPS-932).

76 Ex. 504, p. 799 (Response to IR DPS-932).

Companies state that AlixPartners "exceed and outweigh general consultancy companies that have been previously deployed."[77] As the Companies have already undertaken this work to design, launch and execute a transformation plan of its Information Services division, it is not reasonable, or cost-effective, for the Companies to hire a consultant to perform all this work again during the Rate Year. Indeed, the Companies stated that this work is unique to the Historic Test Year.[78]

In their rebuttal testimony, the Companies assert that they will use consultants like AlixPartners to ensure the efficient delivery of the IT portfolio and look proactively for ways to maintain existing efficiencies, further arguing that it would be unreasonable and imprudent if the Companies did not.[79] However, the Companies assertion ignores their own acknowledgement that the engagement with AlixPartners was extraordinary and went "beyond traditional reviews and analysis offered by technology consultants."[80] For example, until the Companies commenced this undertaking at the end of 2017, they did not incur costs from AlixPartners in the two years prior to the Historic Test Year.[81] The Companies have not pointed to any particular review they intend to conduct during the Rate Year analogous to the work done by AlixPartners during the Historic Test Year. Accordingly, the reasonable conclusion is that the costs incurred for AlixPartners during the Historic Test Year will not recur during the Rate Year.

Additionally, the Companies state that the work performed by AlixPartners resulted in annual savings reflected in the revenue requirement. Since customers receive a benefit from the costs, the Companies' argue that it is inappropriate to disallow the costs.[82] However, the Companies ignore the fact that the costs are one-time expenses that occurred during the Historic Test Year, while customers will see the benefit in the Rate Year because the savings recur annually. It is appropriate to compare costs and savings during the same time period. Here, the Companies have achieved savings during the Historic Test Year and will achieve savings during the bridge period. The Companies get to retain the benefit of the savings

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77 Ex. 504, p. 799 (Response to IR DPS-932).

78 Ex. 504, pp. 824-825 (Response to IR DPS-933).

79 T. 1986-1987, 2244.

80 Ex. 504, p. 799 (Response to IR DPS-932).

81 Ex. 504, pp. 824-825 (Response to IR DPS-933).

82 T. 1988, 2245.

realized before the Commission resets rates in these cases. In fact, the Companies acknowledge that National Grid Service Company achieved savings of $5.5 million during the Historic Test Year, and that there will be savings of $22.1 million annually in the Rate Year, and continuing through the next few years at least[83] Assuming these National Grid Service Company level savings were and will be allocated to the operating companies in line with IT costs, KEDNY and KEDLI would have received $0.732 million and $0.456 million of the Historic Test Year savings, respectively, and will receive $2.941 million and $1.832 million of the annual savings, respectively. Thus, the Companies have already retained the savings related to the AlixPartners costs and Staff is not seeking to reach back and capture those savings for the benefit of customers.

As a corollary, the Companies attempt to justify including the AlixPartners costs based on the savings those one-time non-recurring costs produced, and that some undefined but analogous costs will recur in the Rate Year. This argument has two problems. First, to the extent the Companies would incur analogous costs during the Rate Year, the costs should result in analogous savings. However, the Companies have not included those analogous incremental savings in their Rate Year forecast. Second, the Companies have failed to identify any analogous reviews they expect to occur during the Rate Year.

With regard to Consultants' expense, Staff has appropriately identified the AlixPartners costs as one-time non-recurring costs in the Historic Test Year. Where there are one-time, non-recurring costs such as these, it is appropriate to remove them from the forecast of the Consultants' expense for the Rate Year to ensure that customers do not pay for expenses that likely will not be incurred during the Rate Year. Accordingly, the Commission should adopt Staff's recommended downward adjustments to KEDNY and KEDLI's respective Rate Year Consultants' expense of $1.146 million and $0.714 million. Alternatively, if the Commission decides to reject Staff's adjustment to remove the AlixPartners' costs is rejected, then the Commission should impute additional savings in the Rate Year to reflect the savings these future costs could produce.

[83] Ex. 504, p. 784-795 (Response to IR DPS-391).

2. Contractors

To forecast Rate Year Contractors expense, KEDNY began with the Historic Test Year expense amount of $113.209 million, then made normalizing adjustments for its Historic Test Year review, Gas Business Enablement Project costs, Appreciate Program costs, Capitalization Policy Changes, Leak Repair Cost Incentives, reclassification of Paving expenses, out of period disconnect/reconnect costs, and Local Law 30 (LL30) costs. KEDNY then applied inflation to arrive at a total Rate Year forecast of $78.724 million. Similar to KEDNY, KEDLI began with the Historic Test Year expense amount of $32.337 million, then made normalizing adjustments to remove non-recurring costs, Gas Business Enablement Project costs, Appreciate Program costs, Capitalization Policy Changes, and Leak Repair Cost Incentives. KEDLI then applied inflation to arrive at a total Rate Year forecast of $32.961 million.[84] Staff reviewed the Companies' proposed contractor costs and recommends two adjustments. First, Staff recommends reducing KEDNY's snow removal costs in the Rate Year. Second, Staff recommends reducing KEDNY's Local Law costs.

a. Snow Removal Costs (KEDNY)

KEDNY included the self-explanatory cost category "snow removal" within Contractors expense. In calendar year 2016 KEDNY incurred charges of $1.228 million. In calendar year 2017 KEDNY incurred charges of $1.800 million. In the Historic Test Year, KEDNY incurred charges of $3.337 million. KEDNY's reported Historic Test Year charges represent a 172% increase from 2016 and an 85% increase compared to 2017.[85] KEDNY did not provide any other reasonable explanation for why the Historic Test Year amount would be expected to appropriately indicate the snow removal expense level during the Rate Year.

Given the significantly higher expense level in the Historic Test Year, and the lack of explanation for why it should be trusted for the Rate Year, Staff recommends using a three-year average to forecast snow removal expense for the Rate Year. Specifically, the Staff Revenue Requirements Panel projected Rate Year snow removal costs using a three-year average of the snow removal charges incurred in calendar years 2016, 2017, and 2018, plus inflation.[86]

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[84] T. 2350

[85] T. 2352.

[86] T. 2353-2354.

This reduces snow removal expense from $3.337 million to $2.074 million, or reduces Contractors expense by $1.263 million.

Staff's recommendation to rely on a three-year average snow removal expense level, rather than on the Historic Test Year expense level is reasonable because it appropriately moderates what is plainly an abnormally high outlying year. Snow removal is, by definition a weather dependent expense. There is no reason to expect that the high level of snow removal in the Historic Test Year will necessarily reoccur in the Rate Year. Thus it is reasonable to normalize this expense, as the Companies do for a number of other costs. Indeed, where forecasts are highly dependent on weather, forecasts often seek to "normalize" the weather's impact, rather than forecast based on the weather's impact on a single year. For example, both Staff and the Companies use weather normalization for their gas sales volumes and revenues.

In its rebuttal, KEDNY asserts that the use of the Historic Test Year to forecast snow removal is consistent with several past National Grid rate cases. Specifically, KEDNY notes that, in Case 16-G-0059, the rate allowance for snow removal expense was approximately $0.689 million, and actual expenses for calendar years 2017 and 2018 were $1.8 million, and $3.337 million. Further, states KEDNY, there is no reason to believe that it will result in a more accurate forecast.[87] While snow removal costs may have been forecasted differently in the past, the facts in this case demonstrate that, for KEDNY, relying on only a single year's experience results in an unreasonable result. Indeed, even using Staff's recommended methodology, KEDNY will recover more in rates for snow removal than it incurred in calendar years 2016 or 2017.

KEDNY also argues that Staff uses a different methodology, relying on the Historic Test Year, to forecast snow removal costs for KEDLI. (RRP rebuttal, KEDNY page 14-15). This is true, because KEDLI's Historic Test Year snow removal costs did not deviate from recent years' experience so dramatically. Thus, Staff does not believe it is imperative to use a three-year average to forecast KEDLI's snow removal expense. That said, as demonstrated in the response to IR DPS-237,[88] KEDLI incurred snow removal costs of $2.346 million during the Historic Test Year. During calendar year 2016, and calendar year 2017 KEDLI incurred snow

[87] T. 1990.

[88] Ex. 635, part 1

removal charges of 2.437 million, and $1.763 million. If, for the sake of consistency, the Commission uses a three-year average, with inflation, to forecast KEDLI's Rate Year snow removal expense, this would result in a decrease of $0.265 million. Moreover, this demonstrates that Staff's adjustment to KEDNY's snow removal expense was not result driven, but rather a reasonable effort to smooth-out the variability of these costs and produce a more reasonable Rate Year forecast. Accordingly, the Commission should adopt Staff's recommended snow removal costs for KEDNY.

b. Local Law 30 costs

Local Law 30 (LL30) refers to the New York City requirement that KEDNY install shut off valves on its gas services outside of the buildings served. Staff made an adjustment to correct an error in KEDNY's forecasts of LL30 costs. As explained in response to IR DPS-869,[89] KEDNY did not reflect the most recently updated LL30 forecast in the Corrections and Updates filing. KEDNY's Rate Year LL30 expense forecast in its Corrections and Updates filing is $16.642 million. Using the updated LL30 forecast, the Rate Year LL30 expense would be $10.264 million. As such the Rate Year expense amount should be decreased by $6.378 million. Of the reduction of $6.378, $5.201 million is related to Contractors expense.[90] In its rebuttal testimony, KEDNY agreed with Staff.[91]

3. Other Expense

The Company's Schedule 7 consists of costs incurred by the Companies for utility purposes that are not otherwise identified in specific expense types.[92] Staff recommends making two adjustments to the Companies' Other Expenses., First, Staff recommends a downward adjustment of $0.920 million to KEDNY's Other Expense to remove 25% of the Historic Test Year amount resulting from New York City Notices of Violation Fines. Second, Staff recommends removing $1.131 million from KEDLI's Other Expense to remove certain out of period costs.

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89 Ex. 504, pp. 668.

90 T. 1831.

91 T. 1989.

92 T. 1851, 2116.

a. NYC Notices of Violation Fines (KEDNY)

This expense results from fines KEDNY pays to New York City for instances where KEDNY has failed to properly comply with the conditions of work permits. In the Historic Test Year, KEDNY paid New York City fines totaling $3.541 million. To forecast the fines it will incur for failing properly comply with work permits during the Rate Year, KEDNY adjusted this Historic Test Year amount to reflect inflation. With the inclusion of inflation, KEDNY requests that customers pay $3.681 million in Rate Year to reimburse KEDNY for fines resulting from its failure to properly comply with the conditions of work permits.

This has been a long-standing issue for KEDNY. In the 2016 Rate Order, which adopted the terms of a joint proposal, the Commission ordered the Company to submit a report within 90 days after each Rate Year. The report included the Company's efforts to reduce roadwork violations.[93] The revenue requirement adopted in the 2016 Rate Order also reduced the recovery by 50%. While KEDNY has made progress in reducing the level of fines, KEDNY's request that customers to pay for $3.681million in fines it incurred for failing to properly comply with the conditions of work permits is wholly unacceptable.

Accordingly, Staff recommends reducing the Rate Year rate recovery afforded KEDNY for these fines by 25%, or $0.920 million. Under Staff's proposal, KEDNY will still recover $2.761 million from customers for fines it incurs for failing to properly comply with the conditions of work permits. This is far from ideal. However, it will ensure that KEDNY continues to strive to decrease, and ultimately eliminate these fines.

Staff's 25% reduction has two components, one reducing KEDNY's Rate Year allowance for fines by 15%, and the other by 10%. Staff recommends reducing the Rate Year allowance for fines by 15% to reflect the fact that at least 15% of the fines incurred by KEDNY in the Historic Test Year resulted from violations within KEDNY's control. Staff recommends reducing the allowance for fines by 10% to reflect the expected fruits of KEDNY's efforts to reduce the fines it incurs, and to encourage it to take actions to further reduce the fines it incurs.[94]

To ascertain which violations resulted from actions within KEDNY's control, Staff first provided KEDNY with an opportunity to identify which violations resulted from

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93 2016 Rate Order, Attachment 1, Joint Proposal, pp. 24-26.

94 T. 2600.

actions outside of its control. In its response to IR DPS-929, KEDNY refused to make use of this opportunity. It responded to Staff's question by stating "The Company does not track specific NOVs that the Company attributes to factors outside the Company's control."[95] KEDNY cannot reasonably assert that absolutely none of the fines it incurred were for reasons within of its control. Nor can KEDNY reasonably argue that customers should pay for fines that KEDNY could have avoided through its own efforts. Arguably, faced with KEDNY's stonewalling on this issue, Staff, and the Commission could find that KEDNY has not demonstrated that any of the fines it incurred were unavoidable, and thus KEDNY should not receive rate recovery for such fines during the Rate Year.

Staff, however, took a conservative approach. Staff reviewed the variety of fines KEDNY has incurred, as provided in response to IR DPS-768,[96] and identified those types of fines that should reasonably be subject to KEDNY's control. Some of these include KEDNY's failure: (1) to comply with terms and conditions of permit; (2) to install raise plow signs; (3) to ensure plates are pinned and ramped; (4)to provide adequate protection at work sites; (5) to post a flag person at worksite to give directions; (6) to display required signs at worksite; (7) to seal street opening joints; (8) to restore lane markings; and (9) to replace lose utility covers.[97] Staff calculated the fines KEDNY incurred for these violations that were within its control and found that these violations amounted to more than 15% of the fines KEDNY incurred during the Historic Test Year.[98]

Staff arrived at its recommended 10% reduction by reviewing KEDNY's efforts in the recent past to reduce the number of fines it incurs, and to reflect how those efforts should reduce the amount of fines KEDNY incurs during the Rate Year. As identified above, as part of the 2016 Rate Order, KEDNY has made efforts to reduce the amount of fines it incurs, and provides annual reports on its progress. Staff reviewed KEDNY's 2018 Road work and Traffic Violations Report,[99] which shows the efforts made by KEDNY in the beginning of calendar 2017. The anticipated benefits have not yet been fully realized. As stated in the 2018 Report,

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95 Ex. 411, pp. 498-502 (Response to IR DPS-929).

96 Ex. 411, p. 36.

97 T. 2563.

98 T. 2599.

99 Ex. 411, p. 28 (Response to IR DPS-550).

KEDNY is committed to reducing the number of traffic violations and violations related to street opening permits and continues to review and analyze NOVs to identify root causes and review work practices, while implementing process and reporting enhancements to increase awareness and improve performance, and inform if additional training is required to reduce NOVs. KEDNY asserts that it has undertaken, and continues to undertake, significant efforts to reduce the number of violations for the benefit of customers and the public.[100]

Some examples where improvement can be expected over KEDNY's performance subsequent to the Historic Test Year follow. In its 2018 Report, KEDNY explained that in June 2018 the DOT required KEDNY to transition to a web-based platform for ordering, reissuing and renewing all permits by December 2018.[101] For a short period during the Historic Test Year, this transition negatively affected efforts to reduce overall summonses due to a shift in focus to the required transition work. Now that the transition occurred, and with future enhancements to the web-based platform, KEDNY expects that it will allow it to more effectively manage its permits to DOT's expectations.[102] Additionally, KEDNY expects to realize a reduction in "no permit" related summonses by utilizing the robotic process automation technology in a more widespread manner for permit reissues and renewals and new permit orders.[103] Furthermore, KEDNY explained that it is collaborating monthly with DOT and holding process improvement meetings with its major contractors to discuss and resolve issues related to NOVs.[104]

These show that KEDNY is taking efforts to improve its performance, i.e., to incur fines less frequently during the Rate Year than during the Historic Test Year. It would be unreasonable and irresponsible of Staff to ignore these efforts when forecasting the amount of money KEDNY should be able to recover from customers for fines KEDNY incurs. Staff looked at the efforts KEDNY has been and continues to make and assessed that KEDNY should be improving its performance by reducing the fines it incurs by at least 10% in the Rate Year. Again, Staff recommends allowing KEDNY to recover $2.761 million from customers for fines

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100 T. 2559.

101 Ex. 411, p. 27 (Response to IR DPS-550).

102 Ex. 411, p. 28 (Response to IR DPS-550).

103 Ex. 411, p. 28 (Response to IR DPS-550).

104 Ex. 411, p. 29 (Response to IR DPS-550.

KEDNY incurs for failing to comply with the conditions of work permits. This amount should be zero. KEDNY has been working on this issue at least since Staff raised this issue during the 2016 rate case. While it has improved its performance, asking customers to pay for even one fine is too much. KEDNY must continue to drive down the number of fines it incurs. Staff's adjustment merely seeks to reflect the efforts KEDNY has taken, to ensure that customers pay for more of KEDNY's violations of work permit conditions than necessary.

KEDNY opposes Staff's recommendation. KEDNY asks that customers pay for all of the fines KEDNY incurs when it fails to comply with work permit conditions. KEDNY's main arguments are as follows: (1) the fines are a cost of doing business in New York City; (2) process improvements will keep cost from raising higher than the historical costs, but that KEDNY cannot achieve an additional 25% savings; (3) New York City used to be more lenient, but has been stricter regarding violations of work permit conditions; (4) KEDNY already identified reductions to "fines and summonses" as benefits of implementing Gas Business Enablement.

First, KEDNY's assertion that the fines are a cost of doing business in New York City is too broad, and, in any event, unacceptable. As an example, KEDNY states that it "could take additional measures solely for purposes of avoiding violations, such as repeated demobilizations and remobilizations to avoid working pas permit time, but such measures would not be as efficient and would result in more customer disruptions." Staff recognizes that such circumstances may exist. KEDNY, however, has resisted all efforts to quantify fines that are truly unavoidable, or in this case, uneconomic to avoid. The Commission should not reward KEDNY for this stonewalling by providing it with full recovery from customers of the costs of all the fines it incurred, without demonstrating that those fines are truly unavoidable or less expensive than alternatives.

Second, KEDNY's argument that its process improvements have kept cost from rising even higher than the historical cost, but not lead to further reductions should be rejected.[105] The 2018 Report makes clear that KEDNY was actively implementing measures during the Historic Test Year, and that benefits would take time to be fully realized. Additionally, the 2018 Report notes ongoing efforts by KEDNY to further reduce the fines it incurs. Thus, it would be

[105] T. 1993.

unreasonable to expect that KEDNY would not be able to reduce the fines it incurs further during the Rate Year.

Third, KEDNY asserts that New York City Department of Transportation ("DOT") continues to expand its code enforcement resources and capabilities.[106] As an example, KEDNY points to code violation pertaining to roadway and sidewalk clearing at the end of each workday. KEDNY asserts these violations were only selectively enforced by DOT in prior years but are now being enforced by DOT on every job site where a permit for roadwork exists.[107] However, this argument amounts to nothing more than, "but I used to be able to get away with it." Such an argument cannot be credited to justify foisting onto customers the cost of the fines KEDNY incurs for its failure to comply with work permit conditions.

Fourth, for the first time at the evidentiary Hearing, KEDNY, through cross examination of the Staff Accounting Panel sought to assert that Staff's adjustment to Other Expense was somehow a double count of reductions to "Summons and fines" KEDNY had identified separately as benefits of implementing Gas Business Enablement.[108] However, KEDNY has not demonstrated that the costs related to New York City NOVs in Other Expense equate to the GBE-related "Summons and fines" to which KEDNY points. Staff notes that it is suspect that KEDNY did not raise this defense in responses to interrogatories, or in rebuttal testimony. Had it done so, Staff could have properly reviewed the claim. Instead, KENDY raised this only at the evidentiary hearing, when there is no further opportunity to test KEDNY's claim. Moreover, KEDNY did remove the operating costs associated with the GBE Program from the Other Expense.[109] If KEDNY removed the GBE costs from Other Expense, then, logically, it also would have removed fines and violations it asserts it accounts for separately related to GBE as well.

In sum, KEDNY incurs fines when it fails to comply with work permit conditions. KEDNY asks that the Commission provide full rate recovery for the fines KEDNY incurs. As set forth above, Staff recommends a conservative 25% reduction to KEDNY's requested rate recovery of fines. For the reasons set forth above, Staff's recommendation is achievable and

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106 T. 1993.

107 Ex. 411, p. 34 (Response to IR DPS-550, Attachment 1)

108 T. 2608-2610; Ex. 56, Schedule 2, page 1.

109 T. 1851.

reasonable for the Rate Year. It limits but, far from ideally, does not eliminate the rate recovery KEDNY receives for fines KEDNY incurs due to its failure to comply with work permit conditions. Staff's recommendation represents a modest incentive to ensure that KEDNY follows through and builds upon the progress it has made to limit the amount of these fines. Accordingly, the Commission should adopt Staff's recommendation.

b. Removal of Prior Period Costs (KEDLI)

Staff recommended removing a prior period cost associated with the vendor PSEG Long Island LLC from KEDLI's Other Expense.[110] According to the response to IR DPS-833, this expense regards a settlement of a matter between PSEG Long Island LLC and KEDLI.[111] In reviewing KEDLI's accounting, Staff determined that KEDLI has reversed accruals in the Historic Test Year that had been recorded in prior years. The reversed accrual entries serve to partially offset the settlement booked to Other Expense. However, Staff determined that $1.109 million related to the settlement remained in the Historic Test Year.[112] KEDLI agrees with the need for the adjustment states that the correct amount should be $1.131 million, to account for inflation.[113] Staff agrees with this calculation. As this is an out of period cost that should not be included in the Rate Year forecast of Other Expense, the Commission should adopt the adjustment, as supported by both KEDLI and Staff.

4. Service Company Rent Expense (Information Technology)

a. Gas Business Enablement (GBE) Contingency Costs

In Case 17-G-0239, the National Grid Service Company proposed a Gas Business Enablement (GBE) program, which was approved by the Commission.[114] The GBE program is an overhaul of various National Grid USA gas business systems that are at or nearing the end of their useful life. The total cost of the GBE program at the Service Company level was initially

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110 T. 2565.

111 Ex. 411, p. 485 (Response to IR DPS-833, Attachment 13).

112 Ex. 411, p. 436 (Response to IR DPS-833).

113 T. 2246.

114 Case 17-E-0238 & Case 17-G-0239, Niagara Mohawk – Electric and Gas Rates, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans (issued March 15, 2018) (2018 Niagara Mohawk Rate Order).

$458 million with a $61 million contingency.[115] KEDNY and KEDLI are charged a rent expense by the Service Company for the gas business systems provided by National Grid USA. In these Cases, KEDNY and KEDLI proposed a revised budget of $539.3M for the GBE program. The $57.4M increase represents a significant portion of the contingency budget. The Companies stated the requested increase is attributable to three factors: (1) increased testing and training; (2) greater than anticipated complexity of integrating legacy systems; and, (3) increased Allowance for Funds Used During Construction (AFUDC) budget.[116] The Companies' GBE roadmap shows the most recent major project implementation milestone achieved, and that the next platform release is scheduled for Q3 FY 2021.[117] Further, there are further delays as National Grid is actively working through a GBE reset.[118] Completion of the GBE reset was anticipated to be mid-March, at which time the recommendations would be presented to National Grid's senior leadership team.[119] Mr. Connolly expects that the release dates will change and there will be another update to the GBE program cost, he could not provide an update at the time.[120]

Staff recommends that the Commission reject the Companies' request to increase the budget and instead recommends the Commission continue to support continuation of the project at funding level, the $458 million, approved in the 2018 Niagara Mohawk Rate Order. As described in Case 17-G-0239 and in the instant cases, the Service Company went through a rigorous process that included two independent consultants; one to develop the costs and roadmap, and one to ensure cost accuracy and that the program was aligned with industry standards. However, the Service Company has continually run into challenges which have caused significant schedule changes and have therefore caused corresponding overruns in the project budget. The Service Company found that the increased complexity of managing dependencies across multiple vendors out-weighed the perceived benefits for which it originally selected a multi-vendor approach.[121] The Company took proactive steps to overhaul the program

[115] T. 3400.

[116] Ex. 477, p. 1380 (Response to IR DPS-684).

[117] Ex. 52.

[118] T. 3632.

[119] T. 3632.

[120] T. 3633, line 8 through Tr. 3634, line 8).

[121] T. 987.

that included a re-planned roadmap, restructured multi-vendor approach to a single system integrator consultant, and adjusted program resources to clarify accountability and keep it on a path towards success.[122]

Despite these proactive steps there continues to be upward cost pressure and uncertainty in project schedule and completion of the program implementation.[123] As of November 25, 2019, the estimated project cost had increased from $539.3 million to $569 million.[124] Furthermore, the Companies' updated roadmap showed several areas where product releases of various milestones were delayed and are pending review to determine their anticipated release date(s).[125]

Due to the uncertainties surrounding the Companies' ability to implement the GBE program on-time and within budget and the ever-increasing program costs, Staff recommends that any additional funding beyond what was previously approved by the Commission, should be rejected. Staff recommends the Commission reject the Companies' requests because ratepayers must be protected from potential runaway costs for a project that continues to encounter uncertainty regarding meeting scheduled milestones that continue to have a high degree of uncertainty. Mr. Connolly confirmed that portfolio anchors 3.2, 3.3, 4, 5, and 6 include some or all of National Grid New York operating Companies and that these portfolio anchors, or phases, are undergoing or have undergone various re-planning activities.[126] These delays have caused cascading impacts and upward pressure on costs.[127] Further, there has been progress in the re-planning, or GBE reset, but the team is still working through the reset, but it has not been completed yet.[128] The continuous changes to schedule and increasing budget forecasts highlight the need for customer protections.

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122 T. 3390.

123 T. 3632-3634.

124 Ex. 664.

125 T. 3633.

126 T. 3631.

127 T. 3632.

128 T. 3632.

While the Companies have requested that the Commission reject Staff's adjustment because, as they contend, Staff provided no evidence that the contingency costs requested were unreasonable or imprudent.

Maintaining the GBE program investment at this time for the amount previously improved by the Commission is supported in this case by the growing evidence that the program schedule and budget have continued to be mismanaged by the Companies. National Grid is currently projecting a cost of $569 million, a considerable increase from the $539 million requested in these Cases. The Company had pending, or unknown, implementation dates for several of the portfolio anchors needed to finish program implementation, which the Companies are unaware when they will be updated.[129]

The Commission relies on accurate cost benefit analyses to make sound decisions. There needs to be a strong incentive for the Companies to bring the GBE project back in line with the original budget. If the Commission were to approve cost recovery for the Companies new cost estimates mid-stream, it would discourage the Companies from developing reasonable cost estimates for future projects. Staff reiterates it is in the best interest of ratepayers to refuse additional rate recovery currently because the GBE program costs continue to increase and the schedule not only continues to change, but further implementation dates remain uncertain. Staff recommends the Commission reject the Companies' requests.

b. Historical Spending Forecasting Adjustment

The Companies proposed a Service Company Information Technology (IT) capital expenditure (Capex) budget of $194.288 million in the rate year.[130] The proposed budget includes the following IT programs or projects: Technology Modernization, Cyber and Physical Security, Customer Information System (CIS) Replacement, Gas Business Enablement (GBE) program, Customer Transformation, Gas Operations, Complex Capital Delivery, Compliance and Mandates, and Corporate IT.[131] In its Corrections and Updates, the Companies proposed a Service Company IT capex budget of $243.846 million in the rate year, which includes: (1) the increase in capital expenditures of CIS from $64 million to $69.6 million; (2)

[129] Ex. 664.

[130] T. 858.

[131] T. 829 – 830.

the reduction of the capital investment for mandated IT projects from $20 million to $14 million; (3) the removal of Project INVP 5130 worth $1 million; and, (4) capex related to SAP S/4 HANA.[132]

Staff proposed a forecasting adjustment, which reflects a decrease to Rate Year Capex based on linear regression of the historic actual spending.[133] Staff employed a linear regression analysis over FYs 2015, 2016, 2018, and 2019, but Staff did not include FY 2017 because we determined the year to be an outlier.[134] . Based on Staff's analysis, Staff determined the Rate Year Service Company IT Capex budget of $129.4 million was appropriate to set a rate allowance.[135] In addition, Staff proposed the removal of Capex associated with CIS in the rate year, which would result in an adjusted IT capital budget of $173.6 million, or a $70.2 million downward adjustment of the Company's proposed Service Company IT capex budget of $243.8 million in the rate year. Staff's recommendation for removal of the CIS project is discussed at length in Section V.A.4.e, below.

Together, Staff's recommended Service Company IT Capex budget for the Rate Year is $129.4 million or a 25.5% reduction to Staff's adjusted IT Capital Budget. In total, with the CIS and forecasting adjustment, Staff recommends a total downward adjustment of $114.4 million for the Companies' proposed Service Company IT capex budget.[136]

The forecasting adjustment results in a reduction to the revenue requirement for KEDNY and KEDLI Service Company Rent expense of $0.126 million and $0.079 million, respectively.[137] The forecasting adjustment reduces revenue requirement for KEDNY and KEDLI Other Initiatives by $1.600 million and $0.996 million, respectively.[138]

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132 T. 872 – 873.

133 T. 996.

134 T. 997.

135 T. 998.

136 T. 998 – 999.

137 Ex. 519.

138 T. 1000.

Staff reviewed the projects that begin in or continue through the Rate Year[139] by reviewing the Sanction and Investment Request Papers (IRS) .[140] We found that most of the projects only had IRS papers.[141] Staff is uncomfortable supporting a large capital budget comprised of proposed projects which are only supported by IRS papers. IRS papers are generated in the pre start-up phase and show cost estimates that the Company estimates are with a range of minus, or negative, 50% and plus, or are overbudget, by 200%. Further, the IRS papers do not provide a well-defined scope of the project. Staff is not confident that the Companies' can execute the proposed IT investments on budget and within the bounds of the proposed schedule given that a majority of these investments are in a pre-start-up or preliminary phase.[142] Staff also examined the variances between project costs shown in the IRS or initial sanction papers against the final project costs shown in the Companies' closure papers to determine the relative accuracy of preliminary project cost projections.[143] Staff determined that the variances between the preliminary and final project costs ranged from minus or negative 100 percent to plus or over an overspend of 918%. In actuality, the costs experienced by the Companies' have changed significantly and thus it is reasonable to believe that these costs could also change, significantly impacting the Rate Year budget.[144]

Staff also reviewed the Service Company's historic IT capital budget spending from Fiscal Year 2015 to Fiscal Year 2019 to gauge its ability to complete IT projects.[145] Staff found that there were significant variances between the actual and budgeted spending in each of the last five years, FYs 2015 through 2019.[146] The actual IT capital spending levels in FYs 2015 through 2019 were $74.3 million, $81.4 million, $121.9 million, $94.6 million, and $115.2 million, respectively. The Service Company underspent its budgets in FY 2015, 2016, 2018, and

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139 Ex. 280,

140 Ex. 477 (Response to IR DPS-487).

141 T. 972.

142 T. 973.

143 Ex. 477 (Response to IR DPS-880).

144 T. 973 – 974.

145 T. 972.

146 T. 975; Ex. 477 (IR DPS-432).

2019, but significantly overspent in FY 2017.[147] In FY 2017, the Companies' spent $122 million, or 84 percent, over their budget of $66.4 million. Approximately 49 percent or $62.1 million of the FY 2017 overspend was incurred in March 2017, which is the last month of the fiscal year.[148] Further, $54.5 million of the $62.1 million, or 88 percent, of the spend was due to the projects associated with the Technology Improvement Program (TIP), which was the starting point for the Technology Modernization Program.[149] Staff determined that FY 2017 was an outlier as the Companies' overspend in FY 2017 was a unique occurrence due to ramping up TIP in a single month, just in advance of the close of the fiscal year. Both Staff and the Companies do not expect significant accelerated spend of Capex like this to happen again.[150]

Staff has concerns that the Companies can deliver their Rate Year budget of $243.8 million as the Companies have historical had significantly lower IT budgets and have consistently underspent their budget.[151] To accurately account for and normalize the significant variances in the Companies' IT spending, Staff used linear regression analysis of FY 2015, 2016, 2018, and 2019 actual budgets and found our analysis of the historic data showed a good statistical fit, and R-squared of 0.932 out of 1, which shows that the historical data we used was a good fit.[152]

Staff acknowledges the fact that the Company's spending has been trending upwards over the past 5 years, however we recommend the Service Company IT capex budget be $129.4 million in the Rate Year. [153] The Companies state that Staff's proposed capex spending level would only account for Companies' baseline technology, tech mod, and cyber and physical security but would not provide any capital cost recovery for the proposed CIS ($70.2 million) and SAP S/4 HANA projects ($48.6 million), which the Companies claim are vital to the effective future operations of the Companies and failure to provide any capital funding for them

147 T. 974.

148 T. 975.

149 T. 975 – 976; Ex. 477 (Response to IR DPS-937).

150 T. 976.

151 T. 976.

152 T. 997.

153 T. 998; Ex. 519.

is unreasonable.[154] The Companies also disagree with Staff's recommended IT capital level of $129.4 million and the proposed forecasting adjustment for several reasons. The Companies believe the need for incremental IT investment in the utility industry continues to accelerate, and that the Companies' IT capital investments for 2020 and beyond were not based on past IT budgets, but rather was based on bottom-up determination of projects that the Companies plan to invest in before the end of the Rate Year. The Companies assert that IT budget should not be based on backward-looking analyses since this would leave the business insufficiently funded to meet the future needs of customers.[155] The Companies also argue that Staff appears to be overly focused on Companies' actual versus budget in past years and has lost sight for need of all the IT projects on which the Companies are proposing to spend capital in the Rate Year. The Companies claim that Staff's forecast adjustment would impose an arbitrary 25.5% curtailment on the Companies' non-CIS IT capex programs without consideration of the impact on individual IT projects or the ability to meet current and future demands for IT.[156] Like National Grid proposes in this case, Consolidated Edison Company of New York, Inc. (Con Edison) proposed a significant level of incremental IT capex spending (i.e., $989 million Capex and Opex over 3-year period, 2020-2022 to meet accelerating business demands, therefore, Companies argue it shows that National Grid's proposal to spend $243 million in the Rate Year is reasonably driven by the demands placed upon utilities in today's marketplace.[157]

The Companies also argue that Linear Regression, as an analytical tool does not provide useful information concerning what appropriate level of IT investment should be in the Rate Year. The Companies argue that there is no basis for concluding that a linear relationship exists or should exist between fiscal years and IT capital investments, further arguing that the Companies' proposed IT capital investment levels can fluctuate up and down year over year depending on the nature of projected capital investments planned for a given year. Therefore, regression analysis is simply not an appropriate tool to use to forecast future investment levels.[158]

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154 T. 888.

155 T. 889.

156 T. 889 – 890.

157 T. 891.

158 T. 891 – 892.

In order to use linear regression, or in effect analyzing past performance to predict future performance, there should be an expectation that the future conditions will be similar to the past. However, the regression analysis does not take into account the proposed CIS or SAP S/4 HANA projects and therefore is not an accurate representative of the Company's future investment expectations.[159] Staff agrees that our analysis does not include CIS or SAP S/4 HANA, however, Staff has also excluded these two projects from Staff's recommended IT budgets, to be considered in a separate proceeding. Therefore, Staff's analysis does not undercut the Companies' ability to implement these projects as they are excluded in both the analysis and the resulting budget.

The Companies also argue that it was improper for Staff to consider FY 2017 as an "outlier." Staff acknowledges that a significant portion of the 2017 IT capex spend was a result of advancing planned investments for the Technology Modernization program. In addition, the Companies also argue that a significant portion of the FY 2017 actual spend had the effect of suppressing actual spending in FY 2018 and beyond and Staff's regression equation makes no adjustment for FY 2018 and 2019.[160] Yet, this argument is directly contradicted by the Companies' own method for setting budgets. The Companies stated:

> All of our investment decisions are made on evaluations of critical priorities and we have a portfolio calibration board that evaluates on a monthly basis spending priorities for potential emerging walk-ins and walk-outs and we evaluate our investment plan priorities monthly in that regard.[161]

The Companies should have adjusted the budgets for FY 2018 and FY 2019 as a result of the acceleration in 2016. Therefore, Staff's adjustments are in the best interest of customers to pay just and reasonable rates. Based on the Companies' historic spending, we are not confident the Companies will be able to spend the proposed Rate Year amount, including and most importantly for CIS and SAP S/4 Hana, thus we are proposing a budget which is reasonably based on the Companies' past performance. Although the Companies claim they have taken steps to ensure timely and cost-effective delivery of the forecasted RY capital program, the Service Company has not shown, as recent as Q3 FY20 in Niagara Mohawk Power Corporation

[159] T. 892.

[160] T. 892 – 893.

[161] Tr. 929.

d/b/a National Grid's (Niagara Mohawk) quarterly IT variance report, that they could ramp up spending as they continue to underspend the budgets (ITP Rebuttal, pg. 15, lines 12-14). Staff does not believe the Companies will be able to ramp up spending in the Rate Year to $243.8 million when on average the Service Company spent $97.5 million from FY 2015 to FY 2019. Staff evaluated other methods, including taking an average of the last 5 years, which would result in a rate year budget of less than $129.4 million. Staff acknowledges that the Companies have increased their spending in the last five years and thought that it should be reflected in the rate year, therefore utilizing linear regression carries forward the general trend in the Companies spending. Staff believes FY 2017 should be considered an outlier as it is highly unlikely that the Companies will spend a significant amount in a month, near the end of the FY.

Staff understands that investment in technology continues to grow; therefore, Staff's proposed Service Company IT capex budget enables the Companies to fund the proposed projects and programs deemed necessary, which can also be reasonably implemented in the Rate Year, excluding CIS and SAP S/4 HANA, which are in their infancy. Utilizing Staff's IT budget, the Companies can effectively manage the projects which can be reasonably completed in the Rate Year. Therefore, Staff's recommended Service Company IT Capex budget for the Rate Year is $129.4 million.

c. SAP S/4 HANA

The Companies currently use SAP ECC 6.0, implemented in calendar year 2012, as its back-office platform supporting various essential functions, including Finance, Payroll, Human Resources, and Supply Chain operations. SAP's next generation platform is SAP's Business Suite 4, also known as S/4 HANA.[162] The Companies propose to replace SAP ECC 6.0 with SAP S/4 HANA because SAP will no longer support the SAP ECC 6.0 by 2025.[163] The Companies state, without the support, they would be unable to implement any critical security or compliance patches issued by SAP to address vulnerabilities discovered, software incompatibility with future products, and services offered by SAP, inability to scale in an increasing digital world to take advantage of leading practices, and overall higher operating

[162] T. 845.

[163] T. 846.

costs, decreased performance, and reduced overall reliability.[164] The Companies plan to perform discovery phase work in FY 2020 and start the design phase in FY 2021. Initially, the Companies proposed an operating expense of $34.650 million in the Rate Year for the design phase of the project with no capital expenditures associated with the project.[165]

During the Discovery Roadmap phase, the Companies developed a draft project scope, initial proposed solution, brief overview and timeline for the pre-implementation phase of the project, and potential sequencing options designed to maximize the proposed investment to avoid duplicative or having to rework this and other portions of existing or future initiatives.[166] Based on the results of the Discovery Roadmap phase, the Companies propose $48.6 million in capital expenditures for the S/4 HANA project in the Rate Year.[167] The Companies also proposed updated O&M expense of $30.6 million.[168]

While Staff agrees with the general need for the project the design phase is not yet sanctioned by National Grid and there is considerable uncertainty as to when the design phase will actually begin. Therefore, the Companies should adjust their projected capital expenditures for the project for the Rate Year to work within Staff's proposed budget of $129.4 million.[169] In addition, Staff disagrees with the Companies' proposal to defer the differences between the costs recovered in rates and the Companies' actual costs for future recovery from customers.[170]

Staff recognizes that the Companies' proposed costs are preliminary estimates which the Companies' have demonstrated may vary significantly, however, customers should not be required to fund the Companies' overspend of the budget developed in the discovery phase. Instead, consistent with our recommendations for all IT projects, we recommend a downward only reconciliation mechanism.[171]

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164 T. 846 – 847.

165 T. 849.

166 T. 875.

167 Ex. 280, p. 1.

168 Ex. 282, p. 1.

169 T. 1003.

170 T. 1003.

171 T. 1003 – 1004.

The Companies disagree with Staff's recommended rate year Service Company IT capex budget as it does not account for SAP S/4 HANA, and they believe authority to defer costs in excess of the current cost projections will adequately protect customers.[172] This argument ignores the fact that the Companies' cost projection for the project is very preliminary and that the Companies have demonstrated that actual costs of IT projects are very different from the preliminary estimate. As an alternative to blanket deferral authorization, the Companies also request the Commission allow the Companies to seek deferral costs of the SAP S/4 HANA project in excess of the levels reflected in rates by filing a separate petition. Yet the Companies also seek the Commission's acquiescence or confirmation that such a petition would not be rejected.[173] The Companies' proposal is without adequate controls to protect ratepayers, nor does it provide any incentive for the Companies' to control costs.

Staff agrees that SAP S/4 HANA is needed given that the Companies' current system, SAP ECC 6.0 will not be supported by SAP by 2025. Staff recommends that the Commission approve the O&M costs in the rate year, however, any related capital expenditures be incurred within Staff's forecasted IT budget of $129.4 million.[174] Further, we recommend a downward only mechanism for all IT projects to include S/4 HANA.[175]

d. Customer Information System (CIS) Project

KEDNY and KEDLI use different customer information systems, both of which have been in use for 20 to 30 years. In these cases, the Companies proposed a complete replacement of these legacy systems to begin the transition to one common platform for all US National Grid companies. The Companies refer to this replacement program as the Customer Information System (CIS) replacement program. The Companies state the current systems are decades old and cannot "support customers' escalating expectations or increasingly sophisticated billing needs, nor can they easily support services on web, mobile, and other customer and third-party channels."[176] In addition, the Companies argue the systems are difficult to modify to meet

[172] T. 888.

[173] T. 901 – 902.

[174] T. 1003.

[175] T. 1004.

[176] T. 1116.

business and regulatory advancements; the skillset needed to support the systems is difficult to find; and at the number of high and or critical priority failures has increased significantly in recent years (DPS-617). The initial cost estimate for replacing the systems across US National Grid companies is approximately $654 million, of which KEDNY and KEDLI would be responsible for $113.426 million and $52.635 million, respectively.[177]

As of the Companies Corrections and Updates, filed on July 3, 2019, the Companies stated that the start date for the CIS replacement project was extended from September 2019 to April 2020, which moved the in-service date from April 2022 to October 2022.[178] The Companies state that extending the start date allowed further coordination with other projects, such as the Companies S/4 HANA upgrade, as well as, further development of project scoping and work plans, and contracting activities.[179]

Staff recommends that the Commission reject the Companies' rate request with costs associated with the CIS project in the Rate Year. Capital costs associated with the forecasted projects are included in the Service Company Rent expense capital budget in the amount of $69.6 million. CIS project costs are found in the line items Service Company Rent expense and Other Initiatives, however because the project is not scheduled to go into service until early 2022, there is no expense included in the Service Company rent expense line item. There are operating costs associated with CIS that are included in Other Initiatives in the amounts of $10.526 million and $4.885 million, for KEDNY and KEDLI, respectively. Instead, Staff recommends that the Commission require the Companies to submit via separate petition a fully sanctioned and well-developed CIS replacement program plan. Staff is concerned that the Companies are in relatively early stages of developing the CIS replacement plan.

Insufficient information is available for Staff to recommend safeguards for customers to ensure the project stays on budget and on time. The Companies have struggled to refine costs and project delivery dates while still attempting to working through its internal approvals process for such and proposals throughout this case. Staff continues to recommend that the Companies continue this process and file a petition with the Commission for approval

[177] T. 1125.

[178] T. 871.

[179] T. 872 – 873.

when there is more information to consider.[180] The Companies need to further develop implementation plans and costs should be resolved as the Commission, as Staff argues, does not have enough information to properly protect customers who are paying for the project in part through the rates requested in this proceeding. During cross examination of the Companies' Shared Services Panel, witness Jeffrey Martin stated that National Grid still had not selected a Quality Assurance firm, adding that "the timeline to a lot of our program tasks for the CIS program would begin in April of this year," therefore, there is no timeline for the completion of these tasks.[181] Although the Companies stated that the formal sanctioning and next level of approval for this project had recently occurred, the Companies have not supplied any documentation or information regarding this update to Staff. The Companies have failed to do so, despite their unambiguous commitment to do so.[182]

Additionally, Niagara Mohawk's Information Technology report for the fourth quarter of 2019 states the CIS "project is on-hold and will be re-evaluated later in the year" with no further explanation.[183] Without a timeline for key program tasks, coupled with the fact that internal sanctioning papers still have not been submitted for Staff review, reinforce Staff's assertion that the Companies have not provided enough information for the Commission to move forward with the CIS project. recommendation in these proceedings. In the absence of critical project information such as timelines, key tasks, and project scope, coupled with a lack of supporting documentation, neither Staff nor the Commission are properly able to evaluate the project costs at this time and therefore properly assess its impact to ratepayers. In the absence of this information, and sufficient analysis, we cannot recommend approval of such large expenditures nor can we recommend effective safeguards and for the protection of customers to the Commission. In addition, large IT projects that National Grid has undertaken in the past have missed deadlines, changed implementation dates, and/or gone over budget.[184] (In Staff's opinion, the Companies historical performance, or underperformance raises concern and furthers the need for the Commission to implement proper safeguards for customers, to ensure they are

[180] T. 1452 – 1453.

[181] T. 1233 – 1235.

[182] T. 1574 – 1576; Ex. 413 (Response to IR DPS-311).

[183] T. 1574 – 1576; Ex. 413 (Response to IR DPS-311).

[184] T. 1453 – 1460.

not held financially responsible in the event this trend continues regarding the CIS project. Similar protections were adopted by the Commission for National Grid's GBE program, it is sensible for the Commission to adopt similar protections concerning CIS and S/4 HANA. Staff, therefore, recommends that the Commission reject the Companies' rate request for the CIS project and instead we recommend the Commission direct the Companies to submit via separate petition a fully sanctioned and well-developed CIS replacement program plan.

e. Service Company Asset Recovery Charge

National Grid's Service Company owns or leases a number of shared assets that are used either by Service Company employees to provide services to affiliates or are used by the affiliates on a shared basis. These are primarily shared office facilities, information technology equipment, and software platforms. When the Service Company finances and owns the shared assets, it charges the affiliates an asset recovery charge based on a pre-tax return on the asset (net of deferred taxes) and booked depreciation expense. This charge is recovered in the Company's Service Company rent expense. The Companies state in their testimony the asset recovery charge should be based on the Service Company's equity structure, not the operating asset recovery charge of the operating companies.[185]

Staff recommends using consistent a consistent common equity ratio and return on equity for KEDNY, KEDLI, and for the development of the revenue requirement for Service Company Rent expense. As set forth in Section VII, below, Staff recommends a common equity ratio of 48% and a return on equity of 8.20% for KEDNY and KEDLI. Using these rates would result in a pre-tax weighted average cost of capital of 7.58% and 7.54% for KEDNY and KEDLI, respectively. We recommend that these rates be applied to assets at the Service Company level so as to avoid requiring customers to pay a higher return on these assets solely because the Companies have chosen to have a Service Company provide the assets.[186]

The Companies argue that the Companies' weighted average cost of capital is the appropriate rate of return component for the Service Company.[187] Company Witness Cohen argues that the Service Company's cost of long-term debt is lower than Niagara Mohawk's long-

[185] T. 5219 – 5220, 5242 - 5243.

[186] T. 1004 – 1006.

[187] T. 5253 – 5254.

term debt, and therefore the proposed rate of return for Service Company is reasonable and conservative. Thus, as the Companies argue, the authorized ROE for the Companies should be use for the purpose of determining the cost of equity component Service Company's rate of return..[188] The SITP refutes this argument and argues that the rate of return based on the Staff Finance Panel's recommendations for capital structure should also apply to assets at the Service Company level so as to avoid requiring customers to pay a higher return on these assets solely because the Companies have chosen to have a Service Company provide the assets. Moreover, "Service Company's costs of long-term debt is lower than Niagara Mohawk Power Corporation's cost of long-term debt. Therefore, the proposed rate of return for Service Company is reasonable and conservative."[189]

f. Downward-Only Reconciliation Mechanism

Staff recommend adoption of a Service Company Rents IT and Gas Business Enablement (GBE) Program Net Utility Plant and Depreciation Expense Reconciliation Mechanism to protect customers from paying delivery rates higher than necessary to support the IT assets actually implemented.[190] Staff's mechanism would require the Companies to reconcile its respective actual IT and GBE program average net utility plant and depreciation expense revenue requirements to the forecast revenue requirements.[191] At the end of the Rate Year, if the actual IT and GBE program average net utility plant and depreciation expense revenue requirement is less than the target average net utility plant and depreciation expense revenue requirement, the Companies would defer the revenue requirement impact for the benefit of customers. The mechanism should be a one-way, downward only true-up.

The Companies acknowledged Staff's concerns over delays in the implementation of IT projects and agreed to a downward reconciliation mechanism with regard to service Company rent expense.[192] However, on rebuttal, the Companies opposed Staff's proposed downward-only Net Plant tracker for the GBE program. The Companies opposed the tracker on

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188 T. 5253 – 5254.

189 T. 5253.

190 T. 1004.

191 T. 104 – 1006.

192 T. 913.

the basis that the mechanism is less relevant in a one-year litigated case, and the mechanism is duplicative of additional controls implemented in National Grid's other New York State Utilities.[193]

The Companies are correct, Staff proposed the same customer protections, which the Commission adopted in Case 17-G-0239.[194] The Commission adopted a downward-only reconciliation of net plant and depreciation expense.[195] Other customer protections included an overall cap on the amount that can be recovered from customers for GBE, and benchmarks to ensure that Service Company delivers the incremental benefits of GBE compared to the backbone alternative.[196] The customer protections are to ensure the Companies deliver the GBE program benefits as scheduled and to the full degree envisioned. The customer protections are necessary because the GBE project has continued to run into schedule changes and delays.[197] Many portfolio anchors including 3.2, 3.3, 4, 5, and 6, still do not have definitive implementation dates.[198] The schedule and cascading delays have continued to put upward pressure on costs.[199] Regardless of the number of years for the case it is important to protect customers and have customer protections for a program experiencing schedule changes and upward cost pressure.[200]

The true-up mechanism, therefore, should reconcile only underspending to allocate these risks equitably between the Companies and customers. Staff recommends that the Commission adopt the downward-only mechanism for the GBE program, as discussed above.

g. IT Sanction and Process Improvements

Staff proposed a variety of process improvements concerning the Companies' IT programs.[201] These process improvements include and are consistent with those adopted by the Commission in the 2018 Niagara Mohawk Rate Order, improvements to the Service Company's

193 T. 3427.

194 2018 Niagara Mohawk Rate Order, Attachment 1, Joint Proposal, pp. 44-48.

195 T. 990 – 991.

196 T. 992.

197 Ex. 664 (Response to IR DPS-1045, Attachment 1).

198 T. 3631 – 3632.

199 T. 3632.

200 T. 3631 – 3632.

201 T. 1010.

IRS and Sanction Papers, and the implementation of Key Performance Indicators (KPIs). Further, Staff also recommends that the Commission require National Grid's Chief Information Officer (CIO) to attest to the costs and benefits of the programs that make up the approved budget and; after the projects are closed, National Grid's CIO should attest to and report on the actual costs and benefits achieved through the IT investment plan.[202] Due to the proposed timing of many projects, a significant majority of those projects do not have sanction papers for Staff to review. It is, therefore, extremely difficult for Staff to determine if the proposed Service Company budgets are reasonable and appropriate.[203]

As described above, the Companies' IT budgets are largely based on IRS papers, with typical variances of minus 50 percent to plus 200 percent. Staff was not comfortable with the proposed budgets and the lack of support for it, therefore we recommended adjustments to the budget.[204]

The Companies disagreed with Staff's recommendation. The Companies claim it is not clear what the benefit of such attestations would be or what they might be used for. The Companies claim that they are willing to provide their IT Capital Investment plans and reports on the performance of those plans, which should be sufficient to permit Staff to make a determination concerning the reasonableness of the costs and benefits of the Companies' IT programs.[205]

Since the benefits and costs of the projected IT projects are largely unknown and the Companies variance reports show that it has difficultly delivering their IT investment plans on time and on-budget.[206] Requiring the CIO to attest to the costs and benefits would provide a needed level of accountability for the Companies to deliver on their promises.[207] Staff recommends that the Commission require the Companies implement the proposed IT Attestation

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202 T. 3591.

203 T. 3590.

204 T. 973.

205 T. 906.

206 Cases 17-E-0238 and 17-G-0239, supra, IT Investment Variance Report (filed February 28,2020), Attachment 1, pp.1-3.

207 T. 3591.

process, in addition to adopting the various other process improvements the Commission has adopted for National Grid's other New York Utilities.

h. Cyber-Security

KEDNY and KEDLI proposes to complete 12 projects in the Rate Year, and eight in subsequent Data Years. KEDNY and KEDLI also propose to complete 17 cyber security projects that are expected to be in service after the Historic Test Year, but prior to the Rate Year. There are an additional seven ongoing annual programs that will incur costs throughout the Rate Year and Data Years.[208]

These projects will address a wide range of cyber security issues, including: Ensuring adequate security protection to cyber assets supporting critical reliability functions across KEDNY and KEDLI's networks and systems; providing security information and event management capabilities to analyze security alerts in real time, and to collect, store and report on data for compliance and forensic analysis across critical assets and business functions; strengthening identity, access and authorization management capabilities to ensure that only authorized personnel can access critical assets and perform only those functions for which they are authorized; and system modernization cyber security framework utilizing a "defense-in-depth" approach for ensuring a reliable and secure electricity and gas infrastructure and protecting the confidentiality and integrity of sensitive data. Defense in depth, or "layered security" as it is also known, reduces the chance of a successful attack by incorporating redundant security mechanisms. This would require an attacker to circumvent each mechanism to gain access to a digital asset.

The cyber security projects are forecast to require incremental capital investment of $27.8 million through FY 20, $10.2 million in the Rate Year, FY 21, $16.5 million in Data Year 1, $17.7 million in Data Year 2, and $17.3 million in Data Year 3. Of the 36 projects cited above, there are five major cyber security proposals that are notable for both cost and their relative importance in achieving KEDNY and KEDLI's proposed goals. These projects are: High Value Discovery & Implementation, CNI Forensic Packet Capture, Enhanced DLP Gateway & Endpoint, CNI Security Enhancements Phase I, and Insider Threat Protection.[209]

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[208] T. 977.

[209] T. 977 – 978.

We believe that these investments are needed to address ongoing cyber threats. The implementation of these cyber security countermeasures are essential for establishing a high level of cyber security monitoring and protection. The field of cyber security is one in which the risks, threat actors/vectors, and technologies involved are constantly changing and increasing in complexity at a breakneck pace. This ever-escalating cyber threat to business and critical infrastructure information requires that utilities remain constantly vigilant and seek new and innovative ways to bolster their cyber security posture.[210]

Each project in the cyber security program has its own Investment Proposal Summary, benefits case, cost estimate, list of benefitting companies, run the business breakdown, project plan, and project milestones. The Information Security (IS) Portfolio Delivery Board reviews and approves each project based on that information. A short form Investment Proposal paper for all projects approved by the IS Portfolio Delivery Board is provided to, and formally noted by, the US Sanctioning Committee. Each project will report financial actual spending, forecasts, and budget variances back to the IS Portfolio Delivery Board.

Despite the project development process just described, actual spending versus budget for cyber security for the previous five rate years was 23 percent less than forecasted. The Companies have also demonstrated a history of delaying projects due to shifting priorities.[211] Therefore, we also recommend that KEDNY and KEDLI's cyber security programs be included in the IT project update meetings to ensure timely, consistent progress of the cyber security projects proposed in these proceedings. The IT project update meetings are held quarterly to provide Staff with a progress report on KEDNY and KEDLI's IT projects. We also recommend that the Companies notify appropriate Department Staff as projects are sanctioned or partially sanctioned.[212]

Staff supports the Cyber-Security projects proposed by the Companies, however, we recommend additional reporting and monitoring controls are implemented by the Commission to oversee the Companies progress on these critical and ever-evolving projects.

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[210] T. 982 – 983.

[211] T. 983 – 984.

[212] T. 984 – 985.

i. Service Company Rent Expense Model Calculation

The Companies' IT project assets remain on the Service Company's books after KEDNY and KEDLI being using them. The Service Company recovers the return on and return of investment from KEDNY, KEDLI, and other National Grid operating companies. This recovery is calculated through a model used to calculate the appropriate amounts to be charged through Service Company Rent expense in each of the Companies' revenue requirements. Staff's proposed adjustments to IT reflect changes made to the Companies' model.

Staff's Service Company Model had several errors in it as described in the Companies' rebuttal.[213] These errors included: (1) a double count of certain adjustments; (2) the application of a rate of return for certain adjustments was different than the rate of return that Staff otherwise recommended using; (3) clerical errors; and (4) the misapplication of the proposed 25.5 percent forecasting adjustments as a direct 25.5 percent reduction to Service Company rent expense. These issues were addressed in the Staff Information Technology Panel's Supplemental Testimony.[214]

j. Community Distributed Generation Low Income Program

The Staff Information Technology Panel recommended removing the capital and operating costs associated with the Community Distributed Generation (CDG) Low Income program. The Companies stated that the wrong allocation code was included on this program, as it only applies to Niagara Mohawk.[215] The Companies went on to state that the error was identified shortly prior to the corrections and updates submitted July 3, 2019, and therefore Ex. 122 and the revenue requirement were not updated to remove this program.[216] The Companies agreed that this adjusted to the revenue requirement was warranted.[217]

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213 T. 895.

214 T. 1019 – 1020; 1027 – 1028.

215 Ex. 477 (Response to IR DPS-620).

216 Ex. 477 (Response to IR DPS-882).

217 T. 1023.

5. Labor

a. Management Wage Increase

i. Management Incentive Compensation

The Companies request incentive compensation rate recovery. The variable pay amount requests are $6.876 million for the KEDNY ServCo and $2.379 million KEDNY OpCo, and $4.270 million for KEDLI ServCo and $0.891 million for KEDLI OpCo. Witness Heaphy stated:

> If National Grid did not have a variable pay component, it would be out of step with the market and likely would not be able to attract the highly motivated employees necessary for KEDNY and KEDLI to deliver outstanding customer service in a reliable, efficient, and safe manner.[218]

To support its management incentive compensation request, the Companies provided a total compensation and benefits benchmarking study that examined the total employee compensation and benefits package, inclusive of incentive pay, for approximately 92 percent of the management positions at National Grid USA.[219] The study compared the compensation packages of 38 utility and general industry peer companies.[220] Staff reviewed the Companies' benchmarking study methodology and determined the study demonstrates that the Companies' compensation is in the reasonable range of plus or minus 10 percent of the market median.[221] Staff also confirmed that the portion of the variable pay plan to be included in rates is based on performance targets that will advance the Commission's goals and are not adverse to customers' interests.[222] Staff explained that the Companies' incentive compensation request was in line with the Commission's two-prong test for recovering incentive compensation in rates.[223] The Commission states that in order to obtain recovery from ratepayers of the costs of incentive pay plans, the utility must meet the criteria of at least one prong of the two-prong test. Either (1) demonstrate overall compensation is reasonable to similarly situated companies with no elements

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218 T. 4896.

219 T. 4883.

220 Ex. 116.

221 T. 5270 – 5271.

222 T. 5272 – 5274.

223 T. 5274 – 5275, 5171-5172.

being adverse to ratepayer interests, or (2) provide very clear affirmation that the incentive costs are designed to return quantifiable or demonstrable benefits to ratepayers in a financial sense or in terms of reliability, environmental impact, or customer service. Also, the program must be focused solely or in large part on goals for safety, reliability, environmental protection, or customer service. Staff demonstrated that the criteria under the Commission's two-prong test was met, as shown in Exhibit 473.

ii. Labor Escalation Rate

During the Historic Test Year, National Grid increased management wages by 3.25 percent. 3.00 percent took effect on July 1, 2018 and 0.25 percent took effect on October 1, 2018. Following the Historic Test Year, and as a means to forecast the Rate Year the Companies' applied a 3.35 percent management wage increase on July 1, 2019, which includes a 3.1 percent average increase in base pay provided to National Grid's entire management workforce, and the remaining 0.25 percent represents increases associated with career path progressions. Effective July 1, 2020 the Companies applied a 3.1 percent annual management wage increase, and for each of the subsequent years.[224]

Staff proposes a 3.0 percent escalation factor based upon WorldAtWork's median 3.0 percent "Total Salary Budget Increase." WorldatWork is a non-profit human resources association and a leading compensation authority for professionals and organizations focused on compensation, benefits, and total rewards.[225] The Companies argue that Staff did not properly address the timing and components of its proposed wage increases.[226]

In response, Staff requested the Companies to confirm that the 2019-2020 WorldatWork Salary Budget Survey results report indicates that total salary budget increases projected for the United States in 2020 is 3.2 percent for the mean and 3.0 percent for the median, and that WorldatWork's total salary budget increase percentage captures base salary increases, merit budgets increases, salary structure adjustments, promotional increases, and variable pay plan increases. Subsequently, the Companies argue that the WorldAtWork's total salary budget increase percentage typically only includes base salary increases and merit

[224] T. 4902 – 4904.

[225] T. 5263.

[226] T. 4947.

increases. It does not include salary structure adjustments or variable pay plans, and only includes promotional increases on a minority basis.[227]

Staff requested and reviewed the Companies' responses to the Salary Budget Survey which were included in the final 2019 WorldAtWork Report.[228] The Companies also explained that additional information was addressed separately in the survey report. Thereafter, Staff reviewed the confidential survey report provided in a supplemental response to DPS 1084.[229]

The Companies have made numerous attempts to cast doubt regarding what is included in the calculation of the WorldAtWork's total salary budget increase percentage with various references in the WorldAtWork salary budget report. The Companies omitted the fact that promotional increases are included in the WorldatWork forecast on a minority basis, promotional increases were not added to the Companies' list of omissions until Staff pursued these omissions through discovery.[230]

Yet, a better indication of what is included in the WorldAtWork percentage can be obtained by matching up information in the report with the responses that National Grid itself provided in response to the survey and used to create the report. It becomes apparent that the expected salary budget increase to compare to the Companies' budget request should be escalated at a rate which much more closely resembles Staff's recommended 3.0 percent than the Companies' argument for 3.35 percent.

Upon further examination, Figure 1 in the WorldAtWork salary budget report does, as Witness Heaphy contends, indicate that the Total Increase for salary budgets is comprised of **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]**. Although some **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]**, and therefore out of Staff's recommended 3.0 percent increase, the impact of those omissions are de minimis.

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227 Ex. 724 (Response to IR DPS-1084).

228 Ex. 724 (Response to IR DPS-1084).

229 Ex. 725b (Response to IR DPS-1084 CONFIDENTIAL SUPPLEMENTAL, Attachment 1).

230 Ex. 724 (Response to IR DPS-1084).

First, Figure 16 of the Salary Budge Report shows that promotional increases raised the mean total salary budget increase from **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]** for 2020.[231] However, the Report indicates that this percentage increase in salary budgets only applies to the **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]** of organizations that specifically budget for promotional increases.[232] Further, the report indicates that this **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]** did not pertain to the **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]** of organizations that budget for promotional increases outside of pay increases.[233]. This **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]** also does not pertain to the **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]** who fund their promotional increases from savings.

This leads one to ask, what would the promotional increase percentage be for those organizations that did not specifically budget for promotional increases? Competitive labor markets would suggest that the percentage increase associated with those excluded from the promotional increases in Figure 16 are the same as the percentage increase of the promotional increases.[234] Thus, for the **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]** of organizations who fund their promotional increases from separate budgets and the **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]** of organizations who fund their promotional increases from savings, only **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]** average promotional increase amount was excluded. Including these promotional increases would raise the mean increase from **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]**. In the absence of additional data, the median would therefore increase from **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]**. But the WorldAtWork salary budget survey questionnaire results for question 16b demonstrates that the **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]** of organizations who do not budget for pay increases, **[BEGIN CONFIDENTIAL]** [redacted] **[END CONFIDENTIAL]** of those organizations also do not pay for

[231] Ex. 725b, p.31.

[232] Ex. 725b, p. 31.

[233] Ex. 725b, p.30.

[234] Ex. 725b, p. 31.

those increases from savings. Those **[BEGIN CONFIDENTIAL]** **[END CONFIDENTIAL]** of organizations either subsume those **[BEGIN CONFIDENTIAL]** **[END CONFIDENTIAL]**. Thus, the **[BEGIN CONFIDENTIAL]** **[END CONFIDENTIAL]** does not apply to **[BEGIN CONFIDENTIAL]** **[END CONFIDENTIAL]** who do not budget for these increases either.

Therefore, only **[BEGIN CONFIDENTIAL]** **[END CONFIDENTIAL]** in promotional increases were excluded from the WorldAtWork total salary budget figure. The result is therefore, an increase in the mean from **[BEGIN CONFIDENTIAL]** **[END CONFIDENTIAL]** and the median would change from **[BEGIN CONFIDENTIAL]** **[END CONFIDENTIAL]** if omitted promotional increases were included.

The Companies also argue that the Total Salary Budget increase reported by the WorldAtWork does not include salary structure increases. Salary structure increases pertain to increases to the midpoints of pay ranges within each minimum to maximum step in a salary ranges each salaried position. These increases, to be meaningful to Witness Heaphy's contention and therefore included in her calculation, must be incremental to increases to the salary structure what would come about via the across the board COLA increases encompassed in the total salary budget increase percentage. In fact, the Companies **[BEGIN CONFIDENTIAL]** **[END CONFIDENTIAL]**

Finally, the Companies argue that Staff's recommended escalation percentage does not include variable pay plan increases. However, the WorldAtWork report defines variable pay as "compensation that is contingent on discretion, performance or results achieved. It may be referred to as pay at risk." Clearly such pay at risk is covered by the merit pay increase included in the total salary budget increase. To the extent pay at risk is not covered by merit pay it may be covered in lump sum variable pay. The escalation percentages of 3.35%, and 3.1% the Companies' are proposing are unreasonable.[235] Staff recommends a 3.0 percent escalation factor

[235] Ex. 724; Ex. 725a; Ex. 725b.

for management wage increase based upon WorldAtWork's median 3.0 percent "Total Salary Budget Increase" for management pay.

b. Vacancy Rate Adjustment

To forecast Rate Year Labor expense, KEDNY and KEDLI began with the Labor headcount as December 31, 2018, or the end of the Historic Test Year, and then made adjustments to reflect conditions expected in the Rate Year. The Companies removed employees from management and represented headcounts who are on long-term leave, and not expected to return. Then, the Companies added the average headcounts for seasonal and temporary employees who were not captured in the December 31, 2018 employee headcounts.[236] The Companies did not forecast a vacancy rate for the Rate Year. Therefore, the Companies assume that every position forecasted for the Rate Year will be fully staffed for every workday of the Rate Year.[237]

Staff recommended a vacancy rate adjustment for the KEDNY and KEDLI operating companies. More specifically, Staff adjusted the number of full-time employee equivalents (FTEs) who directly charge Labor costs to KEDNY and KEDLI, but not for the FTEs that originate from the National Grid USA Service Company.[238] The vacancy rate is the number of unfilled positions within KEDNY and KEDLI, divided by the targeted employee level.[239] As a result, Staff recommends reducing KEDNY's and KEDLI's Rate Year Labor expense by $2.759 million and $3.229 million, respectively.[240]

To establish a baseline, Staff began with the Companies' adjusted headcounts as of September 30, 2015. These adjusted headcounts were used in Cases 16-G-0058 and 16-G-0059 to forecast Labor expense for the Companies' rate plans adopted by the 2016 Rate Order. The adjusted headcounts as of September 30, 2015 were 1,281, and 662 for KEDNY and KEDLI, respectively. Staff then added the number of approved incremental FTEs from the 2016 Rate Order issued on December 16, 2016 in Cases 16-G-0058 and 16-G-0059. That Rate Order

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[236] T. 1868, 2132.

[237] T. 2357.

[238] T. 2356.

[239] T. 2356.

[240] T. 2365.

approved 236 incremental employees for KEDNY and 106 for KEDLI. Thus, the 2016 Rate Order authorized total headcounts of 1,517 for KEDNY and 768 for KEDLI.[241] Thus, the 2016 Rate Order provided rate recovery for total headcounts of 1,517 for KEDNY and 768 for KEDLI prior to commencement of calendar year 2018, which is the Historic Test Year in these proceedings. In fact, the Companies' confirmed having hired all of the incremental FTEs authorized the 2016 Rate Order. As explained in the response to IR DPS-315, KEDNY had hired, all of the allowed incremental positions, with one exception, as of October 2017.[242] KEDNY filled the one remaining position by May of 2019. As explained in the response to IR DPS-316, KEDLI had hired all of the incremental positions, with one exception, as of December 2017.[243] KEDLI filled the one remaining position by February 2018.

When comparing the total headcounts authorized in the 2016 Rate Order to the adjusted actual headcount at the end of the Historic Test Year, Staff observed that the actual headcounts were lower, by 48 FTEs for KEDNY and 63 FTEs for KEDLI. Put another way, at the end of the Historic Test Year, KEDNY had a vacancy rate of 3.16% and KEDLI had a vacancy rate of 8.20%.[244] This comparison is appropriate, because both the adjusted headcounts as of September 30, 2015 and December 31, 2018 have been adjusted for employees on leave and both serve as a basis for projected rate recovery.[245] Further, this adjustment will not result in a double count of any savings. As provided in response to IR DPS-940, any FTEs separated from National Grid following the Historic Test Year were Service Company employees. Staff's adjustment pertains specifically to KEDNY and KEDLI's operating company headcounts. Therefore, because Staff did not make an adjustment to the Service Company headcount, there would be no double count of savings.[246]

One of the main reasons for KEDNY and KEDLI's variance in headcount is due to the hiring of incremental FTEs. KEDNY requested an incremental 156.3 FTEs for the Rate Year. Assuming Staff's recommendations are adopted, that number would decrease by 18.8

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241 T. 2359.

242 Ex. 504, p. 329.

243 Ex. 504, p. 332.

244 T. 2360.

245 T. 2361.

246 T. 2362 – 2363.

FTEs, resulting in a total of 137.5 incremental FTEs in the Rate Year. KEDLI requested an incremental 95.4 FTEs for the Rate Year, and Staff recommends reducing KEDLI's request by 16.7 FTEs, resulting in a total of 78.7 incremental FTEs in the Rate Year.[247] Historically, the Companies have hired a large portion of their incremental FTEs internally. As explained in response to IR DPS-470, of the 236 incremental FTEs approved for KEDNY in the 2016 Rate Order, approximately 130 FTEs, or 55%, were hired internally.[248] Of the 106 incremental FTEs approved for KEDLI in the 2016 Rate Order, approximately 36 FTEs, or 34%, were hired internally. It is reasonable to assume the Companies will continue to hire a portion of its incremental FTEs internally.[249] As stated in response to IR DPS-470, the Companies' frequently fill positions by internal promotions or transfers.[250] By doing so, this better aligns employees' experience and skills with the work. It also helps the Companies manage attrition. In the event an employee in an existing position transitions to an incremental position, that employee's former position is vacant unless and until it is "backfilled." Staff's analysis demonstrates that this occurs.

As previously discussed, when comparing the authorized headcounts from the 2016 Rate Order of 1,517 and 768 for KEDNY and KEDLI, respectively, to the adjusted headcounts as of December 31, 2018 of 1,469 and 705 for KEDNY and KEDLI, respectively, KEDNY had 48 fewer FTEs than allowed and KEDLI had 63 fewer FTEs than allowed. Accordingly, there are either lags, or periods of time where the Companies are unable to back-fill vacated positions; or the Companies are unable to or decide not to backfill the vacated positions at all.

Absent applying a vacancy rate, should the Companies hire an internal employee for an incremental position and do not back-fill the vacated position, the Companies would continue to receive rate recovery for the vacant position.[251] Applying a vacancy rate to the Companies' proposed staffing levels for the Rate Year helps ensure that customers are not paying the Companies for non-existent FTEs in unfilled positions.

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247 T. 2363.

248 Ex. 504, p. 522

249 T. 2364.

250 Ex. 504, p, 522

251 T. 2365.

On rebuttal, the Companies raise four objections to Staff's recommended vacancy adjustment. The Commission should reject each of the Companies' objections.

First, the Companies assert that, by using adjusted headcounts as of December 31, 2018, which only include positions actually filled by employees as of that date, the Companies already removed vacant positions from their headcounts.[252] The Companies assert that applying Staff's recommended vacancy rate to the adjusted headcounts results in a double count of vacant positions.[253]

However, there is no double count of vacancies. Indeed, without applying Staff's recommended vacancy adjustment, the Companies are underestimating the amount of vacant positions likely to occur during the Rate Year. The Companies' proposed forecasts fail to reflect the fluctuation in headcount which occurs as a normal part of doing business. Yet, the Companies acknowledge this in their responses to IRs DPS-690,[254] and DPS-691,[255] in which they stated that headcounts can vary month to month, or even day to day, due to several variables such as attrition related to retirements, terminations, voluntary separations, and long-term leave, as well as the filling of positions that have been vacated.[256]

Second, the Companies try to shift the focus from KEDNY and KEDLI, which they admit did have less FTEs in 2019 than the amount supported in the rates adopted by the 2016 Rate Order, to the number of National Grid Service Company employees.[257] According to the Companies there were 1,306 more National Grid Service Company employees who may allocate their time, or a portion of their time, to KEDNY and KEDLI.[258]

The Companies are merely trying to misdirect attention without identifying any actual errors in Staff's recommended vacancy adjustment. Staff's adjustment is specific to the KEDNY and KEDLI operating Companies. A significant increase in National Grid Service Company FTEs does not necessarily translate to additional time being charged to the KEDNY

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252 T. 1999, 2250.

253 T. 2000, 2251.

254 Ex. 504, p. 609.

255 Ex. 504, p. 611.

256 T. 2358.

257 T. 2002, 2253.

258 T. 2002, 2253.

and KEDLI operating companies. National Grid Service Company employees allocate their time amongst all National Grid affiliates, which includes all of the operating companies in New York State (KEDNY, KEDLI, and Niagara Mohawk), all Massachusetts utilities, and all Rhode Island utilities. Therefore, the increase in National Grid Service Company employees could reflect employees performing work for utilities other than KEDNY and KEDLI, with zero time being charged KEDNY or KEDLI. The Companies have failed to provide any analysis to demonstrate that the variance in National Grid Service Company employees resulted in such employees performing a material amount of work for KEDNY and KEDLI. Moreover, even if such an analysis was provided, Staff expects that the issue of KEDNY and KEDLI customers providing funding for vacant KEDNY and KEDLI positions would still exist.

Third, the Companies argue that the Labor expense forecasting methodology used in this case in the same methodology used in the 2016 rate cases for KEDNY and KEDLI and the 2012 and 2017 rate cases for Niagara Mohawk. The Companies argue that Staff accepted these methodologies without applying a vacancy rate adjustment.[259] This argument lacks merit. In every rate case, facts and issues are presented differently. In the instant proceedings, the Historic Test Year is identical to the second rate year under the 2016 Rate Order. Thus, in these proceedings, Staff has been able to directly observe the variance between the forecast of FTEs used to set rates for calendar year 2018, the Historic Test Year, and actual FTEs in that same time period. Because the adjusted figures presented in the 2016 rate cases and in these cases are consistent, this allowed for an apples-to-apples comparison. Staff notes that, with regard to the 2016 rate cases, KEDNY and KEDLI had last had a full review of their rates completed in rate cases that began in 2006, ten years prior. Those 2006 rate cases resulted in rates for five rate years, from 2007 through 2012. Thus this same comparison was not available in the 2016 rate cases. Similarly, the test year used for the 2012[260] and 2017[261] rate cases for Niagara Mohawk did not directly overlap with a specifically forecasted rate year from the previous rate orders for Niagara Mohawk.

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[259] T. 2003, 2254.

[260] Case 12-E-0201 & Case 12-G-0202, Niagara Mohawk – Electric and Gas Rates, Order Approving Electric and Gas Rate Plans in Accord with Joint Proposal (issued March 15, 2013). The final Rate Year of the rate plans adopted by this order ended March 31, 2016.

[261] 2018 Niagara Mohawk Rate Order. The historic test year utilized in these cases aligned with the twelve months ending December 31, 2016.

Fourth, the Companies state that their proposed the incremental FTEs would perform incremental work expected during the Rate Year, and an application of a vacancy rate to the incremental FTEs would result in an insufficient number of FTEs to perform incremental work.[262] However, the Companies argument is incorrect. Staff's vacancy rate adjustment does not undermine the Companies' request for incremental FTEs. Instead, Staff's vacancy rate merely ensures that the Labor forecast for the Rate Year reflects the number of FTEs we can reasonably expect KEDNY and KEDLI to have during the Rate Year. As explained above, there are many reasons that KEDNY and KEDLI will experience vacancies during the Rate Year, including, without limitation, the lag in backfilling the previous positions of employees who are promoted. Rather than ignore that reality, Staff has looked to the Companies' recent experience in the rate years under the 2016 Rate Order. The Companies' experience demonstrates that, when they are adding a significant number of FTEs, as they propose to do here, vacancies will occur, and should be recognized. Staff's recommended adjustment applies the lessons of the 2016 rate cases to the instant cases. While allowing the vast majority of the Companies' proposed incremental FTEs, Staff's adjustment merely ensures that the forecast of Labor expense for the Rate Year reflects the vacancies that are bound to occur during the Rate Year. This helps to ensure that KEDNY's and KEDLI's customers will not pay for non-existent employees.

In conclusion, the Commission should adopt Staff's recommended vacancy rate. This results in reducing KEDNY's and KEDLI's Rate Year Labor expense by $2.759 million and $3.229 million, respectively.

c. Downward Only New Hire True-Up

In these cases, the Companies propose to hire a significant number of incremental employees. As of this brief, Staff recommends allowing KEDNY and KEDLI rate recovery for 137.5 and 78.7 incremental FTEs, respectively. In light of these plans for significant hires, Staff recommends continuing the New Hire True-up deferral mechanism put in place in the 2016 Rate Order. The Companies propose to discontinue its New Hire True-up deferral mechanism.[263]

Staff recommended that the Commission should continue the downward-only New Hire True-up, such that, for every month that an authorized FTE remains unfilled, the

[262] T. 2003 – 2004, 2254 – 2255.

[263] Ex. 1, p. 14; Ex. 14, p. 13.

Companies would be required to defer that Company's average monthly cost per employee.[264] Based on Staff's position as of this brief, the average monthly cost per employee is $5,104 for KEDNY and $7,126 for KEDLI.

The Companies' record of hiring the proposed FTEs since they filed these cases demonstrates the need for this New Hire True-up. As identified in the January 21, 2020 response to IR DPS-374, the Companies proposed to hire 31 incremental FTEs by that point.[265] Out of those 31 incremental FTEs, 18 have been hired, but later than the Companies' planned start date. In addition, two positions are still currently empty. In contrast, only eleven positions were filled by the planned start date. Further, of the 31 incremental FTEs, 17 positions had their start dates revised to a later point than originally forecasted, resulting in the two positions remaining unfilled. The Companies have revised the start dates for over half of its newly hired FTEs already. As the Companies will be hiring additional incremental FTEs throughout the Rate Year, it is reasonable to assume that the Companies will experience similar delays in hiring. Customers should be protected from paying for FTEs the Companies fail to hire by the proposed start dates.

In opposition to the New Hire True-up, the Companies state that there is no need for a downward-only true-up in a one-year case and that the current true-up was agreed to as part of a comprehensive settlement.[266] The Companies' position fails to acknowledge that the Companies are already delayed in hiring the incremental FTEs they requested in these cases. The Companies have provided no evidence to suggest that these delays will not continue throughout the Rate Year. While it is true that the similar true-up adopted in the 2016 Rate Order resulted from a joint proposal, and that these cases are litigated does not undercut the demonstrated need for implementing a New Hire True-up here. Indeed, due to the implementation of the true-up in the 2016 Rate Order, the Companies have deferred money for the benefit of customers, because they failed to hire their then-planned incremental FTEs on schedule. This provides additional evidence to suggest that the Companies will be delayed in hiring the planned incremental FTEs during the Rate Year as well.

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[264] Ex. 2379 – 2380, 2440.

[265] Ex. 634, p. 497 (Response to IR DPS-374 (Jan 2020), Att. 1).

[266] T. 2011, 2262.

Additionally, the Companies argue that a similar reconciliation was not included in the 2018 Niagara Mohawk Rate Order.[267] The Companies argument is irrelevant. First, as the Companies note regarding the 2016 Rate Order, the 2018 Niagara Mohawk Rate Order adopted a comprehensive joint proposal, agreed to by parties and as such, cannot be relied upon to demonstrate what is reasonable in the absence of a settlement. However, it should be noted that the 2018 Niagara Mohawk Rate Order did included an adjustment to account for the delay in hiring. Thus, even the 2018 Niagara Mohawk Rate Order did include protections for customers against the utility's delayed hiring of planned incremental FTEs. In these cases, rather than make an adjustment to the revenue requirement for the Rate Year to reflect an estimate of delayed hiring, Staff recommends that the Companies be required to true-up the costs of the new FTEs after the fact.

Staff's recommendation lessens the risk that customers or the Companies will overpay or under-recover, respectively, the costs of the new FTEs. The Companies' record of delays in hiring incremental FTEs, both during the rate plans adopted by the 2016 Rate Order and pursuant to the Companies' own proposals set forth in these cases, demonstrates the need to protect customers from paying for new FTEs that are not hired in a timely fashion. Accordingly, the Commission should adopt Staff's recommendation for a New Hire True-up.

d. Other Initiatives – Update to Labor Burdens

Staff and the Companies agree that, as the labor burden rates for the incremental FTEs included in other initiatives is a flow-through adjustment, the amount incorporated in rates will change based on the Labor expense forecast adopted by the Commission. There is no dispute regarding the calculation of this item.[268]

6. Transportation Expense

The Companies forecast of Rate Year Transportation expense comprises of lease expense, motor fuel, and other expenses. We recommend adjusting the Companies' lease

[267] T. 2011, 2262.

[268] T. 2010 – 2011, 2261 – 2262.

expense forecast. Specifically, we recommend making downward adjustments of $0.619 million for KEDNY and $0.559 million for KEDLI.[269]

The Companies use leases for their vehicles. This means that the Companies make periodic payments for each vehicle for a defined lease term. The Companies' state, in response to IRs DPS-958[270] and DPS-959,[271] that they plan vehicle replacements based on the expected lifecycle for time and usage. The Company's lease terms are generally one year less than the initial planned lifecycle to minimize loss exposure due to mechanical failures. Following expiration of the leasing term, the Companies take ownership of the vehicle. After transfer of ownership, the KEDNY and KEDLI have the option to continue using the vehicle or replace the vehicle at that point or any point thereafter.[272]

Paramount in forecasting leasing costs,[273] is assessing vehicle additions, replacements and retirements from the end of the Historic Test Year through the Rate Year. To do this, KEDNY and KEDLI stated they relied on a detailed fleet plan that, states the Companies, carefully considers the type of vehicles, the age of the vehicle, maintenance history, and the work for which the vehicle is utilized to develop a projected replacement date for each vehicle.[274] In their responses to IRs DPS-661,[275] DPS-886,[276] and DPS-887,[277] the Companies provided spreadsheets in support of this "detailed fleet plan" identifying vehicles the Companies plan to replace prior to and during the Rate Year.

The Companies' forecasts begin with the Historic Test Year total leasing costs of $8.233 million and $7.789 million for KEDNY and KEDLI, respectively. The Companies adjusted their Historic Test Year amounts for their forecasts of fleet additions, replacements, and

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269 T. 2374.

270 Ex. 504, p. 836.

271 Ex. 504, p. 842.

272 T. 2370.

273 Leasing costs are divided between Lease expense and a capitalized portion.

274 T. 2004, 2255.

275 Ex. 504, p. 580.

276 Ex. 504, p. 728.

277 Ex. 504, p. 762.

retirements from the end of the Historic Test Year through the Rate Year. The Companies then reduced these amounts by a forecast of gains from vehicles sold at auction.

For KEDNY, this resulted in a net increase of $1.592 million, for a forecast of Rate Year leasing cost of $9.826 million. Of this amount, KEDNY allocated $4.884 million to operating expense, and $4.942 million to capital. For KEDLI, these adjustments resulted in a net increase of $1.244 million, for a Rate Year leasing cost forecast of $9.033 million. Of this amount, KEDLI allocated $3.450 million to operating expense, and $5.583 million to capital.[278]

We recommend adjusting the leasing component of Transportation expense as a result of the Companies' overly ambitious vehicle replacement schedule. Referring to the Companies' responses to IRs DPS-886,[279] and DPS-887,[280] from January 2019, through March 2021, a 2.25-year period, KEDNY anticipates replacing 314 vehicles. Specifically, KEDNY plans to replace 141 in calendar year 2019, 170 in calendar year 2020, and three during the first three months of calendar year 2021. During that same 2.25-year period, KEDLI anticipates replacing 340 vehicles. Specifically, KEDLI plans to replace 150 in calendar year 2019, 152 in calendar year 2020, and 38 during the first three months of calendar year 2021.[281] As demonstrated in response to IRs DPS-661 and DPS-886, the Companies have vehicles in their fleet inventory dating to 1997, i.e., vehicles that are up to 23 years old. In fact, of the 314 vehicles KEDNY states it plans to replace, approximately 108 vehicles' leases expired prior to December 31, 2016, i.e., before the Companies' rate plans under the 2016 Rate Order took effect. Of the 340 vehicles KEDLI plans to replace, approximately 133 vehicles' leases expired prior to December 31, 2016.[282] However, as demonstrated in responses to IRs DPS-661,[283] DPS-886,[284] and DPS-887,[285] KEDNY and KEDLI each propose to replace approximately 200 vehicles with leases that expire after the close of the Historic Test Year, i.e., December 31, 2018.

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278 T. 2367 – 2368

279 Ex. 504, p. 728.

280 Ex. 504, p. 762.

281 T. 2368 – 2369.

282 T. 2370.

283 Ex. 504, p. 580.

284 Ex. 504, p. 728.

285 Ex. 504, p. 762.

Based on the number of vehicles replaced historically, and the variability in vehicle replacement, KEDNY's and KEDLI's forecasts that they will replace 314 and 340 vehicles, respectively, during a 2.25-year period are excessive. Historically, the Companies maintain and utilize vehicles with expired leases. Therefore, it is inappropriate to assume that the Companies need to replace as many vehicles as the Companies propose leading up to and during the Rate Year.[286] In comparison, during the three-year period from calendar year 2016 through Calendar year 2018, KEDNY replaced 134 vehicles and KEDLI replaced 177 vehicles.[287]

Given the abnormal level of replacements forecasted prior to the end of the Rate Year, we recommend basing the projection on the cumulative total of vehicles replaced during the most recent three-year period, calendar years 2016, 2017, and 2018, prorated to a 2.25-year period. This methodology reasonably utilizes the Companies' recent actual experience as the basis for projecting the number of vehicle replacements the Companies' will actually complete prior to the end of the Rate Year. Staff's adjustment reflects a forecast of 101 vehicle replacements for KEDNY and 133 for KEDLI through the end of the Rate Year. This results in a reduction of 214 vehicle replacements for KEDNY and 207 for KEDLI.

For KEDNY, this more reasonable forecast of vehicle replacements reduces Transportation expense by $0.869 million.[288] However, since Staff reduced the number of vehicles being replaced, Staff also needed to adjust the projection of auction proceeds.[289] Staff recommends decreasing auction proceeds by $0.250 million, resulting in a net downward adjustment to Transportation expense of $0.619 million. For KEDLI, our forecast of vehicle replacements reduces Transportation expense by $0.777 million. Staff also recommends reducing auction proceeds by $0.218 million. Thus, Staff recommends a net downward adjustment of $0.559 million to KEDLI's Transportation expense.[290]

In their rebuttal, the Companies' assert that the rate plans adopted by the 2016 Rate Order reflected downward adjustments to Transportation expense of 0.732 million for

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[286] T. 2371.

[287] T. 2369.

[288] T. 2372

[289] T. 2373.

[290] T. 2374.

KEDNY, and 0.939 million for KEDLI.[291] The Companies state that, to manage vehicle replacements within these rate allowances, they modified their vehicle replacement schedule to stretch out the lifecycle of certain vehicles. In other words, the Companies claim that the Transportation expense allowance in the 2016 Rate Order lead to an increased average vehicle age. The Companies estimate that the adjustments made in the last case delayed the replacement of approximately 88 vehicles for KEDNY and approximately 96 vehicles for KEDLI.[292] Further, the Companies' argue that the lease end date is based on the expected lifecycle of each vehicle, but that the timing of replacements varies depending on the specific conditions of the vehicles. The asset life may fall short of or exceed the planned lifecycle, but in general each vehicle with a lease term that has expired should be replaced to ensure reliable fleet operations. The Companies argue that they need to replace more vehicles than they have in the past three years to restore the reliability of their fleets to an optimal level. According to the Companies, failing to replace vehicles as they propose will lead to higher maintenance costs and could potentially compromise the integrity of the Companies' vehicle fleet.[293]

The Transportation expense level adopted in the 2016 Rate Order resulted from a Joint Proposal to which the Companies voluntarily agreed. As shown in the responses to IRs DPS-661[294] and DPS-886,[295] the Companies utilize many vehicles well past the end of their lease terms. This demonstrates that immediate replacement is not always necessary. The Companies have failed to provide evidence demonstrating that the vehicles they propose to replace right at the end of their lease terms cannot continue to be used reliably. Indeed, as stated in the Companies' responses to IRs DPS-958[296] and DPS-959,[297] "[t]he planned replacement dates may be adjusted at any point during a vehicle's life for changes in usage patterns or maintenance history." Furthermore, the Companies have not demonstrated that their purported delays in replacing vehicles during their current rate plans have resulted in increased vehicle maintenance

[291] T. 2005, 2256.

[292] T. 2005, 2256.

[293] T. 2006, 2257.

[294] Ex. 504, p. 580.

[295] Ex. 504, p. 728.

[296] Ex. 504, p. 836.

[297] Ex. 504, p. 842.

expense. Accordingly, it would be unreasonable to assume that would necessarily occur in the Rate Year.

Regardless of the Companies' detailed lifecycle plan, the Companies' have utilized vehicles in their fleets well beyond the vehicles' lease-end dates. This demonstrates that immediate replacement is not always necessary. The number of vehicles KEDNY and KEDLI propose to replace is ambitious and well beyond the number the Companies actually replaced during the previous three years. The Companies have not demonstrated the necessity of these excessive replacement levels, nor the likelihood that they will actually follow through with the replacements. Staff's recommended adjustments to Transportation expense reasonably protect customers and allow the Companies to replace a historically comparable number of vehicles. Accordingly, the Commission should adopt Staff's adjustments to Rate Year Transportation expense.

7. Productivity

The Companies proposed a credit relating to the estimated Productivity Adjustment of a cumulative one percent of labor costs and payroll taxes.[298] This adjustment represents a reduction in the revenue requirements. However, Productivity is a flow-through item. Accordingly, the amount to be reflected in the Rate Year is dependent upon the Labor expense forecast adopted by the Commission. There is no dispute regarding the calculation of this expense item.[299]

8. Uncollectible Expense

The Companies proposed to forecast Rate Year uncollectible expense using a three-year average uncollectible rate (Pg.33, lines 16 to 17 of Testimony of Shared Services Panel). The Companies developed these rates using data from calendar years 2016, 2017, and 2018 (Pg. 34, lines 6 to 9 of Testimony of Shared Services Panel). The Companies assert that they rely on calendar year data because under their current rate plans, the rate years align with calendar years. (Pg.7, lines 3 to 10 of Rebuttal Testimony of Shared Services Panel.) The

[298] T. 1883, 2147.

[299] T. 2011, 2263.

Companies propose Rate Year Uncollectible expense of $16.42 million for KEDNY, and $7.17 million for KEDLI. (Corrections and Updates – need remainder of the cite).

Staff agrees with the use of a three-year average uncollectible rate. However, Staff recommends using more recent data, through May 2019. Thus, Staff used data from June 2016 to May 2019, to calculate the three-year average uncollectible ratio.[300] Staff recommends decreasing Rate Year Uncollectible expense by $1.801 million for KEDNY, and $0.442 million for KEDLI.[301]

It is more reasonable to include the available data from 2019 in the three-year average uncollectible rate because the Companies have recently taken actions to reduce Uncollectible expense and those actions should be reflected in the average used to forecast Rate Year Uncollectible expense.[302] For example, the Companies explain they have increased the use of targeted outbound calling campaigns that they expect to improve the effectiveness in encouraging customers to act regarding arrears, and have also implemented ongoing email campaigns for residential customers with an arrears balance of at least $50 pending for sixty days or more.[303] KEDNY began this campaign in July 2016, while KEDNY began this campaign in February 2017.[304] Thus, Staff's recommended growth rate includes data from more time periods impacted by the Companies' efforts. Moreover, the Companies indicate they have additional plans to attempt to reduce uncollectible expense in the Rate Year. Specifically, they will employ the utilization of a practical process improvement method that will examine critical procedures that affect uncollectible expense, and also will look to the critical area of protection and compliance where the Companies will endeavor to mitigate uncollectible expense.[305] As Staff uses an entire 36 months of data to develop its Uncollectible rate, just as the Companies do, that Staff's data does not comport to calendar years should not have any effect on its trustworthiness.

For the reasons stated above, the Commission should adopt Staff's recommendation for forecasting Rate Year Uncollectible expense.

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300 T. 2552.

301 T. 2551.

302 T. 2552.

303 T. 1105 – 1106.

304 T. 1105 – 1106.

305 Ex. 411, p. 497 (Response to IR DPS-888); T. 2554.

9. Site Investigation & Remediation

In February of 2011, the Commission commenced a proceeding to examine, on a generic basis, the treatment of costs for utilities' site investigation and remediation (SIR) of hazardous waste, primarily at former manufactured gas plant (MGP) sites previously owned and operated by the utility companies or their predecessor companies.[306] SIR projects, including investigation and remediation of former MGP sites, are primarily overseen by the New York State Department of Environmental Conservation (DEC). The United States Environmental Protection Agency (EPA) regulates the investigation and remediation of Federal Superfund sites. KEDNY's and KEDLI's SIR expenses generally consist of the costs of assessment, monitoring, cleanup and restoration of sites containing environmental contamination for which the companies have been found to be wholly or partially liable by the DEC or EPA. The Companies' seek recovery of these SIR expenses through rates.

KEDLI is wholly or partially responsible for 29 MGP sites, of which 13 have received a "No Further Action" determination with no ongoing obligation. KEDNY is wholly or partially responsible for 27 MGP sites, five of which have received a "No Further Action" determination, and two federal Superfund sites associated with the Gowanus Canal and Newtown Creek waterways.[307]

KEDNY's current annual base rate recovery for SIR costs is $65.288 million. This includes annual recovery of one-tenth of the forecast SIR deferral balance as of December 31, 2016, or $18.521 million, and $46.767 million for forecasted expenses at its MGP sites. Due to the uncertainty of KEDNY's liabilities for the Gowanus Canal and Newtown Creek Superfund sites at the time of the 2016 rate case, costs associated with those sites are not currently included in base rates.[308] Alternatively, the Commission Order adopting the terms of the Joint Proposal in Case 16-G-0058 and Case 16-G-0059, authorizes KEDNY to defer any costs related to those sites and implemented an SIR Recovery Surcharge.[309] This surcharge mechanism is triggered if

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306 Case 11-M-0034, Site Investigation and Remediation, Order Instituting Proceeding (issued February 18, 2011) (Instituting Order).

307 T. 3530.

308 T. 3489.

309 2016 Rate Order.

KEDNY incurred total SIR costs above the established threshold.[310] In the event the difference between actual SIR costs (inclusive of the Gowanus Canal and Newtown Creek), and the SIR base rate allowance exceeds $25 million on a cumulative basis, KEDNY is authorized to recover through the SIR Recovery surcharge (1) the difference between actual SIR expense and the SIR rate allowance (2) any amount that was not recovered in the prior year's SIR Recovery Surcharge because the cumulative difference between actual SIR costs, and the base rate allowance did not exceed the $25 million threshold and/or the amount would have increased KEDNY's aggregate revenue by more than two percent.[311] However, it should be noted that the surcharge mechanism has not been triggered. In fact, the opposite has occurred, as the Companies' have significantly under spent its rate allowance.

KEDNY's forecast of MGP costs for the Rate Year is $66.088 million. KEDNY also forecasted $20.0 million of costs for its Superfund sites (Gowanus Canal and Newtown Creek) based on Historic Test Year spending. The projected costs for the Rate Year are based on the anticipated scope of work at the site and the projected remedy for those sites still requiring remedial activities. KEDNY also proposes the continuation of the SIR Recovery Surcharge.

KEDLI's current annual base rate recovery for SIR costs is $18.816 million. This includes annual recovery of one-tenth of the forecast SIR deferral balance as of December 31, 2016, or $14.168 million, and $4.648 million for forecasted expenses at its MGP sites. KEDLI experienced a declining level of spending from 2016 to 2017, largely attributable to a reduction in remediation construction activity.[312] KEDLI's forecast of SIR costs for the Rate Year is $6.6 million

Staff disagrees with the Companies' Rate Year projection of SIR costs relating to its MGP sites. Historically, the Companies' projections have been significantly inaccurate. For Rate Year 1, or calendar year 2017, KEDNY had a rate allowance of $53.871 million, and incurred actual MGP costs of $23.383 million. For Rate Year 2, or calendar year 2018, KEDNY had a rate allowance of $45.643 million, and incurred actual MGP costs of $12.706 million. This results in a combined rate recovery for KEDNYs MGP sites of $99.514 million, and combined

[310] T. 3489.

[311] T. 3545.

[312] T. 3489.

actual spending of only $36.089 million, or a difference of $63.425 million, or an approximate variance of 65% from its projection.[313] For Rate Year 1, or calendar year 2017, KEDLI had a rate allowance of $13.402 million, and incurred actual MGP costs of $7.301 million, resulting in difference of $6.101 million. For Rate Year 2, or calendar year 2018, KEDLI had a rate allowance of $7.442 million, and incurred actual MGP costs of $8.259 million. This results in a combined rate recovery for KEDLI's MGP sites of $20.844 million, and combined actual spending of only $15.56 million, or a difference of $5.284 million, or an approximate variance of 25% from its projection.[314]

Staff lacks confidence that the forecasts can be relied upon given the large margin between the Companies' MGP rate allowance, and what the costs that were actually incurred during the previous rate period. Further, while Staff concludes that these costs anticipated by the Companies' are appropriate for the anticipated scopes of SIR work to be performed, Staff also notes that schedule slippages have historically occurred, resulting in spending delays, and should be considered when evaluating SIR cost projections on an annual basis.[315] Staff acknowledges that the Companies have attempted to consider potential delays and other inhibiting factors in their forecasts, but does not have confidence that the forecasts can be relied upon given the large margin between the Companies' MGP rate allowance, and actual costs incurred during the previous rate period.[316]

Alternatively, Staff recommends the use of a projected average for the Companies' MGP sites based on its projections for Fiscal Year(s) 2021 through 2024. This results in a downward adjustment to SIR expense in the amount of $15.168 million for KEDNY, and $1.734 million for KEDLI, for a Rate Year forecast for KEDNY in the amount $70.920, and a Rate Year forecast for KEDLI in the amount of $4.896 million. Staff's approach will more closely align rate recovery with project spending and reduce the year to year variability and stabilize rate impacts as SIR costs are expected to increase in coming years, given KEDNY's anticipated liabilities at two Superfund sites: Gowanus Canal and Newtown Creek. However, concerning the Gowanus Canal and Newtown Creek, Staff agrees with KEDNY's proposal to

313 T. 3547.

314 T. 3548.

315 T. 3533.

316 T. 2549.

utilize the amount of $20.0 million, incurred for the Gowanus Canal and Newtown Creek in the Historic Test Year spend, as the basis to forecast the Rate Year. Staff agree with the KEDNY's forecast because KEDNY is unable to reasonably forecast its future liabilities at these sites at this time. Further, Staff recognizes that KEDNY is currently incurring costs for activities at both sites that are generally consistent with the proposed amount of $20.0 million.[317] Staff's proposal utilizes the Companies' MGP forecasts for FY 2021 through FY 2024. Staff's adjustment reduces the Companies' SIR expense in the amount of $15.168 million for KEDNY, and $1.734 million for KEDLI. This results in a Rate Year forecast for KEDNY in the amount $70.920, and a Rate Year forecast for KEDLI in the amount of $4.896 million.

On rebuttal, the Companies emphasized that they considered the current status and potential delays while developing their projected MGP spending on a site-by-site basis. Further, KEDNY also asserted that it considered the last six years of historic spend in its forecast for the rate year. The Companies claim that key work activities driving the Companies' forecast of SIR expenditures during the Rate Year will occur, and that the Companies' proposed rate allowances should be used in favor of Staff's proposed alternatives.[318]

While the Companies assert that they have developed their forecasts based on site-specific conditions, they have not demonstrated that they have appropriately considered in their forecasts potential delays and constraints that have historically resulted in actual annual expenditures substantially less than annual forecasted expenditures. Alternatively, Staff's proposal sets an appropriate level of costs for the Rate Year, by utilizing a projected average. This methodology is reasonable, given the historical disparity between the Companies' MGP forecasts and actual MGP spending. Staff's adjustment does not reduce or otherwise alter the Companies' projected spending, but more closely aligns rate recovery with the anticipated site spending and scheduling. Consequently, Staff's approach will reduce the year to year variability, thus stabilizing rate impacts. Further, Staff's approach also reasonably considers the current statuses of the Companies' SIR sites and accounts for potential scheduling delays. Based on the Companies' financial books as of September 30, 2019, KEDNY and KEDLI's actual post-2016 SIR deferred regulatory balances contain credit amounts of approximately $29 million and $41

[317] T. 3550 – 3551.

[318] T. 3501.

million, respectively. These balances represent amounts available to be spent by the Companies for its SIR program costs, in addition to the level of the Rate Year rate allowances proposed by the SSIRP. For these reasons Staff's adjustments and the overall rate allowance for SIR expenditures for the Rate Year should be adopted.

10. Savings (Accelerate Program)

In Fiscal Year 2019, National Grid announced the Accelerate Program, which it describes as an ambitious, three-year efficiency challenge.[319] The Companies have developed and continue to develop many initiatives to reach their Accelerate Program targets. Each initiative is placed at an implementation level based on its stage of development, ranging from Level Zero to Level Five, where Level Zero initiatives are purely ideas and Level Five initiatives have been fully implemented and the savings have been realized.[320] The Companies reflected some of the outcomes of the Accelerate program in the Savings line item within O&M. In this line item, the Companies reflect savings from initiatives in Levels Four and Five, that have not been reflected elsewhere in the revenue requirements, net of costs to achieve.

Staff recommended three main adjustments. First, Staff recommends removing the costs to achieve, as these were one-time costs that occurred before the Rate Year and are unlikely to recur during the Rate Year. Second, Staff recommends reflecting the Companies' forecasted savings from Level Three initiatives in the revenue requirements for the Rate Year. Third, Staff recommends updating the savings to reflect the latest known information regarding the initiatives at Levels Four and Five. The Companies oppose Staff's first two recommendations, but agree with the third recommendation.

a. Costs to Achieve

In forecasting Savings for the Rate Year, the Companies propose to amortize the costs to achieve over four years. This translates into netting one quarter of the costs to achieve against the savings in the Rate Year.[321] The costs to achieve represent severance payments associated with the Companies' staffing level review in connection with the Accelerate

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[319] T. 1891, 2154.

[320] Ex. 504, p. 362 (Response to IR DPS-394, Attachment 25).

[321] Ex. 13, Schedule 34.

Program.[322] The severance payments related to this staffing review totaled $0.845 million for KEDNY and $0.527 million for KEDLI. Thus, the Companies propose netting $0.211 million for KEDNY and $0.132 million for KEDLI against Rate Year Savings, one-quarter of the total previous-period costs.[323]

These costs should not be recovered in the Rate Year. First, these severance payments are a one-time cost and will not recur during the Rate Year. The Companies have not presented evidence that they will incur such costs in the Rate Year. Second, the Companies have booked these costs to expense and have already flowed-through expense. Thus, they already had an earnings impact. Typically, utilities cannot collect such prior-period costs in rates during subsequent periods, here, the Rate Year.

Third, the Companies will realize savings resulting from these severance payment costs in the period before the Commission sets rates in these cases. The Companies' shareholders will get to retain those pre-Rate Year savings. Specifically, during the period between terminating the employees and April 1, 2020, when rates were scheduled to be reset in these proceedings, KEDNY and KEDLI calculated that the reduced operating costs resulting from these severance payment costs will amount to $2.032 million and $1.290 million, respectively.[324] Moreover, this estimate is conservative, considering no wage increases were considered when calculating this estimate.[325] The total savings the Companies will reap from terminating these employees is almost two and a half times the total severance costs the Companies state they have incurred to achieve the savings. As the Companies have already retained more savings than the costs they incurred, it would not only be unreasonable, it would be unconscionable to force customers to pay for these costs during the Rate Year.

In rebuttal testimony, the Companies primarily argue that it is unreasonable to disallow these costs without removing the savings.[326] In particular, the Companies allege that removing the costs and not the associated savings from the revenue requirement is inconsistent

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322 Ex. 504, pp. 613 – 616 (Response to IR DPS-754).

323 Ex. 13, Schedule 34.

324 Ex. 635, p. 542 (Response to IR DPS-1010).

325 Ex. 635, p. 543 (Response to IR DPS-1024).

326 T. 2024, 2274.

with positions taken by Staff in previous rate proceedings.[327] The Companies point to only one prior instance, in the testimony of the Staff Accounting Panel in Case 10-E-0050.[328] The Companies quote from page 284 of that panel's testimony, which states: "Similarly, if the rate year cost estimates are removed, the expected savings should not be reflected. It is not reasonable to exclude costs and include expected savings, or vice versa."

With regard to the specific quote relied on by the Companies, it does not apply to this situation. In Case 10-E-0050 the Staff Accounting Panel was talking about costs and savings that will occur during the same period, the rate year. In contrast, in the instant cases, the Companies are requesting recovery in the Rate Year of costs incurred during the Historic Test Year. The Companies seek to tie those costs to savings that will actually occur in the Rate Year, two different time periods. Thus, Staff's position in these cases is not inconsistent with the position Staff took in Case 10-E-0050. Indeed, it is the Companies that are trying to violate the principle they cite, by seeking recovery during the Rate Year of costs incurred before the Rate Year, while not providing customers with the benefit of the savings that materialized before the start of the Rate Year.

Staff recommends removing the costs to achieve that the Companies seek to net against the Rate Year savings resulting from the Accelerate Program. Staff's adjustment removes $0.211 million for KEDNY and $0.132 million for KEDLI from the Savings line item. Staff's adjustment reasonably removes these costs as they occurred in a prior period and will not recur during the Rate Year. Moreover, The Companies have already achieved, and retained savings in excess of these costs. Accordingly, the Commission should adopt Staff's recommendation.

b. Level Three Savings

In forecasting Savings for the Rate Year, the Companies included the savings for all initiatives then at Levels Four and Five.[329] The Companies did not include any savings in the Rate Year associated with initiatives then at Level Three. However, the Companies state that one of the reasons the Companies are including a productivity adjustment is to account for the

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[327] T. 2024, 2274.

[328] Ex. 635, p. 533 (Response to IR DPS-1008); Case 10-E-0050, Niagara Mohawk – Electric Rates.

[329] T. 1895, 2158.

possibility that initiatives then at Levels Zero through Three may move to Levels Four and/or Five in the Rate Year.[330]

In its initial testimony, Staff recommended including savings the Companies forecast achieving from initiatives at Level Three in the Rate Year forecast of Accelerate program savings.[331] Further, Staff recommended updating the forecast of savings from initiatives at Level Three to the latest known amounts throughout this case.[332]

When Staff filed its testimony, the total savings the Companies forecasted would result from initiatives at Level Three were $9.475 million for KEDNY and $3.220 million for KEDLI.[333] As of February 4, 2020 the Companies' latest known savings estimates for Level Three initiatives are $11.502 million for KEDNY and $4.065 million for KEDLI.[334] However, Staff does recommend certain adjustments to the figures from February 4, 2020, specifically we recommend removing the savings associated with initiatives #3705 and #24591, and including the savings associated with initiative #15403. First, in its rebuttal testimony, the Companies state that the savings associated with initiative #3705, regarding the optimization of the Hicksville work location, are already reflected in the revenue requirement.[335] Second, Staff recognizes that the savings associated with initiative #24591, regarding an accounting policy change, are reflected elsewhere in the revenue requirement.[336] With regard to initiative #15403, the Companies assert that this "initiative aspirational benefits are now forecast for FY22 [i.e., after the Rate Year.]"[337] However, Staff continues to recommend that this is no different than the other Level Three initiatives, the savings for which should be reflected in the Rate Year. The Companies provided no support demonstrating the savings for this initiative will not materialize until FY 22.

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330 T. 1897, 2161.

331 T. 2387.

332 T. 2393.

333 Ex. 504, p. 636 (Response to IR DPS-757 (August 2019) Att. 1).

334 Ex. 635, p. 531 (Response to IR DPS-757 (January 2020)).

335 T. 2020 – 2021, 2271.

336 Ex. 635, p. 529 (Response to IR DPS-757 (January 2020)).

337 Ex. 635, p. 529 (Response to IR DPS-757 (January 2020)).

After our adjustments, we recommend reflecting savings associated with Level Three initiatives of $10.802 million for KEDNY and $3.080 million for KEDLI in the Rate Year revenue requirements for five reasons.

First, the savings from Level Three initiatives are sound enough to include in the Companies' internal budgets.[338] The Companies themselves describe the savings forecast for initiatives at Level Three as "bankable" and "sound enough to 'take to the bank'" in budgets.[339] The Companies would not describe the forecasted savings from Level Three initiatives as such if they believed these savings were uncertain or precarious. The Companies have expressed confidence in these initiatives internally, and therefore the savings for these initiatives should be reflected in the Rate Year.

Second, throughout the Accelerate program to date, initiatives have moved quickly through the implementation levels.[340] On average it takes an initiative about two months to progress from Level Three to Level Five. Put another way, once the Companies develop an implementation plan for an initiative, it has only taken about two months to implement the initiative and realize the savings. Thus, it is reasonable to expect that initiatives currently at Level Three will progress to Level Four or Level Five, and the Companies will realize the forecasted savings, before the end of the Rate Year on March 31, 2021.

Third, the results of the Accelerate program to date demonstrate that the actual savings realized for initiatives that have reached Level Five do not materially deviate from the forecasted savings when the initiatives were at Level Three.[341] The Companies provided the Level Three total savings estimate for each initiative that had reached Level Five.[342] Comparing the estimates from when the initiatives were at Level Three to the actual total realized savings, the savings amounts are identical for each initiative.[343] This yet again demonstrates that the savings the Companies themselves forecast for initiatives at Level Three are relatively stable through implementation. Thus, there is little risk in relying on the Companies' Level Three

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338 T. 2388 – 2389.

339 Ex. 504, p. 362 (Response to IR DPS-394).

340 T. 2390.

341 T. 2391.

342 Ex. 504, p. 625 (Response to IR DPS-755).

343 Ex. 504, p. 376 (Response to IR DPS-396).

forecasts of savings, for either the Companies' internal budgeting or for forecasting the revenue requirements for the Rate Year.

Fourth, Staff's recommendation to reflect savings from only initiatives at Level Three is conservative. Staff does not propose reflecting any savings associated with initiatives presently at Level One ore Level Two, even though one could reasonably assume that at least some of those initiatives will be executed, and savings realized, before the end of the Rate Year.[344] As of July 2019, National Grid, including but not limited to KEDNY and KEDLI, estimated realizing total savings of approximately $175 million from initiatives then at Level One and Level Two.[345] While Staff recognizes that the estimates for initiatives at lower levels may be less "bankable," it would be unreasonable to assume that no savings will result from these initiatives during the Rate Year. Given the increased level of uncertainty, Staff does not recommend reflecting savings for initiatives at Levels One and Two in the Rate Year revenue requirements. However, National Grid continues to develop these initiatives provides yet more confidence that the Companies will realize Accelerate program savings at least at the level Staff recommends reflecting in the Rate Year revenue requirements.

Fifth, the Rate Year savings that the Companies forecast will result from Accelerate program initiatives presently at Level Three should be reflected in the Rate Year revenue requirements separately from the productivity adjustment. Perhaps unsurprisingly, the Companies assert that the savings from initiatives at Level Three should simply be assumed to be captured by the traditional 1% productivity adjustment discussed in Section V.A.7, above.[346] Because the savings that will result from Accelerate program initiatives at Level 3 are identified and quantifiable, those savings should be specifically reflected in the Rate Year revenue requirements, in addition to the traditional 1% productivity adjustment.

The Commission has made clear that the productivity adjustment "… is based on our policy that New York's utilities can reasonably be expected to achieve nonspecific, unquantified and unidentified productivity gains."[347] Indeed, the Commission has specifically

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344 T. 2392.

345 Ex. 504, p. 781 (Response to IR DPS-917).

346 T. 2021, 2271.

347 Case 16-G-0257, National Fuel Gas Distribution Corp. – Gas Rates, Order Establishing Rates for Gas Service (issued April 20, 2017) (2017 NFGD Rate Order), p. 34.

differentiated the productivity adjustment from adjustments, such as the one Staff proposes here, that seek to capture "specifically identified, and potentially quantifiable," savings.[348]

In opposition to Staff's recommendation, the Companies make a number of assertions. Most notably, they state that the pace of initiatives progressing from Level Three to Level Four has slowed. They assert that the initiatives currently at Level Three have been in there on average for 150 days.[349] While this is a matter of statistics, it does not provide a reason for rejecting Staff's recommendation. The initiatives currently at Level Three may have been delayed, however, the Companies have not seen fit to cancel them. Thus, the Companies must still judge these initiatives as "bankable." Moreover, even if it takes an additional 150 days from the date of this brief for these initiatives to move beyond Level Three, that is still well before the end of the Rate Year.

Additionally, Staff inquired as to why the initiatives currently in Level Three have remained in Level Three longer than previous initiatives, the recurring theme was due to resource limitations, competing priorities and increased workloads.[350] Reflecting the savings for these initiatives, which the Companies have stated are "bankable" in the Rate Year revenue requirements will incent the Companies to take action to ensure that these initiatives progress to Levels Four and Five, thus producing the forecasted savings.

Staff's adjustment to include the Companies' forecasted savings for Accelerate program initiatives currently at Level Three in the Rate Year revenue requirements should be adopted. The Companies have forecast these savings to result from these initiatives, and the Commission should hold the Companies to their forecasts. Furthermore, including the savings associated with IL3 initiatives will incent the Companies to dedicate appropriate time and resources to implement these initiatives. Additionally, at this time, Staff recommends not making further updates to the savings for initiatives at Level Three for the purpose of setting rates in these proceedings.

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348 2017 NFGD Rate Order, p. 35.

349 T. 2018 – 2019, 2268 – 2269.

350 Ex. 635, pp. 544 – 546 (Response to IR DPS-1026).

c. Level Four and Five Savings

The Companies summed the total estimated savings for each initiative at Level Four or Level Five at the time of the initial filing and removed the savings already embedded elsewhere in the revenue requirements The Companies stated that "if any initiative moves into [Levels Four or Five] after the initial filing, the Company will make an adjustment to reflect any benefits in corrections and updates"[351] Staff recommends that the savings associated with Level Four and Level Five initiatives should be updated to the latest known amounts throughout this case. The latest known Level Four and Level Five Savings at the time Staff filed its testimony was $11.461[352] million for KEDNY and $6.384[353] million for KEDLI.[354] As of February 4, 2020, the latest known Level Four and Level Five Savings did not change from the levels Staff identified in its initial testimony.[355] The Companies agree with Staff's computation of savings resulting from Accelerate program initiatives at Levels Four and Five.[356] At this time, Staff does not recommend updating the savings from initiatives already at Level Four and Level Five again in these rate proceedings.

11. Paving

Paving expense is the expense the Companies incur to restore pavement in areas where they do construction work in public ways. The New York City Department of Transportation recently instituted Highway Rules §§2-01 through 2-09, 2-11 through 2-14, and 2-20. The Companies had to comply with these new rules for the first full year during the Historic Test Year. The rules greatly impacted KEDNY's Historic Test Year paving expense, as

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351 T. 1896, 2159.

352 This includes the total savings for initiatives at Level Four and Level Five identified in IR DPS-396 (August 2019 Supplemental) of $11.461 million, plus $0.119 million in savings from two initiatives (#17533 and #24611) that were inadvertently excluded from the revenue requirement, as identified in IR DPS-940.

353 This includes the total savings for initiatives at Level Four and Level Five identified in DPS-396 (August 2019 Supplemental) of $6.384 million, plus $0.073 million in savings from two initiatives (#17533 and #24611) that were inadvertently excluded from the revenue requirement, as identified in response to IR DPS-940.

354 Ex. 504, p. 378 (Response to IR DPS-396 Aug. Supplement); Ex. 504, pp. 827 – 828 (Response to IR DPS-940).

355 Ex. 635, p. 507 (Response to IR DPS-396 January 2020 Update).

356 T. 2024, 2274.

its service territory is entirely within New York City. However, since only a small portion of KEDLI's service territory is in New York City, these rules did not materially affect KEDLI's paving expense.

To forecast the Rate Year Paving expense, KEDNY and KEDLI began with the Historic Test Year expense, $34.970 million for KEDNY and $3.601 million for KEDLI. They then made normalizing adjustments for Capitalization Policy Changes, and Leak Repair Cost Incentives. Lastly, the Companies applied inflation to arrive at a total Rate Year Paving expense forecasts of $31.642 million for KEDNY and $3.201 million for KEDLI.[357]

Staff recommends a downward adjustment of $1.177 million to KEDNY's Paving Expense, related to the portion of LL30 costs get charged to Paving expense. Since KEDNY updated its LL30 forecast, projecting that less LL30 work will be performed in the Rate Year, that change needs to be reflected in Paving expense. As explained in response to IR DPS-869,[358] the amount related to Paving equals $1.177 million. Therefore, Staff recommend decreasing the Rate Year forecast of Paving expense by $1.177 million, or a Rate Year forecast for Paving expense of $30.465 million.[359] KEDNY agreed to this adjustment[360]

In addition, Staff recommends instituting a downward-only reconciliation mechanism for KEDNY's Paving Expense. A downward-only reconciliation for this expense is reasonable, because it is difficult to ascertain the accuracy of KEDNY's Rate Year request. KEDNY requested Rate Year Paving expense of $30.465 million, or an increase of $19.845 million from the Paving expense allowance for calendar year 2019 under the 2016 Rate Order. According to the response to IR DPS-244,[361] the primary driver of the increase is due to the change in the City of New York's paving regulations. KEDNY fully implemented changes reflecting these revised paving requirements by April 1, 2017, which has imposed significant requirements on KEDNY.[362] Calendar year 2018, i.e., the Historic Test Year was the first full year under the new paving rules. Thus, there is no prior year data to compare to the Historic Test

357 T. 2394.

358 Ex. 504, p. 668.

359 T. 2395.

360 T. 2025.

361 Ex. 504, p. 306.

362 T. 2396.

Year to judge whether the amount incurred in that year would be representative of the amounts that will be incurred in future years. Thus, Staff's proposed downward-only reconciliation mechanism protects customers in the event KEDNY under-spends its rate allowance, as the difference would be deferred for the benefit of customers. Further, the downward-only true-up mechanism also incents KEDNY to manage its paving costs efficiently to avoid exceeding the amount recovered through rates.

On rebuttal, KEDNY argued that there is no basis for a downward-only deferral of Paving expense. KEDNY explains that Staff has remarked several times throughout its filing in opposing the few symmetrical true-ups proposed. Further, KEDNY explains that deferrals are generally not required in a one-year rate case.[363] KEDNY continues, and states that as part of a multi-year rate plan, KEDNY would be willing to support a full symmetrical reconciliation of Paving expense, but is opposed to a downward-only reconciliation.[364]

KEDNY's arguments should be rejected. As explained above, there is uncertainty regarding the amount of Paving expense KEDNY will incur during the Rate Year; however this uncertainty is asymmetrical. The Historic Test Year was the first full year under the new paving rules. Therefore, as time continues, Staff would expect KEDNY to become more familiar with the new paving rules and develop a more efficient process. In doing so, this would result in lower costs, and customers should be credited for any savings KEDNY may realize. Indeed, implementing a downward-only reconciliation provides a reasonable incentive for KEDNY to more efficiently manage these costs, so as to avoid incurring greater costs than those recovered through rates.

Second, KEDNY never proposed a symmetrical reconciliation in its initial filing. This is significant, as the Companies have not been shy about seeking symmetrical reconciliations for other expenses. For example, the Companies propose to continue the current property tax reconciliation, but modify it to a full symmetrical reconciliation, as discussed in Section V.D.1, below.[365] If KEDNY expected a significant increase in the Rate Year, then one would reasonably have expected KEDNY to propose a reconciliation to protect its own interests.

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[363] T. 2025.

[364] T. 2026.

[365] T. 1929, 2191.

In this situation, KEDNY's experience during the Historic Test Year only source form which to forecast Rate Year Paving expense. Given the nature of this cost element, and the material increase recently experienced, Staff's proposal of a downward-only reconciliation provides a reasonable protection for customers and should be adopted.

B. Amortization of Regulatory Deferrals

For the Rate Year, both KEDNY and KEDLI limit the amortization of regulatory deferrals to continuing the amortization of SIR costs authorized in the 2016 Rate Order. The annual amounts amortized for KEDNY and KEDLI are $18.521 million and $14.168 million, respectively.[366] Staff agreed that the annual amounts currently being amortized for SIR should continue.

Staff also recommend amortizing regulatory deferral balance amounts for gas safety negative revenue adjustments, unexpended energy efficiency fund amounts, and unexpended economic development amounts. The proposed amortization of the negative revenue adjustments, and unexpended energy efficiency fund amounts, either completely, or partially, offset the associated program costs.[367]

For the gas safety negative revenue adjustment deferred balances, Staff reflected the amortization of $5.852 million and $1.231 million for KEDNY and KEDLI, respectively. The unexpended energy efficiency fund amounts represent a five-year amortization of the estimated deferral amounts as of April 1, 2020. Therefore, the annual amounts amortized are $7.295 million and $2.050 million for KEDNY and KEDLI, respectively.[368] In addition, Staff recommends amortizing economic development amounts of $0.500 million for each of KEDNY and KEDLI to offset the incremental amounts of the grant program costs reflected in operation and maintenance expenses.[369] Further, Staff recommended that the Commission require the Companies to track and reconcile the amounts being amortized to ensure that the use of the amounts is in compliance with what the Commission authorizes in those specific areas.

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366 T. 2398.

367 T. 2399.

368 T. 2399.

369 T. 2400.

On rebuttal, the Companies states that it is not against using a portion of regulatory liabilities to offset gas safety, energy efficiency, and economic development programs costs. However, the Companies express concern about how much of the balances should be used during the Rate Year. The Companies explain that they have significant regulatory asset balances on their books that do not propose recovering from customers during the Rate Year.[370] Therefore, the Companies' believes a balance must be struck between the appropriate level of regulatory liabilities to use now versus the level to retain for future rate mitigation efforts.

Staff is aware of the regulatory assets on the Companies' books, however, the regulatory liabilities Staff proposes to amortize offset specific related costs during the Rate Year. Therefore, it is appropriate to amortize these regulatory liabilities during the Rate Year as Staff recommends.

1. Economic Development Funds

With regard to economic development, the Companies' proposed to set their respective Rate Year rate allowances to $0.500 million, which was specifically premised on the use of funds from the existing economic development carryover balances to make up the difference between the rate allowance and program spending. Staff agrees with KEDNY and KEDLI's proposal of using economic development carryover balances to partially fund the Rate Year projected economic development program spending of $2.250 million, and $2.750 million. However, Staff properly identifies in its revenue requirements the total projected economic development program spending for KEDNY and KEDLI of $2.250 million $2.750 million for the Rate Year by reflecting these amounts as a line item in the operations and maintenance departmental expense schedule. In addition, to properly reflect the partial use of KEDNY and KEDLI's current economic development deferred credit balance to partially fund the Rate Year projected economic development program costs, an amortization amount for KEDNY and KEDLI in the amounts of $1.75 million and $2.25 million is reflected within the amortization of regulatory deferrals line item on the income statement, which results in a net rate allowance of $0.5 million.

[370] T. 2030, 2279.

2. Gas Safety Negative Revenue Adjustments

With regard to gas safety, the Companies supported using incurred NRAs to fund the residential methane detector, incremental instrument and regulation control line survey, and GPS mapping programs.[371] NYC was opposed to this concept and stated that the "use of NRAs should not be conditioned upon, or tied to, specific capital programs."[372] NYC further stated that the Companies "should immediately return the full balance of historic NRAs, with interest, to customers" and the these "amounts should be applied as a credit against the overall revenue requirement so that they are not dependent on use for any specific capital program."[373] Staff supports using the incurred NRA balances to offset pipeline-safety related programs, such as residential methane detectors, low-pressure main valve installations, and the mapping of instrument and regulation control lines. Staff also recommended that KEDNY be required to file a plan for the use of any excess negative revenue adjustment funds.[374] In their rebuttal, the Companies maintained that for a one-year case, the residential methane detector, incremental instrument and regulation control line survey, and GPS mapping programs should remain in rates.[375] The Companies refuted NYC's position in that the practice of deferring gas safety related NRAs for future gas safety related programs is consistent with the practice for other LDCs and should be continued.[376] By allowing the use unspent gas safety related NRAs on future gas safety related programs, the Companies would be provided with the opportunity to enhance the benefits provided to customers without increasing customer bill impacts. Therefore, the practice of using unspent gas safety related NRAs on future gas safety related programs should be allowed, and the costs associated with the residential methane detector, incremental instrument and regulation control line survey, and GPS mapping programs should be offset with the incurred NRAs.

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371 T. 3717.

372 T. 5486.

373 T. 5486 – 5487.

374 T. 4088 – 4089.

375 T. 3720.

376 T. 3721.

3. Unspent Energy Efficiency Funds

Staff recommends using a portion of unspent Energy Efficiency Portfolio Standards (EEPS) funds, accrued EEPS interest, unspent Energy Efficiency Transition Plans (ETIP) funds, accrued ETIP interest, and New York State Energy Research and Development Authority (NYSERDA) Clean Energy Fund (CEF) Bill-As You To (BAYG) collections to offset the energy efficiency budgets in base rates.[377]

Staff's recommendation is based on an estimate of the forecast of unspent funds as of April 1, 2020 and is calculated as of its direct filing, as shown in Ex. 423. KEDNY will have approximately $36.474 million and KEDLI will have approximately $10.252million in deferred amounts available in total from the categories identified above as of the beginning of the Rate Year.[378] Specifically, Staff recommends amortizing these projected unspent fund amounts over a five-year period.[379] Under Staff's proposal, as shown in Ex. 423, KEDNY and KEDLI would amortize $7.295 million and $2.050 million, respectively, to offset the Rate Year energy efficiency budgets.

The Companies oppose Staff's recommendation, though they do recommend using unspent/uncommitted EEPS funds to offset the incremental energy efficiency budgets in 2019 and 2020.[380] The Companies do not address the use of unspent ETIP funds, accrued ETIP interest, and CEF BAYG collections outside of their general opposition to Staff's recommendation.

In supplemental testimony, Staff indicates the January 2020 Energy Efficiency Order provides KEDLI with an additional $6.73 million and KEDNY with an additional $10 million in unspent NYSERDA EEPS gas funds,[381] but that this does not change Staff's recommendations regarding the use or amount of unspent funds in the Rate Year. Rather, Staff

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377 T. 673 – 674.

378 Ex. 423, p. 1.

379 T. 675.

380 T. 162 – 163.

381 The Identified additional unspent NYSERDA gas fund amounts are shown in Appendix D to the 2020 Energy Efficiency Order.

recommends the identified additional funds be used to offset energy efficiency program costs in future years rather than in the Rate Year.[382]

In the 2020 Energy Efficiency Order, the Commission recently stated that it expects all available uncommitted and unspent utility energy efficiency funds to be used to mitigate the impacts of the energy efficiency portfolio budgets authorized within that Order.[383] Staff's recommendation effectuates this expectation. It reasonably mitigates the impact of the energy efficiency spending on customers' rates. Accordingly, the Commission should adopt Staff's recommendation.

C. Depreciation

The Companies propose to accelerate the depreciation of their LPP assets to align with their program to complete the removal of LPP assets over the next 20 years.[384] To accomplish this, the Companies proposed new depreciation accrual rates and net salvage rates in order to recover all costs related to the removal of LPP within a 20-year period.[385] The proposed net salvage rates reflect the costs to retire LPP assets over the three years of the LPP removal program from 2016-2018.[386] The Companies proposed an increase in depreciation expense of $27.5 million for KEDNY and $24.5 million for KEDLI.[387] KEDNY had a Historic Test Year depreciation expense of $100.8 million, and KEDLI had a Historic Test Year depreciation expense of $71.5 million.[388] The Companies' proposal would represent approximately a 30% increase over the Historic Test Year depreciation expense.

Staff recommends moving to a 30-year amortization period in these proceedings.[389] While Staff agrees with the need to increase depreciation rates, Staff is concerned with potential impacts on customers' bills if depreciation was shortened to the

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382 In addition, Staff recommends the unspent funds balances should be updated before the Commission issues its final rate order in these proceedings. T. 728 – 731.

383 2020 Energy Efficiency Order, p. 66.

384 T. 1710, 1721.

385 T. 1713, 1724.

386 T. 1714, 1724.

387 T. 1715, 1726.

388 Ex. 6; Ex. 19.

389 T. 2939.

Companies' suggested 20 years. Extending the amortization period to 30-years will mitigate the customer bill impacts where future customers can share some of the cost responsibility as they also benefit from the increased safety and reliability that comes from the replacement of LPP.[390]

The Companies disagree with Staff's concern over the bill impact of the Companies' proposed acceleration of depreciation rates and suggested that the Commission can revisit the LPP depreciation rates in future rate cases if the Commission determines the bill impacts to be unreasonable.[391] Additionally, the Companies' disagreed with the 30-year amortization because they claim that a significant amount of a gas distribution system is replaced due to safety and reliability concerns, and they want to minimize cost shifting from current customers to future customers.[392]

In addition to adjusting the amortization period, Staff recommends using a net salvage rate reflecting data from four years of the LPP removal program, i.e., from 2015-2018. This will capture all activity relating to the acceleration of the LPP removal program as well as reduce the impact of 2018 salvage costs, which may be an outlier.[393]

The Companies' disagreed with using Staff's proposed four-years' data to determine net salvage rates. The Companies assert that the cost of removal will likely increase over time.[394] The Companies also disagree with including the 2015 data to develop the net salvage rates because it was the first year of the accelerated LPP replacement program, and thus is less likely to be reflective of ongoing costs.[395]

NYC recommends rejecting the Companies' proposal in its entirety.[396] NYC recommends that the actual costs of removal be classified as regulatory assets and amortized using current depreciation rates.[397] No other intervenor had a position on the proposal to increase LPP depreciation rates to reflect the acceleration of LPP replacement. However, Mr.

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390 T. 2940.

391 T. 1733.

392 T. 1733.

393 T. 2941.

394 T. 1735.

395 T. 1735.

396 T. 5398.

397 T. 5402.

Wyman proposed that depreciation rates in general be accelerated to reduce the possibility of stranded assets.[398]

The Commission should adopt Staff's recommendations for a 30-year amortization period and net salvage rates based on the use of a four-year band. These recommendations address the Companies' need to recover costs associated with LPP replacement in a more timely manner by taking a gradual first step toward faster depreciation of the assets. This mitigates the impact on cusotmers during the Rate Year. Staff's recommendations reduce the Companies' proposal by $13.7 million for KEDNY and $10.6 million for KEDLI respectively. KEDNY.[399]

D. Taxes other than Income Taxes

1. Property Taxes

The Companies developed their forecast of Rate Year Property Tax expense by applying a two-year growth rate to the Historic Test Year Property Tax expense. The Companies used Fiscal Year Property Tax amounts to develop their two-year growth rate.[400] Ultimately, the Companies propose Rate Year Property Tax expense forecast of $168.094 million for KEDNY an $181.881 million for KEDLI.[401] Additionally, the Companies proposed a fully symmetrical reconciliation mechanism for Property Tax.[402]

Staff proposed a three-year growth rate based on calendar year Property Tax amounts. Based on that premise, Staff's testimony reduced KEDNY's revenue requirement request by $1.274 million, and KEDLI's by $2.326 million.[403] Staff now agrees with using fiscal year amounts to develop the growth rate. Relying on fiscal years provides the most recent data for forecasting Property Tax expense. Staff maintains its recommendation to use a three-year growth rate. Three years is an appropriate and reasonable measurement of time to establish enough data points to gather a trend line as it relates to Property Tax expense. This provides

398 T. 5719.

399 T. 2942, 2993.

400 T. 1091.

401 T. 1089.

402 T. 1103.

403 T. 2581 – 2582.

Staff with greater confidence in the resulting Rate Year Property Tax forecast. With this concession, Staff recommends that the Commission adjust the Companies Rate Year Property Tax expense by reducing KEDNY's revenue requirement by $1.270 million, and KEDLI's by $1.247 million.

Additionally, while the Companies request full symmetrical reconciliations for Property Tax expense, Staff recommends not providing any reconciliation when setting rates for a single Rate Year. Staff "anticipate[s] both KEDNY and KEDLI will update property taxes if the changes are material for latest known bills through the Brief on Exception phase of this proceeding, which is close to the beginning."[404] This is allowable pursuant to the Commission's Statement of Policy on Test Periods in Major Rate Proceedings. Thus, this decreases the risk that actual Rate Year Property Tax expense will diverge materially from the forecast ultimately adopted in these cases.

2. Payroll Taxes

Staff and the Companies agree that, as Payroll Taxes is a flow-through item, the amount incorporated in rates will change based on the Labor expense forecast adopted by the Commission. There is no dispute regarding the calculation of this expense item.[405]

3. Other Taxes

Other Taxes includes the Highways Use Tax, Hazardous Waste Tax, Sales & Use Tax, and Capital Tax. The Companies removed the accrual related to Capital Tax year from the Historic Test Year amount. The Companies then applied the inflation rate to the Adjusted Historic Test Year amount and add the forecasted New York State Capital Tax in the Rate Year.

For KEDNY only, Staff proposed removing $0.160 million of reserve accrual charges, which were partially related to a time period outside the Historic Test Year.[406] This reflects removing the $0.153 million from the Historic Test Year, as well as removing the

[404] T. 2584.

[405] T. 2027, 2276.

[406] T. 2571 - 2572.

inflation, in the amount of $0.007 million, that KEDNY had applied to the Historic Test Year amount."[407]

KEDNY agrees in principle with this adjustment. However, KEDNY states that Staff's proposed adjustment reflects only eight months of costs in the Historic Test Year, i.e., January through August 2018. The total amount incurred in the Historic Test Year was $0.068 million, as shown in Ex. 349. Therefore, Staff reduced its initial adjustment from $0.177 million to $0.153 million and added back $0.024 million to the Historic Test Year based on the Company's rebuttal testimony.

Staff agrees that, with KEDNY's modification, this properly removes out of period charges from KEDNY's Other Taxes. Accordingly, the Commission should adopt this adjustment.

E. Amortization of Excess Accumulated Deferred Federal Income Taxes

In December 2017, the 2017 Tax Cuts and Jobs Act was enacted which reduced the federal income tax rate from 35% to 21%. At that time, the Companies recorded the rate change reduction to the accumulated deferred income tax (ADIT) with an offset to an income tax regulatory liability account. This represents the customer benefit of the lowering of the federal income tax rate. The Companies split the excess ADIT between protected plant, unprotected plant, net operating loss, and unprotected non-plant balances.[408]

The IRS normalization regulation require the Average Rate Assumption Method (ARAM) as the proper method to calculate the amortization of the protected plant excess ADIT. The Companies have calculated ARAM lives for KEDLI and KEDNY of 47 years and 44 years, respectively. The Companies propose amortizing the excess ADIT for protected plant, unprotected plant, net operating loss, and unprotected non-plant balances over the respective ARAM lives of 47 years for KEDLI and 44 years for KEDNY.[409] The Companies state that they believe the amortization should match the service life of KEDLI and KEDNY assets due to cash flow concerns and increased downward pressure on their credit ratings. Furthermore, the Companies expressed concern that a future federal income tax rate increase could require the

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[407] T. 2572.

[408] T. 1907, 2170.

[409] T. 2030, 2278.

restoration of the accumulated deferred taxes from 21% to a higher tax rate. In such a hypothetical, the effect would have to be collected from customers at that time.[410]

In contrast, PULP proposed amortizing the entire unprotected excess ADIT in the Rate Year to offset the rate increase. PULP further stated that many of the customers will likely not be alive for another 44-47 years to realize the benefit of the unprotected excess ADIT.[411]

Mr. Wyman also offers a competing proposal to use the unprotected excess ADIT. Mr. Wyman expressed concern with the potential accumulation of stranded gas assets due to customers terminating gas service between now and 2050. Following from this, Mr. Wyman proposed that the excess unprotected ADIT be used to reduce depreciation deficiencies which exist now and which, he asserts, will grow in the future.[412]

Staff acknowledges that the Companies are required, under IRS normalization regulations, to return the protected excess ADIT utilizing the ARAM, which is 44 and 47 years respectively for KEDNY and KEDLI. The IRS normalization regulations, however, do not apply to the amortization period of the unprotected plant and non-plant excess ADIT. Staff recommends amortizing the unprotected plant and non-plant excess ADIT over 10 years as allowed under the IRS normalization rules.[413]

Staff's recommendation will increase the KEDNY unprotected excess ADIT amortization from $3.8 million to $16.5 million, an increase of $12.7 million. The KEDNY other non-plant excess ADIT amortization of negative $0.6 million will decrease further to a negative $2.4 million, a change of $1.8 million. The net effect increases the amortization by $10.9 million, thus decreasing the Rate Year revenue requirement by that amount.[414]

Staff's recommendation will increase the KEDLI unprotected excess ADIT amortization from $2.3 million to $10.7 million, an increase of $8.4 million. The KEDLI other non-plant excess ADIT amortization of negative $2.0 million will decrease further to a negative

410 Ex. 411, p. 424 (Response to IR DPS-823).

411 T. 1651.

412 T. 5720.

413 T. 2591.

414 T. 2592.

$5.0 million, a change of $3.0 million. The net effect is to increase the amortization by $5.4 million, thus decreasing the Rate Year revenue requirement by that amount.[415]

The return of the net excess ADIT over a 10-year period will more rapidly reduce the revenue requirement and return the benefits to customers, as compared to the Companies' proposal. Staff's recommended 10-year amortization charts a middle ground between the overly slow return of the unprotected excess ADIT the Companies desire, and the too fast return of it that PULP proposes. While adopting PULP's proposal to return the entire unprotected excess ADIT in the Rate Year would significantly decrease the Companies' revenue requirements, it would result in significant rate shock when rates must increase in the following period to account for the exhaustion of these credits.

The Companies' desire to slowly return the excess unprotected ADIT because of possible future federal tax law changes should be rejected. The Companies allusion to future Congressional action is speculative and merely hypothetical. It is not reasonable to address this issue with an eye toward potential future tax law changes that may or may not occur. The impact of cash flows and credit metrics will be addressed by the finance panel. Mr. Wyman's proposal to use excess ADIT balances to offset depreciation deficits is similarly speculative. It makes assumptions about how the Commission may address the future of gas utilities, when those assumptions are not based on clear facts at this time. These rate cases are not the place or time for implementing Mr. Wyman's dramatic proposals without consideration of the future of gas utilities on a state-wide basis. Furthermore, as Mr. Wyman does not identify which types of excess ADIT amounts he proposes to make use of, his proposal may result in an IRS normalization violation.

The Staff Accounting Panel's recommendation of a 10-year amortization period for the return of the excess ADIT, along with other qualitative and quantitative factors were considered in Staff's credit metric and cash flow analysis for the Companies, as discussed below in Section VII.D, below.[416] Based on the foregoing, the Commission should adopt Staff's recommendations. Thus, the Commission should adopt a 10-year amortization period for the Companies' unprotected excess ADIT.

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[415] T. 2593.

[416] T. 2591; Ex. 433.

VI. RATE BASE ISSUES

A. Capital Projects and Expenditures

1. Customer Connections

The Companies' Customer Connections budget is comprised of the installation of Main, Services, Meter/Regulators, customer contributions program, meter purchase program, AMR, gas system reinforcement, and other specific projects associated with customer connections. The total customer connections forecasts shown in the Companies second supplemental filing for RY are approximately $80.612 million and $93.081 million for KEDNY and KEDLI, respectively. Staff recommends a downward adjustment of $545 thousand and $9 million for KEDNY and KEDLI's customer connections budget in Rate Year, respectively.[417]

Staff and the Companies forecasted the budget for each line item contained in the Customer Connections budget category excluding Customer Contribution & Reinforcement, by taking the product a particular unit cost multiplied by the number of forecast units.[418] The Companies' Customer Connections budget has varied significantly between their initial filing, and with each of their subsequent filings. The Companies' connections budgets have ranged between approximately $34.5 million and $80.6 million for KEDNY, and between $29.0 million and $113.8 million for KEDLI. In its second supplemental testimony, the Companies updated the capital forecast for customer connections for the Install Main, Install Service, Meter Purchase, Install Meter/Regulator, and AMR budget line items to reflect new customers additions, agreed to in the November 2019 Order in Case 19-G-0678 and to remove costs associated with the Clean Choice program for KEDLI.[419]

In general, the Companies' total unit costs is based on a two-year average unit cost using FY 2017 and FY 2018 escalated by 2.5 percent per year. An exception are contractor costs which a subcomponent of the unit cost which is escalated by 3.0 percent.[420] To forecast the number of units, the Companies use a different methodology based on various factors that impact on the number of new customer connections. The Companies consider 1) anticipated changes in

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417 Ex. 526.

418 T. 4644.

419 T. 4566.

420 T. 4645.

various market segments; 2) project inventories; 3) any rate or regulatory changes 4) system constraints; and 5) other external factors such as fuel pricing or other exigent economic conditions.[421]

Staff recommend using a three-year average, FY 2017 through FY 2019, to project unit costs for the Customer Connection budget line items, excluding the Install Comm, Tariff Main, Meter Purchase items. Staff uses a three-year average because it accurately reflects the costs incurred over that time which also includes the impact of the City of New York's paving requirements. For Install Comm, Tariff Main, and Meter Purchase, we recommend normalizing the unit cost by excluding the unit cost between 2017-2019 where we identified large fluctuations in the Companies' unit costs, as described below.

For KEDNY's Install Main Commercial (Comm) program, we found the unit costs of 2017 and 2019 were attributable to the installation of a larger than average size main installed in those years, as well as the cost to meet s new paving requirements. Thus, we reduced the unit cost of KEDNY's Install Main Comm from $589 to $526 by normalizing the average cost excluding 2017 and instead using costs from 2016.

For KEDNY's Tariff Main program, we found that cost of arborists services led to a large variance in the unit cost.[422] Staff recommends using a three-year average of FYs 2015, 2016, and 2019 to normalize the unit cost, excluding the highest unit cost, $1,175 in 2017 and the lowest unit cost, $266 in 2018 for arborists services.

For KEDNY's Meter purchases, Staff recommends using a three-year average excluding 2019 data and instead including 2016 data. This is appropriate because the unit cost, $390 in 2019, was double the historical average, or $180 for FY 2016 to FY 2018. The increased cost is attributable to the higher cost of large commercial and industrial meters purchased and a decrease in the total number of residential meters purchased.[423]

For KEDLI's Tariff Main program, we found that the unit cost in 2019 was $369 as compared to $165 in 2017, and $246 in 2018. KEDLI claims that the unit cost in 2019 was driven by the increased disposal cost associated with the City of New York's Department of

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421 Ex. 463, p. 455 (Response to IR DPS-347).

422 T. 4718.

423 Ex. 596, p. 100 (Response to IR DPS-1059).

Environmental Protection. The Companies' did not show that this cost will continue in Rate Year, we normalized the unit cost of KEDLI's Tariff Main based on a three-year average, by excluding 2019 and including 2016. While Staff's recommended unit cost of $249 is higher than KEDLI's proposed unit cost of $223 for Tariff Main, we believe Staff's proposal is more accurate and sets a more appropriate budget for KEDLI's Tariff Main program.

For KEDNY's unit forecast, Staff found that KEDNY's proposed 15,000 units in RY is approximately two times higher than the three-year historic average of FYs 2016 to 2018 and approximately three times higher than a five-year average for FYs 2014 to2018.[424] Therefore, we recommend reducing KEDNY's proposed units for Tariff Main from 15,000 to 6,500.[425] Similarly, Staff recommends reducing KEDLI's proposed units for Install Main Comm from 33,000 to 24,000 and for Tariff Main from 36,500 to 15,000 based on a three-year historic average, FY 2017 to FY 2019.[426]

While Staff generally agrees with the Companies' methodology for deriving the forecasted number of units for Customer Connections, we considered the historical trends of units installed to assess the reasonableness of the Companies' proposed units. We largely agreed with the Companies proposed number units for most items under the customer connections category except KEDNY's Tariff Main, and KEDLI's Install Main Comm and Tariff Main.

As described above, concerning the Companies' Install Main Comm, Tariff Main, and Meter Purchase unit costs, our recommendations result in a downward adjustment of $3.66 million and $125 thousand for KEDNY's Install Main and Meter Purchase in the RY respectively, and a decrease of $4.50 million for KEDLI's Install Main in RY. Staff also recommends an upward adjustment of $413,656 and $850,153 for KEDLI's Meter Purchase and Install Meter Regulator, respectively, to reflect the number of units for Meter Purchase and Install Meter/Regulator were decreased due to removing the Clean Choice Program.[427]

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424 Ex. 463, p.550 (Response to IR DPS-710); Ex. 463, p. 721 (Response to IR DPS-947).

425 T. 4717.

426 T. 4718 – 4719.

427 T. 4720.

2. System Reinforcement

The Companies project a level of system reinforcement need to address gas pressure issues and to support increasing customer load associated with new connections.[428] KEDNY proposed a budget of $13.641 million and KEDLI proposed a budget of $21.439 million.

Staff agreed with the Companies proposed budget levels for the blanket programs in the System Reinforcement category, however, we disagree with KEDLI's updated budget for Phase 1 of the Southeast Suffolk Infrastructure project, where KEDLI's proposes to shift $5 million in funding from FY 2022 to FY 2021.[429] Yet, KEDLI does not propose to accelerate the in-service date of the project ahead of FY 2022.[430]

Staff recommends maintaining KEDLI's original capital investment plan as stated in its Direct Testimony.[431] While the project will address system needs in the eastern region of KEDLI's service territory over the next five years, Staff cannot recommend accelerated funding for this project absent a corresponding acceleration of the in-service date. Customers should be insulated from baseless expenditures which do not provide any reinforcement benefits. Staff urges the Commission to reject KEDLI's proposal to shift $5 million from FY 2022 to FY 2021 for Phase 1 of the Southeast Suffolk Infrastructure project.

3. City State Construction (CSC)

a. KEDNY

KEDNY proposes a City State Construction (CSC) budget which represents 20 percent of the City of New York's Department of Design and Construction's budget. KEDNY then escalates this figure by including expected incremental paving and restoration costs and allocates the budget between the Non-Reimbursable and Reimbursable budgets based on CNY's reimbursement projections.[432]

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428 T. 4651.

429 T. 4721.

430 T. 4568.

431 T. 4422.

432 T. 4658; Ex. 463, p.457 (Response to IR DPS-352).

Staff proposes a reduction in KEDNY's CSC budget of $24.8million.[433] The basis of Staff's adjustment is a disagreement with the addition of expected incremental paving and restoration costs to the proposed budget.[434] The City of New York's new "Paving Requirements" were fully implemented on April 1, 2017, therefore the costs experienced by KEDNY in Fiscal Year (FY) 2018 are indicative of the actual level of spending including the effects of the new requirements.[435] KEDNY's actual CSC expenditures in FY 2018, which included additional paving and restoration costs, were only 17 percent of CNY's construction budget.[436]

We, therefore, propose a total CSC budget of $255 million, which is 20 percent of NYC's Rate Year construction budget of $1.275 billion. Additional incremental funding on top of the total budget is unnecessary. Furthermore, KEDNY currently utilizes a reconciliation mechanism which protects KEDNY from excessive expenditures above and beyond its forecasted budget.[437]

KEDNY disagrees with Staff's adjustment arguing that its budget forecast for the CSC program appropriately estimates the Company's needs in the Rate Year.[438] The Company also argues that it has overspent its budget for CSC every year in recent years, FY 2016 through FY 2019, by an average of approximately $20 million.

Staff has not ignored the Company's overspend of its CSC budget. In developing its recommended rate allowance, Staff considered the actual expenditures in those years. KEDNY spent 11 percent, 14 percent, and 17 percent, and 23% of CNY's construction budget in FY 2016, FY 2017, FY 2018, and FY 2019, respectively.

Staff's proposed budget utilizes 20 percent of the City of New York's budget for the Rate Year which is proportional to the two-year average of KEDNY's actual expenditures in FY 2018 and FY 2019. FY 2018 and FY 2019 fully incorporate the new paving regulation in

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433 Ex. 467, p.1.

434 T. 4659.

435 NYC DOT Highway Rules §§ 2-01 through 2-09, 2-11 through 2-14, and 2-20. (Paving Rules or Requirements).

436 T. 4560; Ex. 463, p.2 (Response to IR DPS-084); Ex. 469.

437 T. 4660.

438 T. 4532.

place, thus taking the average is an appropriate. This also represents an additional $38.25 million, in additional funding compared to KEDNY's FY 2018 actual spend. This additional funding accommodates any average historical overspend experienced by KEDNY in the past three years. Therefore, Staff's recommendation provides funding commensurate with that actually experienced by KEDNY and provides an appropriate margin of error consistent with the average overspend.

Most importantly, aligning the Company's budget with actual costs, while also removing unnecessary adders sets rates at a level which ensures the Company manages a program of this size efficiently, and protects customers from over-zealous budgeting.[439] The Company should not propose budgets which could over collect costs and then exacerbate that overcollection by adding expenses for its paving and restoration activities to which the Company has sufficient experience to be efficiently forecast and managed. Furthermore, in setting rates for a single year there is significantly less risk of the City of New York undertaking large projects previously unknown to the Company. Taken together, the Commission should adopt Staff's recommended CSC budget for the Rate Year as it adequately provides for a budget inclusive of the costs to be incurred by the Company.

b. KEDLI

KEDLI develops its CSC budgets based on a review of known municipal work, historical work volumes, and unit cost information.[440] KEDLI identified historic spend plus inflation as the primary method used in the rate year forecast.[441] Staff reviewed the historical budgets and actual expenditures for KEDLI's CSC program and observed inconsistencies. KEDLI's actual expenditures were consistently lower than its forecasted budgets in Fiscal Year (FY) 2014 through FY 2019. Furthermore, it appears that KEDLI forecasted its budget for the rate year based on an average of historical budgets rather than actual expenditures. Staff proposes a rate allowance based on the most recent three-year average of actual expenditures for FY 2017, FY 2018, and FY 2019, plus inflation. Staff's proposed rate allowance is $7.131 million, and results in a downward adjustment of $3.746 million to KEDLI's proposed

[439] T. 4700.

[440] T. 4672.

[441] Ex. 463, p.570-582 (Response to IR DPS-761); T. 4661.

budget.[442] Using the most recent three year average is appropriate because it reflects recent actual costs and trends in this program.

KEDLI's proposed budget for CSC budget is inappropriate because it is budget based. KEDLI's approach ignores the reality of its actual expenditures and does not reflect recent spending trends. Staff's proposed rate allowance is based on actual expenditures from recent years and is therefore more appropriate to predicting the future needs of the program. Staff recommends that the Commission adopt its proposed rate allowance of $7.131 million for KEDLI's CSC program.

c. City State Construction (CSC) Reconciliation (CapEx and O&M Tracker)

The Companies' current City State Construction (CSC) reconciliation mechanism or tracker allows KEDNY and KEDLI to recover from customers 90 percent of any CSC costs in excess of their rate allowance. The other 10 percent is paid by KEDNY and KEDLI's shareholders. KEDNY and KEDLI propose a 100 percent reconciliation of capital expenditures (CapEx) in the Rate Year. KEDNY also proposes adding a new 100 percent Operation and Maintenance (O&M) mechanism for CSC expenses related to "support and protect" activities.[443] Staff rejects KEDNY and KEDLI's proposal and instead recommends an 80 percent 20 percent CapEx only Tracker.[444] Staff also rejects KEDNY's proposed O&M Tracker.[445]

While the work performed under the CSC program is contingent upon the Companies' coordination with the City of New York (CNY), and municipalities on Long Island, KEDNY and KEDLI still manage the projects and contractors who ultimately complete the work associated with this program. This management and oversight includes the full range of project management such as contract oversight, quality control, material procurement, workforce control, and productivity. Accordingly, we believe it is important to provide the Companies a

[442] T. 4661.

[443] T. 4277 - 4278.

[444] T. 4701.

[445] T. 4701.

strong incentive to manage the work efficiently and keep costs at a minimum in order to the benefit customers.[446]

Regarding KEDNY's proposed O&M reconciliation mechanism, Staff rejects the Company's proposal, because KEDNY should be able to manage their O&M budgets for the single year of rates established by this case, and therefore the true-up mechanism is not necessary.[447] In addition, CNY does not support KEDNY's proposed changes to the capital reconciliation mechanism as well as the new O&M reconciliation mechanism.[448] CNY recommends KEDNY appoint a high ranking liaison to coordinate CSC work with the City, and the Company submit regular reports to the Commission regarding the status of CSC projects to track performance objectively and increase program efficiency.[449] Staff do not have a position regarding CNY's recommendations regarding a CSC liaison or Commission reporting.

KEDNY and KEDLI argue that that Staff's reasoning is flawed because the reconciliation mechanism is intended to manage the aspects of CSC that are not within the Company's control, including the unpredictability of the work that will ultimately be required each year.[450] KEDLI acknowledges that municipal construction activity in its service area has plateaued.[451] The historical and forecasted levels of CSC expenditures in KEDLI's service territory are also significantly lower than KEDNY's, and therefore are less volatile. These admissions do not support KEDLI's proposal for a 100% reconciliation mechanism.

In addition, in setting only a single year of rates there is significantly less risk of the City of New York undertaking large projects previously unknown to the Company, as compared to a multi-year forecast. Setting rates for a single year of projects logically results in less uncertainty and therefore less risk to KEDNY's forecasted CSC budgets for the Rate Year. Both the Capital budget and the O&M budget forecasts are exposed to less risk in a single year. Staff's position is further supported by the fact that the rate year began on April 1, 2020, therefore the probability of CNY adding a bevy of new projects is unlikely. Additionally, there

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446 T. 4700.

447 T. 4701.

448 T. 5417.

449 T. 5424.

450 T. 4533.

451 T. 4441.

is no precedent for an O&M reconciliation mechanism applied to the expenses associated with the CSC program.

KEDNY's CSC program is the largest program in the Company's Capital budget, representing 34 percent of the total capital expenditures.[452] Additionally, in recent years the program has seen unprecedented budget growth. A program of this size must have controls in place to help mitigate cost increases wherever feasible. Staff's proposals regarding the CapEx and O&M reconciliation mechanisms are appropriate and play essential roles in this mitigation effort, helping to ensure customers do not bear the burden of unnecessary costs incurred by inefficient management of the program.

As the Companies become more efficient in managing the program, customers should be relied upon less to cost overruns. Moreover, as KEDNY becomes more efficient in the administration of the CSC Program efficient management of costs is more attainable. Therefore, Staff rejects KEDNY and KEDLI's proposal and instead recommends an 80 percent 20 percent CapEx only Tracker.[453] Staff also rejects KEDNY's proposed O&M Tracker.[454]

4, Transmission Station Integrity Program

KEDNY and KEDLI each propose an approximately $3.0 million budget in the Rate Year for the Transmission Station Integrity Program. The budget includes the design and material procurement for two projects, and the development of two additional station projects in KEDNY's service territory, and an additional three for KEDLI, in its service territory.

Staff proposes to remove the funding associated with the design phase of the program in the rate year because specific projects are not yet identified and prioritized appropriately. Staff's proposed rate allowance is $180,000 for KEDLI and $180,000 for KEDNY.[455] This results in a downward adjustment of $2.82 million for both KEDNY and KEDLI in the rate year.[456]

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[452] T. 4271.

[453] T. 4701.

[454] T. 4701.

[455] T. 4668.

[456] T. 4668.

The Companies indicate that this program is in the planning stages, as they are reviewing records to identify transmission stations in need of rehabilitation or replacement.[457] Since, no specific projects have been identified we propose to delay and are therefore proposing removal of the funding associated with the detailed design phase until specific projects are identified and prioritized appropriately.[458]

The Companies argue that Staff's adjustment to delay funding, or thereby, to remove 94 percent of the funding on the sole basis that projects have not been identified, cripples this program.[459] The Companies state that the records review and planning process is needed to comply with new PHMSA regulations.[460] The new PHMSA rules take effect July 1, 2020 and update a number of regulations regarding safe operating procedures for pipelines, including requiring a similar records review to verify the Maximum Allowable Operating Pressure (MAOP) of transmission station facilities. The review, as required by PHMSA may determine which stations are candidates for capital station rehabilitation or replacement projects. These stations may become candidates where records are inadequate to verify facilities' MAOP or the Companies are unable to demonstrate that the facilities meet PHMSA's fit for purpose standards.[461]

Based on its on-going records review, KEDNY claims that approximately two stations per year will need either refurbishment or replacement per year.[462] Staff's adjustment to limit funding does not cripple the program. Staff's adjustment provides the necessary funding to continue the records review currently underway which is a precondition to any further development of the program. The review must be progressed further in order to engage in sensible project selection which would correctly identify and prioritize projects. In addition, KEDNY already has significant Capital funding allocated to programs it uses to manage its Pressure Regulating Station assets at both the distribution and transmission system levels

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457 Ex. 643, pp.701 – 719 (Response to IRs DPS-922 and DPS 923).

458 T. 4668.

459 T. 4537.

460 Final rule was published on October 1,2019. The new rules update the previously issued notices of proposed rulemaking mandated by the Pipeline Safety Acts of 2011 and 2016.

461 T. 4538.

462 T. 4537.

including the Pressure Regulating Facilities program, and Pressure Regulation Special Projects. All projects completed under these programs since 2016, for example the Coney Island Gate Station in KEDNY's territory, and the South Commack Take Station in KEDLI's territory, have included work to bring the stations into compliance with the anticipated PHMSA regulations.[463]

Staff's adjustment focuses spending on a proper and complete review of records which will reveal the highest priority projects in terms of system reliability and safety. Staff recommends that the Commission adopt its proposed rate allowance of $180,000 for KEDLI and $180,000 for KEDNY for the Transmission Station Integrity Program.

5. Leak Prone Pipe/ Proactive Main Replacement

The Companies forecast the cost of the Leak Prone Pipe/Proactive Main Replacement Program starting with the unit costs experienced in FY 2018 and applying an annual inflation factor to each cost element of the Leak Prone Pipe/Proactive Main Replacement Program to arrive at a projected Rate Year unit cost. The Companies then applied this unit cost to the projected mileage of Leak Prone Pipe abandonment.[464]

KEDNY and KEDLI propose an annual rate of 2.5 percent on all price components except for contractor costs. KEDNY proposes an annual inflation rate of three percent for contractors. KEDLI proposes inflating 60 percent of the contractor costs by 10.5 percent in FY 20, and the remaining 40 percent by 2.5 percent.[465]

KEDLI corrected its unit price forecast in its C&U filing due to a formula error in the workpaper that inadvertently excluded a contractor cost component from the total.[466] This resulted in a unit cost increase from $298 per Linear Foot (LF), to $306 per LF, resulting in a total projected program budget of $235.19 million in the Rate Year.[467] KEDNY proposes a unit

[463] Ex. 643, pp.734, 739.

[464] T. 4662.

[465] T. 4509.

[466] T. 4509.

[467] T. 4509.

price of $1,280 per LF, resulting in a total program budget of $250.06 million in the Rate Year.[468]

KEDLI updated the projected costs for the contractor component again during their Second Supplemental filing. At that time KEDLI completed contract renegotiations with certain contractors that will perform work associated with the Leak Prone Pipe /Proactive Main Replacement Program in the Rate Year and after. These negotiations resulted in a decrease to the unit costs of KEDLI's Proactive Main Replacement Program.[469] As a result, KEDLI reduced the escalation factor used for 60 percent of its contractor costs for FY 2020 contractor increase from 10.5 percent to 7.9 percent for a portion of its contractors.[470]

While Staff agrees with using unit prices from FY 2018 and using an inflation factor to inflate the costs to the rate year, Staff does not agree with the assumptions made to formulate the specific inflation factors the Companies use to forecast the Rate Year unit prices.[471] Staff disagrees with both the annual inflation factor used for the majority of the unit cost components, as well the larger inflation factors used on the contractor components. Therefore, Staff recommends using the same inflation factor, or 3.957 percent, the Companies use to inflate other expenses from the HTY to the Rate Year.[472] The resulting downward adjustments are $5.99 million to KEDNY's proposed budget and $8.10 million to KEDLI's proposed budget.

The annual escalation factor the Companies used for most of the unit cost components results in a total 5.7 percent escalation from the HTY to the Rate Year. The 5.7 percent is excessive since many of these cost components are similar to those which the Companies' have proposed an escalation factor of 3.957 percent. The Companies projected increases in the contract costs were originally only estimates of anticipated increases in contractor costs lacking any support or justification basis of support.[473] In particular, KEDNY's contractor cost escalation factor used for contractors is unjustified because it is

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468 T. 4262.

469 T. 5476.

470 Ex. 372.

471 T. 4662.

472 Ex. 309; T. 4663.

473 Ex. 335 (Response to IR DPS-597, Part 3).

predicated on future contracts where negotiations have not concluded, and a final cost has not been established.[474] Further, KEDLI's contractor costs were not updated until their Second Supplemental filing, only at which point did the Companies acknowledged the finalized contract agreement with one of its contractors, which also translated into increases in the LPP/Main Replacement program costs. Staff requested further information, including the contract terms, to understand the specific increases in the Leak Prone Pipe/Proactive Main Replacement Program unit costs. In response the Companies' provided a budget impact summary for the new contract.[475] The summary shows an estimated increase in total costs. Further Staff requested workpapers supporting the budget impact provided in the summary.[476] In response the Companies provided another workpaper which shows the total price difference between the old contract and the new contract, however, the Companies could not describe or explain the specific methodology behind the increase in cost for each cost elements provided for in the contract.[477] In the absence of clearly identifiable increases for each of the elements and any assumptions made, Staff cannot verify what elements have increases nor can Staff assess whether the increases are reasonable.

The Companies argue that the contract that has been negotiated is complex, and that it is not one lump sum price paid to the contractor for the Rate Year. Instead, as the Companies argue, each unit price has been updated. If this is true, then the Companies bear the burden of proof to explain how these individual costs will impact their ratepayers.

As Staff stated, the Companies' support includes a myriad of assumptions to generate the estimated costs, but ultimately does not justify any increases or decreases in total spend.[478] In the absence of clear and supported information, Staff nor the Commission can assess whether these costs are reasonable. Staff recommends using the same inflation factor, or 3.957 percent, the Companies use to inflate other expenses from the HTY to the Rate Year.[479]

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474 Ex. 463, p.475 (Response to IR DPS-494).

475 Ex. 596.

476 Ex. 679 (Response to DPS-1088 Redacted); Ex. 680 (Response to DPS-1088 Confidential).

477 T. 4724.

478 T. 4725.

479 Ex. 309; T. 4663.

The resulting downward adjustments are $5.99 million to KEDNY's proposed budget and $8.10 million to KEDLI's proposed budget.

6. Corrosion Program (KEDLI)

The corrosion program monitors, tests, and maintains the corrosion control systems on above ground pipe as well as underground pipe. The Companies' forecast for the Corrosion Control program is based on taking the HTY unit cost and applying it to a three-year historic average mileage, specifically Calendar Year (CY) 16 through CY 18, and then adjusts for inflation each year.[480] Staff recommends a downward adjustment of $.073 million in the Rate Year. While this adjustment was not discussed in our testimony, the adjustment was reflected in Staff's exhibit.[481]

Staff used a straight three-year average of historical expenditures, FY 2017 through FY 2019 and then inflated the average to the Rate Year. Using an average unit price applied to a total number of miles, as the Company does is not an accurate approach because the program consists of various work items with different unit costs, and the single unit cost from the HTY does not capture the mix of work to be performed in the Rate Year. This program is dissimilar to the Leak Prone Pipe program where a certain mileage of work with similar unit cost is performed each year. Using an average of actual expenditures, as Staff has, more closely reflects the trend of the program costs. Therefore, the Commission should adopt Staff's proposed downward adjust of $.073 million for the Rate Year.

7. QA/QC Re-Digs

The Companies propose budgets for the QA/QC Re-Dig program based on a unit price per re-excavation inspection. The unit costs are then multiplied by the estimated number of re-digs planned to develop the final budget amount.[482] Staff recommended a reduction to the Companies' proposed budget, because the Companies did not justify their proposed budget. The Companies' budget included amounts in excess of a total budget based off the unit price and

480 T. 4551.

481 Ex. 467, p.5.

482 T. 4665.

number of inspections.[483] Upon further inquiry, the Companies responded to information request DPS-1043, and explained that the additional costs included inspections to be performed by KEDNY and KEDLI employees, while the original unit costs only included contracted excavation work. Staff now agrees the additional costs are justified. The Companies' total budget of $3.25 million for KEDNY and $0.974 million for KEDLI should be adopted.

8. Reactive Main & Reactive Service Replacements

The Reactive Main and Reactive Service Replacement programs provide for the replacement of gas mains and associated services during unanticipated urgent or emergency situations that fall outside the normal scope of the Companies' operations. This includes leaks that cannot be repaired, damages, service abandonments due to inactivity, demolition requests, customer driven relocation of services, and addressing other substandard conditions. KEDNY and KEDLI stated that these budget forecasts are developed by taking a two-year average of historical costs and inflating the average for the Rate Year.[484]

Staff agrees with the methodology used to develop these program budgets. The nature of the work associated with these programs is reactive as the name implies. Using historical expenditures as a basis to forecast funding levels is appropriate. Staff's recommended rate allowances for these programs are based on using the most recent two-year average of FY 2018 and FY 2019 costs plus inflation.[485] Using the most recent two years establishes a budget which more closely reflects recent costs for this program.

In rebuttal, Companies stated that their response to information request DPS-761 was incomplete. In addition to averaging the two years, FY 17 and FY 18, plus inflation, the Companies' forecast also reflects their proposal to capitalize segments of main under 50 Linear Feet (LF) that were previously expensed.[486] While Staff does not refute this explanation, Staff asserts that this added cost should only affect the reactive main replacement program, not the

[483] T. 4666.

[484] Ex. 335.

[485] T. 4668.

[486] T. 4539.

service replacement program. The Companies provided no reasoning in support of their approach to exclude costs from FY 19.[487]

Staff's recommendations for the Reactive Service Replacement programs should be adopted because they are based upon a historical average that utilize the most recent costs from FY 2018 and FY 2019. Regarding the Reactive Main Replacement Programs, the Companies' proposed budgets should be adopted since Staff' does not object to the inclusion of additional costs associated with capitalizing segments of main under 50 LF.

9. Contractor Safety Inspectors

The Companies propose hiring inspectors to achieve a one-to-one ratio of Company employed inspectors for every contractor performing any main or service line replacement, new main and service line installations, repairs, or other work on the Companies' system. Based on historic work, the Companies allocate the costs for this program between CapEx and OpEx using a ratio of 85% CapEx and 15% OpEx.

Staff supports this program in general, however the Staff Gas Infrastructure and Operations Panel reflected a downward adjustment to the Capital budgets for this program to reflect the recommendations of the Staff Pipeline Safety Panel, reducing the number of inspectors for KEDNY by two and reducing the number of inspectors from KEDLI by one in the rate year.[488] These adjustments results in a reduction of $0.439 million to KEDNY's capital budget, and a reduction of $0.232 million to KEDLI's capital budget. The Staff Pipeline Safety Panel discusses this adjustment in further detail in Section X.B.3 .[489]

10. Buried Vent Line Program

The Buried Vent Line Program is a public safety program implemented in response to a 2016 incident in Brooklyn, NY in which a corroded buried vent line led to water intrusion which then flowed into the regulator, froze, and locked the regulator in the open position, resulting in over-pressurization of the downstream piping. Buried vent lines are susceptible to corrosion, and subsequent water intrusion, as they are underground and lack

[487] T. 4539.

[488] T. 4663.

[489] T. 4118.

cathodic protection. The purpose of this program is to remediate all buried vent lines on the system by adding cathodic protection, relocating the vent line above ground, or installing a new vent line and relocating meters outside.

Staff agrees with the purpose of this program; however, Staff removed this program from the Capital budget as it should be paid for by the Companies' shareholders. This program and the support for its removal from the Capital budget is explained in Section X.B.4, below.[490]

11. Low Pressure Main Valve Installation

Staff supports the purpose of this program, however, the Staff Gas Infrastructure and Operations Panel removed this program from the Capital budget based on the recommendation from the Staff Pipeline and Safety Panel which proposes that the program be paid for using Negative Revenue Adjustment Penalties. This is explained further in the Staff Pipeline and Safety Panel's testimony and in Section V.B.2, above, which discusses the amortization of regulatory deferrals.[491]

12. Integrity Verification Program (KEDNY)

The Integrity Verification Program (IVP) was initiated in 2011 to demonstrate that all Federal Department of Transportation jurisdictional pipelines are "Fit for Service" to comply with proposed rulemaking issued by PHMSA in conjunction with the 2011 Pipeline Safety Act.

KEDNY provided a breakdown of the proposed budget for the IVP.[492] Staff supports KEDNY's proposed budget, however, Staff found that the total budget does not equal the sum total of the projects listed in the data sheet. Staff made a downward adjustment of $0.174 million to reflect the correct sum total provided in the breakdown. In Rebuttal, KEDNY accepted Staff's adjustment correcting the total cost.[493]

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490 T. 4123.

491 T. 4664.

492 Ex. 62.

493 T. 4539.

13. Reliability: Blanket Slippage Adjustment

The Reliability category budget funds programs and projects which maintain safe and reliable service on the system for all customers. The Companies propose significant increases to a number of their annual programs including the Pressure Regulating Facilities Program, Heater Installation Program, Gas Planning/Remote Control Valves (RCV) Program, and System Automation Program.

The Companies' have a history of inaccurately scheduling projects, contractor resources, and ultimately underspending the total reliability budget.[494] Staff recommends that the Companies' budgets be adjusted to align with the levels of historic spending and project completion based on a three-year average, FY 2017 through FY 2019.[495]

Utilizing this three-year average, Staff calculated that KEDNY and KEDLI historically spent approximately 74 percent and 71 percent of their reliability budgets, respectively. We then applied these percentages as a slippage adjustment to the Companies' overall proposed Rate Year reliability budgets.[496] As stated in Staff's response to information request NG-45:

> It is Staff's intent that the Companies can reallocate funding from projects and programs where the budgets have been underspent to projects and programs where the budgets have been overspent within the reliability category, as they have historically done. Staff does not propose to restrict the Companies' ability to allocate the approved reliability budget to projects and programs as needed.[497]

Staff and the Companies agree, safety and reliability is critical, however, Staff's adjustments do not restrict the Companies' ability to allocate funding to projects which ensure the safety and reliably of the system. In fact, the budget including Staff's proposed adjustments represents a total increase in funding of 55 percent for KEDNY and 214 percent for KEDLI. The Companies may assert that past spending trends are not indicative of future spending needs or trends, however, without demonstrating any changes that would lead to more accurate project

494 T. 4673.

495 T. 4676.

496 T. 4676.

497 Response to NG-45.

estimation or the Companies' ability to stay on schedule, Staff finds that historic trends are the best indicator of future performance in this category.

The Companies' historical spend shows that previous rate allowances approved for this category have not been fully expended. Aligning the Companies' budgets with actual expenditures will ensure the rate allowance for this category is reasonable, ultimately to the benefit of KEDNY and KEDLI's customers. The Commission should, therefore, adopt Staff's adjustments and the resulting budgets for the Reliability Category.

14. Storm Hardening – Remote Service Shutoff Valves

The Companies' propose to install Remote Service Shutoff Valves, flood sensors, and a fixed communication network within the FEMA defined 500-year floodplain zones across the Companies' operating regions, with significant deployment planned for FY 21.[498]

The City of New York (NYC) supports the program moving forward "provided the devices are comprehensively tested, and customers are adequately educated about them" and "the devices should be tested robustly and deployed gradually."[499] Additionally, NYC believes the data collected by the devices should be shared with them.

Staff generally supports the costs and scope of this program; however, we are concerned with the Companies' ability to move forward with this program on the schedule that they have proposed. Staff recommends that the Companies defer the project funding for one year and have the valves tested by an independent laboratory.[500] The Companies have demonstrated a history of not moving forward as scheduled with projects and programs within this category.[501] The Storm Hardening Valve program is a salient example. In the Companies' last rate cases, Cases 16-G-0059 and 16-G-0058, they proposed this Storm Hardening Valve program, which Staff supported. Yet, the Companies were unable to obtain a viable shutoff valve mechanism commercially available for use on the system, which caused them to delay the launch of the program.[502] Despite finding a commercial manufacturer for the valves, Staff

[498] T. 4677.

[499] T. 5454.

[500] T. 4680.

[501] T. 4672.

[502] T. 4677 – 4678.

remains concerned that the Companies cannot move forward with their proposed schedule without risking deployment of valves that have not undergone adequate testing. The Companies response to several information requests as well as technical conferences Staff attended regarding the valves leads us to believe that the valves need more time for testing.[503]

Since these valves and the supporting communication technology is very new it is extremely prudent to perform adequate testing by an independent third party laboratory to assess and redress any issues. The Companies stated, together with the manufacture, they continue to perform testing of the valves. Yet, the Companies' large investment in a new technology which is also not used anywhere else in the Country should tested by a party without any interest in its deployment. More importantly, the valves serve a key safety and reliability function, which is emphasized by their location and target use in flood prone areas. The location and role of these valves heightens the need to ensure they function properly when needed.

If these remote service shutoff valves are deployed and there is some issue that is not captured by the Companies' or the manufacturers testing there may be safety and reliability consequences, and there will be a large cost of repair or replacement. These impacts to safety and reliability as well as the cost would fall on customers. While performing third party testing is an additional cost it is de minimis compared to the potential cost of replacing, repairing or retrofitting an entire deployment of valves. The Commission should, therefore, adopt Staff's recommendation.

15. Non-Infrastructure Program

The Companies forecast a total Non-Infrastructure expense of $9.942 million and $4.560 million in the Rate Year for KEDNY and KEDLI, respectively. The Companies Non-Infrastructure program is comprised of six components: 1) Telecom; 2) Learning and Development; 3) Tools and Equipment; 4) AMR; 5) Meter Testing Equipment; and 6) AMR. Staff recommends that for the Telecomm program, Tools & Equipment, and Meter Testing Equipment programs, the budgets are adjusted based on a three-year average of actual historic spending, Fiscal Year (FY) 2017 through FY 2019) escalated by inflation to the Rate Year (RY).

[503] T. 4679.

The Companies have regularly underspent their budgets, for example, concerning the Telecom program, KEDNY budgeted $108,000 in FY 2019 but only spent $51,000, or approximately 47 percent of its budget.[504] Furthermore, for past three years, the actual average spending was only 36 percent of the total budget.[505] Staff recommends an increase of KEDNY's budget by $241,263 and a decrease of KEDLI's budget by $302, 798 for Non-Infrastructure Programs in the RY.[506]

16. Integrity Management Program –Non-Labor (PHMSA Rules)

KEDNY and KEDLI propose additional O&M spending in the Rate Year for annual inspections included in the Integrity Management Program. The inspections are conducted via External Corrosion Direct Assessment (ECDA) on pipelines that are not enabled for In-Line Inspections (ILI) and via ILI on pipelines which have been retrofitted for ILI. The O&M program costs also include excavation and support activities required for ECDA inspections, evaluation of testing data, and the costs of non-capital repairs such as repair sleeves and on-site material testing.[507]

Staff adjusted the program budget by removing the incremental spending proposed in the Rate Year for both KEDNY and KEDLI, resulting in a downward adjustment of $4.285 million to KEDNY's incremental operating expenses and a downward adjustment of $2.134 million to KEDLI's incremental operating expenses in the Rate Year.[508] The Companies proposed work plan does not increase the number of miles to be inspected over the four years beyond the mileages in the current work plan.[509] Therefore, the incremental funding proposed is not justified, and the existing OpEx budget is sufficient to support the needs of this program in the rate year.

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504 T. 4684.

505 T. 4684.

506 T. 4685.

507 T. 4342; Ex. 677.

508 T. 4962.

509 Ex. 42; Ex. 71.

The Companies argue that Staff's recommendation to reject 100 percent of the Companies' incremental IMP non-labor O&M budget is wrong.[510] The Companies claim that the annual O&M budget for the IMP program is zero-based, or built from the bottom up based on each year's annual workplan, which is highly variable from year to year based on the amount inspection work.[511] The Companies have consistently spent significantly less they are proposing in the Rate Year. KEDNY has spent less than a third of their proposed budget in each of the past five years, and KEDLI has consistently underspent its budget by approximately 45 percent for the past four years.

Regulations require inspections of these segments of pipeline with further re-inspection on a regular basis. This means that the work plan is cyclical in nature and there is great deal of consistency to the level of work completed. This is reflected in the average four-year work plan mileages, but it was not reflected in the Companies' proposed budget for the RY. The Companies provided no indication of a specific need to accelerate inspections in the RY, therefore, Staff applied the existing rate allowance. The work plan should be levelized more consistently over multiple years to reflect the cyclical nature of the program. The Commission should adopt Staff's recommendation and reject the Companies' incremental request.

17. Full Time Employee Equivalents (FTEs)

The Companies argue that the programmatic workload needed to support programs proposed in the Rate Year through their capital plan and gas safety programs will require hiring a number of additional employees, or Full Time Equivalents (FTEs). KEDNY Proposes adding 29.1 FTEs to support Gas Infrastructure and Operations Programs (GIOP).[512] KEDLI Proposes adding 15.9 FTEs to support GIOP Programs.[513]

Staff recognizes the need for some additional FTE's to support GIOP programs, however, Staff does not support the full levels of FTE's proposed by the Companies. Staff reduced KEDNY's FTE request by 11.6, and reduced KEDLI's FTE request by 7.4.[514]

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510 T. 4548.

511 T. 4549.

512 Ex.66.

513 Ex. 74.

514 Ex. 471.

Staff's adjustments are consistent with the CapEx and OpEx adjustments made for certain programs including the Integrity Management program and Storm hardening programs. A number of other FTE's are removed due to duplication with the contractor inspection program, lack of support provided by the Companies, and overall reduction in workloads as a result of Staff's adjustments to other capital programs.[515] On Rebuttal KEDNY accepted 6 of Staff's reductions due to duplication with the contractor inspection program, however, the Companies' oppose removal of all other FTEs because, as they argue, they are needed to support increasing workload.[516]

While the Companies should hire FTEs at the levels it deems appropriate to provide safe and adequate service, these FTE adjustments reflect the level of O&M expense we believe the Companies have justified in its filing, Corrections and Updates, Rebuttal, and Supplements. Thus, Staff's FTE adjustments we recommend are consistent with the level of O&M expense that is most appropriate for the Commission to use when setting rates in the Rate Year.[517] Staff recommends corresponding adjustments to protect customers from funding unnecessary FTE's not needed for the work to be performed by the Companies.

18. Capitalization Policy Change

The Companies current capitalization policy has a threshold of 50 Linear Feet (LF). Any installation or replacement of segments of main beneath this threshold are not capitalized, they are expensed under the Companies' O&M budget. The Companies are proposing to remove the 50 LF threshold and capitalize these segments of main. 50 LF threshold is an arbitrary threshold for KEDNY and KEDLI and changing this policy would align the accounting treatment of these work activities among all of National Grid's New York Gas Distribution Companies.[518] Since there is no regulatory minimum threshold for capitalizing gas main installation, Staff does not oppose the Companies' proposed change in policy.[519] The Companies' have also adjusted their expenses to reflect this change.

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[515] T. 4695.

[516] T. 4540.

[517] T. 4695.

[518] T. 4327.

[519] T. 4687.

19. Contractor Costs – Damage Prevention

The Companies claim they have recently completed contract renegotiations with certain contractors that have resulted in known and measurable increases to the damage prevention mark out costs for both Companies.[520] The Companies explained that while they are now proposing an update, they forecasted damage prevention contractor costs in their original filings by taking the HTY cost and applied inflation.[521]

Staff strongly opposes the Companies' request to revise their contractor costs relating to damage prevention mark-outs as it is far too late in the process and puts Staff and the intervening parties in this case at a significant disadvantage in reviewing the effect of this change in cost. Therefore, we recommend that the Commission deny the Companies' request to revise its contractor costs associated with damage prevention mark outs.[522]

The Companies have known that their contracts associated with their damage prevention program were expiring long before their April 2019 filing.[523] In fact, the Companies have been aware for approximately two years. Regardless of the Companies knowledge, they never identified this issue in these proceedings, at any time, prior to their Second Supplemental filing. More importantly, no savings were reflected.[524] Further, the Companies' omission has prevented any opportunity for analysis as to whether other contracts would lower costs.[525]

The Companies shouldn't be allowed to update specific costs this late in the process. The Companies withheld information that could have easily been included early on in the cases. Moreover, there should be savings associated with the new contract and the Companies failed to consider that analysis. Therefore, the Commission should reject the Companies' requested update of these costs.

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[520] T. 4576.

[521] T. 4577.

[522] T. 3578.

[523] T. 3578.

[524] T. 3581.

[525] T. 3584.

B. Net Plant True-up

Staff proposes to continue the Net Plant Tracker. The Net Plant tracker is the downward-only capital expense tracker, that applies generally to all capital projects.[526] The Net utility plant and depreciation mechanism, as described in the Order Adopting Terms of a Joint Proposal and Establishing Gas Rate Plans issued December 16, 2016, is a one-way reconciliation provision that provides for annual reconciliations of the average net utility plant and depreciation expense.[527] The mechanism is meant to protect customers from paying rates that would be too high if the capital budget is underspent or there are significant delays in completely projects.[528]

Staff recommends that if the Companies add plant at levels in excess of the levels forecast in base delivery rates that there is no rate adjustment upward to recognize that increase, but if the Companies add plant less than provided for in rates that customers will be credited with the associated revenue requirement impact of the shortfall as compared to forecast levels.[529]

Staff recommends comparing the actual net revenue requirement in the rate year with the net plant requirement approved by the Commission, inclusive of depreciation expense, and adjusting downward-only.[530] The mechanism should be downward adjusting only because customers are paying a return on a forecast level of rate base, and the one-way mechanism protects customers if the Companies significantly underspend the capital budget or projects have significant delays closing to plant in service.[531]

Regardless of the length of the rate plan, the downward only mechanism is needed to protect rate payers from the Companies significantly under spending their capital budget or having significant delays that will result in a lower revenue requirement than the level approved by the Commission for which rates were set. Therefore, the Commission should adopt Staff's recommendation continuing implementation of the Net Plant True-up mechanism.

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526 T. 4251.

527 2016 Rate Order, p. 90.

528 2016 Rate Order, p. 90.

529 T. 4622.

530 T. 4703.

531 T. 4704.

D. Earnings Base Capitalization / Working Capital

The Earnings Base / Capitalization (EB/CAP) adjustment aligns the utility rate base with its capitalization devoted to utility service. The Commission permits utilities to earn a return only on the capital devoted to utility service. This ensures that customers pay no more, and utilities recover no less, than the indicated return on the capital supporting utility operations.[532] With regard to the EB/CAP differential, capitalization represents funds provided by investors and customers supporting utility operations, on which utilities pay a return. Some examples of capitalization, as used here, include: common stock, retained earnings, advances from associated companies, and short-term debt. Accordingly, these items create a cost that must be recovered through utility rates. In addition, as capitalization supports all assets, it must be reduced for assets that are not part of utility operations. Assets that are not part of utility operations, for which capitalization must be reduced, include assets such as temporary cash investments, non-utility property, internal reserves, and goodwill.[533] In other words, for purposes of the EB/CAP adjustment, capitalization could include more items than the term would usually imply when used generally to describe the utility's capital structure. The causes of the EB/CAP differential vary at each utility but are generally variations in cash flow items not in rate base, such as non-interest bearing liabilities, or cost-free sources of funds, that support a utility's assets resulting from the timing of payments on accounts payable, sales, and other taxes payable.

Another cause of the EB/CAP differential may be imperfections in the estimation of cash working capital funding requirements.[534] Utilities have access to cost-free sources of funds, due to the delay, from when certain costs are recovered from customers, to when the utility must actually pay a cost. Specifically, this results with accounts such as taxes payable, and accounts payable. However, utilities do not pay a return on, and have no capital cost associated with, accounts or taxes payable. Also, utilities provide cost free capital or use of funds to customers. For example, utilities do not receive a return on current customer accounts

[532] T. 2401.

[533] T. 2401.

[534] T. 2402.

receivable for utility service. The net amount of these short-term cost-free capital requirements is usually referred to as working capital, which is included in the utility's rate base.[535]

KEDNY made a number of adjustments to EB/CAP and working capital. Below is a brief summary of Staff's review, followed by a more lengthy discussion of each issue. First, KEDNY computed a Historic Test Year EB/CAP adjustment that decreases rate base by $32.828 million.[536] Staff does not dispute this adjustment.

KEDNY then identified two specific items within the EB/CAP calculation that it said had working capital ramifications in the Historic Test Year. To address these two items, KEDNY made an adjustment to working capital, and an offsetting adjustment to EB/CAP, having no net effect on rate base. One of these items related to gas supply, and the other to city/state construction (CSC). Staff does not object to the adjustments related to the gas supply item, however, Staff recommends reversing the adjustments related to CSC.

KEDNY then made two adjustments to Rate Year working capital, one related to gas supply and the other related to CSC. For each of these two adjustments, KEDNY did not make corresponding adjustments in the EB/CAP calculation. These adjustments have a net effect of increasing rate base. Again, Staff does not object to the adjustment related to the gas supply item, however, Staff recommends reversing the adjustment related to CSC.

Finally, Staff identified a regulatory asset item related to CSC included in both KEDNY's and KEDLI's rate base that Staff recommends removing. As a corollary, Staff recommends making offsetting adjustments to increase KEDNY's and KEDLI's EB/CAP adjustments.

1. Offsetting EB/CAP and Working Capital Adjustments

KEDNY made offsetting adjustments to EB/CP and working capital for two items. The first item related to a change in the gas supply cash working capital allowance for which KEDNY made an adjustment of $31.865 million to Rate Year working capital and an offsetting adjustment of $31.865 million to the EB/CAP adjustment to account for the change in the gas supply cash working capital allowance for the Historic Test Year.[537] The second

[535] T. 2403.

[536] T. 2403.

[537] T. 2404.

adjustment was made to separately identify the City State Construction (CSC) accounts receivable balance embedded in the EB/CAP adjustment. This adjustment increases working capital by $58.744 million, for which KEDNY made an offsetting $58.744 million EB/CAP adjustment. KEDNY's CSC adjustment reflects the working capital ramifications it experienced in the Historic Test Year for reimbursable CSC capital and expense work.[538] CSC expenditures cover both capital and the operational expense (OpEx) incurred by KEDNY for work that it is mandated to perform to enable NYC to execute its municipal work plan. As work is performed, KEDNY bills NYC for the portion of work that is reimbursable. However, there is a lag between when KEDNY performs the work, thus incurring costs, and when it receives the reimbursement payment from NYC. The accounts receivable balance reflects the amount owed to KEDNY by NYC at any one time.[539]

Staff agreed with KEDNY's Historic Test Year normalizing adjustment for the gas supply commodity but disagreed with the adjustment made for the CSC accounts receivable.[540] The net effect on Rate Year rate base and revenue requirement for both items being adjusted is zero, since KEDNY made offsetting adjustments in working capital. While there is no revenue requirement impact for the normalizing adjustment made to working capital for the CSC accounts receivable, isolating out and identifying the working capital and EB/CAP impacts for the CSC accounts receivable balance is unnecessary and distorts the actual Historic Test Year EB/CAP adjustment calculation.[541] Accordingly, the Commission should adopt Staff's recommendations to reverse the Historic Test Year normalizing adjustment to working capital of $58.744 million. The Commission should also adopt Staff's recommendation to make an offsetting adjustment of the same amount to EB/CAP, to properly reflect the accounts receivable balance for CSC work to be included in the Historic Test Year EB/CAP adjustment computation.

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538 T. 2405.

539 T. 2406.

540 T. 2406.

541 T. 2406.

2. Adjustments to Working Capital

KEDNY made additional working capital adjustments to reflect the projected increase in working capital requirements between the end of the Historic Test Year through the end of the Rate Year for two specific items.[542] First, KEDNY adjusted the forecasted Rate Year working capital for a change in gas supply purchases, and the difference between Historic Test Year commodity revenue and the projected Rate Year commodity revenue. This adjustment decreases Rate Year working capital by $7.699 million.[543] Second, KEDNY increased Rate Year working capital by $28.273 million for the forecasted change in the CSC accounts receivable balances from the end of the Historic Test Year through the Rate Year.[544]

Staff agrees with the Rate Year working capital related to the gas supply and commodity revenue. KEDNY has been allowed to use a lead-lag study to project the Rate Year working capital requirements associated with the timing between when it pays its suppliers for gas purchases and the time it receives payments for the purchases from its customers since the 2016 Rate Order (SRRP, page 76). However, Staff disagrees with the KEDNY's proposed Rate Year adjustment for what it has identified as forecasted incremental accounts receivable balance for CSC work (SRRP, page 78).

KEDNY explains it included the Rate Year adjustment due to the expectation that the CSC accounts receivable balance will increase materially year-over-year, given KEDNY's projected increase in CSC work. KEDNY indicated that, as the accounts receivable balance increases, its working capital requirements will also increase, due to the delay in payments from NYC, which KEDNY projects to be 21-months.[545] Specifically, KEDNY states that invoices due at December 31, 2018 showed a 20-month lag; those due at January 31, 2019 showed a 19-month lag; and those due at May 31, 2019 showed a 23-month lag.[546] KEDNY indicates this rate base adjustment is necessary because it asserts that it should receive a return on prudently invested capital expenditures that are in excess of the Historic Test Year EB/CAP adjustment.[547]

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542 T. 2407.

543 T. 2407.

544 T. 2409.

545 Ex. 504 (Response to IR DPS-885).

546 Ex. 504 (Response to IR DPS-402).

547 Ex. 504 (Response to IR DPS-885).

KEDNY's attempt to separately address working capital for CSC is improper because: (1) it results in an isolated lead-lag study that ignores potential countervailing items in working capital; (2) it is inconsistent with the Commission's reliance on the Federal Energy Regulatory Commission (FERC) formula for working capital; (3) it amounts to an improper projected Rate Year adjustment to the historic EB/CAP adjustment calculation; and (4) KEDNY is at least partially at fault for the lag in CSC reimbursements.

First, KEDNY's lead-lag approach for this adjustment is arbitrary in nature. As stated above, working capital reflects the net of hundreds of lead-lag items that both increase and decrease working capital requirements.[548] KEDNY seeks to extricate one single item from this list, and ignores others that provide KEDNY with cost-free short term capital. State and federal income taxes are a prime example. Tax monies are collected monthly from customers but are paid quarterly to the taxing authorities. KEDNY has cost-free use of the amounts paid by customers from the time the tax monies are collected from customers until the time KEDNY pays the Internal Revenue Service and the NYS Tax Department. Reflecting this lead-lag income tax cash flow enhancement would impact Rate Year working capital requirements.[549]

On rebuttal, KEDNY claims that removing its proposed CSC working capital adjustment, its shareholders would be required to bear the entire cost of financing $28.273 million of CSC related expenditures that KEDNY.[550] However, the countervailing nature of the items in working capital means that this is far from a clear conclusion. In order to determine whether KEDNY's shareholders were truly bearing the financing costs of CSC-related expenditures, one would have to assess each of the lead-lag items in working capital and calculate the net result. Staff does not advocate making lead-lag adjustments, but notes that if lead-lag adjustments were to be made, they should only be reflected if a comprehensive lead-lag study is conducted on all items affecting KEDNY's cash flow. Such a comprehensive lead-lag adjustment would replace, rather than supplement, the cash working capital allowance provided by the FERC formula.[551]

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[548] T. 2413.

[549] T. 2414.

[550] T. 2038.

[551] T. 2414 – 2415.

Second, the Commission has a long-standing standard practice of relying on the FERC formula to calculate the amount of working capital to be included in rate base. The Commission adopted the FERC formula as a generic means and proxy of estimating working capital without the need for recourse to exhaustive lead-lag studies.[552] The FERC Formula remains the Commission's preferred approach. Using both the FERC formula and the results of a study that is akin to a lead-lag study to develop Rate Year working capital requirements is a double-count, and the lead-lag adjustment must be eliminated for revenue requirement purposes.[553]

There is one recent exception, in its rate order in Case 10-E-0050, the Commission allowed Niagara Mohawk to use a lead-lag study for only the limited purpose of determining the working capital related to electric commodity purchases so that Niagara Mohawk could establish the proper merchant function charge. This is the same reason that Staff does not object to KEDNY's adjustments to EB/CAP and working capital related to gas commodity purchases, identified above.[554]

However, the Commission's decision in Case 10-E-0050 provides a prime example of the adage that "the exception proves the rule." In providing this exception to Niagara Mohawk, the Commission explicitly stated it was not authorizing Niagara Mohawk to deviate from the standard practice that relies on the FERC formula to calculate the amount of working capital to be included in rate base, and explicitly stated that "[l]ead-lag studies will not be accepted or used for rate base purposes as long as the FERC formula continues to be an acceptable and preferred approach."[555]

On rebuttal, KEDNY asserts that the FERC working capital formula establishes a level of working capital associated only with a utility's O&M expense. The reimbursable CSC amounts are not part of KEDNY's O&M expense and therefore the working capital associated with those amounts is not recovered through the application of the FERC formula.[556] As a

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552 T. 2410.

553 T. 2413.

554 T. 2411.

555 Case 10-E-0050, Niagara Mohawk – Electric Rates, Order Establishing Rates for Electric Service (issued January 24, 2011), p. 56.

556 T. 2039.

corollary, KEDNY argues that in the early 1970s, the Commission was certainly aware that the formula explicitly captured working capital associated with O&M expense, but did not explicitly capture working capital associated with other non-O&M costs that were incurred at the time, such as income taxes. KEDNY believes it is reasonable to conclude that the FERC formula was intended to provide a level of working capital that would compensate utilities for the costs they were incurring at the time the formula was adopted. KEDNY did not obtain the ability to seek reimbursement of CSC expenditures until the passage of the New York State Gas Facility Cost Allocation Act in 1988.[557] Furthermore, KEDNY explains that it is their understanding that FERC itself follows a policy of applying the 45-day formula in the absence of hardships that would justify a departure from the established formula. The circumstances surrounding the reimbursable CSC expenditures would create an unreasonable hardship for KEDNY by forcing it to forego recovery of approximately $2.414 million of carrying charges in the Rate Year if its proposal to include the projected amount of reimbursable Rate Year CSC expenditures in rate base is rejected.[558]

However, these arguments again ignore the fact that, because working capital reflects hundreds of lead-lag items, it would require an exhaustive lead-lag study to ascertain whether KEDNY truly would being required to forego the carrying charges on reimbursable CSC expenditures absent its desired working capital adjustment. KEDNY has not proposed, nor does Staff recommend conducting a comprehensive lead-lag study. However, KEDNY baldly asserts that providing it separate recovery for the reimbursable CSC expenditures will not duplicate recovery it is afforded by operation of the FERC formula for working capital.[559] It has not demonstrated this, and its bold, but unsupported, claims should not be rewarded with an additional $2.414 million of carrying charges in the Rate Year.

Additionally, KEDNY cites to the Commission's June 1, 1992 Opinion and Order Denying Petitions for Rehearing in Case 90-G-0112 as evidence that the Commission has allowed utilities working capital in excess of that provided from the FERC formula. However, the facts in Case 90-G-0112 do not support KEDNY's claims in these proceedings. The Commission's underlying rate order in Case 90-G-0112, states that the "inclusion of unbilled

[557] T. 2041 - 2042.

[558] T. 2039.

[559] T. 2040.

revenues in rate base rests upon an assumption that an additional financial requirement, unrelated to cash working capital, was created by our [the Commission's] requirement that unbilled revenues be used in the forecast of revenues for ratemaking purposes."[560] Thus, the Commission did not accept a bald assertion that certain costs are not properly reflected in working capital, as KEDNY proffers in these proceedings. Instead, the Commission merely acknowledged that its own decision had resulted in the need for the additional financial requirement.

Third, KEDNY's working capital adjustment is akin to making a projected Rate Year adjustment to the historic EB/CAP adjustment calculation. The Commission's established practice is to use the Historic Test Year calculation as a proxy for the Rate Year estimate. Similar to the reasons why a lead-lag study should not be allowed for this item, KEDNY is focusing on only one of hundreds of items that could increase and decrease the Historic Test Year EB/CAP adjustment calculation to project the Rate Year.[561]

Fourth, KEDNY is at least partially at fault for the delays in it receiving reimbursement from NYC.. While there may be increasing expenditures for the CSC work, KEDNY has contributed to, the long lag time in getting reimbursed by the City for its reimbursable CSC costs.[562] As provided in response to IR DPS-884, KEDNY indicates that, in October 2017, KEDNY launched a formal process improvement initiative involving Downstate New York CSC and Non-Utility Billing and also details several changes that were made through this initiative to improve the timeliness of invoicing the City for the reimbursable CSC work.[563] Further, KEDNY indicates it has had numerous meetings with the City officials, the City's Department of Design and Construction and the City's DEP, to address issues related to the administration of the CSC program, including the invoice backlog.[564] Rather than ask customers to pay more immediately on one item out of hundreds that affect working capital, KEDNY should assess whether these efforts will result in benefits in the Rate Year or thereafter.

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560 Case 90-G-0112, Long Island Lighting Company – Gas Rates, Opinion and Order Determining Revenue Requirement and Rate Design (issued November 26, 1991).

561 T. 2415 – 2416.

562 T. 2416.

563 T. 2417.

564 T. 2418 - 2419.

Moreover, KEDNY omits any reference to how its self-created backlog in generating invoices has contributed to the lag in payment by NYC, and the processes it has put in place to rectify and improve the invoice backlog.[565] KEDNY assert that the primary cause of the backlog with respect to reimbursable CSC costs is that fact that NYC significantly increased its municipal work plan in 2017.[566] However, this is incorrect.

NYC has provided testimony in these proceedings explaining the need for improved communications between the Companies and the agencies, and the need for better coordination of KEDNY and KEDLI projects, which has led to these billing delays, ultimately creating this billing backlog. NYC states "The backlog is due in large part to National Grid's failure to submit timely invoices for work performed in 2015-2017. Specifically, National Grid did not submit these invoices to the City until 2017. The City is diligently processing these historical invoices in an effort to eliminate the backlog, and we [NYC] have developed a protocol with National Grid to allow for expedited invoice processing (one invoice per week, versus standard processing timeframe of one per month)."[567]

For the reasons stated above, Staff reasonably recommends removing $28.273 million from KEDNY's Rate Year working capital forecast to eliminate the incremental working capital adjustment associated with the forecasted change in accounts receivable for reimbursable CSC work. The Commission should adopt Staff's recommendation.

3. Removal of Deferred Asset from Rate Base

KEDNY and KEDLI both have deferred asset items that reflect the costs associated with the CSC reimbursable projects recoverable from NYC, and that these costs are the operating expenses related to CSC – Public Works reimbursable capital investment.[568] These costs are not amortized. Rather, the account is adjusted when payments are received from NYC. Although there is no amortization of this cost, by including this item in rate base, the amount included for the reimbursable operating expense cost balance receives carrying charge treatment. An adjustment is required to remove this item, as the Companies are already getting carrying

[565] T. 2420.

[566] T. 2043.

[567] T. 5526 – 5527.

[568] T.1925; T. 2187.

charge treatment for its unpaid reimbursable CSC work operating expenses through the inclusion of the CSC OpEx billings included in the accounts receivable balances for CSC work within the Historic Test Year EB/CAP adjustment calculation. To allow the Companies to include unpaid OpEx billings in both the EB/CAP adjustment calculation and in the regulatory asset/liability components of rate base would allow KEDNY double recovery.

Staff's adjustment to remove the regulatory asset decreases KEDNY's Rate Year rate base by $22.316 million and decreases KEDLI's by $3.368 million.[569] The Companies assert that because the regulatory asset was included in rate base in determining the Historic Test Year EB/CAP, a corresponding adjustment to EB/CAP is required. Staff agrees and therefore recommends, increasing the EB/CAP for KEDNY and KEDLI by 22.083 million, and $2.802 million.[570]

VII. FINANCIAL ISSUES

A. Return on Equity

While Staff and the Companies apply similar DCF and CAPM financial models to estimate the Companies cost of equity, we differ many critical details.[571] Our disagreements relate to the: 1) composition of appropriate proxy group, 2) appropriate growth rates in DCF analyses, 3) key inputs employed in the CAPM analyses, 4) the relative weighting of the CAPM and DCF results, and 5) which appropriate version of Microsoft internal rate of return Excel function in discounting dividend cash flow in the DCF model to use.

Beyond the Companies' initial proposals, they claim that "Staff has applied the cost of equity models in a purely mechanistic fashion based on Commission precedent without using informed judgment or considering current economic and market conditions, as is appropriate and as the Commission has demonstrated a willingness to do in prior cases"[572] Ms.

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569 T. 2426 – 2428.

570 T. 2444, 2452.

571 The terms cost of equity and return on equity (ROE) are often used interchangeably, we apply the same approach here.

572 T. 5059.

Bulkley, the Companies' witness, has made similar claims in Case 16-G-0257 involving NFGD's rates.[573] The Commission rejected Ms. Bulkley's argument by stating:

> As the [Recommended Decision] noted, the Commission has repeatedly affirmed certain key elements of the methodology we use in determining the appropriate cost of equity to be included in rates. Those elements consist of the application of Discounted Cash Flow (DCF) and Capital Asset Pricing Model (CAPM) analyses to a representative proxy group of utility companies; the use of a two-stage DCF computation with inputs derived from Value Line; the basing of CAPM results on an average of the outcome from standard and zero-beta models with a risk-free rate based on Treasury bonds, market risk premium provided by Merrill Lynch's Quantitative Profiles, and betas taken from Value Line; and our use of a 2/3 – 1/3 weighting of the DCF and CAPM results, respectively. As in those cases where we have continued to affirm these principles, we see no convincing reason to deviate therefrom today.[574]

Consistency in the application of regulatory principles and practices lends a degree of predictability to the rate setting process and thereby reduces regulatory risk.[575] Therefore, we urge the Commission maintain the application its well-established approach in establishing return on common equity.

1. ROE Methodology

The Companies' developed three multi-stage DCF models utilizing the low, mean, and high earnings growth rate estimates published by Yahoo Finance, Zack's, and Value Line.[576] Ms. Bulkley's DCF calculations resulted in a low, mean, and high ROE estimate for each company in her proxy group. Ms. Bulkley utilized both the traditional form of the CAPM and the zero-beta CAPM applied to both Bloomberg and Value Line betas that resulted in two sets of 12 ROEs for both her Combined Utility Proxy Group and Natural Gas Proxy Group. Ms. Bulkley then concluded that an appropriate ROE for the Companies ranges between 9.65 percent and 10.55 percent. In this proceeding, the Companies are seeking a 9.65 percent ROE for the rate year.[577] Consistent with the Commission's well established practice, Staff applied the standard weightings of two-thirds to its two-stage DCF results and one-third to its CAPM results,

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[573] 2017 NFGD Rate Order, p. 52.

[574] 2017 NFGD Rate Order, p. 52.

[575] T. 3172.

[576] Ex. 160.

[577] T. 3157.

which resulted in a ROE of 8.16 percent rounded up to 8.20 percent.[578] A summary of these calculations is included in Ex. 437.

2. Proxy Group

The use of a proxy group analysis is a widely accepted standard, which has been consistently applied by the Commission to estimate the cost of equity for a utility. Estimation of the cost of equity based on a proxy group is necessary because analysts' estimates regarding an individual company are, by their nature, inaccurate and sometimes biased.[579] In general, a proxy group analysis begins with the establishment of a set of selection criteria to construct a sufficiently large group of companies whose risk characteristics align as close as possible to the specific utility or utilities being analyzed. By employing a proxy group with a sufficiently large number of similarly situated companies, the effects of inaccurate estimates may be reduced.[580]

Once the proxy group is constructed, the average cost of equity for the group can be estimated. The difference between Staff and the Companies' cost of equity initially stems from the differences in each other's approach in determining the proxy group for KEDNY and KEDLI.

Staff disagrees with the Companies on the nature of the proxy group, the selection criteria used, and the adequate number of companies to include in the proxy group. As discussed below, Staff recommends that its proxy group and Staff's analysis resulting in an 8.2 percent ROE be adopted.

a. Companies' Proxy Groups

The Companies' developed two proxy groups, the first referred to as the Natural Gas Proxy Group, and the other referred to as the Combined Utility Proxy Group. The Natural Gas Proxy Group consists solely of seven gas distribution companies. The Combined Utility Proxy Group consists of the seven gas companies included in the Natural Gas Proxy Group and 13 additional electric distribution companies.[581] For the Combined Proxy Group, Ms. Bulkley's

[578] Tr. 3131.

[579] Tr. 3132 – 3133.

[580] Tr. 3133.

[581] Tr. 3158.

selection process required each of the 49 Electric and Natural Gas Universe covered by Value Line Investment Survey (Value Line) to have a set of six selection criteria.

The six criteria consists of the following: 1) investment-grade credit ratings 2) coverage by at least two utility industry equity analysts, 3) dividend payment or positive earnings growth projections, 3) at least 70 percent of the candidate's total operating income from regulated operations, 5) generation comprising less than 60 percent of the candidate's MWh sales, 6) not be involved in a merger, acquisition, or other transformational transaction.[582]

To be included in the Natural Gas Proxy Group, Ms. Bulkley required one additional criterion, specifically, 50 percent of the candidate's total operating income must be from regulated natural gas operation. Ms. Bulkley applied the set of seven selection criteria to a universe of 10 companies classified as natural gas distribution companies by Value Line to determine the set of companies included the Natural Gas Proxy Group.[583] Staff raised concerns regarding the nature of both Ms. Bulkley's proxy groups, specifically, the selection size and use of the Natural Gas Proxy Group, the selection criteria relating to net operating income, analyst coverage, and generation MWH sales.[584]

Staff contests Ms. Bulkley's use of the Natural Gas Proxy Group as it is inappropriate. The use of the Natural Gas Proxy group is inappropriate because the group consists of only seven companies which does not constitute an adequate sample size to be statistically reliable and is therefore too small to produce reliable results in estimating the cost of equity. Staff believes that any proxy group should contain an adequate sample size of companies to produce a statistically accurate and reliable measurement. A suitable sample size ranges between 20-30 companies, for instance, Staff's proxy group has 28 companies.[585]

Moreover, National Grid Plc, the ultimate parent company through which equity investors can indirectly invest in KEDNY and KEDLI, is viewed principally as an electric holding company by investors.[586] Given that Value Line classifies electric and electric combination utility holding companies as "electric", Staff believes that if National Grid Plc. were

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582 T. 3162.

583 T. 3158 – 3159.

584 T. 3163.

585 T. 3356

586 T. 3159.

to be covered by Value Line, it would be classified as an electric utility holding company.[587] Therefore, any cost of equity analysis should include companies considered electric holding companies.

An inadequate sample size introduces the possibility of a single analyst error or the presence of an outlier which unduly influences the cost of equity results as evidenced in Ms. Bulkley's use of Northwest Natural Gas Company's 25.5 percent growth rate, which is in itself an outlier which skews any result.[588] Further, even in instances where it may be appropriate to examine Gas Utility companies, such as NFGD, Corning Natural Gas Corporation (Corning) and St. Lawrence Gas, a Natural Gas Proxy Group, to be included in a proxy group constructed using Staff's long-running selection criteria, application of such criteria would only produce a five company proxy group. A proxy group consisting of only five companies does not provide an adequate sample size to produce reliable results.

The same concept applies in the case of Ms. Bulkley's Natural Gas Proxy Group. Staff believes that a proxy group size of 15 to 30 firms is reasonable, which is consistent with Staff's proxy group of 28 companies.[589] The Companies argued in rebuttal that Staff's recommended proxy group is inconsistent with other recent Commission cases such Case 16-G-0257 involving NFGD and Case 16-G-0369 involving Corning.[590] Ms. Bulkley argues that any cost of equity analysis for the Companies should include pure-play or gas only companies adding further the addition of the Natural Gas Proxy Group to Staff's proxy group results in a Discounted Cash Flow (DCF) result of 8.47 percent as compared to the 8.22 percent in Staff's DCF analysis. Moreover, the Companies, through a discovery request, asked whether Staff performed any analyses relating to the benefits of including gas distribution companies in our proxy group. (Exhibit 649) Staff provided the results of its analysis including the five pure-play gas companies that met our selection criteria. Augmenting Staff's proxy group with the five pure-play gas companies that met our selection criteria resulted in an 8.23 percent ROE which round to an 8.2 percent ROE. In contrast, the ROE analysis employing Staff's electric utility

587 T. 3230 - 3231.

588 Ex. 160, p.6; T. 3160.

589 T. 3160.

590 T. 5074 – 5075.

proxy group resulted in an 8.16 percent ROE, which also rounds to an 8.2 percent ROE. Therefore, Staff believes that there is no material difference between the two approaches and, other than concerns regarding consistency, Staff is indifferent to incorporating the five pure- play gas companies into its analysis.[591]

Staff also provided as an illustrative example detailing its analysis of the proxy group, including the five pure-play gas distribution utilities with available information as of December 2019.[592] This example demonstrates that inclusion of these pure-play gas companies and with updated information would produce an ROE of 8.0 percent. Of note is the relatively high 13.15 percent ROE of Atmos Energy, due to its high growth rate of 11.38 percent, which could be considered as an outlier.[593] Absent Atmos Energy, the updated ROE would have been lower than 8.0 percent. While Staff has not deviated from the 8.2 percent ROE it recommended in its Direct testimony, Staff recommends that the Administrative Law Judges, and ultimately the Commission consider the most recent financial inputs to Staff's methodologies available to inform its decision on ROE as discussed in detail below.

Regarding the Companies' selection criteria for both the Natural Gas and the Combined Utility, we discussed the flaws in Staff testimony. Specifically, we disagree with the criteria requiring that the holding companies have at least 70 percent of their total operating income come from regulated operations, and also that more than 50 percent of the candidate's total regulated operating income come from regulated natural gas distribution operations.[594] These two requirements are not appropriate, and are the primary reasons why Combination Utility proxy group used by Ms. Bulkley is forty percent fewer than the size of Staff's much larger proxy group.[595] This criterion eliminates multiple companies whose risk characteristics are sufficiently comparable to the risks faced by the Companies.

Differences in accounting policy choices, such as a difference in inventory valuation policy options and a difference in depreciation choices across companies, could have a

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591 Ex. 649.

592 Ex 661, p.1.

593 Ex. 661, p.5.

594 T. 3358.

595 Ex. 446.

significant impact on reported operating income versus reported revenues.[596] These policy differences may cause operating income to be more volatile than revenues. Staff believes that regulated revenues remains a superior criterion for ensuring that a utility proxy group properly reflects the amount of regulated business that most closely approximates the risk of the regulated utility being analyzed.

In her rebuttal, Ms. Bulkley attempted to justify the use of the operating income selection criterion by saying: "…multiple other regulatory agencies have accepted the use of an income-based screening criterion."[597] Ms. Bulkley's explanation that other utility regulatory bodies have accepted the "operating income" selection criteria is vague, misleading and shows clear selection bias. Further, adoption of Ms. Bulkley's criteria by another regulating body or commission should have no bearing on this proceeding absent additional justification which Ms. Bulkley and the Companies have failed to provide. We therefore recommend that Ms. Bulkley's use of operating income as a selection criterion be rejected, and instead our 70 percent regulated revenue criterion be adopted.[598]

Additionally, limiting the proxy group to primarily transmission and distribution utilities (T&D) by excluding those having owned generation compromising greater than 60 percent of MWH sales to its customers, as Ms. Bulkley has, is unreasonably restrictive. This restriction resulted in the elimination of eleven companies, all comparable in risk and thus suitable surrogates for the Companies. By drastically reducing the size of her proxy group, Ms. Bulkley has further undermined the reliability of her results.[599]

Our final concern about her selection criteria relates to the elimination of companies that are not covered by at least two utility industry equity analysts. Based upon her application of this criterion, Ms. Bulkley eliminated three companies. Otter Tail, MGE Energy, Inc. and El Paso Electric. It appears to us, however, that either Ms. Bulkley is not appropriately applying her own selection criterion, or she is unaware that these three companies are followed by more than one equity analyst. Specifically, Otter Tail is covered by Value Line Investment,

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596 T. 3164; Ex. 446.

597 T. 5078.

598 T. 3165.

599 T. 3166.

Williams Capital Group, L.P, and Maxim Group, while El Paso Electric is covered by Merrill Lynch, Mizuho Securities and Williams Capital Group.[600] Moreover, MGE Energy is covered by more than one equity analyst including CFRA Equity Research, Ford Equity Research Jefferson Research & Management with their latest reports published on July 19, 2019, August 9,2019, and August 9, 2019, respectively. Therefore, exclusion of Otter Tail, El Paso Electric, and MGE Energy from her proxy group on the basis of number of equity analysts is inappropriate.[601]

In her rebuttal, Ms. Bulkley stated that Staff misunderstood her equity analyst criteria because that selection criterion "tests whether the earnings per share growth rates provided by First Call, and/or Zacks reflect consensus analyst estimates." Staff finds Ms. Bulkley's explanation unpersuasive because this position is wholly inconsistent with the position taken in the Companies' initial filing, specifically, "[Ms. Bulkley] eliminated the companies that are not covered by at least two utility industry equity analysts."[602] In her rebuttal, Ms. Bulkley also failed to provide any documentary evidence supporting her test relating to the consensus EPS growth rates estimates and those provided by First Call and Zacks. Even if the First Call and Zack's estimates failed to meet her test, it is not unreasonable for her to consider the consensus EPS growth rates as proxies.

For these reasons, the Commission should reject the Companies' proxy groups and analysis based upon them, instead, the Commission should adopt Staff's Proxy Group and the results of Staff's methodologies as discussed below.

b. Staff Proxy Group

Staff constructed a proxy group of 28 investment grade rated electric and electric combination utility holding companies selected from a universe of 37 holding companies deemed by Value Line Investment Survey (Value Line) to be "electric utilities."[603]

Staff's first and second criteria in establishing its proxy group requires that selected companies be tracked by Value Line and that those companies have investment grade

600 Ex. 447.

601 T. 3165.

602 T. 4997.

603 T. 3135.

credit ratings of at least BBB-/Baa3 from both S&P and Moody's, respectively. Staff's remaining criteria requires that the selected companies currently pay dividends, derive at least 70% of its revenues from regulated utility operations per each company's 2018 annual report otherwise known as SEC 10-K report.[604]

Staff began construction of its proxy group by identifying 37 holding companies deemed by Value Line Investment Survey (Value Line) to be "electric utilities" because electric and gas holding companies operating risk characteristics are fundamentally similar Beginning with the 37 companies we eliminated two companies (Avangrid Corporation and Evergy, Inc.) because of their insufficient track record of financial data to establish confidence in the financial forecasts needed for calculating a company's cost of equity. As for the remaining 35 companies, we eliminated five companies whose regulated revenues constitute less than 70 percent of total revenue. Regarding the remaining 30 companies, we eliminated Fortis Inc. because it is a Canadian-based company, which, although traded on both the Toronto and New York stock exchanges, has its financial reports and Value Line projections based on Canadian currency which would introduce the possibility that exchange rate variations could affect the DCF calculation. Finally, we eliminated El Paso Electric because of a pending merger and acquisition transaction. Therefore, we arrived at a proxy group comprised of 28 electric utility holding companies which met all our selection criteria.[605]

Based on Staff's assigned numerical scores for Moody's and S&P's credit ratings, we determined the proxy group's average credit rating at "BBB+/Baa1" for S&P and Moody's, respectively. Staff's numerical scores for S&P rankings for business and financial risk profiles, also indicated that the proxy group's S&P business risk ranked at 1.32, which is close to an "Excellent" rating and its S&P financial risk ranked at 3.9, which is close to a "Significant" rating.[606] The proxy group's resultant business risk and financial risk profiles, however, remain supportive of its average credit ratings at "BBB+/Baal." Finally, on average, approximately 7 percent of the proxy group's revenues are from non-regulated businesses.

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604 T. 3135.

605 T. 3135 – 3137.

606 Ex. 438, p.1.

In comparison to Staff's proxy group, the Companies have an "A-" S&P credit rating and a S&P business risk rating of 1, which indicates an "Excellent" rating and a S&P financial risk rating of 4, which indicates a "Significant" rating. In addition, all the Companies revenues are from regulated sources. Thus, Staff's proxy group has similar risk characteristics but are also in fact slightly riskier than the Companies. To be conservative, Staff did not make any adjustment to reduce the recommended cost of equity determination based on the results of the proxy group analysis to account for the Companies' lower risks.[607]

In response to Staff's proposal, the Companies argued two points to contest Staff's analysis and support their contention that a proxy group of electric and gas T&D companies are not appropriate. First, the Companies argued that local gas distribution companies and electric utilities have different business and operating risk characteristics.[608] Second, the Companies argue that investors place more emphasis on market data for companies in the gas distribution industry and less weight to electric utilities.[609]

Staff has already described in detail, as discussed above concerning the Companies' proxy groups, that the operating risks of a pure-play local distribution company and electric transmission & distribution (T&D) companies in New York are fundamentally very similar because both are regulated public utilities, subject to nearly identical ratemaking treatment.

In addition, both electric and combination gas and electric utilities invest primarily in capital-intensive physical networks that connect the customer to the source of supply; and sell their products and services at regulated rates to customers.[610] Therefore, the Companies fail to explain why Staff's proxy group is dissimilar to KEDNY and KEDLI. For these reasons, the Commission should adopt Staff's proxy group and subsequent results based upon the proxy group because our selection criteria are based on Commission precedent and the overall ROE calculation logically follow from Staff's analysis of its proxy group.

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607 T. 3213.

608 T. 5069.

609 T. 5069.

610 T. 3134.

3. Discounted Cash Flow (DCF)

a. Companies' DCF Methodologies

The Companies use a multi-stage DCF analysis based on a three-month average stock price and a range of near-term growth rate assumptions that produces a mean ROE of 9.20 percent for the Combined Utility Proxy Group and 9.04 percent for the Natural Gas Proxy Group. Specifically, the Companies use a three-stage DCF analysis that relies on equity analysts' earnings growth forecasts published by Value Line, Zacks, and Yahoo Finance.[611]

We have several concerns with the Companies' DCF approach. Foremost among them, we find the third stage growth rate to be excessive and believe Ms. Bulkley applies an inappropriate internal rate of return (IRR) tool for calculating the ROE estimate. Our primary concern is the use of an excessive growth rate in the long-run or third-stage growth rate, and to a lesser extent, some of the excessive growth rates used in the first stage of her analysis. Ms. Bulkley's use of an excessive third stage growth rate is the principal reason that the 9.20 percent DCF-based ROE recommendation is flawed.[612]

Ms. Bulkley DCF model uses earnings growth rates to determine short-term dividend growth rates, ignoring available dividend growth rates or forecasts.[613] This is in direct contrast to the basic premise of the DCF methodology which measures the present value of future dividends. Utilizing earnings growth assumes that dividend growth will match earnings growth, and her testimony failed to present evidence to support such an expectation.[614] Ms. Bulkley's use of a historically-derived Gross Domestic Product (GDP) rate, in conjunction with a forecasted inflation rate, as the long-term growth rate of her proxy group is flawed.[615] A historical average of actual or real GDP growth may not be reflective of the growth prospects of the proxy group holding companies. The use of a historical GDP growth rate along with expected inflation as a long-term future growth rate for utility stocks also ignores changes that might be occurring with each proxy group members' common stock.[616] Simply put, we do not

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611 T. 3167.

612 T. 3168.

613 T. 3168.

614 T. 3168.

615 T. 3174 – 3175.

616 T. 3174 – 3175.

consider her use of the historically-derived actual or real GDP as the long-term growth rate to be appropriate because historical growth rates measure time periods that encompass far different circumstances relative to current economic conditions.

In contrast, Staff's use of a 4.64 percent long-term growth rate is closer to the forward-looking GDP estimate by the Blue Chip Economic Indicators (BCEI) publication. The BCEI publication reflects the forward-looking consensus estimate of nearly 50 of the financial community's prominent economists.[617] Thus, Staff's average long-term growth rate of 4.64 percent is a more comparable estimate to the 4.0 percent Blue Chip Economic Indicators nominal GDP growth rate, while Ms. Bulkley's 5.56 percent long-term growth rate is approximately 40 percent higher than the BCEI forecasted nominal GDP growth rate.

The excessiveness of her estimate of long-term GDP growth, specifically, the use of the historically-derived real GDP as the long-term growth rate is inappropriate because historical growth rates are necessarily measured over a subjective time period, and in this instance, one that incorporates far different circumstances than exist today. Historical average growth rates by their very nature completely ignore economic conditions today.[618]

Another area of Staff's concern relates to Ms. Bulkley's use of the extended version of the Internal Rate of Return (XIRR) in her DCF analyses versus the Commission's preferred use of the regular IRR as used in our model. Her use of the XIRR overstates her mean DCF result of 9.20 percent for her Combined Utility Proxy group by approximately 15 bps, we well as the mean DCF result of 9.04 percent for her Natural Gas Proxy Group by approximately 14 bps.[619]

In her rebuttal, Ms. Bulkley made three arguments to justify her use of the XIRR. First, she argues that Staff's DCF analysis inappropriately relies on the regular version of Excel's internal rate of return (IRR) formula that "cannot take into account the timing of quarterly dividend payments when applied to annualized calculations."[620] Second, she argued that "[i]f Staff were correct that the IRR function adequately reflected the timing of cash flows available

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617 T. 3175.

618 T. 3174.

619 T. 3177.

620 T. 5098.

to utility investors, then the IRR and XIRR functions should return consistent results." She continued by arguing that "[t]he fact that there is a material difference in the results produced by both functions illustrates that Staff's assessment is incorrect."[621] Yet, Ms. Bulkley's own DCF Excel worksheet calculations contradict her assertion.[622]

Staff believes that Ms. Bulkley's Excel worksheet mismatched her DCF dividend cash flow projections that overstated her DCF results. Using ALLETE as an example indicative of all the companies in her proxy group Ms. Bulkley's estimated annualized dividend per share as of February 28th, 2019 was $2.35 and her estimated average annual growth rate for the first stage is 4.75 percent and the forecasted dividend one year from February 28th, 2019 is $2.46 (i.e. $2.35*(1+4.75%).[623] Surprisingly, Ms. Bulkley's Excel worksheet shows that the timing for the $2.46 dividend cash flow was dated August 31, 2019 which is approximately six months later than February 28th, 2019, which demonstrates a mismatch of both cash flow and timing.

Staff believes that the correct date for the timing of the $2.46 dividend payment should have been February 28th, 2019 not August 31st. Were Ms. Bulkley to properly account for the timing of the dividend cash flows, her DCF results would have produced results consistent with the results of the regular IRR.

On cross-examination, the Companies attempted to justify their use of the XIRR by asking the Staff Finance Panel that if a rational investor is given the option of being paid $100 lump-sum dividend once per year and another option of quarterly dividends of $25 which on an annualized basis is equal to the $100, which of these two options will a rational investor choose.[624] As indicated in our response, a rational investor would be indifferent because a company which pays dividends on quarterly basis has less use of the earnings to create growth, thereby reducing the company's sustainable growth that in turn results in reduced investor's required return.[625] Moreover, as explained during the Evidentiary Hearing, this is not the first time that Companies' ROE witnesses have argued that Staff annual dividend DCF model ignores

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621 T. 5099.

622 Ex. 160.

623 T. 5007; Ex. 160, p.1.

624 T. 3338 - 3339.

625 T. 3339.

time value of money and the Commission has rejected such argument in the past.[626] In Case 08-E-0539, involving Con Edison, the Commission stated:

> [t]he Company replies that insistence on use of an annual dividend would have us improperly ignore the time value of money and bond math… [w]e are not adopting the judges' recommendation that our DCF estimates reflect the payment of dividends quarterly rather than annually at the end of each year. Any extra return to be achieved on account of quarterly dividend reinvestment will be achieved by those who actually reinvest all their dividends in the Company's stock. Any additional allowance would be duplicative for those who actually reinvest dividends and unnecessarily generous to those who do not. Accordingly, the Company's proposed 20-basis point upward adjustment to our DCF results is rejected. [627]

Acknowledging that both Staff and the Commission have consistently relied on the regular IRR in DCF-based ROE calculations in both litigated and negotiated cases, we recommend that the Commission reject Ms. Bulkley's use of the irregular internal rate of return in her DCF calculation and adopt Staff's DCF methodology.

b. Staff's DCF Methodologies

Staff's DCF model which has its roots in the Recommended Decision (RD) of the Generic Finance Proceeding and Commission precedent, which adopts a two-stage model, explicitly recognizing that short-term growth expectations do not necessarily equal long-term growth expectations.[628] The first stage of Staff's model uses Value Line near-term dividend estimates to derive a short-term dividend growth rate, while the second stage is based on a calculation of a sustainable growth rate, derived from both internal and external growth rates using Value Line three-to-five year estimates of earnings per share, dividend per share, book value per share, and amount of common stock outstanding for each of the proxy group companies. [629] This data is used to estimate the dividends that can be expected for each company in the future, then the discount rate (return) required to turn the stream of expected

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626 T. 3341.

627 08-E-0539, Con Edison – Electric Rates, Order Setting Electric Rates (issued April 24, 2009), p. 125 (2009 Con Edison Rate Order).

628 91-M-0509, Proceeding on Motion of the Commission to Consider Financial and Regulatory Policies for New York State Utilities.

629 T. 3139.

dividend payments into the current stock price is calculated.[630] Given the prominence of the DCF methodology in cost of equity determinations in general, the most critical element is the assumed dividend growth rate for the long term.

Staff presents the same DCF analysis the Commission has accepted in all fully litigated rate proceedings over the past 20 years, predicated on the fundamentally-sound and internally consistent concept of sustainable growth that has been favored by the Commission for decades. Staff's two-stage DCF methodology yields a cost of equity estimate of 8.22 percent.[631]

The Companies argue that Staff's DCF model has shortcomings. The Companies claim that Staff's sustainable growth rate is short-term in nature and that the sustainable growth rate is circular. The Companies contention that Staff's sustainable growth rate is short-term in nature is misguided. Staff's sustainable growth rate projects sustainable growth for 195 years.[632]

Moreover, consistent with the Commission's practice of ascertaining the reasonableness of the sustainable growth rate, Staff compared its 4.64 percent sustainable growth rate with the 4.0 percent long-range consensus growth rate in nominal GDP.[633] While Staff's sustainable growth rate is somewhat optimistic, it is far closer to the nominal GDP than the 5.56 percent long-term growth rate estimated by the Companies.

In their rebuttal, the Companies also argued that Staff's sustainable growth rate is circular because it relies on Value Line's 2023 forecasted ROE to determine Staff's long form DCF results. To support her argument, Ms. Bulkley stated that Staff's average 11.14 percent expected ROE for 2023 is inconsistent with its 8.22 percent DCF average result.

Staff rejects Ms. Bulkley's argument because the retention growth component of Staff's sustainable growth calculation relies on a prediction of expected future earned rates of return on common equity for a proxy group composed of mainly holding companies owning both regulated and unregulated business and therefore it is expected that the holding companies in the proxy group will gain additional earnings from these unregulated operations. Moreover, given that the market-to-book ratio of Staff's proxy group is greater than one, it is expected that the expected return on common equity will be greater than the allowed return on common equity.

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630 T. 3138.

631 T. 3138.

632 T. 3272.

633 T. 3142.

Furthermore, the issue of rate of return on common equity circularity has been raised by some company cost of equity analysts in a number of cases. In each of them, the Commission has rejected companies' argument. For instance, in Case 08-E-0539:

> We remain unconvinced by the Company's basic contention that, endorsed by the judges that it is unreasonably circular to assume a cost of equity to estimate retention growth to estimate the cost of equity…. forecast of future earnings used to project growth will consider the return that investors expect regulators to allow, those earnings forecasts will also reflect investor expectations about a wide variety of other factors unrelated to the cost of common equity.[634]

Staff's DCF methodology is consistent with the Commission's precedent and the Companies arguments against the Staff's DCF approach have repeatedly been rejected by the Commission, therefore, we urge the Commission to reject the Companies' contention and adopt Staff's methodology and analysis.

4. Capital Asset Pricing Model (CAPM)

a. Companies' CAPM Methodologies

Ms. Bulkley's CAPM results range between 9.96 percent to 11.55 percent with a mean of 10.87 percent. Ms. Bulkley provided a total of 24 CAPM-derived ROE estimates for her Combined Utility and Natural Gas proxy groups using the same CAPM methodologies that we employ. Ms. Bulkley calculated 12 ROEs using the traditional CAPM methodology and 12 ROEs using the zero-beta CAPM methodology, using two different beta sources in combination with three different risk-free rate estimates for each version of the CAPM.[635] We have three principal concerns regarding Ms. Bulkley's CAPM analysis: 1) relating to her derivation of a 13.77 percent market return, 2) her beta determinations, and 3) her risk-free rate. Collectively, the impact of these infirmities is an overstatement in her cost of equity estimate of approximately 200 bps.[636] Ms. Bulkley employed a 13.77 percent long-term growth rate to estimate the market return in her CAPM. The primary flaw contained in the market return estimate is that the derivation relies entirely upon a constant growth DCF analysis of the S&P 500.

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634 2009 Con Edison Rate Order, p. 126.

635 T. 3186.

636 T. 3188.

As Staff acknowledged, Ms. Bulkley cited the FERC approach to support some of her positions, however, she could have equally considered the FERC's proportionate weighting of short-term and long-term growth rate to check the reasonableness of her 13.77 percent derived market return. Ms. Bulkley's market return should be 11.37 percent, which is 240 basis points lower.[637] Missing anywhere in the Companies' analysis is such verification.

Staff also contests, the Companies' risk-free rate as it does not adequately reflect investors' investment horizon. Ms. Bulkley calculates the risk-free rate using a three-month average of the 30-year Treasury yields for a recent three-month period at 3.05 percent, based on the average of December 2018 to February 2019 yields, a near-term projected 30-year Treasury yield for the five forward-looking quarters Q2-2019 through Q2-2020) at 3.28 percent, and the long-term projected 30-year Treasury yield for the period 2020-2024 at 3.90 percent.[638] The expectation that all utility equity investors have a 30-year investment time horizon is inappropriate because it fails to recognize that investors have both intermediate and long-term horizons, thus the Companies' claims are not aligned with the Commission's preference to preferred average of 10-year and 30-year Treasury yields. Moreover, one needs to look no further than the Companies debt portfolios consisting of only 10-year and 30-year long-term debt obligations supporting the Companies own rate bases to understand that investors' have different time horizons.[639] Therefore, Staff believes that averaging the 10-year and 30-year current Treasury yields is appropriate and consistent with the Commission's approach.

b. Staff's CAPM Methodologies

Staff employed both the "traditional" and "zero-beta" CAPM methods, albeit with different inputs than the Companies. Staff's resulting risk-free rate is the average of 10-year and 30-year Treasury bond yields. For the three months ended June 30, 2019, the average rate was 2.55 percent.[640] Staff utilized only Value Line betas because of their superiority which is based upon a reasonable estimation period of five years as compared to the 10-year estimation period

637 T. 3186 – 3287.

638 T. 3186 - 3287.

639 T. 3195.

640 T. 3145.

used by Ms. Bulkley for Bloomberg's betas.[641] While a 10-year estimation period contains more data points, Staff believes that a beta estimated over a longer estimation period is more likely biased. A 10-year estimation contains more, possibly irrelevant historical observations including results related to dissimilar circumstances. This may include events related to corporate restructuring or industry transformation which may not represent the level of earnings volatility expected in the future.[642] Thus, a shorter estimation period is more reasonable.

The average Value Line beta of Staff proxy group is 0.61.[643] Staff used the market return estimate provided by Merrill Lynch as published in its monthly Quantitative Profiles, which is reliable, publicly available, and also a highly respected source.[644] The Merrill Lynch report uses a multi-stage dividend discount model ("Implied market return") and a CAPM ("Required market return") to calculate an expected return for the S&P 500 each month. Staff stated during the evidentiary hearing, using a multi-stage DCF approach to determine the market return is superior to the single-stage DCF-derived market return utilized by Ms. Bulkley.[645] The risk-free rate is then subtracted from the market return estimate to arrive at the market risk premium (MRP). The three-month average market return estimate as of June 2019 is 10.88 percent. Subtracting our 2.55 percent risk-free rate results in a MRP of 8.33 percent.[646] This method of calculating a MRP has been used by the Commission in several litigated rate cases, most recently in Case 16-G-0257 involving NFGD.[647] Using the inputs described, Staff calculated a traditional CAPM of 7.63 percent and a zero-beta of 8.44 percent. The average of the traditional CAPM and the zero-beta CAPM results is 8.04 percent.[648]

We recommend the adoption of Staff's CAPM methodology when determining the appropriate ROE to use in the calculation of the overall cost of capital for the Companies. As discussed earlier, Staff's inputs for the MRP, the risk-free rate, and beta source are reasonable.

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641 T. 3191.

642 T. 3133.

643 T. 3145.

644 T. 3147.

645 T. 3289.

646 T. 3147; Ex. 442.

647 2017 NFGD Rate Order, pp. 52-53.

648 T. 3151; Ex. 443.

Additionally, Staff's methodology has been upheld by the Commission most recently in Case 16-G-0257, and the Commission's adoption of Staff's methodology in that case was and is an explicit rejection of Ms. Bulkley's CAPM approach.[649] As stated in the Order:

> [T]he Commission has repeatedly affirmed certain key elements of the methodology we use in determining the appropriate cost of equity to be included in rates. Those elements consist of the application of Discounted Cash Flow (DCF) and Capital Asset Pricing Model (CAPM) analyses to a representative proxy group of utility companies; the use of a two-stage DCF computation with inputs derived from Value Line; the basing of CAPM results on an average of the outcome from standard and zero-beta models with a risk-free rate based on Treasury bonds, market risk premium provided by Merrill Lynch's Quantitative Profiles, and betas taken from Value Line;…"

We believe the Commission should continue its long-held policy of adopting Staff's methodology.

c. DCF/CAPM Weighting

Staff recommends that the Commission adopt its relative weighting of the CAPM and DCF as it is the appropriate weighting of the CAPM and the DCF results. The Companies argue that "…it is reasonable to apply equal weighting to the DCF and CAPM methods when determining the ROE for the Companies" because: 1) of the effect of the Federal Reserve monetary policies on market conditions and its corresponding impact on utility stock valuations, 2) other utility regulatory bodies' recent response to the alleged impact of current capital market conditions on the DCF model, and 3) of market expectations of higher interest rates. Ms. Bulkley concludes that the DCF method is producing ROE results that are significantly lower than the results derived from her CAPM calculations, and therefore, it is reasonable to place less reliance on the DCF results.[650]

Staff has demonstrated that utility stock valuations in terms of market-to-book ratios (MBRs) and Price-to-Earnings ratios (P/E ratios) over the past nine years, are generally valued lower than they were in the three-year period preceding the 2008 financial crisis. The significance of that timeframe is that it was a time period well before the Federal Reserve had begun its Quantitative Easing, and yet the market experienced MBRs even higher than they are

[649] 2017 NFGD Rate Order, p. 53.

[650] T. 3196.

today. Therefore, Ms. Bulkley's contention that utility stock prices are extraordinarily high specifically because of the Federal Reserve's monetary policies is misguided.[651]

Ms. Bulkley's second point that other utility regulatory bodies like the Illinois Commerce Commission, the Pennsylvania Public Utility Commission, and the Missouri Public Service Commission have all recognized the understatement of the DCF is misleading and further demonstrates the selection bias shown throughout her analyses.[652] Further, the opinion of another regulatory bodies should not trump the Commission's own decision-making in setting rates for New York State utilities. Staff is not compelled by the Companies' reliance on a biased argument to abandon its approach. Similarly, we do not recommend, nor should the Commission be persuaded to deviate from its long-standing approach.[653]

Concerning Ms. Bulkley's third point that interest rates are expected to increase, this assumption is simply not supported by facts. We find no indication that the Federal Reserve is likely to increase interest rates in the near term as claimed by Ms. Bulkley. In fact, the Federal Reserve cut interest rate on July 31, 2019, by 25 basis points, for the first time since December 2008. In total, the Federal Reserve cut interest rates three times in 2019. It is unlikely based on the current economy interest rates will increase during the Rate Year.

Regarding Ms. Bulkley's contention that the DCF and the CAPM should be accorded equal weight because the DCF method is currently producing ROE results that are significantly lower than the results of the CAPM, Staff believes the argument is not persuasive because Staff has demonstrated that Ms. Bulkley's DCF results are not understated. Yet, Ms. Bulkley employs a methodology that yields such an egregiously high market return in her CAPM analysis, it is not surprising that her DCF analysis yields a lower ROE determination. Such a finding would not be the case if Ms. Bulkley's CAPM analysis employed reasonable assumptions such as included in Staff's analysis. Under Staff's cost of equity model, the 8.04 percent CAPM result is currently lower than the 8.22 percent DCF result.[654]

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651 T. 3197.

652 T. 3198

653 T. 3199.

654 Ex. 437.

Staff also cited three cases in which other utility company witnesses raised concerns about the weighting accorded the DCF and argued for equal weighting of the DCF and CAPM when the market-to-book ratio exceeds one or when the DCF was producing lower results than other methodologies the witnesses were advocating. In all the cases that we reviewed, the Commission repeatedly affirmed its preference for the two-thirds and one-third weighting of the DCF and CAPM.[655]

Most importantly, the Commission has affirmed the proportionate weighting of the DCF and the CAPM when the utility stock valuations and dividend yields were similar to current levels. In Case 16-G-0257, the Commission summarily rejected equal weighting of the CAPM and DCF results, instead accepting Staff's position. The Commission stated:

> NFGD argues …that the DCF should be weighted no more than the CAPM when determining an appropriate return on equity. We have already affirmed our continued 1/3 CAPM and 2/3 DCF weighting to arrive at our ROE results, based on the fact that we view the DCF methodology as superior to the CAPM. We have explained this preference repeatedly in past orders, and we see no need to deviate from that viewpoint at this time.[656]

Therefore, we believe that Ms. Bulkley has not presented any new evidence that would compel the Commission to reject its long-standing policy of a two-third and one-third weighting of the DCF and CAPM. The Commission should reject Ms. Bulkley's approach as it has done so numerous times before.

5. ROE Recommendation

a. Companies' ROE Request

In this proceeding, the Companies are seeking a 9.65 percent ROE for the rate year. The Companies' ROE request of 9.65 percent was selected from the low end of a range of twelve cost of equity estimates that were generated from DCF and CAPM methodologies utilizing a natural gas proxy group and a combined utility proxy group.[657]

Staff has already pointed out the principal flaws in Ms. Bulkley's methodologies, specifically, the inappropriate market risk premium used in her CAPM approach, the inadequate

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655 T. 3201 - 3202.

656 2017 NFGD Order, p.56

657 T. 3157.

sample size of the Natural Gas Proxy Group, the selection criteria relating to net operating income, analyst coverage, and generation MWH sales, the inappropriate use of the extended version of the Internal Rate of Return (XIRR) in her DCF analyses, the use of an excessive growth rate in her long run growth rate, as well as the excessive growth rates she uses in the first stage of her DCF analysis.

As Staff explained, the combined effect of correcting the flaws in Ms. Bulkley's DCF and CAPM approach including the inappropriate use of the extended version of IRR, rely on only the Value Line betas, and weight her DCF and CAPM results at two-thirds and one third, respectively necessitates a reduction of 131 basis points from 9.71 percent mean results to approximately 8.40 percent.[658]

Staff also notes that Ms. Bulkley did not account for the various risk-reducing mechanisms and additional earnings potential associated with the Companies' proposed Earnings Adjustment Mechanisms (EAMs) in her 9.65 percent ROE recommendation.[659] Absent inclusion of such mechanisms in an analysis, it is very likely that Companies' results overestimate the cost of equity for the Companies.[660]

b. Staff's ROE Results

Staff recommends an 8.2 percent ROE based on a two-thirds weighting of our DCF result and a one-third weighting of our CAPM result. While Staff's recommended ROE of 8.2 percent is below the national average return on equity authorizations, it is important to consider that, as described by Ms. Bulkley, the authorized ROE should afford the Companies an opportunity to earn an ROE commensurate with the return on equity for investments in enterprises having comparable risks.[661] To that end, Staff asserts that its methodology, which relies on a sound, time-tested financial analysis of a proxy group of electric utility holding companies whose risks are comparable to the Companies, produces just such a result.

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658 T. 3203.

659 T. 3407.

660 T. 3211 - 3213.

661 T. 4957, 5087.

First, Staff's recommended ROE is reasonable in light of the current interest rate environment.[662] Second, it is consistent with investor's expectations of ROEs in New York.[663] Third, it is sufficient to balance the interest of both ratepayers and Companies' investors interest by having the lowest cost of capital for an acceptable level of risk without sacrificing service quality.[664] Finally, fourth, it provides the Companies the ability to access the credit market at reasonably priced interest rates.[665] These four points will be discussed in turn.

Concerning our first point, as of the time of our analysis and throughout the period including the Evidentiary Hearing Staff believes that current interest rates are extremely low by historical standards. By comparison, the interest rate environment when the Commission approved the Companies' current rate plans' 9.0 percent ROE in December 2016 was modestly higher.[666] At that time, "A-"/"A3" and "BBB"/"Baa1" rated public utility debt obligations were yielded approximately 4.45 percent and 4.62 percent, respectively. Currently, as of January 2020, the respective average yields on "A-"/"A3" and "BBB"/"Baa1" rated public utility debt instruments are yielding 3.39 percent and 3.50 percent, respectively. These rates are approximately 105 and 112 basis points lower. Further, utility stocks tend to perform better in a low interest rate environment, and these realities are captured in Staff's DCF methodology which incorporates current stock market data.[667]

With respect to investor ROE expectations, it is reasonable to assume that equity investors derive their expectations for utility stocks informed by the approach used by each state commission to determine allowed ROEs for utilities operating in that particular regulatory jurisdiction. As Staff clearly states rational investors would not expect the Commission to authorize an ROE approximating the Companies' 9.65 percent requested ROE.[668] Rather, rational investors, well aware of the Commission's preference for a formulaic approach to determine the cost of common equity and its preference for establishing rates over a multi-year

662 T. 3226.

663 T. 3154.

664 T. 3115.

665 T. 3126.

666 T. 3154.

667 T. 3183.

668 T. 3155.

period, would expect an ROE below the Companies' current authorized 9.0 percent ROE. Reasonable investors would expect this lower ROE for a multi-year rate plan and would expect an ROE approximating 8 percent for a one year of Rates. This expectation is further evidenced by Moody's Credit Opinion December 30, 2019 reports, concerning KEDNY and KEDLI. In the report, Moody's states, "[g]iven the relatively mechanistic, and well-established, approach followed by the NYPSC to setting RoE, we expect KEDNY (and KEDLI)'s base RoE to be below 9 [percent]."[669]

In addition, Commission's policy for utility regulation incorporates many critical elements that bolster a utility's ability to achieve its authorized return on equity. For instance, Commission relies upon a fully forecasted test year to determine revenue requirement, which recognizes changes in revenues and expenses expected through the end of the rate year. The Commission also generally allows for a high level of expense reconciliation for such material cost items such as environmental remediation costs and pension and OPEB expenses. The Commission has implemented a purchase power adjustment clause that allows full and timely recovery of this large and volatile cost element. Many other jurisdictions do not incorporate these mechanisms into their utility rate plans. For overall blanket-type protections, New York State, unlike most other states, allows utilities to request deferral accounting for material items actually incurred but not provided for in the base forecasts. In addition, New York State allows utilities to revise their rate filings during the suspension period for known and material changes.[670]

It is also important to note that in light of curtailing of natural gas expansion in the Companies' service territories, the Companies' request to switch to a revenue per class RDM would offer the Companies greater protection from a decline in sales.[671] In addition, New York utilities are no longer exposed to the relatively higher risks associated with generation.[672] There are, therefore, ample protections in place to support a more modest return to meet the expectations of New York utility investors.

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669 Ex. 657, 658.

670 T. 3209.

671 T. 3156.

672 T. 3208.

In their rebuttal, the Companies downplay the risk-reducing mechanisms in New York by stating that "KEDNY has under-earned relative to its authorized return on equity in four of the last five years…KEDLI has under-earned relative to its authorized return on equity in three of the last five years. While both Companies' achieved returns have recovered in 2018, this sustained historical under-earning casts doubt on Staff's claim that the suite of regulatory mechanisms available in New York insulate the Companies from financial risk."[673] While Staff recognizes that a number of the Companies' proxy group companies have risk reducing mechanisms, not all have such mechanisms. Yet, it is reasonable to argue that, on average, KEDNY and KEDLI have greater and stronger risk-reducing mechanisms than the companies in the Companies' proxy group. While Staff has not attempted to quantify a specific adjustment, we believe that it is appropriate for the Commission to take these risk-reducing mechanisms into consideration in their ROE determination.

The Companies also attempt to lay blame upon New York State and the Commission for the Companies "Negative" outlook placed on them by Moody's.[674] Staff deftly acknowledged recent S&P reports which identified that it is the Companies who ultimately bear responsibility for the negative outlook. In the report published on February 18, 2020, S&P stated for both KEDNY and KEDLI:

> We view the company as somewhat less effective at managing the political and regulatory risks in New York compared to peers. While the company reached an agreement with the state shortly after the letter was sent that released it from claims that its franchise or license be revoked in connection with the moratorium, the recent events have led us to believe that National Grid will need to reestablish a trusting relationship with its key stakeholders in the State in order to effectively advance its strategy for all of its New York subsidiaries consistent with how it has done so in the past. As such, we view BUG's [management of regulatory and political risks in the state as currently being somewhat weaker compared with its peers, which is consistent with our use of a negative comparable ratings analysis modifier in determining the stand-alone credit profile on the company.[675]

S&P's report concerning KEDLI stated the same conclusion.[676]

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673 T. 5123.

674 T. 3510; Ex. 657, 658.

675 Ex. 662.

676 Ex. 663.

Staff's ROE and capital structure recommendations balance the interest of both ratepayers and the Companies' investors by having the lowest cost of capital for an acceptable level of risk without jeopardizing service quality.[677] Adoption of Staff's resulting overall cost of capital recommendation will save ratepayers $49 million for KEDNY and $31 million for KEDLI on a pre- tax basis.[678]

Upon cross-examination, the Companies probed whether Staff would recommend an enhanced or greater ROE should the Companies be downgraded. Staff responded by saying that in the event of a downgrade, Staff does not expect anything more than a one-notch downgrade given the rating history of the Companies and an enhanced ROE will not be reasonable given the fact that a one-notch downgrade of the Companies to "BBB+"/"Baa1" will be the same as the average credit rating of Staff proxy group.[679] For these reasons, Staff does not believe the Commission should attribute any additional uncertainty or risk to the Companies and therefore any enhancement or enlargement of the Companies' ROE is unnecessary. Staff continues to recommend its ROE of 8.2 percent.

Finally, we believe that our overall cost of capital recommendation will provide the Companies the ability to access the credit market at reasonable rates. This will be further elaborated in our credit metric section.

Staff's recommended ROE is 8.2 percent, this ROE will afford the Companies an opportunity to earn an ROE commensurate with the return on equity for investments in enterprises having comparable risks.[680] To that end, Staff asserts that its methodology, which relies on a sound, time-tested financial analysis of a proxy group of electric utility holding companies whose risks are comparable to the Companies, produces just such a result.

6. Impact of COVID-19 and Oil Price Decreases on Cost of Capital

The Commission consistently updates financial inputs, such as the cost of equity, to reflect the most recently available data in litigated cases. For example, in Case 16-G-0257, the Commission adopted an ROE based on financial data refreshed just prior to their decision to

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677 T. 3110.

678 T. 3092.

679 T. 3336 - 3337.

680 T. 4957, 5087.

reflect investor's latest expectations and likely interest rate changes.[681] The Commission performed similar updates in Case 08-E-0539 and Case 10-E-0362.[682] In this case, Staff offers that the Commission may choose to update, using Staff's methodology, various inputs to inform its decision on Return on Equity (ROE). Above, we urged the Commission to adopt our methodology and the resulting 8.2% ROE because it provides sufficient returns and represents un-biased results as compared to the Companies' methodology.

Yet, current market conditions are presently in stark contrast to those relied upon in Staff's case, due to the global COVID-19 pandemic and decreasing oil prices, which are not reflected in Staff's or the Companies' analyses.[683] Staff's ROE model incorporates data over a three-month period. Thus, should the Commission chose to authorize an ROE that reflects the most up to date estimate of investors' return requirements, the Commission will have the necessary three months of data, at the very earliest, on or about May 15, 2020. In the month of May, data including Merrill Lynch's market returns, Value Line data, Treasury yields, and the three-month average stock prices for the proxy group, i.e., the financial data needed to run the cost of equity update, will be available.

Inclusion of updates to the financial inputs in Staff's methodology are distinguishable from the need to include broader updates to the Companies' proposed rates. In recent litigated rate cases, Administrative Law Judges have consistently evaluated updates at the time of the recommended decision. More importantly the Commission has performed, reviewed, and adopted updates at the time it has rendered its decision. While the Commission has a natural disinclination toward the inclusion of changes, especially those received late in a proceeding, this data is neither speculative nor is it conjectural. As described above, in May concrete, objective data will be available to perform a reliable updated analysis. Assuming the Commission issues its rate order in these proceedings in July 2020, at the time the Commission renders a decision, an additional two months of data will be available. The financial data the ALJs and the Commission would need to calculate an updated ROE is the very same data that Staff used to

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681 2017 NFGD Rate Order, p. 55.

682 2009 Con Edison Rate Order, pp. 116-117; Case 10-E-0362, Orange and Rockland Utilities, Inc. – Electric Rates, Order Establishing Rates for Electric Service (issued June 17, 2011) (2011 O&R Rate Order), p. 77.

683 Wall Street Journal Article titled "Stocks Drop, But Finish the Week With Big Gains" by Karen Langley, Avantika Chilkoti and Chong Koh Ping, published on March 27, 2020.

formulate its analysis presented in the testimony filed in these cases, just of a more recent vintage. The update contemplated here addresses discreet aspects of the case and has readily quantifiable impacts. There is no need to conjecture as to how to incorporate the results of the analysis. There is no need to speculate as to the results as there are reliable inputs upon which the analysis and the results are based.

Concerning the equity market itself, the Volatility Index (VIX) also known as "Fear Index" created by the Chicago Board Options Exchange, which provides a measure of equity market risk and is indicative of investors' sentiments. Historically, the VIX has averaged around 22, and a relatively high number reflects increased uncertainty, volatility, risk and investors' fear. In late February, the index first began to rise noticeably over concerns related to COVID-19. It rose from around 17 at the time, peaked at 82.69 by the middle of March, and has since moderated somewhat, but still stands at a relatively high 57.41 as of March 30, 2020, which represents a dramatic increase in the so called fear index of approximately 260% since investors first began to reflect upon the potential impacts related to the COVID-19 outbreak.

In terms of the impact on stock prices overall and utility shares in particular, the S&P 500 is down around 21.3% since February 21st, and the Dow Jones Utility Index is down approximately 17.3%.

Concerning the debt market, investors current yield requirements have increased, which indicates an increasing degree of uncertainty regarding the health of the overall economy and the increase in perceived risk even for some of the most reliable corporate financing issuers. Staff is tracking these yield requirements. For two consecutive periods, the first covering February 21, 2020 to March 9, 2020, US Treasury yields and the yield requirements of public utility bond investors dropped. The yield on the 30-year US Treasury bond fell approximately 90 basis points, from 1.90% to 0.99% while the yields on seasoned public utility debt obligations fell from 3.05% to 2.63% for "A" rated, and from 3.37% to 3.06% for "Baa" rated debt. The change in those yields represent an increase in spread requirements (yield minus Treasury yield) of 115 basis points to 164 basis points for "A" rated utility debt, and from 147 basis points to 207 basis points for "Baa" rated utility debt. For the second period covering March 9, 2020 to March 23, 2020, however, Treasury yields have trended slightly higher in anticipation of large Federal stimulus spending: the 10-year Treasury yield rose from 0.54% to 0.76% and the 30-year yield increased from 0.99% to 1.33%.

Public utility debt yields on the other hand, have increased considerably: "A" rated debt which traded at 2.99% in late February, increased to 4.12% by mid March; for "Baa" rated debt, the increase went from 3.31% to 4.74%. As of late March, the yields have receded somewhat, and as of March 30, 2020 stood at 3.71% and 4.36%, for "A" rated and "Baa" rated utility debt respectively. Many investors expect the recent market volatility to persist given the challenges in getting the COVID-19 pandemic under control, the difficulty in resolving the oil price war raging between Saudi Arabia and Russia, and market reaction to the emergency measures put in place by the Federal Reserve and the US lawmakers, including the stimulus package designed to dampen the economic impact of the COVID-19 pandemic.

In consideration of this stark change in circumstances in financial markets and relative uncertainty due to the COVID-19 outbreak and oil price decrease, Staff recommends that the Commission update the inputs to Staff's cost of equity methodology using the most recent financial data available. The very earliest that such data will be available is May 15, 2020. Further, consistent with Staff's recommendations in these proceedings, and for the reasons discussed in this section, the Commission can choose to update the inputs at the time it makes its decision in these proceedings. These prospective updates, should the Commission choose to pursue them, will enable the Commission to tailor the Companies' ROE to evolving economic conditions to provide sufficient returns based on these changed conditions.

7. Rate of Return/Cost of Capital

Staff recommends an overall after-tax rate of return of 6.08% for KEDNY as opposed to KEDNY's request of 6.76%. On a pre-tax basis, our recommended overall rate of return is 7.58% compared to KEDNY's request of 8.53%. The difference between Staff's recommended rate of return and KEDNY's is attributable to a reduction in the ROE from 9.65% to 8.20%. In terms of revenue requirement, the difference between Staff's and KEDNY's pre-tax rate of return (PTROR) and after-tax rate of return (ATROR) account for approximately $49.0 million and $34.0 million, respectively.

For KEDLI, Staff recommends an overall after-tax rate of return of 6.04 percent for KEDLI, as opposed to the Company's request of 6.74 percent. On a pre-tax basis, our recommended overall rate of return is 7.54 percent compared to KEDLI's request of 8.51 percent. Similar to KEDNY, the difference between our recommended rate of return and

KEDLI's is attributable to a reduction in the ROE from 9.65 percent to 8.20 percent. The difference between Staff's and KEDLI's PTROR and ATROR account for approximately $31.4 million and $22.8 million, respectively. For KEDNY, 10 basis points in ROE is worth approximately $3.3 million and 100 basis points in equity ratio is worth approximately $5.0 million. For KEDLI, 10 basis points in ROE is worth approximately $2.1 million and 100 basis points in equity ratio is worth approximately $3.1 million. We accept the same 48% common equity ratio proposed by the Companies, and we posit that our recommended 48 percent common equity ratio together with our 8.2 percent return on equity recommendation will support the Companies financial integrity.[684]

Staff demonstrates that its recommended ROE of 8.2 percent when combined with our recommended 48 percent common equity ratio is sufficient to balance the interest of both ratepayers and Companies' investors' interest by having the lowest cost of capital, maintaining the Companies current credit ratings and providing the Companies access to the credit market at reasonably priced interest rates. Even if the Companies are downgraded by Moody's to "Baa1", the yield spread between the Companies current "A3" rating and "Baa1" has reduced considerably from about 20 basis points in 2019 to about 10 basis points as of January 2020. Given that 10 basis points in ROE is worth nearly $3.3 for KEDNY and approximately $2.1 million for KEDLI in revenue requirement in the rate year compared to about $2 million for incremental interest cost for the $400 million planned debt issuance for KEDNY in the rate year as well as zero incremental interest cost for KEDLI with no planned debt issuance in the rate year, Staff believes that in an unlikely scenario of a one-notch downgrade by Moody's, ratepayers are better off when compared with the incremental revenues needed to avoid a potential downgrade.

In light of the foregoing, we urge the adoption of our methodology and resulting 8.2% ROE because it provides stable and un-biased results based on publicly available data, compared to the methodology underlying the Companies' requested 9.65% ROE, which relies on questionable data and methods.

[684] T. 3112 – 3114.

B. Capital Structure

The Companies propose to use their stand-alone capital structures and propose ratemaking capital structures that reflect a 48.0 percent common equity ratio, compared to KEDNY's 51.3 percent and KEDLI's 48.9 percent forecasted actual common equity ratios that the Companies are expected to maintain during the rate year. [685] The Companies' rationale to set rates based on a capitalization with a 48 percent common equity ratio is to mitigate the impact of their rate request.[686]

First, the Companies believe that they have implemented strong ring-fencing measures that have been recognized by the major rating agencies. Second, the Companies believe that utility operating subsidiaries of their proxy group have, over the last few years (2014 to 2017), maintained average common equity ratios of more than 8.0 percentage points above the 48.0 percent equity ratio that the Commission approved in the Companies' last rate proceeding. While Staff agrees with the Companies that the rating agencies still view KEDNY and KEDLI as adequately ring-fenced and thus rate the Companies' credit quality substantially on a stand-alone basis, apart from their holding Companies, we do not agree with the Companies approach of using the operating subsidiaries historical equity ratios to support the reasonableness of their 48 percent proposed common equity ratio because a subsidiary common equity balance may not in fact be financed by common equity at the holding company level. Rather, some of the utility common equity balance may instead be proceeds from debt issued at the holding company level and classified on the utility subsidiary's books as common equity at the time the proceeds were invested in the utility subsidiary.[687] Staff believes that the appropriate and relevant equity ratio analysis should be based on the utility holding companies.[688]

Even though Staff does not agree with the Companies' approach of using the subsidiaries capital structure to justify the reasonableness of the 48 percent common equity ratio, our independent analysis using the holding companies capital structures indicates that from 2014 to 2017, the holding companies in Ms. Bulkley's Combined Proxy Group financed their asset

685 T. 3096.

686 T. 3105.

687 T. 3102.

688 T. 3103.

base with an average common equity ratio of 47.89 percent compared to the 56.65 percent for the operating subsidiaries of her Combined Proxy Group for the same period.[689] Therefore, Staff accepts the 48 percent common equity ratio proposed by the Companies.

To determine the capital components separately for KEDNY and KEDLI, we applied the 48 percent common equity ratio to Staff's adjusted earnings base for each company to determine their respective equity components, noting that we accepted the Companies projected customer deposits amounts. After determining their respective common equity and customer deposits components, the residual represents the projected long-term debt of the Companies.[690] Staff demonstrated that our recommended 48 percent common equity ratio together with our 8.2 percent return on equity recommendation will be ultimately supportive of the Companies financial integrity.[691] Despite Staff's acceptance of the Companies' proposed 48 percent common equity ratio, the Companies raised an argument during the evidentiary hearing suggesting the need for a higher common equity ratio in light of Staff's 8.2 percent recommended ROE. Specifically, Staff responded by saying that "the overall cost of capital should be at the lowest level."[692] Lowest level of cost of capital will result in the lowest revenue requirement while providing the Companies an access to the credit market at reasonable rates and Staff's analysis demonstrates that the 48% common equity ratio will result in such regulatory outcome. Therefore, Staff continues to support a 48 percent common equity ratio, and recommend the Commission adopt its recommended ROE of 8.2 percent.

C. Long Term Debt: Forecasting Using Future versus Existing Rates

KEDNY requested a rate year cost of debt of 4.11 percent. Staff identified an error in the calculation of KEDNY's long-term debt cost rate which was acknowledged and accepted by the Company.[693] Therefore, KEDNY's corrected debt cost is 4.14 percent. KEDNY's 4.14 percent cost rate reflects the weighted average cost of its outstanding long-term

689 Ex. 430.

690 T. 3112.

691 T. 3114.

692 T. 3221.

693 T. 3127.

debt as well as a projected 3.83 percent interest rate for a planned $400 million issuance of 10-year senior unsecured debt obligation near the end of the rate year.[694]

KEDLI is requesting a rate year cost of debt of 4.06 percent reflecting its embedded debt cost. KEDLI has no plans to issue any new long-term debt during the link period and the rate year. KEDNY determined the 3.83 percent interest rate for new debt securities by adding a 117 basis points spread associated with KEDNY's recent debt issuance in February 2019 to a 2.66 percent forward-looking rate of US 10-year Treasury for March 1, 2021.[695] Staff disagrees with the Companies' use of forward yield curve to estimate the interest rate associated with KEDNY's planned debt issuance. Consistent with the Commission's approach, Staff recommends using the most recent (e.g., June 2019) 10-year Treasury yield, or 2.07 percent, in combination with the Company's 117 basis points spread to estimate an interest rate of 3.24 percent for KEDNY's proposed new debt issuance.[696] The Companies and Staff agree that whatever interest rates is agreed upon or recommended in this case should be updated based upon interest rates and yield spreads in existence just prior to the Commission's decision.[697] Although we used a 3.24 percent interest rate for KEDNY's projected new debt issuance, the fact that those funds will be raised so late in the rate year, created a diminimis impact on the overall debt cost rate of 4.14 percent proposed by KEDNY. As illustrated in Exhibit 436, we are accepting KEDNY's 4.14 percent cost of debt for the rate year ending March 31, 2021.

D. Credit Metrics

Based on the credit rating methodology guidelines from Moody's and Standard and Poor's, Staff has demonstrated that our recommended 48 percent common equity ratio and 8.2 percent ROE, when combined with other quantitative metrics and qualitative factors produce credit metrics that are generally consistent with the performance required by Moody's and S&P to maintain the Companies' current ratings of "A3" and "A-" respectively.[698] Staff evaluated two core and six supplemental coverage ratios used by Standard and Poor's financial metrics, as well

694 T. 3127.

695 T. 3128.

696 Ex. 436.

697 T. 3128 - 3129, 5252.

698 Ex. 433; T. 3114.

as one core ratio (Cash flow from Operation Pre Working Capital to debt) and three supplemental ratios used by Moody's.[699]

In addition to these financial metrics, Staff relied on Standard and Poor's "Excellent" business risk profile assigned to the Companies as well as Moody's business risk profile assigned to the Companies. Moody's business risk profile analysis, which accounts for 60 percent of their overall indicative grid rating incorporates such factors as: 1) Legislative and Judicial Underpinnings of the Regulatory Framework; 2) Timeliness of Recovery of Operating and Capital Costs; 3) Consistency and Predictability of Regulation; 4) Sufficiency of Rates and Returns; 5) Market Position; and 6) Generation and Fuel Diversity. Each of the six business risk factors are ranked as "Aaa", "Aa", "A", "Baa", "Ba", "B", and "Caa". Given that the Companies are rated by Moody's, we used Moody's qualitative scores for the Companies averaging close to "A3."[700]

In Comparison, the Companies provided Staff their credit metrics analysis.[701] However, the inputs for the Companies' credit metrics were inconsistent with the Companies filing. For instance, the common equity ratios for KEDNY and KEDLI are approximately 63% and 62%, respectively compared to the 48% in their rate year request.[702] In addition, the Net Pension & Other Post-employment benefits (OPEBs) accrual & deferral for KEDNY and KEDLI are negative $1.64 million and negative $4.76 million respectively, compared to positive $47.47 million and negative $36.39 million in the rate filing. Due to such inconsistencies, we recalculated the Companies credit metrics.[703]

One core metric used by Standard and Poor's is Debt to EBITDA., Our recalculation illustrates that the fallout Debt to EBITDA coverage ratio is 5.13x and 4.99x for KEDNY and KEDLI, respectively. This result is in comparison with the 4.86x and 4.53x ratios for KEDNY and KEDLI, respectively.[704] Moreover, our recalculation illustrates that our fallout CFO pre-WC/Debt metric is 19.2% and 13.6% for KEDNY and KEDLI, respectively. In

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699 Ex. 433

700 T. 3118 – 3119.

701 Ex. 424 p.19 – 33 (Response to IR DPS-590).

702 Ex. 424, p. 25, 32.

703 Ex. 433; T. 3120 – 3121.

704 T. 3122.

comparison, the Companies' CFO pre- WC/Debt metric is 21.7% and 15.9% for KEDNY and KEDLI, respectively.[705]

Moody's guidance on whether to pursue a downgrade based upon the CFO pre-WC/Debt metric, concerning the Companies, would require the results to fall below the high teens for a sustained period.[706] While KEDLI's underperformance on this metric is of potential concern, we note that Moody's will often discount performance in the short run particularly if it is related to cash flow impacts that may not be durable.[707] For instance, during fiscal years 2016 to 2018, Moody's CFO pre-WC/Debt core metric for KEDNY dropped below the mid-to-high teens guideline, yet Moody's maintained KEDNY's credit rating until February 22, 2019 when the rating agency downgraded KEDNY's rating to "A3."[708] In an unlikely event that Moody's downgrades KEDLI, there would be no immediate rate impact because the Company has no plans to issue new debt until after the end of the rate year.[709] Therefore, the Companies' arguments against Staff's recommendations are unpersuasive.

E. Earnings Sharing Mechanism

An Earnings Sharing Mechanism (ESM) provides for the sharing of any earnings in excess of a threshold above a company's allowed return on equity. Such a mechanism is useful in two ways. First, by requiring that a portion of such excess earnings be retained for customers, the mechanism helps to protect customers from paying for an excessive return. Second, as shareholders will receive the benefit of a portion of these excess earnings, the structure of the ESM maintains an incentive for a company to increase efficiencies.[710] Staff's recommends that the Commission institute an ESM for the period after the end of the Rate Year. Additionally, we note that the Commission instituted an ESM for the period following the rate year when it last set rates for NFGD.[711]

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[705] T. 3123,

[706] T. 3125.

[707] T. 3124.

[708] T. 3124.

[709] T. 3124.

[710] T. 3581.

[711] 2017 NFGD Rate Order.

Specifically, we recommend that the Commission require the implementation of an ESM for each 12-month period following the Rate Year, i.e., the 12-month period ending March 31, 2022 and so on and so forth. As per Staff's proposal, the ESM would only go into effect in the event the Companies do not file for new rates effective on or before October 1, 2021. By doing so, the Commission can ensure that the Companies' rates remain just and reasonable in the event there are unanticipated consequences that may unreasonably increase the Companies' actual earnings.[712]

Staff's proposed ESM has four bands. For the first band, we recommend that the Companies be allowed to retain 100 percent of earnings up to and including 50 basis points above their allowed ROE. For the second band, defined as earnings greater than 50 basis points above their allowed ROE and up to 100 basis points above their allowed ROE, we recommend that 50 percent of any earnings be deferred for the benefit of customers and the remaining 50 percent be retained by the Companies. For the third band, defined as earnings greater than 100 basis points above their allowed ROE and up to 150 basis points above their allowed ROE, we recommend that 75 percent of any earnings be deferred for the benefit of customers and the remaining 25 percent should be retained by the Companies. For the last band, defined as any earnings in excess of 150 basis points above their allowed ROE, we recommend that 90 percent of any earnings should be deferred for the benefit of customers and the remaining 10 percent be retained by the Companies.[713]

In rebuttal the Companies disagreed with Staff's recommendation to implement an ESM. The Companies argue that ESMs are only a feature of multi-year rate plans, and that the Commission only recently began imposing ESMs in litigated one-year rate proceeding.[714] Further, the Companies' argue that the Commission's adoption of an ESM would be inappropriate and would be "procedurally defective and substantively confiscatory."[715]

The Companies are incorrect and misconstrue the purpose of an ESM. In this case, Staff recommends a ROE to establish just and reasonable rates. The adoption of an ESM is

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712 T. 3581 – 3582.

713 T. 3582.

714 T. 2692.

715 T. 2693.

a necessary control the Companies' earnings for the benefit of its customers should the Companies choose not to file after the Rate Year. The Commission held in Case 16-G-0257, the adoption of an ESM ensures that "savings accrue to the benefit of ratepayers."[716] The Commission went on to reject NFGD's argument that ESMs constitute retroactive ratemaking and are beyond the Commission's authority. The Commission stated the ESM "is but one additional reconciliation mechanism that the Company is subject to post rate year."[717]

Staff concurs with Commission precedent and recommends that the Commission adopt its recommendations concerning an ESM for the Companies. An ESM is a necessary mechanism to ensure customers are protected from any potential over-earnings.

VIII. REVENUE ALLOCATION AND RATE DESIGN ISSUES

A. ECOS Study

The Companies filed Embedded Cost of Service (ECOS) studies following the traditional three step process of Functionalization, Classification and Class Allocation.[718] The Companies used a minimum system study to classify the costs associated with distribution mains since these mains are used both to connect customers to the system and to meet those customers' design day requirements.[719] Through the minimum system study, the Companies allocated the distribution mains costs as part customer-related and part demand-related which resulted in 47.08% and 46.17% classified as customer-related for KEDNY and KEDLI, respectively.[720]

The Companies ECOS studies reflect Rate Year forecasts. Such studies are referred to as pro-forma ECOS studies.[721] The Companies updated their ECOS studies in the corrections and updates filing to reflect updated revenues and revenue requirement as well as a correction to the calculation of the functional labor allocator.[722] The Companies maintained that pro-forma ECOS studies should be used in this proceeding since they reflect the forecasted Rate

716 2017 NFGD Rate Order, p. 61.

717 2017 NFGD Rate Order, p. 61.

718 T. 2649 – 2650, 2744-2745.

719 T. 2653, 2739.

720 T. 2653, 2739.

721 T. 2659, 2745.

722 T. 2716, 2801.

Year costs, which could be different from the historic costs utilized in historic ECOS studies.[723] The Companies noted that the filing of major rate cases means that significant changes are projected and that those changes should be accounted for in the ECOS studies.[724] Additionally, the Companies claim that the ECOS studies are easy to rerun for the final Commission-approved revenue requirements and that it is not possible to measure the revenue allocation movement towards the system average rate of return without using pro-forma ECOS studies.[725]

Staff agrees with the methodology that the Companies used in their ECOS studies, but disagrees the use of pro-forma ECOS studies.[726] Pro-forma ECOS studies can introduce additional errors into the results and should only be used if very large changes in utility operation are projected.[727] These proceedings do not create the potential for such large changes. Absent the need to reflect large changes, Staff disagrees with using pro-forma ECOS studies because that data used in such studies is based on the Companies Rate Year forecasts.[728] Therefore, Staff used the results of the historic ECOS studies provided in the response to IR DPS-504 to guide our revenue allocation.[729] Revenue allocation is discussed in more detail in Section VIII. B.

NYC recommends that the Commission accept the Companies ECOS studies as a guide for revenue allocation since they are reasonable and consistent with past practice.[730] NYC also agreed with the Companies allocation of distribution mains costs as part-customer and part-demand since it is consistent with National Association of Regulatory Utility Commissioners (NARUC) 1989 rate design manual and that distribution mains are used to connect both customers to the system, and provide capacity to meet peak demand.[731] NYC disagreed with UIU's recommendation that mains be allocated 100% to demand since distribution mains have

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723 T. 2814.

724 T. 2815.

725 T. 2815 – 2816.

726 T. 2943.

727 T. 2943.

728 T. 2943.

729 T. 2943.

730 T. 5538.

731 T. 5543.

two primary functions, both to deliver gas to customers during peak demand and to connect customers to the system.[732] Additionally, NYC cited the Commission's decisions in Cases 94-G-0885[733] and 93-G-0162,[734] in which the Commission upheld the allocation of distribution mains costs into both customer and demand components.[735]

UIU recommends that the Companies submit ECOS studies with distribution mains allocated as 100% demand when they next file rate cases.[736] UIU states that ECOS studies require analyst's judgement, which has been controversial over the last 40 years or more, and that the NARUC gas distribution rate design manual recognizes the 100% demand allocation approach.[737] Additionally, UIU is concerned by the Companies using the ECOS studies to determine the revenue allocated to the non-firm demand response SCs and notes that excluding these customers from the ECOS studies gives the Companies more freedom in designing their rates.[738]

Staff supports allocating the distribution mains costs to both customer and demand components for the same reasons stated by the Companies and NYC.[739] UIU did not provide any support for using a 100% demand allocation for distribution mains.[740] However, the Companies did not object to filing ECOS studies with distribution mains costs allocated as 100 percent demand in their next rate cases.[741] While Staff does not recommend allocating distribution main costs as 100% demand, Staff does not object to the Commission requiring that the Companies file additional ECOS studies with distribution mains costs allocated as 100 percent demand, as this will simply provide a more complete record in their next rate proceedings.

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732 T. 5568.

733 Case 94-G-0885, NFGD – Gas Rates, Order (issued August 23, 1995).

734 Case 93-G-0162, Niagara Mohawk – Gas Rates.

735 T. 5570-5571.

736 T. 1329.

737 T. 1362.

738 T. 1374.

739 T. 2653, 2738, 5544.

740 T. 2823.

741 T. 2816.

As Staff stated above, Staff recommends using historic ECOS studies rather than pro-forma ECOS studies. Pro-forma ECOS studies can introduce additional errors into the results of the studies and should only be used if very large changes in utility operation are expected.[742] This is not an issue in these proceedings. In response to IR UIU-20, the Companies compared the differences between the use of historic and pro-forma ECOS studies for KEDNY and KEDLI which indicates that the use of a historic ECOS study would not change KEDLI's revenue allocation, and would produce only a slight change to SC-3 allocation for KEDNY's revenue allocation.[743] With only slight changes to the revenue allocation between the ECOS studies, Staff does not find this sufficient to support the Companies' use of pro-forma ECOS studies. Additionally, the movement towards the system average rate of return when a historic ECOS study is used can be determined in the next rate cases for the Companies. If a pro-forma ECOS study is used, the movement towards the system average rate of return would be determined by the study based on the Rate Year's forecasted rate base, expenses, and revenues associated with each service class and with each change in forecast the study would need to re-run. Thus, Staff recommends continued use of the historic ECOS study as this will be more efficient with similar accuracy.

B. Revenue Allocation

The Companies' intent behind its proposed revenue allocation is to move each service class closer to each system's overall rate of return while mitigating large bill impacts on customer groups.[744] The Companies utilized a 25% tolerance band around the system average rate of return. They allocated a larger revenue increase to classes below the lower band, smaller revenue increases to classes above the band, and the average increase to classes within the band.[745] The Companies present their revenue allocation proposals in Exhibit___(RDP-4) for KEDNY and KEDLI, updated in Exhibit___(RDP-4CU) and later in Exhibit___(RDP-4AR) and Exhibit___(RDP-4BR).

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742 T. 2943.

743 Ex. 563, pp. 5-6.

744 T. 2661, 2746.

745 T. 2662, 2747.

UIU recommends that the Companies use the results of the Companies' pro-forma ECOS studies with distribution mains allocated using minimum system studies and the pro-forma ECOS studies with distribution mains classified as 100 percent demand for revenue allocation.[746] UIU proposes that two ECOS studies be used to determine revenue allocation by comparing the rate of return results of the studies and if there was a contradiction in the rate of return results then that service class should receive the system average revenue increase.[747] UIU also proposes to apply boundaries around the system average rate of return, or a tolerance band, that could change based on the overall revenue requirement.[748] The Companies' disagree with UIU's proposal to use two ECOS studies to evaluate revenue allocation because the Companies do not support the use of ECOS studies with distribution mains allocated as 100 percent demand.[749] The Companies' also disagree with UIU's proposal to place boundaries around the percentage change a class could receive because the boundaries should be set in each case based on the overall increase in that specific case.[750]

NYC agrees with KEDNY's revenue allocation with the exception that non-firm customers could receive a larger decrease in their allocated revenue based on the ECOS study.[751] NYC takes the same position with KEDLI's revenue allocation but recommends KEDLI should not receive an increase since KEDLI is significantly over returning.[752] However, the Companies argue that their proposal is consistent with NYC's proposal that non-firm customers do not receive a revenue increase.[753]

Staff agrees with the Companies use of a 25% tolerance band to avoid minor disputes regarding the ECOS studies.[754] However, Staff allocated 20% more revenue change for classes below the tolerance band and 20% less revenue change for classes above the tolerance

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[746] T. 1328.

[747] T. 1331.

[748] T. 1380 – 1381.

[749] T. 2823.

[750] T. 2824.

[751] T.5547.

[752] T. 5548.

[753] T. 2824.

[754] T. 2946.

band for KEDNY, for which Staff recommends a positive revenue requirement.[755] For KEDLI, Staff allocated 20% less revenue change for classes below the tolerance band and 20% more revenue change for classes above the tolerance band for KEDLI, for which Staff recommends a negative revenue requirement.[756] Staff allocated the average revenue change to classes within the band for both Companies.[757] Staff's initial revenue allocation is in Exhibit___(SRP-5) and was updated in Exhibit___(SRP-14) and corrected Exhibit___(SRP-14). The Companies disagree with Staff's revenue allocation, which they argue is flawed because it treats classes just within the tolerance band differently than classes just outside of the tolerance band, and treats classes just outside the tolerance band the same as classes significantly outside the tolerance band.[758]

The Commission should adopt Staff's revenue allocation adjustments because it moves classes towards the system average rate of return while recognizing that the cost allocations in the ECOS studies could change by the next rate cases. Additionally, by using historic ECOS studies, we can still make movement toward the system average rate of return, it is just that the movement towards the system average rate of return actually made is not quantified until the Companies' next rate cases.

C. Rate Design

1. Firm Rate Design

Gas rates are generally comprised of a minimum monthly charge that includes the first few therms, a block or multiple blocks with different rates depending on usage. These usage blocks can include a tail block for higher usage, with the lowest per therm rate. Some classes do not have multiple blocks and comprise of a minimum charge and a single rate for all usage above the therms included in the minimum charge. For example, KEDNY's Service Class No. 1B - residential heating rate is currently comprised of a minimum charge of $16.25 for the first three therms, a middle block of $1.7273 from three to 50 therms and a tail block of $0.7690 for all

[755] T. 2946.

[756] T. 2946.

[757] Ex. 496, pp. 427-428.

[758] T. 2821.

usage above 50 therms. Generally speaking, after allocating revenue among the service classes that target is then is used to calculate the rates.

KEDNY and KEDLI proposed to increase the minimum charges for all firm classes.[759] The Companies' established several goals for their rate design. These goals include collecting the revenue target established for each service class in the revenue allocation process, avoiding severely disproportionate impacts on customer subgroups within a class, and providing signals to customers to reflect the effects their usage has the overall system.[760]

The specific rate designs discussed in this brief are predicated on Staff's recommended revenue requirements. To the extent that the revenue requirements change, the rate design should take that into account the revenue requirements ultimately adopted and ensure that the rate design does not create disproportionate impacts. Staff's revenue requirements are much lower than the Companies. One of Staff's overarching goals in approaching rate design is to move towards flat block rates, meaning towards the same per use therm charge for all usage. With that in mind, if KEDNY or KEDLI's revenue requirement increase significantly, Staff reommends reducing the movement towards flat block rates, increasing the minimum charge to mitigate bill impacts, and allocating any increases to both minimum charges and block rates for SC Nos. 1BDG and 7 for KEDNY and SC Nos. 1DG, 9 and 15 for KEDLI.[761]

Initially, Staff recommended that, for KEDNY SC Nos. 1A, 1B, 2-1, 2-2, 3 and 4B, the minimum charge should remain constant, the tail block should be increased, and the middle block(s) should increase or decrease to effectuate a 20 percent movement towards flat block rates.[762] For KEDNY SC Nos. 4 and 4A, Staff recommended setting the tail block and the first block rates equal to each other, as they were already close.[763] For KEDNY SC Nos. 21-1 and 21-3, Staff recommended equal increases to the minimum charge, winter block rate and summer block rate.[764] At the time of the Evidentiary hearings, given the change in Staff's recommended revenue requirement for KEDNY, Staff recommended increasing minimum

[759] T. 2665 – 2670, 2750 – 2755.

[760] T. 2664, 2750.

[761] T. 2959-2960.

[762] T. 2958-2959.

[763] T. 2959.

[764] T. 2959.

charges by 5% for each SC, with the exception of SC No. 21 – Distributed Generation. Staff also reduced its recommended movement towards flat rates from 20% to 15%.[765]

Initially, Staff recommended that, for KEDLI SC Nos. 1A, 1B, 2A, 2B, 3 and 16, the minimum charges should remain constant. Further, Staff recommended increasing the tail blocks and/or decreasing the middle blocks to make a 20% movement towards flat block rates.[766] For SC Nos. 1DG, 9 and 15, Staff recommends applying the entire decrease to the single block and holding the minimum charge constant.[767] For SC Nos. 17, rates 1 and 2, Staff recommended applying equal increases to the minimum charge and the single block for each season.[768] At the time of the Evidentiary hearings, Staff recommended increasing minimum charges by 5% for each SC, with the exception of SC No. 17 – Distributed Generation. Staff also reduced its recommended movement towards flat rates from 20% to 15%.[769]

UIU recommends that the Companies continue to provide an increased level of targeted assistance to residential customers with the highest monthly usage, to ensure they understand how they can reduce their usage.[770] This includes evaluating if higher usage customers are in the appropriate SC, and moving them if necessary.[771] UIU also recommends moving away from the existing, steeply declining rate design; however, the movement must be gradual so as not to financially overburden high usage customers.[772]

NYC recommends rejecting Staff's proposed firm rate design because it moves the affected SCs towards flat rates too aggressively.[773] Additionally, NYC claims that Staff did not provide any guidance for how the rate design would work at higher revenue increases.[774] Finally, NYC argues that Staff did not evaluate the impact of its rate design on lower income

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765 Ex. 524.

766 T. 2959-2960.

767 T. 2960.

768 T. 2960.

769 Ex. 524.

770 T. 1388.

771 T. 1387.

772 T. 1387.

773 T. 5575.

774 T. 5576.

customers, as it is not always the case that lower income customers use less than the class average usage.[775]

Although Staff is aware that low income customers do not necessarily equate to low usage customers, the capacity constraints in the Companies' service territories require action to reduce customers' usage. Moreover, contrary to NYC's assertions, Staff recommends a gradual change, specifically to avoid rate shock for high usage customers. While NYC wants Staff to examine the impacts on low and moderate income customers, NYC did not present low and moderate income customers' usage characteristics, bill frequency data. NYC also failed to propose how the Companies would obtain usage characteristics based on customers' income. Staff is unaware of how to calculate bill impacts for low and moderate income customers without the necessary bill frequency data.

The Commission should adopt Staff's recommendations for gradually flattening the rate blocks as this will encourage conservation and ease capacity constraints in the Companies' service territories.[776] Staff's recommendations balance this interest with appropriate limits on the bill impacts of high usage customers.[777]

2. Non-Firm Rate Design

KEDNY proposes combining SC Nos. 5A and 6 into SC No. 22 with two tiers, with Tier 1 customers interruptible at 15 degrees Fahrenheit and Tier 2 customers at 20 degrees Fahrenheit.[778] KEDNY also proposes a minimum charge of $375, a Tier 1 volumetric rate of $0.3174, and Tier 2 volumetric rate of $0.3015, a 5% discount to the Tier 1 rate.[779] KEDLI proposes to combine SC Nos. 4, 7, 12 and 13 into SC Nos. 18 and 19 for sales and transportation, respectively, with two tiers each; Tier 1 interruptible customers interrupted at 15 degrees Fahrenheit and Tier 2 customers interrupted at 20 degrees Fahrenheit.[780] KEDLI also proposes

[775] T. 5576.

[776] T. 3240.

[777] T. 3240.

[778] T. 2668.

[779] T. 2668.

[780] T. 2753.

to a minimum charge of $450, a Tier 1 volumetric rate of $0.2907, and a Tier 2 volumetric rate to $0.2762.[781] The Companies updated their proposed IT rates in their rebuttal testimony.[782]

NYC supports the Companies' proposed rates and revenue allocations for the new SC 22 and SC 18-19 non-firm classes, though they did state that the rates could be significantly reduced based on the results of the ECOS studies.[783] NYC proposed that the Companies be required to specifically state the temperatures at which customers would be interrupted for at Tier 1 and Tier 2 in the Companies' tariffs.[784] NYC also recommended that the Companies' proposal to apply the SBC to the non-firm customers and that ETIP costs be included in non-firm delivery service rates not be adopted at this time.[785]

Staff recommends that Tier 1 customers receive a discount of 30% off the otherwise applicable firm total bill, and that Tier 2 customers receive a discount of 40% off the otherwise applicable firm total bill.[786] The Companies did not agree with Staff's recommended discounts arguing they would have a disproportional impact on non-firm sales customers as compared to transportation customers, and the results would not follow cost causation.[787] In response to IR NYC-149, Staff states that the Companies would need to update their delivery discounts at the beginning of each month based on the planned weighted ICOG. [788] The discount would be based on the Companies' planned weighted ICOG, so sales and transport customers would have the same delivery discounts. Staff intends these discounts to increase the number of non-firm customers, and to decrease the incent of current non-firm customers from seeking to switch to firm service. Staff's recommended discounts will ensure that current non-firm demand response customers will receive a further reduction in their current bills compared to current non-firm rates. The reduced rates will be more attractive to potential non-firm customers which will

781 T. 2753.

782 T. 2829 – 2839.

783 T. 5547.

784 T. 5555.

785 T. 5557.

786 T. 2964 – 2965.

787 T. 2829.

788 Ex. 644, p. 8.

benefit the system and increase reliability by providing reduction in peak demand and increasing overall system efficiency.

D. Bill Impacts

The bill impacts that reflect Staff's revenue requirement as of the hearings are contained in corrected Ex. 525. Any changes in revenue requirement, revenue allocation, or rate design would require revised bill impacts.

E. Non-Firm Service Sales Customers Cost of Gas

The Companies currently charge non-firm demand response customers the weighted average cost of gas (WACOG) multiplied by the unaccounted-for gas factor plus the non-firm demand charge.[789] The Companies propose to include non-firm demand response customers in its annual gas cost reconciliation so that they would share in the annual over/under recoveries that currently apply to firm sales customers.[790] The Companies argue that non-firm demand response sales customers should continue to be charged the WACOG, instead of Staff's recommended use of the incremental cost of gas (ICOG), because the Companies have a combined portfolio that has gas available to non-firm demand response sales customers down to 15 degrees Fahrenheit.[791] The Companies also disagree with Staff's statement that the Companies did not provide an adequate incentive to prevent non-firm customers from migrating to firm service.[792] Instead, they assert that having non-firm demand response customers pay the ICOG instead of the WACOG would increase gas costs since the ICOG is almost always higher than the WACOG.[793] Furthermore, the Companies disagree with Staff's argument that firm customers subsidize non-firm customers "because the times when the ICOG is likely to be set (e.g., the 17 coldest days) are the times when non-firm customers can expect to be interrupted."[794] Non-firm customers would have no cost responsibility for setting the ICOG.[795]

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789 T. 2694, 2778.

790 T. 2694, 2777.

791 T. 2834.

792 T. 2834.

793 T. 2834.

794 T. 2834.

795 T. 2834.

Staff argues that non-firm sales customers usage is incremental on the Companies' systems since at times the Companies pay the ICOG for non-firm customers.[796] Firm sales customers are subsidizing non-firm sales customers when they pay the WACOG because the non-firm customers would receive the benefits that were intended for firm sales customers.[797] Non-firm customers are incremental on the Companies system and should pay the ICOG because the cost of gas used to serve these customers is incremental to the Companies' cost of gas for firm customers, and is more representative of the cost of gas to serve the non-firm customers. Non-firm customers benefit from the entire system and firm sales customers should not be subsidizing their gas cost when firm transportation customers also benefit from increased system efficiency provided by non-firm customers.[798] Based on the Companies response to IR DPS-1086, Staff recommends that the Companies charge non-firm customers the ICOG weighted on the GTOP gate allocations and incremental price and volumes shown illustratively in attachment 3 to that IR response.[799]

Based on the Companies response to IR DPS-1086, Staff recommends that non-firm sales customers should be treated similarly to non-firm transportation customers, accordingly, the same gate restrictions in the GTOP should apply.[800] Staff also recommends that, by having the ICOG be weighted on the gate allocations in the GTOP manual, that this can help level the playing field between the Companies non-firm sales and transportation customers.[801] The ICOG should also be weighted on incremental volumes and prices at each gate to better reflect the actual cost of gas the Companies will pay for non-firm customers.

As stated in the response to IR NYC-153,[802] Staff disagreed with the Companies' weighted incremental cost of gas shown in response to IR DPS-1028 because it was not weighted on the incremental prices and volumes used by non-firm customers.[803] Additionally, non-firm

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796 T. 2966.

797 T. 2966.

798 T. 2961.

799 Ex. 642 (Response to IR DPS-1086, attachment 3).

800 Ex. 642, pp. 48 – 49 (Response to IR DPS-1086).

801 Ex. 642, pp. 48 –49 (Response to IR DPS-1086).

802 Ex. 653.

803 Ex. 644, p.13 (Response to IR NYC-153).

customers should only pay a portion of the of the demand or pipeline transportation charges since they are not assured gas supply 100% of the time. Generally, the ICOG is higher than the WACOG,[804] but Staff's recommendation, discussed in the paragraph above, to provide non-firm customers with discounts of 30% or 40% of the otherwise applicable firm total bill, will ensure that non-firm customers will see a benefit even if the ICOG is higher than the WACOG. The Companies' argument that non-firm customers would be interrupted when the ICOG is likely to be set reinforces our position that the non-firm customers should pay the ICOG when they are on the system since the WACOG would include gas costs when these customers are interrupted.

F. Paperless Billing Credit

The Paperless Billing Credit is a credit given to customers who opt out of receiving paper bills. The Companies proposed to update the paperless billing credits from $0.49 per service period to $0.44 for KEDNY and from $0.35 per service period to $0.41 for KEDLI.[805] The Companies do not believe 12 months of data are necessary to make a decision on KEDNY's rates, as transactional costs should not vary significantly over a 12-month period, as opposed to a four-month period.[806] Additionally, the Companies argued that there could be disconnects between the billing costs included in the revenue requirement and the paperless billing credit calculations if the Companies are required to revise the credit in Briefs on Exceptions.[807]

Staff has no issue with the Companies' methodology. Staff also supports KEDLI's proposed paperless billing credit, which is based on 12 months of data.[808] However, at the time Staff submitted its direct testimony, Staff only had four full months of billing data to assess the appropriateness of KEDNY's proposed paperless billing credit.[809] Consequently Staff recommends the approval of KEDLI's proposal, but recommends that a full year of data be available before making a judgment on KEDNY's proposal. Accordingly, Staff recommends

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804 Ex. 641.

805 T. 2705, 2788.

806 T. 2851.

807 T. 2851.

808 T. 2952.

809 T. 2952.

that KEDNY provide an update when it files its Brief on Exceptions in these proceedings.[810] Staff's recommendation to utilize a full year of data will ensure a more accurate calculation of the paperless billing credit to match the difference in the actual costs between paper and paperless bills.

G. Make Whole / Rate Compression

The Companies have consented to extend the maximum suspension period for these proceeding on four occasions and for a total of four months, through August 1, 2020.[811] The Companies provided the most recent such consent by letter dated December 9, 2019. In that letter, the Companies stated that their consent is with the understanding that Staff supports: (1) a make whole provision that restores the Companies and customers to the financial position they would have been in had new rates been effective on April 1, 2020; (2) "a limited waiver of the Commission's Policy Statement on Test Periods in Major Rate Proceedings, permitting the Companies to use a historic test year consisting of the twelve months ending December 31, 2019 in their next base rate filings;" and (3) a make whole provision for the Companies' next base rate filings, that would place the Companies and customers in the same financial position as they would have been had the Companies filed for new rates to be effective April 1, 2021, and as if new rates went into effect on April 1, 2021. With regard to the latter two items, the Companies state that they "intend to file their next base rate filings on or about 15 days following issuance of a Commission order in the instant proceedings."

Staff supports the Companies' requests, with two clarifications. First, with regard to the make whole provision for the rate changes that the Commission may authorize in these proceedings, the make whole should be calculated for each service class by taking the difference in revenue between the current rates and new approved rates. The difference should then be collected from, or returned to, that service class through a surcharge, or surcredit, over the remainder of the Rate Year.[812] Second, with regard to the two requests affecting the Companies'

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[810] T. 2952.

[811] Cases 19-G-0309 and 19-G-0310, supra, Letter from National Grid (filed December 9, 2019).

[812] Staff also notes that the 2016 Rate Order adopted provision 17.2 of the joint proposal, which states: "Beginning January 1, 2020 and continuing through June 30, 2020, KEDNY and/or KEDLI will defer the difference between the levelized rate increases and the calculated revenue requirements for the benefit of customers ("Revenue Requirement Deferral"), with the disposition to be determined by the

next base rate filings, those requests should be granted only to the extent the Companies do indeed file their next base rate proceedings within 30 days of the Commission's rate order in the instant proceedings.

The Companies requests are reasonable because, by consenting to extend the maximum suspension period in these proceedings, the Companies have provided all parties, the ALJs, and the Commission with time to consider the issues in these proceedings in excess of the approximately 11 months provided by the PSL. With regard to the requests concerning the Companies' next base rate proceedings, Staff notes that, but for the Companies' consent to extend of the suspension period, a rate order would normally have been issued prior to April 1, 2020. The Companies then could have chosen to file new rate requests to be effective as soon as April 1, 2021. Absent granting the Companies' requests, in order to have new rates effective April 1, 2021, the Companies would have to file base rate filings no later than the end of April 2020. They are precluded from doing so at present because the instant cases remain pending. Therefore, so long as the Companies file their next base rate proceedings without delay after the Commission issues its rate order in the instant proceedings, their requests are reasonable.

H. Lost and Unaccounted for Gas

The Companies updated their lost and unaccounted for (LAUF) gas calculations to reflect the last five Gas Adjustment Clause (GAC) years.[813] The Companies proposed three adjustments including; the discontinuance of the inactive accounts adjustment, implementation of the updated LAUF targets, and a new Factor of Adjustment (FOA) calculation.[814] The Companies believe the inactive account adjustment is unnecessary, because inactive accounts represent flowing gas without a customer of record and therefore is not included in metered deliveries.[815] The Companies stated that when LAUF is above the upper dead band, the Company incurs a penalty for an inactive accounts adjustment.[816] The Companies' reasoning for changing the LAUF target effective date from January 1 to September 1 is to eliminate the

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Commission." When calculating the make whole provisions, the Commission should consider the impacts of this provision from the 2016 Rate Order.

[813] T. 2671, 2756.

[814] T. 2675, 2765.

[815] T. 2672, 2766.

[816] T. 2672, 2766.

blended LAUF target in the GAC reconciliation and make this calculation consistent with the GAC period.[817] The current FOA is calculated as one plus the LAUF percentage; the Companies proposed to change the calculation to one divided by one minus the LAUF percentage to more appropriately reflect distribution line losses.[818] KEDNY's proposed LAUF percentage is 2.432% and the upper and lower dead bands are 3.512% and 1.353%, respectively.[819] KEDLI's proposed LAUF percentage is 3.218% and the upper and lower dead bands are 5.550% and 0.886% respectively.[820]

Staff agrees that KEDNY's proposed LAUF target is reasonable but disagrees with KEDLI's proposed LAUF target.[821] Additionally, Staff disagrees with both Companies' calculation of their dead bands.[822] KEDLI's LAUF target included the actual LAUF from 2014, which is an outlier that should be excluded from the calculation.[823] KEDLI's actual LAUF was 4.933% in 2014. This was 2.284 percentage points higher than the average LAUF gas percentage for the years 2012 through 2018.[824] Additionally, the Companies did not use the methodology in Staff's LAUF Gas White Paper to calculate their LAUF targets.[825] The KEDNY LAUF target should be set at 2.426%, the lower dead band at 1.326% and the upper dead band at 3.426%.[826] For KEDLI, the LAUF target should be set at 2.790%, the lower dead band at 1.790% and the upper dead band at 2.790%.[827] Staff agrees that the LAUF targets should be reset at September 1 to coincide with the GAC year as it would simplify LAUF calculations.[828] Staff recommends continuing the inactive accounts adjustment, bur recommends revising the

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817 T. 2673, 2767.

818 T. 2673, 2767.

819 T. 2671.

820 T. 2765.

821 T. 2974.

822 T. 2973 – 2974.

823 T. 2974; Ex. 500.

824 T. 2974.

825 T. 2974 – 2975.

826 T. 2975.

827 T. 2975.

828 T. 2976.

methodology.[829] The inactive accounts adjustment provides the Companies with an additional incentive to lock meters for inactive accounts in an expeditious manner.[830] Staff agrees with the changes to the calculations of the factor of adjustment, because it is consistent with recommendations contained in Staff's LAUF White Paper.[831]

With regard to inactive accounts adjustment, rather than making a volumetric adjustment to the LAUF incentive, Staff recommends that the Companies reduce their revenue in the GAC reconciliation by the inactive accounts adjustment. Staff recommends calculating the inactive accounts adjustment by multiplying the volume of gas associated with inactive accounts by the WACOG. [832]

The Companies agree with Staff's revised calculation of the KEDNY and KEDLI dead bands, which align with Staff's White Paper recommendations.[833] However, the Companies do not agree with removing 2014 actual LAUF gas percentage from the LAUF target calculation.[834] Additionally, the Companies believe that the retroactive changes to the 2017 and 2018 LAUF by removing inactive accounts would not be accurate because the Companies have already been penalized for these inactive accounts and the calculation is consistent with the determination in the 2016 Rate Order.[835] The Companies do not agree with imposing any inactive accounts adjustment for LAUF.[836]

The inactive accounts adjustment and reasonable LAUF targets incentivize the Companies to reduce carbon emissions and reduce customers' bills. The inclusion of the 2014 LAUF percentage in the calculation of LAUF gas increases the LAUF target which would allow the Companies to charge customers for additional LAUF gas. Furthermore, Staff's recommended LAUF targets already allow minimal backsliding compared to the 2016 Rate Order. In contrast, the Companies proposal would allow significant backsliding in KEDLI.

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829 T. 2977.

830 T. 2977.

831 T. 2979.

832 T. 2978.

833 T. 2842.

834 T. 2842.

835 T. 2843.

836 T. 2845.

Currently, customers could pay for gas associated with inactive accounts if the Companies reduce actual LAUF gas under the upper dead band. Therefore, putting the inactive accounts adjustment into the GAC will ensure that the Companies always pay for gas associated with inactive accounts. For these reasons, the Commission should adopt Staff's LAUF gas recommendations.

I. Systems Benefit Charge

The Companies propose to expand the Systems Benefit Charge (SBC) to KEDNY SC Nos. 21 – and 17-21 - Distributed Generation, KEDLI SC Nos. 17- and 5-17 – Distributed Generation, KEDNY SC Nos. 22 and 18-22 – Non-Firm Demand Response, and KEDLI SC Nos. 18 and 19 – Non-Firm Demand Response to allow for these service classes to take advantage of the Energy Efficiency programs.[837] Additionally, the Companies seek to recover their energy efficiency program costs in base rates. Once those costs are moved into base rates, the SBC would only include the costs associated with Clean Energy Fund (CEF).[838] Lastly, the Companies propose to include any over- or under-recovery of energy efficiency program costs in the RDM reconciliations for SC Nos. 1A, 1B, 2, and 3 for both KEDNY and KEDLI.[839]

NYC supports non-firm customers participating in and paying for energy efficiency programs targeted to their needs as long as the Companies provide applicable programs and commit to outreach to the city and other non-firm customers.[840]

Staff agrees with the Companies' proposal to move the energy efficiency program costs into base rates. Additionally, Staff agrees, in part, that energy efficiency program costs can be recovered from the baseload DG customers, as long as the bill impacts are reasonable.[841] However, Staff does not recommend that energy efficiency program costs be separately recovered from non-firm customers. As explained in Section VIII. E. 1 above, Staff recommends that the Companies charge non-firm customers rates based on a discount of their otherwise applicable firm rate. Based on this, non-firm customers would be contributing to the

837 T. 2698, 27981.

838 T. 2698 - 2699, 2781.

839 T. 2699, 2783.

840 T. 5556.

841 T. 2982.

Companies' energy efficiency program costs, since those costs are included in the rates charged to the otherwise applicable firm SCs' base rates. Distributed Generation customers are essentially small electric generators and Staff is unaware of any energy efficiency programs that would help these customers.

J. New York Facilities System Surcharge

The New York Facilities System Surcharge allows the Companies to reconcile costs related to the transfer of gas within the New York Facilities System.[842] The New York Facilities System is a gas transmission system that interconnects the Companies' and Con Edison's gas systems. The carrying costs and operation and maintenance costs associated with the New York Facilities System are allocated to Con Edison, KEDNY and KEDLI pursuant to the NYFS Agreement.[843] The Companies proposed to adjust the timing of the reconciliation from a calendar year basis to a fiscal year basis. Presently, the surcharge changes three months after the beginning of the calendar year, i.e., April 1. As the Companies' fiscal year begins on April 1, the Companies propose that the surcharge would change three months after that, i.e., July 1 of each year.[844]

Staff agrees with the Companies' proposal in its entirety and recommends that the Commission adopt this adjustment because it would align the reconciliation with the costs included in the Rate Year. [845]

K. Gas Safety and Reliability Surcharge

The Companies proposed to expand the Gas Safety and Reliability Surcharge to include a customer connections productivity incentive, as well as clarifying language regarding the recovery of incentives related to LPP removal, LPP productivity, and leak repair incentives currently being recovered through the Gas Safety and Reliability Surcharge.[846] Additionally, the Companies proposed to revise their tariffs to allow recovery through this surcharge of the costs of professional engineering certification, operator qualification and other similar programs

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842 T. 2674, 2758.

843 T. 2674, 2757 – 2758.

844 T. 2675, 2758 – 2759.

845 T. 2984.

846 T. 2692, T. 2775.

necessary to fulfill pipeline safety requirements finalized after rates have been set in these proceedings.[847]

The Staff Policy Panel recommends terminating the LPP mileage incentive and removing it from the Gas Safety and Reliability Surcharge.[848] Additionally, the Staff Policy Panel recommends the addition of a new incentive to complete specific capital investments under budget, which requires further development. Staff recommends that, once developed any incentives earned thorugh this new mechanism would be recovered through the Gas Safety and Reliability Surcharge.[849] Lastly, Staff recommends rejecting the Companies' proposal to recover costs associated with pipeline safety requirement programs that may or may not be finalized after the Commission issues a rate order in these proceedings.[850]

Staff's position is most reasonable because the Gas Safety and Reliability Surcharge should reflect the addition or removal of the related incentives. The recovery of costs associated with non-finalized pipeline safety requirement programs through the Gas Safety and Reliability Surcharge should be rejected because the timing and costs for those programs are unknown and it would be premature to recommend recovery of those costs before having any idea or estimate of what they may be.[851]

L. Tariff Provisions

The Companies agreed with Staff's recommendation to continue streamlining their tariffs and develop a delivery rate adjustment statement.[852] However, the Companies did not agree with Staff's recommendation to perform a study to ensure customers are in the correct SC.[853] The Companies assert that they are satisfied with the current process they undergo to place customers, believe that the burden is on the customers to notify the Companies if a customer's circumstance changes, and argue that a study that reviews every account in the

847 Id.

848 T. 2985.

849 Id.

850 Id.

851 T. 2986.

852 T. 2847.

853 Id.

Companies' service territories could be extremely costly and time consuming.[854] The Companies did not believe that there are significant issues that would warrant such an effort.[855]

Staff is concerned about customers in KEDNY's SC No. 1B, who have usages significantly higher than the average usage.[856] The 20 highest customers usage being between 55,539 to 259,436 therms usage annually compared to an average of 1,000 therms.[857] A study would verify that these customers with higher usages are placed in the correct SC which would ensure that customers pay the correct rates and do not skew the bill frequency data used in the revenue price-out. Accordingly, the Commission should require that the Companies undertake a study to ensure that customers are in the correct SC.

M. Tariff Fees

The Companies proposed to update the unproductive field visit fee, reconnection fees, and disconnect fee charged to Energy Service Companies (ESCOs).[858] KEDNY proposes to decrease the unproductive field visit fee from $38.60 to $31.74. KEDLI proposes to decrease it from $59.47 to $47.14.[859] With regard to reconnection fees, KEDNY proposes to decrease the general reconnection/re-establishment fee from $66.13 to $53.89, and to increase the fee for reconnection from the street from $300 to $500. KEDLI proposes to decrease its general re-establishment fee from $78.00 to $74.39.[860] Staff recommends that the Commission adopt these rates since the updated tariff fees are based on historical actual costs.

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854 Id.

855 Id.

856 T. 2989, Ex. 492, p. 354 (Response to IR DPS-960).

857 T. 2989.

858 T. 2704; T. 2787; Ex. 134, Schedule 2.

859 T. 2986.

860 T. 2987.

IX. GAS POLICY AND ENERGY EFFICIENCY

A. Energy Efficiency

1. Base Rate Funding of Energy Efficiency

The Companies propose to move all energy efficiency costs from the SBC into base delivery rates.[861] Staff agrees with this proposal, as it is consistent with previous Commission direction provided in the March 2018 ETIP Order.[862] In Earlier phases of these proceedings, the Companies proposed to separate evaluation, measurement, and verification (EM&V) costs from the rest of their energy efficiency budgets.[863] Staff opposed the Companies' proposal.[864] The 2020 Energy Efficiency Order's clarification that the Commission-authorized energy efficiency budgets include EM&V costs. Now both Staff and the Company are in complete agreement that the Companies energy efficiency budgets should be moved from the SBC into base delivery rates, and that the EM&V costs should be part of the overall energy efficiency budgets.[865] As there is no dispute on this issue, and the agreed upon resolution reflects the Commission's recent 2020 Energy Efficiency Order, the Commission should approve the Companies and Staff's recommendations on this issue.

2. Energy Efficiency Budgets and Targets

The Companies proposed to set their energy efficiency budgets and targets for the Rate Year at the amounts approved by the Commission for calendar years 2020 and 2021 as set forth in Appendix C to the 2019 Energy Efficiency Order.[866] NYC questioned relying on the Companies' proposed energy efficiency budgets and targets, based on New York City's analysis of the Companies' recent per therm cost of energy efficiency measures.

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861 T. 49.

862 T. 669; Case 15-M-0252, Utility Energy Efficiency Programs, Order Authorizing Utility-Administered Energy Efficiency Portfolio Budget and Targets for 2019-2020 (issued March 15, 2018) (March 2018 ETIP Order).

863 T. 48.

864 T. 671 – 672.

865 T. 229.

866 T. 48; Case 18-M-0084, supra, Order Adopting Accelerated Energy Efficiency Targets (issued December 13, 2018) (December 2018 Energy Efficiency Order).

Staff recommended that the Companies' proposed targets and budgets be used as placeholders. Staff advocated for updating the budgets and targets to reflect any subsequent Commission orders regarding utility proposals then pending in Case 18-M-0084. If the Commission took action on the utility proposals, Staff recommended adopting the Commission's action in these rate proceedings.[867]

On January 16, 2020, the Commission issued its 2020 Energy Efficiency Order. That Order adopted budgets and targets for KEDNY and KEDLI's energy efficiency programs. The ALJs in these proceedings issued a ruling on January 21, 2020, directing Staff and the Companies to address the impact of the 2020 Energy Efficiency Order on these cases by January 29, 2020. The ruling also provided that intervening parties could file supplemental testimony to address this issue as well.[868] Staff and the Companies filed supplemental testimony as directed. No other parties filed supplemental testimony regarding energy efficiency budgets and targets.

In its supplemental testimony, Staff recommended that the 2020 Energy Efficiency Order be reflected in these proceedings by setting Rate Year energy efficiency budgets and targets that reflected three-quarters of the Commission-approved 2020 budgets and targets, and one-quarter of the Commission-approved 2021 budgets and targets.[869] Specifically, Staff recommends Rate Year budgets and targets of $18,557,009 and 457,309 MMBtu, respectively, for KEDNY and $10,710,572 and 290,245 MMBtu, respectively for KEDLI.[870] The Companies also reflected these same amounts in their supplemental testimony.[871]

The Commission's 2020 Energy Efficiency Order provides clarity as to what the Commission expects for the Companies' Rate Year energy efficiency budgets and targets. Staff's recommendation reflects the determinations made in the 2020 Energy Efficiency Order. Accordingly, the Commission should adopt Staff's recommended Rate Year energy efficiency budgets and targets.

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867 T. 667 – 668.

868 Cases 19-G-0309 and 19-G-0310, supra, Ruling Requiring Additional Testimony Related to Energy Efficiency Initiative Order (issued January 21, 2020).

869 T. 728.

870 Id.

871 T. 227.

3. Low and Moderate Income Customers

In its direct testimony, NYC disagreed with the Commission's then-set run-rates used to determine budgets and targets for low and moderate income (LMI) customers.[872] These had been set by the Commission in its December 2018 Energy Efficiency Order. Since NYC filed its direct testimony, the Commission issued its 2020 Energy Efficiency Order. In this recent Order, the Commission reset the energy efficiency budgets and targets with regard to LMI customers. Specifically, in the 2020 Energy Efficiency Order, the Commission required that 20% of the incremental budgets being authorized therein, would be dedicated to LMI programs. As discussed above, the ALJs provided parties with an opportunity to file supplemental testimony to address the impacts of the 2020 Energy Efficiency Order. NYC chose not to file any supplemental testimony. Staff, therefore, concludes that NYC has discontinued its challenge on this issue. Regardless, Staff recommends that the Commission find that these rate proceedings are not the appropriate venue for disputing the Commission's recent determination in a separate case.

4. Downward-Only Reconciliation

Staff recommends that the Commission impose a downward-only reconciliation of the Companies' energy efficiency spending during the Rate Year.[873] If actual expenditures are less than the Companies' budgets, the unspent funds would be deferred for future disposition by the Commission. The Companies oppose Staff's recommendation that the reconciliation be tied to the Rate Year.[874] Instead, the Companies recommend that they be allowed to retain any unspent Rate Year energy efficiency monies to use for energy efficiency through 2025, even if the Commission only sets rates for the single Rate Year.[875]

Staff maintains that Companies are collecting customer monies and are responsible for meeting the energy efficiency targets on an annual basis. They should be held accountable for managing their programs to those budgets. If the Companies underspend their budget, those funds should be reconciled and deferred. Staff recognizes that, for Central Hudson

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872 T. 5298 – 5299.

873 T. 672.

874 T. 161.

875 T. 162.

Gas & Electric Corporation (Central Hudson), Niagara Mohawk, and O&R, their current rate plans have a downward-only reconciliation which covers the cumulative energy efficiency spending across multiple years, however, in those cases the reconciliation conforms to the length of those utilities respective rate plans.[876]

Indeed, in the March 2018 ETIP Order, the Commission specifically addressed reconciliations of energy efficiency budgets and actual spending. The Commission stated that downward-only reconciliations would be in place for the term of a utility's rate plan. During any "stay-out" period, the Commission required that the reconciliations occur annually.[877] Here, where the Commission is being asked to set rates for a single year, the Rate Year is the term of the rate plan, and the subsequent year would be part of a stay-out period.

Staff's recommendation to require an annual downward-only reconciliation of the Companies' energy efficiency spending is consistent with the Commission's March 2018 ETIP Order, and with the treatment of other utilities. Further, it protects customers, should the Companies underspend their energy efficiency budgets. Accordingly, the Commission should adopt a downward-only reconciliation for the Companies' energy efficiency spending for the Rate Year and each annual period thereafter, until the Companies rates are next reset.

5. Incremental Energy Efficiency Labor

In their initial filing in these proceedings, the Companies requested an additional seven FTEs, collectively, to support their energy efficiency programs.[878] The Companies asserted that they needed these additional seven FTEs to support the already planned increases in their energy efficiency programs over the next six years, i.e., through approximately 2025.[879] Staff agreed with the Companies request, which increases the number of FTEs supporting the Companies' energy efficiency program from approximately 15 to 22, almost a 50% increase.[880]

After the Commission issued its 2020 Energy Efficiency Order, which set energy efficiency targets through 2025, the Companies requested an additional eight FTEs to support

[876] 2020 Energy Efficiency Order, p. 67.

[877] March 2018 ETIP Order, p. 23.

[878] T. 53

[879] Ex. 599 (Response to IR DPS-266).

[880] T. 681; T. 514.

their energy efficiency programs.[881] Thus, the Companies now seek an incremental 15 FTEs in the Rate Year to support their energy efficiency programs.

Staff recommends providing rate recovery for only the initially requested seven FTEs. While the Companies point to increases in energy efficiency budgets and targets in the 2020 Energy Efficiency Order, the Companies' targets increase only modestly. Compared to the targets used as placeholders by the Companies and Staff in the earlier in these proceedings, the targets adopted by the 2020 Energy Efficiency Order only increase the Companies' targets by 6% in the Rate Year. Furthermore, at the evidentiary hearing, the Companies' Future of Heat Panel did not seem to even know how many FTEs the Companies had working on their energy efficiency programs. On cross examination, witness Lisa Tallet, the Companies' Director of New York Customer Energy Management with responsibility over the Companies' energy efficiency programs,[882] stated that KEDNY and KEDLI each had 163 FTEs working on energy efficiency programs in 2018.[883] On redirect witness Tallet stated that KEDNY had 8.03 FTEs and KEDLI had 7.82 FTEs working on energy efficiency programs in 2018.[884] Thus, the Companies' director responsible for the energy efficiency programs does not appear to have a clear understanding of how many FTEs the Companies have working on the programs under her purview.

Taking as correct that KEDNY and KEDLI did collectively have 15 FTEs working on energy efficiency as of 2018, the Companies' initial request for seven FTEs increases that number by almost 50%. The Companies' revised request for a total of 15 incremental FTEs doubles their current headcount. The 2020 Energy Efficiency Order does not warrant such an abrupt increase. This is particularly true given that the Companies' do not appear to have a clear handle on their energy efficiency organization. As the Commission will be setting rates for a single year, the reasonable course would be to provide the Companies with their initially requested seven incremental FTEs for the Rate Year. This provides the Companies with additional FTEs to support energy efficiency programs, without doubling their headcount in

881 T. 229 – 230.

882 T. 27.

883 T. 247.

884 T. 514

one instance based on unsound assertions. Accordingly, the Commission should adopt Staff's recommendation.

6. Empower Replacement Program (HEAT)

NYSERDA administers an Empower program, which provides energy assistance to low income customers across the state. The funding for the NYSERDA program is collected through a surcharge on electric service. That surcharge is collected from customers of all of the State's investor-owned electric utilities. However, that surcharge is not collected from customers of the Long Island Power Authority (LIPA). KEDLI's service territory overlaps with LIPA's service territory. Accordingly, KEDLI's customers are not eligible to participate in NYSERDA's empower program. In order to ensure that KEDLI's customers receive equitable service compared to other New York State gas customers, KEDLI operates an Empower replacement program, also known as "HEAT."

In its initial filing, KEDLI proposes to continue the HEAT program, but to shift the funding for the program into base rates.[885] Additionally, KEDLI proposed to increase the HEAT program's annual budget from $1.9 million to $2.5 million. KEDLI proposed to use the additional funding to expand the program to reach moderate income customers, defined as those with incomes between 60% and 80% of the state or area median income, whichever is higher.[886]

In its direct testimony, Staff supports these KEDLI proposals, including the proposed increase in funding.[887] Like KEDLI did in its initial filing, Staff treated the funding for the HEAT program as separate from the funding for KEDLI's general energy efficiency programs. That said, Staff did recommend that KEDLI align its HEAT program with its energy efficiency portfolio. At is core, the HEAT program is an energy efficiency programs and KEDLI should operate this program in accordance with the rules and requirements associated with the current energy efficiency portfolio, including any statewide LMI customer framework developed within Case 18-M-0084.[888]

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[885] T. 54.

[886] Id.

[887] T. 678

[888] T. 679.

The Commission's 2020 Energy Efficiency Order included LMI energy efficiency budgets and targets, which were incremental to existing LMI funding and targets. The Order also required the utilities and NYSERDA to work together to develop a statewide LMI portfolio that lays out a program framework that will best address the needs of the State's LMI customers.

In the supplemental testimony addressing the 2020 Energy Efficiency Order, KEDLI the Companies filed after the issuance of the Commission's 2020 Energy Efficiency Order, KEDLI proposed to fund its HEAT program through its authorized energy efficiency budget. As a corollary, KEDLI proposed to remove the separate $2.5 million in funding for the HEAT program from its revenue requirement.[889]

Staff recommends that the Commission require KEDLI to fund the HEAT program at $2.5 million separate from KEDLI's otherwise authorized energy efficiency budget. In the 2020 Energy Efficiency Order, the Commission set KEDLI's energy efficiency budget and targets on par with other utilities' budgets and targets. However, when it comes to the HEAT program, KEDLI is unique. Other utilities, including KEDNY do not operate a program like HEAT. Instead, as explained above, customers of other utilities have the opportunity to participate in NYSERDA's Empower program. Were KEDLI to fund the HEAT program out of its otherwise authorized energy efficiency budget, KEDLI's LMI customers would not have access to energy efficiency programs on an equal footing with similar customers in other utilities' service territories. Accordingly, the Commission should adopt Staff's recommendations with regard to KEDLI's HEAT program.

7. Reporting Requirements

NYC recommends a number of incremental reporting requirements for the Companies regarding their energy efficiency programs.[890] The Companies state that they are open to collaborating with CNY, to determine how to improve information sharing. However, the Companies do not agree that there should be new reporting requirements implemented in the context of this rate proceeding.[891] Staff takes no position with regard to whether the Companies and NYC engage in a collaborative process to improve energy efficiency information sharing.

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889 T. 233.

890 T. 5311 – 5312.

891 T. 210.

However, Staff agrees with the Companies, the Commission has developed comprehensive energy efficiency reporting requirements, on which Staff has provided the utilities with guidance in other proceedings.[892] Thus, Staff recommends against modifying those reporting requirements for KEDNY and KEDLI alone in these rate proceedings.

8. Other Energy Efficiency Issues

Certain other issues related to energy efficiency are addressed in separate sections of this brief. Section V.B.2 Unspent Energy Efficiency Funds, addresses Staff's recommendations for utilizing the currently deferred unspent and unencumbered energy efficiency funds. Section VIII.I System Benefits Charge, above, addresses how the Companies should apply their energy efficiency programs to non-firm customers.

B. Green Gas Tariff

The Companies proposed to implement a Green Gas Tariff that would allow customers the option to choose a tiered level of renewable natural gas (RNG) at a flat rate per month residential customers and either a flat rate or a percentage of monthly consumption for non-residential customers. The Companies proposed beginning to offer customers the Green Gas Tariff in the year after the Rate Year, however, the Companies proposed two FTEs to support the Green Gas Tariff.[893]

Family Energy, Inc., an energy services company, opposed the Companies' proposal. Family Energy, Inc. identified a number of concerns that the Companies' Green Gas Tariff proposal could result in the Companies utilizing monopoly resources in a manner that would impact the competitive supply market and stifle competition.[894]

Staff, in testimony, generally supported the Companies Green Gas Tariff proposal. Staff, however, did recommend reducing the Companies' proposed two FTEs to one FTE, whose time would be split equally between the Companies. Additionally, Staff made recommendations regarding how gas costs under the Green Gas Tariff should be reconciled.[895]

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892 See, Case 15-M-0252, Utility Energy Efficiency Programs, Order Authorizing Utility-Administered Energy Efficiency Portfolio Budget and Targets for 2019-2020 (issued March 15, 2018) (March 2018 ETIP Order).

893 T. 56 -57.

894 (Cases 19-G-0309 and 19-G-0310, supra, Comments of Family Energy, Inc. (filed September 24, 2019), p. 1.

895 T. 4014.

However, Staff now recommends that the Commission reject the Companies' Green Gas Tariff proposal, including both requested FTEs.

Staff notes that these litigated proceedings will set rates for a single Rate Year. The Companies' proposal, by its terms, would not go into effect until after the close of the Rate Year. Moreover, after additional review of Family Energy, Inc.'s concerns, Staff agrees that there are a number of issues that should, at the very least, be thoroughly examined before the Companies be allowed to move forward with their Green Gas Tariff proposal. Accordingly, Staff recommends that the reasonable course of action would be to deny the Companies' Green Gas Tariff proposal in these cases.

C. Utility Energy Services Contracts Program

The Utility Energy Services Contract (UESC) program, the Companies help customers analyze their current energy usage, identify opportunities for improvement, and work with pre-selected contractors to achieve efficiencies, reduce costs, and adopt renewable energy systems. The Companies state that with the energy savings achieved through the UESC program, customers will further benefit by saving money and achieving clean energy goals and mandates.[896]

The Companies propose an incentive to help customers offset the cost of energy feasibility studies, up to 50% of total cost of facility study. They also propose a new marketing budget to engage new customers.[897] The Companies propose two incremental FTEs to support the UESC program. One would manage marketing to drive additional customer participation in the program. The other is a project engineer to assist customers through the energy feasibility study and implementation process.[898] In total, the Companies propose incremental spending of $0.257 million for KEDNY and $0.261 million for KEDLI on the UESC program in the Rate Year.[899]

Staff recommends that the Companies fund the UESC program out of their overall energy efficiency program budgets.[900] The UESC program provides energy efficiency measures

[896] T. 62.
[897] T. 60.
[898] T. 61.
[899] T. 62.
[900] T. 683 – 684.

and results in energy efficiency saving. It should be operated so as to ensure consistent and comprehensive treatment of energy efficiency programs and their resultant savings. This can best and most efficiently be accomplished by incorporating the UESC program into the Companies' overall energy efficiency portfolio budgets and targets.[901] Furthermore, historically, the Companies have not spent their annual energy efficiency budgets. Thus, they can fund the UESC program out of their overall energy efficiency budgets.[902] There is no need for a separate funding source for the USEC program.

The Companies disagree with Staff's recommendation. Primarily, they state that the UESC program is a contracting program, which is not limited to gas energy efficiency measures, rather than a direct customer incentive program.[903] Additionally, the Companies state that they already track and measure the energy efficiency savings that result from the UESC, and that developing energy efficiency targets for the UESC program would be duplicative.[904] Finally, the Companies state that the UESC requires dedicated employee resources, and thus they need the additional two FTEs.[905]

The Commission should adopt Staff's position. That the Companies are already counting the energy efficiency savings that result from the UESC program, reinforces that the UESC program should be wholly integrated into the Companies' energy efficiency portfolios. Additionally, the Companies have not adequately justified the need for two incremental FTEs dedicated to the UESC program, particularly in light of the incremental seven FTEs Staff supports providing the Companies to support energy efficiency generally. Furthermore, there Companies have the flexibility to fund the UESC program within the energy efficiency portfolio without requiring separate funding.

D. Fuel Switching Calculator

The Companies proposed a web-based fuel-switching calculator to provide customers with the ability to assess their household heating options, including comparing natural

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[901] T. 683.

[902] T. 683.

[903] T. 166 – 167.

[904] T. 166.

[905] T. 165.

gas and heat pumps.[906] The Companies propose incremental O&M expense for the development and operation of the calculator of $0.250 million, split equally between KEDNY and KEDLI in the Rate Year.[907]

Staff recommended that the Companies adopt standardized assumptions and calculations, where appropriate. Additionally, Staff recommends that the calculator include other appliances, such as domestic hot water, cooking, and air conditioning.[908] Staff observed that the fuel-switching calculator is a tool that could be used more broadly by National Grid's operating utilities to inform their customers. Accordingly, Staff recommends conditioning approval of the fuel-switching calculator on sharing the total cost among other National Grid entities.[909] Staff recommends using the general allocator to allocate the costs of the fuel-switching calculator to KEDNY and KEDLI, with them receiving 13.31% and 8.29% of the total $250,000 cost, respectively.[910]

The Companies disagree with Staff's recommendation.[911] They state that, expanding the calculator for use by other National Grid operating companies will add to the costs of the fuel-switching calculator, however, the Companies did not quantify those speculative added costs. Additionally, the Companies assert that they intend that the calculator initially only be used by KEDNY and KEDLI.[912]

The Companies are acting in their own self-interest rather than the public interest. While Staff acknowledges that, logically, expanding the calculator to work in other service territories may increase the costs to some degree, such costs should not be excessive. That they have not quantified the costs of expanding the calculator to other service territories suggests that the costs would not be that great. Moreover, while the Companies assert that they want to roll the calculator out to KEDNY and KEDLI initially, this suggests that they have considered making the calculator available in other service territories. Thus, the Companies would be wise to make the calculator available to more service territories at once, which would lower the costs

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906 T. 63.

907 T. 63.

908 T. 685 – 686.

909 T. 686.

910 T. 686 – 687.

911 T. 167.

912 Id.

per service territory. Accordingly, the Commission should adopt Staff's recommendation regarding the fuel-switching calculator.

E. Demand Response

The Companies propose expanding their current gas demand response program. The Companies proposed to recover the costs of the program in base rates.[913] The operations and maintenance costs include both non-labor O&M and an incremental FTE.

Staff noted that the non-labor costs, such as incentive payments to participating customers, are uncertain. Thus, Staff recommended allowing recovery of the non-labor O&M costs through a surcharge.[914] Additionally, Staff argued that the Companies could support the expended gas demand response program with the existing personnel assigned to the gas demand response demonstration project.[915]

The Companies stated that they would object to a surcharge cost-recovery methodology with a lagged cost recovery period, they would not object if the non-labor O&M costs were included in the Delivery Rate Adjustment surcharge mechanism.[916] With regard to the FTE, the Companies assert that the existing FTE assigned to the gas demand response demonstration project splits time with the other gas demonstration projects previously approved by the Commission. Additionally, the incremental FTE is required to manage the Company's forecast approximately six-fold increase in DR assets.[917]

After reviewing the Companies' rebuttal testimony, Staff recommends that the Commission allow recovery of the non-labor O&M costs through the Companies' Delivery Rate Adjustment surcharge mechanisms. Further, Staff concedes that the additional FTE is reasonable to advance the expanded demand response program.

F. Geothermal

The Companies propose to expand the existing KEDLI geothermal demonstration project.[918] The Companies propose to provide shared geothermal ground loops to interested

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913 T. 72.

914 T. 694 – 695.

915 T. 694.

916 T. 169.

917 T. 169 – 170.

918 T. 74

parties, who live outside the footprint of the Companies' current and planned gas networks.[919] The Companies state that the geothermal technology used in this project offers a way to reduce the carbon intensity of the heating and cooling sector while providing homeowners with potentially significant energy cost savings.[920]

Staff understands that geothermal heating, including shared ground loops may be a significant part of how New Yorkers heat their homes in the coming years. As relevant to utility gas systems, the 2016 Rate Order approved the KEDLI geothermal demonstration project "to explore the use of geothermal technologies to improve sustainability and overall system efficiency by displacing peak gas consumption rather than by addressing those needs through the addition of pipeline capacity."[921] However, KEDLI just filed its final report regarding the existing demonstration project on April 3, 2020.[922] This alone means that now is not the time to expand the program. Rather it is the time to digest the lessons that can be learned from the results thus far. Additionally, the Companies propose to use revenues from gas customers to support providing geothermal ground loops to customers that are not now gas customers. Given the Companies' description, those offered geothermal shared ground loops are not those who would even have the option of becoming gas customers.

This situation poses legal questions that must be addressed before having gas companies forge ahead in providing geothermal services. Such questions are best addressed holistically state-wide, rather than in rate proceedings that affect one, or in these cases, two utilities. The specific legal issues that need to be addressed are whether or not a gas company, in this case KEDLI, can even own and offer service from shared geothermal ground loops. As is relevant here, the PSL recognizes "gas corporations,"[923] "electric corporations,"[924] "combination gas and electric corporations,"[925] and "steam corporations."[926] The PSL defines each of those, at

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919 T. 74, 76.

920 T. 76.

921 2016 Rate Order, p. 122.

922 Case 16-G-0058, supra, Geothermal Gas REV Demonstration Project – Final Report (filed April 3, 2020).

923 PSL §2(11).

924 PSL §2(13).

925 PSL §2(14).

926 PSL §2(22).

heart, as entities that operate "gas plant," "electric plant" and "steam plant," respectively. As the Companies are gas corporations, we must look at the definition of gas plant:

> The term "gas plant," when used in this chapter, includes all real estate, fixtures and personal property operated, owned, used or to be used for or in connection with or to facilitate the manufacture, conveying, transportation, distribution, sale or furnishing of gas (natural or manufactured or mixture of both) for light, heat or power, but does not include property used solely for or in connection with the business of selling, distributing or furnishing of gas in enclosed containers.[927]

No party to these proceedings has provided any reasonable argument that geothermal ground loops in areas unserved by the Companies' gas networks[928] are used in connection with "the manufacture, conveying, transportation, distribution, sale or furnishing of gas." The closest analogue in the PSL may be "steam plant." However, Staff notes that even Con Edison, a combination gas, electric, and steam corporation, does not comingle the three services' rate bases or blend their rates.

Additionally, the Companies are subject to the Transportation Corporations Law (TCL). That statute also provides a definition of a gas corporation:

> A gas corporation is a corporation organized to manufacture, to produce or otherwise acquire and to supply for public use artificial or natural gas or a mixture of both gases for light, heat or power and for lighting the streets and public and private buildings of cities, villages and towns in this state.[929]

Thus, the TCL also defines a gas corporation in terms of the service it provides, the provision of gas. Furthermore, the TCL provides certain powers to gas corporations, specifically:

> A gas corporation and a gas and electric corporation shall have power to manufacture gas, and to acquire natural or artificial gas and to mix the gases and to sell and furnish gas for light, heat or power; and to lay conductors for gas in the streets, highways and public places, in each city, village and town in the county or counties named in its certificate of incorporation, with the consent of the municipal authorities of such city, village or town, and under such reasonable regulations as they may prescribe.[930]

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927 PSL §2(10).

928 Staff acknowledges that KEDNY and KEDLI may propose to use geothermal technology as a cost-effective non-pipes solution, for example as an alternative to replacing particular segments of leak prone pipe. See, Tr. 769-770.

929 TCL §10. The TCL, like the PSL, separately defines gas, electric and steam corporations.

930 TCL §11.

Staff notes that the TCL extends the power of a gas corporation to lay down conductors "for gas" in the public ways of municipalities from which it has consent.

Thus, in the current framework, gas corporations and entities that provide or operate geothermal equipment are two different entities. While the coming years may call for a mingling of the two services, that requires serious contemplation of far-ranging regulatory, and perhaps even statutory changes. These rate proceedings, which concern just two utilities and by statute require attention to myriad issues under a tight timeline, do not provide for appropriate review of these legal and practical issues. Accordingly, Staff recommends rejecting the Companies' proposal to expand the geothermal demonstration project at this time.

G. Newtown Creek Project (KEDNY)

Staff addresses the Newtown Creek renewable natural gas project in Section IV.B, above.

H. Power-to-Gas Project (KEDLI)

KEDLI proposes a Power-to-Gas (P2G) project that would use "excess renewable electricity" to convert electricity to hydrogen or synthetic natural gas, using a process with involves using electricity to split apart water molecules into hydrogen and oxygen molecules, then combine the hydrogen molecules with a carbon dioxide source in a bioreactor to create synthetic methane, which could then be used as a supply source for natural gas, essentially using the natural gas system to store excess renewable electricity.[931] Staff recommends rejecting the Power-to-Gas project because it is not consistent with the goals and uses for excess renewable electricity set forth in the Storage Order.[932]

First, on cross-examination, the Companies' witness admitted that there will not likely be excess renewable electricity in or around Long Island in the near future.[933] Furthermore, the Power-to-Gas project is estimated to have an overall efficiency in the range of 30% to 48%.[934] However, the Energy Storage incentive programs implemented in compliance

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931 T. 108 – 110.

932 Staff Efficiency and Sustainability Panel Direct p 58; 18-E-0130, Energy Storage Deployment Program, Order Establishing Energy Storage Goal and Deployment Policy (issued December 13, 2018) (Storage Order).

933 T. 265-267.

934 T. 746.

with the Storage Order require a minimum efficiency of 70-80%,[935], with programs operated by NYSERDA,[936] Niagara Mohawk, Central Hudson, New York State Electric and Gas Corporation and Rochester Gas and Electric Corporation (RG&E) each requiring minimum efficiency of 70% and programs operated by Con Edison and O&R requiring minimum efficiency of 80%. For these reasons, the Commission should adopt Staff's recommendation and reject the Company's Power-to-Gas proposal at this time.

I. Hydrogen Blending Study

The Companies propose to undertake a hydrogen blending study to analyze the impact of blending hydrogen into the natural gas system. The goal of this study would be to determine the percentage of hydrogen that can be safely blended into the gas network without negatively impacting the network or customer appliances. The process is envisioned to use "excess renewable electricity" to convert electricity to hydrogen with a projected cost of $0.446 million in the rate year split evenly between KEDNY/KEDLI, assuming no additional grant funds are received.[937] The Companies have applied for a grant from NYSERDA that, if awarded, would provide $0.346 million of the projected cost. Thus, if awarded the grant, the costs to be recovered from customers would be only $0.100 million, of which only $0.070 million is incremental to the Historic Test Year.[938] However, NYSERDA has not yet announced whether or not it will award the grant to the Companies.[939]

Similar to the Power-to-Gas project, the hydrogen blending study would not be consistent with the goals of the Storage Order. Accordingly, in testimony Staff recommended that the Commission reject the proposal.[940]

The Company asserts that the Storage Order analysis is not appropriate for this proposal. Instead, the Companies state that the intention of the study is to assess a potential pathway toward decarbonizing the gas network.[941] Staff recommends that, if NYSERDA awards

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935 T. 746

936 Case 18-E-0130, supra, Energy Storage Bulk Incentive Program Manual.Clean (submitted January 28, 2020), pp. 18, 26.

937 T. 112.

938 T. 114.

939 T. 256.

940 T. 704

941 T. 188.

the Companies the grant, then the Commission should approve recovery of the remaining costs of the hydrogen blending study. If NYSERDA has not made a determination regarding the grant by the time the Commission issues its Rate Order in these proceedings, then Staff recommends that the Commission allow the Companies to move forward with the program only if NYSERDA awards them the grant. To accommodate this, the Commission should allow them to defer the remainder of the program costs identified above that would not be offset by the grant. If NYSERDA has not made a determination regarding the grant by the time the Commission issues its Rate Order in these proceedings, then Staff recommends that the Commission allow the Companies to

J. One-year Deferral of RNG Interconnection Program, FTE for RNG Interconnection Program

The Companies propose facilitating, installing and owning renewable natural gas interconnections of successfully implemented renewable natural gas developer projects and creating a new future of heat engineering department that includes additional FTEs to review and process future interconnection applications.[942] Staff supports the proposed program. However, Staff noted that the program is currently in an infancy stage of development. Staff also noted the potential for reallocation of FTEs due to capital program changes associated with the Clean Conversion Program. Thus, Staff recommends denying the additional requested FTEs for both Companies and remove the associated O&M related to the KEDNY projects for the Rate Year.[943]

The Companies assert that there is a need for the program, given that the interconnection queue has increased significantly over the past few years. Thus, claim the Companies, there is a need for additional resources to support the development of potential renewable gas interconnection projects.[944]

However, the Companies have not shown a need or a trend in projects that will actually be developed and/or implemented in the Rate Year. Thus, the Commission should adopt Staff's recommendation.

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[942] T. 114.

[943] T. 702.

[944] T. 187.

K. Greenhouse Gas Inventory Methodology

EDF proposes requiring KEDNY and KEDLI to develop a greenhouse gas (GHG) emissions inventory and assessment methodology in order to ensure that the Commission has enough information to determine whether its decisions in a utility rate proceeding is consistent with the requirements of the Climate Leadership and Community Protection Act (CLCPA).[945] EDF notes that the CLCPA directs the New York State Department of Environmental Conservation (NYSDEC) to develop a statewide GHG emissions inventory and report.[946]

Staff recommends that the Commission reject EDF's proposal to develop utility-specific GHG emissions inventories at this time.[947] While a utility-specific GHG inventory is one way the Commission could gather data that may be needed under the CLCPA, it is far from the only method of doing so.[948] Furthermore, as EDF noted, NYSDEC is responsible for developing the state-wide GHG emissions inventory. Thus, rather than strike out and undertake their own surveys immediately, KEDNY and KEDLI should work with NYSDEC to ensure that customer money is not wasted on duplicative efforts.[949] Furthermore, this is another example of an issue better handled on a statewide basis, rather than in these rate proceedings that affect only two utilities.[950] Accordingly, the Commission should reject EDF's proposal.

L. Earnings Adjustment Mechanisms

The Commission has provided utilities with Earnings Adjustment Mechanisms (EAMs) "to align utility shareholder interests with New York State energy policy goals."[951] Thus, EAMs are intended to incent utilities to take actions and achieve results that the utilities are not already incented to do through their existing business models, or otherwise required to do to provide safe, reliable and adequate service. It is important to note that the Companies are in no way entitled to have EAMs available to them, and they certainly are not entitled to any particular level of financial incentives. The Commission is not obliged to institute sub-optimal

945 T. 5644
946 T. 5659.
947 T. 715.
948 T. 715 – 716.
949 T. 716.
950 T. 795 – 798.
951 T. 543.

EAMs for the Companies simply because the Companies proposed them and other parties did not propose more effective metrics.[952]

The Companies proposed six EAM metrics to be measured on a calendar year basis. In total, these metrics would provide KEDNY and KEDLI with the opportunity to earn 78 basis points and 77 basis points, respectively, worth of financial incentives for 2020, and 63 basis points 62 basis points, respectively for 2021.[953] While the Companies propose to measure performance on a calendar year basis, they propose to value the basis points earned on a rate year basis.[954] For simplicity, this brief will address only the proposals for calendar year 2020, since those proposals overlap with three-quarters of the Rate Year in these proceedings.

KEDNY's request for 78 basis points in financial incents and KEDLI's request for 77 basis points far exceed the level of financial incentives the Commission has authorized for other gas utilities. In comparison, the Commission provided Con Edison with zero financial incentives in Case 16-G-0061;[955] Niagara Mohawk with 10 basis points in Case 17-G-0239;[956] Central Hudson with 15 basis points in Case 17-G-0460;[957] and O&R with 10 basis points in Case 18-G-0068.[958] Most recently, the Commission provided Con Edison with approximately 30 basis points worth of financial incentives in Case 19-G-0066.[959] The rate order in Case 19-G-0066 provided the greatest financial incentives to any gas utility thus far. The Companies seek almost eight times the 10 basis points in financial incentives authorized for their sister utility,

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952 The Companies seem to argue that they are somehow entitled to flawed EAMs simply because other parties have not presented functional EAMs. T. 214: "In the absence of more effective incentives to encourage these objectives, the Commission should approve the Companies' proposed Carbon Reduction EAM metrics.")

953 T. 552.

954 Id.; Ex. 416, p. 1 (Response to IR DPS-361).

955 Case 16-E-0060, et al., Con Edison – Electric and Gas Rates, Order Approving Electric and Gas Rate Plans (issued January 25, 2017).

956 2018 Niagara Mohawk Rate Order, p 28.

957 Case 17-E-0459, et al., Central Hudson – Electric and Gas Rates, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans (issued June 14, 2018) (2018 Central Hudson Rate Order), pp 25-26.

958 Case 18-E-0067, et al., O&R – Electric and Gas Rates, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans (issued March 14, 2019), p 69.

959 Case 19-G-0065, et al., Con Edison – Electric and Gas Rates, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan (issued January 16, 2020) (2020 Con Edison Rate Order), p 70.

Niagara Mohawk, and more than double the financial incentives authorized for Con Edison in January 2020. Thus, even assuming that each of the Companies' proposed EAMs were technically appropriate, and this brief explains why they are not below, the amount of financial incentives the Companies propose is plainly excessive.

In contrast, Staff recommends two EAMs with approximately 25 basis points worth of total financial incentives for each of KEDNY and KEDLI, split between approximately 15 basis points for the Share the Savings metric and 10 basis points for the Gas Peak Reduction metric. This amount is in line with the financial incentives the Commission has authorized for other gas utilities across New York State. It provides the Companies with appropriate incentives without potentially overburdening customers, and should be adopted by the Commission.

With regard to specific metrics, the Companies propose the following metrics: (1) Peak Reduction; (2) Supply Diversification; (3) Incremental Energy Efficiency; (4) Affordability; (5) Carbon Reduced from Full-Service Customers; and (6) Carbon reduced from Transportation Customers.[960] Staff agrees with a Peak Reduction metric, in concept, but recommends changes to the metric.[961] Staff recommends rejecting the Companies proposed Incremental Energy Efficiency metric, and instead instituting an energy efficiency Share the Savings metric.[962] Finally, Staff recommends rejecting the Companies' proposed Supply Diversification metric,[963] Affordability metric,[964] and both the Full-Service and Transportation Carbon reduction metrics.[965] The sections below present Staff's reasons for rejecting the Companies' proposed metrics, and then Staff's recommendations for metrics, targets, and associated financial incentives.

1. The Commission Should Reject the Companies' Proposed Metrics

As stated above, the Commission should reject each of the Companies' proposed EAM metrics. Below, Staff sets forth the primary problems with each of the Companies' proposed metrics, which require that they be rejected.

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960 T. 559, 570, 587.

961 T. 561.

962 T. 572 – 573.

963 T. 566.

964 T. 582.

965 T. 590 – 591.

The Companies proposed a programmatic Peak Reduction metric, which would reward the Companies for maximizing demand reductions achieved through the Companies' demand response programs.[966] While Staff supports a Peak Reduction metric in concept, Staff does not support the Companies' proposed metric, which measures only performance of a single program. However, the Commission has repeatedly and clearly communicated its general preference for outcome-based EAMs over such programmatic EAMs.[967] Indeed, in the Track Two Order[968] and the Storage Order,[969] the Commission specifically requested reliance on outcome-based Peak Reduction metrics.[970] Accordingly, the Commission should reject the Companies' proposed Peak Reduction metric, and instead adopt Staff's recommendations for developing a Peak Reduction metric, discussed in the next section of this brief.

The Companies propose a Supply Diversification metric, through which the Companies could earn a financial incentive based on the amount of incremental renewable natural gas introduced into the Companies' systems each year.[971] According to the Companies, to achieve the targets the Companies would work with third parties to increase RNG development, for example by standardizing RNG project interconnection requirements.[972] However, this proposed metric is not consistent with the Commission's Track One Order[973] or Track Two Order. While the Track One Order did identify fuel resource diversity as one of the six policy objectives of the REV proceeding, it did so in the context of diversifying the electric grid away from reliance on natural gas.[974] Additionally, the Companies' proposed metrics would allow them to earn $1 in financial incentives for each $1 in value created by the renewable natural gas interconnections.[975]

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966 T. 123 - 124.

967 T. 544.

968 Track Two Order, p. 75.

969 Storage Order, p. 40.

970 T. 562.

971 T. 125.

972 Id.

973 Case 14-M-0101, Reforming the Energy Vision, Order Adopting Regulatory Policy Framework and Implementation Plan (issued February 26, 2015) (Track One Order), pp 4, 17

974 T. 567.

975 T. 570; T. 198.

Moreover, the Companies' obligation to provide safe, reliable and adequate service provides enough of an incentive for the Companies to pursue increased renewable natural gas interconnections during the Rate Year.[976] Specifically, the supply constraints that the Companies currently face already incent the Companies to seek, non-pipeline gas from RNG projects located within or near their existing distribution networks. Therefore, the Companies' existing business model is already inherently aligned with increasing new RNG interconnections, without requiring that customers fund additional incentives.[977] Accordingly, the Commission should reject the Companies' proposed Supply Diversification metric.

The Companies proposed a program-based Incremental Energy Efficiency metric that would measure the incremental million British Thermal Unit (MMBTUs) reductions achieved through the Companies' energy efficiency programs.[978] However, the Companies' proposed Incremental Energy Efficiency metric ignored the requirement of the March 2018 ETIP Order that energy efficiency metrics be based on "Verified Gross Savings."[979] Additionally it runs counter to the December 2018 Energy Efficiency Order, which requires utilities to develop and propose new energy efficiency "Share the Savings" metrics.[980] Accordingly, Staff recommends rejecting the Companies' proposed Incremental Energy Efficiency metric. In its place, Staff recommends an energy efficiency "Share the Savings" metric, discussed in the next section of this brief.

The Companies propose an outcome-based Affordability metric through which the Companies would earn a financial incentive tied to the annual percentage reduction in the average low-income customer bill compared to the prior year.to reward the Companies for reducing low-income customer bills.[981] The Companies propose to earn one basis point for each 0.2% reduction in average low income customer bills, resulting in 10 basis points worth of financial incentive if the average low-income customer bill decreases by 2%.[982]

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976 T. 566.

977 T. 569.

978 T. 129.

979 T. 548 – 549.

980 T. 551 – 552; T. 572.

981 T. 131.

982 T. 132.

This metric is contrary to the Track Two Order, which had considered EAMs specifically related to low income customer affordability but determined that such outcomes are better addressed by other non-EAM means.[983] Additionally, the Companies' proposed targets are inappropriately low.[984] They fall within the level of variability that exists in the average annual low income customer data. Therefore, awarding financial incentives based on such targets would potentially reward the Companies for random happenstance instead of utility actions.[985] Furthermore, other parties oppose this metric as well. NYC opposes this metric because KEDNY's and KEDLI's shareholders would receive $1.75 and $7.00, respectively, for each $1 that an average low income customer saves in a given year.[986] PULP expresses concern that the metric could result in unintended consequences, such as on the Companies' terminations practices.[987] Finally, presumably, by decreasing low income customer bills, the Companies would be decreasing revenues. As revenues from residential customers are subject to an RDM, the Companies would recover any lost revenues from all residential customers, including low income customers.[988] Thus, the Companies seek to earn an incentive, even though customers do not actually receive a benefit, or at least not the complete benefit the Companies purport to measure. Fort these reasons, the Commission should reject the Companies' proposed Affordability metric.

The Companies propose two related programmatic Carbon Reduction metrics, one focused on full-service customers, and the other focused on transportation customers. Under the full-service metric, the Companies would earn a reward based on reduced carbon emissions measured through the adoption rates of three specific offerings: oil-to-geothermal conversions, sales of renewable natural gas through the proposed Green Gas Tariff,[989] and use of natural gas

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983 T. 582; Track Two Order, pp. 92-93

984 T. 582 – 583.

985 T. 583 – 584.

986 T. 5327. On rebuttal, the Companies do propose revising the metric's targets to result in one basis point worth of financial incentive for every 1% reduction in the average low income customer bill. T. 201. However, this tweak to the targets does not mollify Staff's, and presumably other parties' concerns.

987 T. 1648.

988 T. 586 – 587.

989 As explained in Sections IX.B and IX.F, Staff recommends rejecting the Companies' Green Gas Tariff and Geothermal proposals, respectively.

vehicles.[990] Under the transportation metric, the Companies would earn a financial incentive based on customers' usage of natural gas vehicles.[991]

There are several problems with these proposed metrics. First, the proposed metrics measure programmatic results, rather than the measuring outcomes, for which the Track Two Order stated a clear preference.[992] Second, while the societal value of reducing carbon emissions is approximately $52 per metric ton, the Companies propose shareholder incentives ranging from $101.83 per metric ton to $290.16 per metric ton.[993] Thus, under the Companies' proposal, shareholders would earn between $1.95 to $5.56 in incentives for every $1 of societal benefits achieved.[994] Third, the Companies' business model already provides an incentive to increase natural gas vehicle usage, as the Companies would deliver the natural or renewable gas used to fuel such vehicles, for which they will earn revenues.[995] Thus, customers need not also provide a separate financial incentive to the Companies' shareholders. For these reasons, the Companies' proposed Carbon Reduction metrics should be rejected.

2. The Commission Should Adopt these EAM Metrics and Targets

Staff recommends that the Commission adopt an energy efficiency Share the Savings metric and an outcome-based Peak Reduction metric.

Staff recommends that the Share the Savings metric allow the Companies to retain a 30% share of dollar per lifetime-MMBTU savings achieved through efficient operation of the Companies' energy efficiency programs.[996] This metric should be based only on Verified Gross Savings.[997] The Share the Savings metric should have certain guardrails to ensure that the metric does not result in unintended consequences. These guardrails include precluding the Companies from earning an EAM under this metric unless the minimum energy efficiency program targets required by the Commission are achieved, and ensuring that the Companies use the correct

990 T. 133.
991 T. 137.
992 T. 591 – 592.
993 T. 592 – 593.
994 T. 593.
995 T. 260 – 261.
996 T. 573.
997 T. 578 – 580.

Estimated Useful Lives (EULs) relevant to that program year.[998] Based on the energy efficiency program budgets and targets authorized in the Commission's 2020 Energy Efficiency Order, Staff estimates that the Share the Savings metric makes financial incentives worth approximately 15 basis points, or $5.0 million available to KEDNY, and approximately 9 basis points, or $2.9 million available to KEDLI.[999]

Staff recommends developing a Peak Reduction metric based on peak-day usage reductions. The metric would measure the usage reductions of firm customers on a per-Heating Degree Day basis, measured during the month of January or February each year.[1000] For financial incentives, Staff recommends that the Commission allow incentives worth up to 10 basis points for each of the Companies, with 2.5, 5, and 10 basis points earned at the minimum, midpoint, and maximum achievement levels, respectively.[1001] The Commission recently adopted an outcome-based Peak Reduction metric for Con Edison in Case 19-G-0066, based on city-gate level daily usage data.[1002] The metric instituted for Con Edison could form a template for developing a similar metric for KEDNY and KEDLI. Once developed, the Companies can present the outcome-based Peak Reduction metric to the Commission and request authorization to be allowed to earn the financial incentives reserved for this metric.[1003]

Unlike the Companies proposed EAMs, Staff's two recommended EAMs are aligned with Commission guidance. They provide the Companies with sufficient incentives to shift behavior in the targeted areas. Accordingly, the Commission should adopt Staff's recommended EAM metrics and targets.

M. Platform Service Revenues

Platform Service Revenues (PSRs) area new form of utility revenues. Utilities would earn PSRs from the operation or facilitation of distribution-level markets.[1004] The Companies propose to earn two PSRs. First, the Companies propose to retain 20% of the fees

[998] T. 576 – 577.
[999] T. 621 – 622; Ex. 571, p. 1
[1000] T. 562.
[1001] T. 563.
[1002] 2020 Con Edison Rate Order, Attachment A Joint Proposal, Appendix 23, pp 36-39
[1003] T. 563 – 564.
[1004] T. 594.

collected from vendors participating in the E-Commerce Platform.[1005] Second, The Companies propose to retain 33% of the fees received from UESC program participants.[1006] Staff recommends authorizing the Companies requested PSRs with some modifications, as discussed below.

1. E-Commerce Platform PSR

The Companies propose to earn a PSR based on retaining 20% of the fees collected from vendors participating in the E-Commerce Platform, with the remaining 80% of such fees to be deferred for customer benefit.[1007] The Companies state that the 20% share of vendor fees as a PSR is consistent with the PSR that the Commission approved for Niagara Mohawk.[1008] The PSR that the Commission approved for Niagara Mohawk only applied to the electric side of that company, not the gas side,[1009] whereas KEDNY and KEDLI do not have electric operations. In testimony, Staff also questioned whether the Companies' proposed PSR was consistent with the Track Two Order.[1010]

On rebuttal, the Companies asserted that their proposed E-Commerce Platform PSR is consistent with the Track Two Order. Specifically, the Companies stated that the Track Two Order provided examples of PSRs including "connecting customers with DER [Distributed Energy Resource] providers via a marketplace portal."[1011] Additionally, the Companies argued that the Commission had previously approved a marketplace-related PSR for Central Hudson in Cases 17-E-0459 and 17-G-0460.[1012] Having considered the Companies' rebuttal testimony, Staff now recommends that the Commission adopt the 20% share of net revenues for the E-Commerce Platform PSR.

[1005] T. 142.
[1006] T. 142.
[1007] T. 142.
[1008] T. 142.
[1009] T. 596; 2018 Niagara Mohawk Rate Order.
[1010] T. 596 -597.
[1011] T. 204.
[1012] T. 204; 2018 Central Hudson Rate Order.

2. UESC Program PSR

The Companies propose to retain 33% of the fees received from UESC program participants, with the remaining two-thirds of fees deferred for customer benefit.[1013] The Companies claim that this higher level PSR is warranted because the Companies' ability to earn a PSR is uncertain despite increased marketing and feasibility study management efforts.[1014] Furthermore, claim the Companies, the enhanced service they provide as part of the UESC program, and the enhanced value of customer participation in the UESC program toward State energy policy goals, justify providing the Companies with 33% of the fees.[1015]

Staff agrees that the Companies should earn a PSR related to the UESC program. However, Staff recommends that the PSR be calculated as 20% of the net revenues generated by the UESC program. First, the Track Two Order provides guidelines for PSRS, including identifying a 20% PSR as appropriate for programs that do not include shareholder funds at risk.[1016] Indeed, the Track Two Order specifically considers higher percentage PSRS, and says that they may be reasonable with higher levels of shareholder funds at risk.[1017] The costs of the Companies' UESC program are recovered from customers through rates; there are no shareholder funds at risk. Accordingly, the PSR should be limited to 20%.

Additionally, Staff recommends that the PSR be calculated as a percentage of net revenues, that is a percentage of the fees collected from UESC participants less the costs of operating the UESC program.[1018] Providing a PSR based on a percentage of net revenues would only reward the Companies if the UESC Program is successful in producing fees from participants in excess of what it costs customers for the Companies to operate the program.[1019] Without this modification, i.e., if the Companies received a percentage of the gross fees received, the Companies could earn a reward through the PSR roughly double the benefits that would accrue to customers.[1020]

[1013] T. 142.
[1014] T. 142 – 143.
[1015] T. 205 – 205.
[1016] T. 598.
[1017] T. 598 – 600.
[1018] T. 600 – 601.
[1019] T. 600.
[1020] T. 600.

Staff's recommendations are reasonable as they provide the Companies with a PSR equal to 20% of net revenues from the UESC program. This PSR is in line with prior Commission decisions where the PSR is based on a program supported by customers. Further, by calculating the PSR off of net revenues, it ensures that the Companies do not earn a reward unless and until the UESC program produces net monetary benefits. For the reasons discussed above, the Commission should adopt Staff's recommended UESC program PSR.

N. Empower Replacement Program Incentive Mechanism (KEDLI)

KEDLI currently earns a shareholder incentive to encourage it to maximize the effectiveness of the Empower Replacement Program, also known as the HEAT program.[1021] The HEAT program has four tiers, and the mechanism provides incentives for each household assisted at Tiers Three and Four. The per-household incentive for Tier Three is currently calculated as 0.007% of the of the Tier Three program budget.[1022] The per-household incentive for Tier Four is currently calculated as 0.014% of the Tier Four program budget.[1023] In light of the increased program budget proposed in these proceedings and discussed in Section IX.A.6, above, the Tier Three per-household incentive would increase from the present $122.88 to $148.75 under KEDLI's proposal.[1024] Similarly, the Tier Four per-household incentive would increase from the present $245.76 to $297.50 under KEDLI's proposal.[1025]

Staff recommends that the Commission continue to provide KEDLI with a per-household incentive for Tiers Three and Four, however Staff recommends certain modifications.[1026] First, rather than set the incentive as a percentage of the program budget, Staff recommends setting the incentive as a flat dollar per household.[1027] Tying the incentive to the budget provides KEDLI with greater per-household incentives as the budget increases, regardless of the number of households served. Second, Staff notes that the primary goal of the HEAT program is met at Tier Three. While Tier Four provides benefits to customers, those benefits are

[1021] T. 144.
[1022] T. 145.
[1023] T. 603.
[1024] T. 603.
[1025] Id.
[1026] Id.
[1027] T. 602 – 603.

not strictly tied to energy efficiency improvements.[1028] Accordingly, Staff recommends resetting the incentives so that the Tier Three incentive is higher than the Tier Four incentive.

Staff recommends setting the Tier Three per-household incentive at $125.00. This closely approximates the current $122.88 level.[1029] With the Tier Three incentive level in mind, Staff recommends setting the Tier Four per-household incentive at $62.50, half the incentive provided per-household at Tier Three.[1030] On rebuttal, KEDLI agrees with the conceptual changes that Staff recommends, however, it proposes setting the per-household incentives for Tier Three at $240, and for Tier Four at $120.[1031] KEDLI asserts that these incentives more closely reflect the current level of shareholder incentives.[1032]

The Commission should adopt Staff's recommended HEAT program incentives. Everyone agrees that the HEAT program creates useful positive benefits for low income customers. The only disagreement between Staff and the Companies is regarding the actual dollar level of the incentives. The Commission should not provide greater incentives than necessary. KEDLI has not expressed that the present Tier Three per-household incentive of $122.88 has not provided an adequate incentive. There is no evidence to suggest that now KEDLI would need an incentive twice as large in order to continue effectively operating this program in the Rate Year. Accordingly, the Commission should adopt Staff's recommended incentive levels, as they should provide sufficient incentives to encourage KEDLI to effectively continue the HEAT program.

Q. Proposed Changes to Supply Planning Process

The Environmental Defense Fund (EDF) proposed a number of changes to the Companies' supply planning processes. Among its proposals, EDF suggests that the Companies be subject to an annual gas supply process, with technical conferences as needed, and discovery rights for intervenors.[1033] Recent Commission action has mooted EDF's proposals. On March

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[1028] T. 604. Tier Four includes structural and safety improvements necessary to carry out the energy efficiency measures that are the primary purpose of the HEAT program. Thus Tier Four activities provide only a fraction of the energy savings that result from Tier Three.

[1029] T. 605.

[1030] Id.

[1031] T. 76.

[1032] Id.

[1033] T. 5628.

19, 2020, the Commission began a proceeding specifically to consider modifications related to gas utilities planning procedures on a state-wide basis.[1034] Among other things, Case 20-G-0131 will have Department Staff issue a proposal for modernizing the gas system planning process. To consider EDF's proposals here in these rate proceedings regarding just two gas operating companies would undermine the Commission's just stated desire to review these processes on a state-wide basis. Accordingly, the Commission should reject EDF's proposals with regard to the winter supply meeting and gas planning.

S. Gas Hedging Changes

The Companies proposed modifications to the way they hedge gas supply purchases. Specifically, they propose to incorporate financially settled Dominion South Point options, and shift to favoring up to 100% of options, as opposed to swaps, for the financial hedge component of their portfolios.[1035]

Staff supports these proposals. Additionally, Staff recommended that the Commission require the Companies to continue to monitor their hedging strategies on an ongoing basis, and to review decision such as these with Staff as part of the current annual winter supply review process.[1036] The Companies agreed with Staff's recommendation.[1037] These changes will help to decrease the impact of gas price volatility for the Companies' sales customers. Accordingly, the Commission should adopt these recommendations that both the Companies and Staff support.

X. GAS SAFETY

A. Pipeline Safety Performance Measures

In their initial filings, KEDNY and KEDLI propose more stringent pipeline safety performance targets; the consolidation of certain metrics; redistribution of negative revenue adjustments (NRAs) amongst the metrics, while maintaining the same overall exposure; and to align their metrics with that of other local distribution companies (LDCs).[1038] Only in their

[1034] Case 20-G-0131, Gas Planning Procedures, Order Instituting Proceeding (issued March 19, 2020).
[1035] T. 3903 – 3904.
[1036] T. 4019.
[1037] T. 3935.
[1038] T. 3750.

rebuttal testimony, do the Companies assert that, for a one-year litigated case, they do not agree with the inclusion of performance metrics and state that "their consistently high level of performance should provide the Commission with sufficient comfort that service will not be diminished"[1039]

In testimony, Staff addressed each of the pipeline safety performance metrics individually. Overall, Staff expressed support for redistributing the potential NRAs between metrics.[1040] Further, Staff expressed its general support for aligning the Companies performance metrics with those in operation for other LDCs.[1041] Staff did note, however, that the Companies have had some difficulties with their safety performance in recent years. With regard to the net balances of revenue adjustments incurred by the Companies from 2013 through 2018, Staff noted that KEDNY and KEDLI incurred a total of $120^{4}/_{9}$ and 18¼ basis points in revenue adjustments, respectively.[1042] Staff later adjusted these net balances to $106^{4}/_{9}$ and ¼ basis points, respectively, due to a correction of the Companies damage prevention performance for calendar year 2018.[1043] In addition, Staff noted that KEDNY and KEDLI both have cases pending that address pipeline safety practices and the potential of PSL §25-a penalties. First, in Case 18-G-0094, the Commission issued its Order Instituting Proceeding and to Show Cause on November 15, 2018, which identified multiple non-compliances with the cathodic protection requirements related to KEDLI's Northport Facility. Second, in Case 17-G-0317, the Commission issued its Order Instituting Proceeding and to Show Cause on July 12, 2019, which identified multiple instances of non-compliance with operator qualifications, performance, and inspection requirements for both KEDNY and KEDLI.[1044]

Staff recommends implementing pipeline safety performance metrics with associated potential NRAs for the Rate Year in this litigated case. Such metrics should generally be implemented, and a review of KEDNY and KEDLI's recent performance demonstrates the needs for such metrics in these particular cases.

[1039] T. 3790.

[1040] T. 4038.

[1041] See, T. 4037; T. 4058 – 4059; T. 4069 – 4070; T. 4071 – 4072; T. 4081; T. 4090 – 4091.

[1042] T. 4088.

[1043] Ex. 674 (response to NG-47.

[1044] T. 4089.

First, as a general manner, the Commission has historically imposed performance metrics with associated potential NRAs, even in one-year litigated rate cases.[1045] The Commission has explained the use of pipeline safety and customer service metrics with associated potential NRAs as:

> …both practical and a proper use of Commission authority to ensure that safe and reliable service is maintained by the utility company as the foremost aspect of its responsibilities to the public. We have authority to reduce rates of return to reflect poor service quality. We have approved incentive programs in the context of accepting multi-year rate plans as "just and reasonable." We can index portions of the Company's return for the rate year in this case to achievement of key measures of safety and service quality.[1046]

Further, the Commission has made clear that utilizing performance metrics with associated NRAs provide a utility with the ability to "earn its fair return by meeting its obligation to provide safe and reliable service through the designated service and reliability metrics."[1047] Indeed, the Commission has expressly rejected requests by utilities to discontinue performance metrics during one-year litigated rate cases. For example, in Case 08-E-0539, Con Edison sought to discontinue the electric reliability performance mechanisms applicable to it. In the 2009 Con Edison Rate Order, the Commission unequivocally denied Con Edison's request, stating:

> We reject outright the Company's proposal to eliminate or reduce the effect of the Reliability Performance Mechanism that applies to it. The identification of performance criteria and specific consequences for failure to meet those criteria help to focus management attention on the provision of reliable electric service.[1048]

Thus, the Commissions rate decisions over the past 15 years plainly state a preference for performance metrics with associated potential NRAs, including in litigated cases. There is one exception, the Commission's 2017 NFGD Rate Order.[1049] The Commission's decision in that case demonstrates that it was not generally revisiting the appropriateness of

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[1045] See, Case 07-G-0141, NFGD – Gas Rates, Order Establishing Rates for Gas Service (issued December 21, 2007) (2007 NFGD Rate Order), pp. 41 – 45; Case 07-E-0523, Con Edison – Electric Rates, Order Establishing Rates for Electric Service (issued March 25, 2008) (2008 Con Edison Rate Order), pp. 253 – 281; 2009 Con Edison Rate Order, pp. 161 - 177; 2011 O&R Rate Order, pp. 94 – 102; Case 13-W-0295, United Waster New York Inc. – Water Rates, Order Establishing Rates (issued June 26, 2014), pp. 65 – 68.

[1046] 2007 NFGD Rate Order, p. 44.

[1047] 2008 Con Edison Rate Order, p. 163.

[1048] 2009 Con Edison Rate Order, p. 266.

[1049] 2017 NFGD Rate Order.

performance metrics with associated potential NRAs in litigated rate cases.[1050] The Commission explained that it was NFGD's particular historical record on safety and customer service that lead the Commission to decide not to require performance metrics with associated potential NRAs:

> …the Commission's review of the record shows that despite the fact that use of performance metrics statewide has encouraged improvement in performance related to customer service and gas safety, NFGD's past performance, for the most part, gives the Commission sufficient comfort to allow the Company to operate for the time being, and in the absence of a multi-year rate plan, without the addition of potential revenue adjustments based on targeted performance. Staff will continue to monitor NFGD's performance and, to that end, the associated reporting requirements remain in place.[1051]

Thus, imposing performance metrics with associated potential NRAs is the normal outcome for rate cases, including litigated ones such as these. It has been the rare exception to not include such mechanisms, and KEDNY and KEDLI cannot demonstrate they warrant such an exception in these cases.

Second, as explained above, the Companies have incurred NRAs pursuant to pipeline safety metrics in the recent past. In addition, they are currently subject to potential penalties in two enforcement proceedings. This demonstrates that their performance is not of a sufficient level that the Commission can or should trust them to perform appropriately during the Rate Year in the absence of performance measures with potential NRAs. The sections below provide Staff's recommendations for specific pipeline safety metrics and associated potential NRAs.

1. Leak Prone Pipe (LPP) Removal

KEDNY and KEDLI propose to continue their existing LPP removal programs with minimum removal targets of 65 and 150 miles, 70 and 150 miles, and 75 and 150 miles, respectively, for calendar years 2020, 2021, and 2022, and cumulative removal targets through 2023 of 310 and 620 miles, respectively.[1052] For incentives, they propose positive revenue adjustments (PRAs) of 2 basis points for each mile of LPP removed above the targets, with the

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[1050] 2017 NFGD Rate Order, p. 63 ("Based on the record before it, however, the Commission does not see any need to reexamine the question of legal authority.").

[1051] 2017 NFGD Rate Order, p. 63.

[1052] T. 3752.

PRA capped at 10 basis points per calendar year; and NRAs of 15 basis points for failure to meet the removal targets.[1053] The NRA currently in effect is eight basis points for failure to meet the removal target. The Companies assert that a multi-year approach and cumulative targets for LPP removals are appropriate.[1054] Further, they explain that they have already modified their LPP algorithms to assign higher weight factors for facilities located in flood plain areas. Accordingly, the Companies assert that specifically focusing on flood plain areas would defer or delay removals of higher-risk facilities in other areas.[1055] Finally, the Companies assert that their current reporting requirements are sufficient and that enhanced reporting requirements may be burdensome to prepare without commensurate benefits.[1056]

New York City proposed that the Commission require the Companies to removal all low-pressure LPP located in FEMA 100 and FEMA 500 flood plain areas within 10 years.[1057] With regard to incentives, New York City opposes the PRAs as described by the Companies due to lack of justification and "a compelling need" to increase costs to customers.[1058] Instead, New York City proposes a PRA for additional LPP removals in low-pressure, flood plain areas.[1059] Additionally, New York City opposes increasing the associated NRAs for a metric the Companies have had no difficulty in meeting.[1060] Further, New York City proposes that it annually review the Companies LPP removals to ensure maximum optimization of work and coordination.[1061]

The Sane Energy Project asserted that the Companies failed to consider climate change and the health impacts of fracked gas. With regard specifically to LPP removals, the Sane Energy Project claimed that LPP removals conflict with the state and city climate goals.[1062]

[1053] T. 3753.

[1054] T. 3795.

[1055] T. 3796.

[1056] T. 3832.

[1057] T. 5434.

[1058] T. 5462.

[1059] T. 5435.

[1060] T. 5461.

[1061] T. 5422.

[1062] T. 5675 – 5681.

Staff supports KEDNY's and KEDLI's calendar year 2020 LPP removal targets of 65 and 150 miles, respectively; however, Staff disagrees with a multi-year approach and cumulative targets for a one-year litigated case.[1063] Additionally, Staff supports the removal of LPP services in conjunction with LPP mains.[1064] With regard to incentives, first Staff confirms that KEDNY earned PRAs of two and four basis points for 2017 and 2018, respectively, and KEDLI earned a PRA of four basis points for 2018.[1065] Second, Staff supports the Companies proposal to increase the NRAs associated with the LPP targets from eight to 15 basis points.[1066] Third, Staff recommends replacing PRA for LPP removals with a new PRA to incent the Companies to remove LPP and reduce their respective year-end leak backlogs at target levels for less than the budgeted program amounts.[1067] Finally, Staff recommends enhancing the annual reporting requirements to ensure they include, at a minimum: material type, mileage, project location, segment rank, project cost, scheduled LPP removals and their associated segment ranks, and a reconciliation of the proposed versus actual removals.[1068]

Setting an LPP removal target with associated NRAs is designed to ensure that both KEDNY and KEDLI continue to appropriately remove LPP from their systems. Absent such a metric, LDCs would typically only remove LPP to ensure compliance with the pipeline safety regulations, to respond to significant customer complaints, or through coordinated municipal or state projects where a portion of the associated costs are shared.[1069] However, it is important that LDCs go beyond that level of LPP removal, as removing LPP improves public safety. Thus, for a one-year litigated case, KEDNY and KEDLI should be required to remove 65 and 150 miles, respectively, for calendar year 2020 with associated NRAs of 15 basis points should they fail to remove these amounts.

With regard to the PRAs, Staff recommends reimagining the PRAs for LPP. The Companies should be focused on how to deliver necessary safety and reliability expenses and

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[1063] T. 4048.

[1064] T. 4044.

[1065] T. 4046.

[1066] T. 4048.

[1067] T. 3605.

[1068] T. 4050.

[1069] T. 4043.

capital investments in as cost effective a manner as possible. To that end, the Companies should develop Safety and Reliability Programs, which would contain all capital and expense budget items that contribute to the safety and reliability of the system. If the Companies can deliver these programs for less than the budgeted amounts, including meeting their LPP removal and Leak Backlog targets for the relevant time period, the Companies should be awarded an incentive.[1070] Such a mechanism will focus the Companies on performing work efficiently. Over time, as rates are reset, the resulting lower actual costs incurred will be reflected in forecasts for future rate years, benefiting customers. Admittedly, at this time Staff has not developed a fully fleshed-out incentive mechanism. Thus, Staff recommends terminating the current LPP PRA and requiring the Companies to work collaboratively with Staff and interested parties to develop a mechanism. Alternatively, the Commission could require the Companies to propose such a mechanism in their next base rate filings. The parties to those proceedings could consider the Companies proposals and make recommendations there.

Additionally, in order to maximize the benefits to public safety and minimize costs, the Companies should utilize risk assessment models to prioritize removals and coordinate their work with that of New York City. Further, the enhanced reporting requirements would foster these coordination efforts by providing a forecast of the upcoming calendar years proposed LPP removals. Thus, and for the reasons stated above, the Commission should adopt Staff's recommendations regarding LPP removal, associated incentives, and reporting requirements.

2. Leak Management

KEDNY and KEDLI propose to reduce their total leak backlog targets by 150 and 750 leaks, respectively, per calendar year.[1071] They propose that their calendar year targets for 2020 be set based off of their 2019 targets and that their repairable leak backlog targets be set at 25 leaks per calendar year.[1072] Additionally, the Companies propose that they can meet this metric at any time during the last 11-days of the calendar year to avoid any unnecessary expenses resulting from uncontrollable timing of leak reports.[1073] With regard to incentives, the

[1070] T. 3606.

[1071] T. 4083.

[1072] T. 4084.

[1073] T. 4085.

Companies recommend NRAs of five and 10 basis points if they fail to meet their total and repairable leak backlog targets, respectively.[1074] Further, they recommend being allowed to earn PRAs based on the repair of the highest-emitting Type 3 leaks.[1075] The Companies stated that rechecks should not be required for Type 3 leaks[1076] and that advanced leak detection (ALD) technology is not yet reliable or approved for use in New York to form the basis for a new metric.[1077] While the Companies agreed that cavity ring-down spectroscopy (CRDS) technology should be utilized to combat methane emissions, they disagreed that they should align their leakage survey techniques and frequencies with those of Con Edison.[1078] Finally, they disagreed with New York City's proposal to eliminate their total leak backlog within five calendar years.[1079]

New York City argued that the Commission should require the Companies to eliminate their total leak backlogs within five years. To meet this deadline, New York City proposes that the Commission require, KEDNY and KEDLI should be required to reduce their total leak backlogs by 560 and 1,640 leaks, respectively, per calendar year.[1080] Additionally, New York City proposes that the Companies be required to employ the same leakage survey techniques and frequencies as Con Edson.[1081] With regard to incentives, New York City proposes assigning an NRA of 10 basis points, if the Companies fail to meet their total leak backlogs, and a five basis point NRA if the Companies fail to meet their repairable leak backlogs.[1082] Furthermore, New York City suggests redesigning the PRA to provide an incentive of one basis points for every 10% of leaks eliminated above the proposed targets, capped at five basis points.[1083]

[1074] T. 4084.

[1075] T. 4085.

[1076] T. 3805.

[1077] T. 3808.

[1078] T. 3808.

[1079] T. 3806.

[1080] T. 5472.

[1081] T. 5478.

[1082] T. 5473.

[1083] T. 5474.

EDF proposed the deployment of ALD technologies to quantify leakage rates and to prioritize repairs based on emissions; stated that setting targets based on declining leak backlogs dis-incents the Companies from use technologies that identify more leaks.[1084] EDF focuses on emissions from leaks, and states that 20% of emissions come from the largest 2.5% of leaks, with 50% of emissions come from the largest 16% of leaks.[1085] EDF recommends requiring the Companies to conduct regular studies utilizing ALD technology.[1086] According to EDF, completing ALD studies in a three to five-year range, will allow the Companies to achieve a 50% reduction in emissions.[1087]

Staff supports KEDNY's and KEDLI's proposals to reduce their total leak backlogs by 150 and 750 leaks, respectively, per calendar year.[1088] On average over the previous five calendar years, KEDNY and KEDLI have reduced their respective total leaks backlogs by 316 and 823 leaks, with 2,803 and 8,199 total leaks remaining on their respective systems as of December 31, 2018. With the proposed Rate Year reductions, Staff recommends requiring that KEDNY and KEDLI have no more than 2,200 and 6,600 leaks, respectively, at the end of calendar year 2020.[1089] With regard to repairable leaks, the Commission should require that the Companies have no more than 20 such leaks at the end of calendar year 2020.[1090] Further, Staff recommends that the Commission allow the Companies to meet the leak management metrics by hitting their targets at any point from December 26th through December 31st of the calendar year.[1091] Finally, to ensure that the Companies have successfully repaired the leaks they report, Staff recommends that only successful elimination of a leak should be considered a valid leak repair. In other words, the Companies should be required to conduct recheck inspections should be performed for all leaks, including Type 3 leaks.[1092]

[1084] T. 5582.

[1085] T. 5602.

[1086] T. 5605.

[1087] T. 5612.

[1088] T. 4056.

[1089] Id.

[1090] Id.

[1091] T. 4058.

[1092] T. 4059.

With regard to incentives, Staff supports the Companies' proposal for associated NRAs to be set at five and 10 basis points if they fail to meet their total and repairable leak backlog targets, respectively.[1093] Additionally, Staff recommends that the Companies, individually, be allowed earn a PRA of two basis points for each 100 leaks repaired in excess of the total leak backlog targets, capped at six basis points, i.e., the Companies could each earn incentives for repairing up to 300 additional leaks.[1094] Furthermore, Staff confirmed that KEDNY earned Leak Backlog PRAs of five and four basis points for calendar years 2017 and 2018, respectively; and KEDLI earned PRAs of five basis points in each of calendar years 2017 and 2018.[1095]

Leak management refers to KEDNY's and KEDLI's ability to monitor and repair existing and newly discovered leaks.[1096] By reducing the total number of leaks, the Companies decrease the threat to public safety and reduce methane emissions. Thus, the overall goal for this metric should remain the elimination of all leaks. However, Staff recognizes that, due to the size of the leak backlogs, eliminating all leaks in a cost-effective manner will take some time. Accordingly, the Commission should adopt total leak reduction targets of 150 leaks for KEDNY and 750 leaks for KEDLI for calendar year 2020. Based on known leak counts, the targets for year-end 2020 should be set at 2,200 for KEDNY and 6,600 for KEDLI. In order to properly incent the Companies to eliminate leaks, the Commission should set incentives as Staff recommends above.

3. Damage Prevention

Damage prevention refers to a KENDY's and KEDLI's ability to minimize damage to its natural gas facilities caused by excavation activities.[1097] Damages often cause interruptions of service to customers, building evacuations, and road closures. Explosions, fires,

[1093] T. 4058.

[1094] T. 4061.

[1095] T. 4053.

[1096] T. 4051.

[1097] T. 4062.

injuries, and fatalities, while less frequent, have also occurred as a result of these types of damages.[1098]

The Companies propose to consolidate the damage prevention metric in a single category, total damages per 1,000 one-call tickets, which combines the pre-existing categories of mismarks, third-party, company and its contractors, and no-call damages. The Companies propose retaining the current methodology used to calculate this metric. Regarding incentives, they propose to earn PRAs if their performance exceeds targets, and to incur an NRA of 20 basis points if their performance fails to meet the minimum targets.[1099] The Companies assert that they met their target and therefore, did not incur NRAs for their calendar year 2018 performance.[1100] Additionally, they oppose changing the methodology for calculating performance under this metric as Staff recommends. The Companies assert that refresh and relocate tickets should be included in the ticket count, as the Companies treat such tickets like new tickets; stated that additional resources would be required to meet Staff's proposal which changed the methodology in calculating this metric; and reiterated that it is unfair to penalize the Companies for actions that are outside of their direct control.[1101]

New York City opposes combining the subcategories into one measure under this metric. Additionally, New York City opposes PRAs due to lack of justification and "a compelling need" to increase costs to customers.[1102]

Staff proposed that the Companies should be subject to NRAs for their calendar year 2018 performance.[1103] However, a review of the provisions in the 2016 Rate Order governing the damage prevention metric, show that the Companies should not incur NRAs for their calendar year 2018 performance.[1104]

[1098] T. 4065.

[1099] T. 3762.

[1100] T. 3783.

[1101] T. 3811.

[1102] T. 5478.

[1103] T. 4068.

[1104] Ex. 674 (Response to NG-47).

Staff supports the Companies' proposal to consolidate this metric into a single measure of total damages per 1,000 one call notifications.[1105] Further, Staff supports the Companies' proposal to increase the NRAs incurred if the Companies fail to meet the targets from 18 basis points to 20 basis points.[1106]

Staff, however, believes it is necessary to revise the methodology for calculating the number of damages per 1,000 one call notifications. An operational audit, which focused on the accuracy and effectiveness of the data submitted by nine New York State natural gas and combination natural gas and electric LDCs, identified that the way the Companies were reporting data was inconsistent with that of other major LDCs.[1107] Specifically, the Companies were in fact counting refresh and retransmit tickets which resulted in the appearance of superior performance when compared to that of other major LDCs. This was recognized in the Companies' prior rate proceedings. The 2016 Rate Order adopted targets for damage prevention based on the methodology the Companies had been using at that time. However, the 2016 Rate Order also required that the Companies report damages per 1,000 one-call notifications using the methodology consistent with the other major LDCs.[1108] At this point, Staff recommends that the Commission set the targets for the damage prevention metric using the methodology consistent with the methodology used at other LDCs; which excludes refresh and retransmit tickets. Specifically, Staff recommends setting the targets and associated NRAs as follows: for a rate of damages per 1,000 one-call notifications greater than 2.50, the Companies would incur an NRA of 20 basis points; for a rate between 2.25 and 2.50, the Companies would incur an NRA of 10 basis points; for a rate between 2.00 and 2.25, the Companies would incur an NRA of five basis points; for a rate between 1.50 and 2.00, the Companies would not incur a revenue adjustment; for a rate between 1.25 and 1.50, the Companies would earn a PRA of five basis points; and for a rate less than 1.25, the Companies would earn a PRA of 10 basis points.[1109]

[1105] T. 4069.

[1106] T. 4070.

[1107] Case 13-M-0314, Operational Audit Regarding Utility Performance Data, Order Releasing Report and Providing Guidance on Response (issued April 20, 2016).

[1108] Cases 16-G-0058 and 16-G-0059, KEDLI & KEDNY – Gas Rates, Joint Proposal (filed September 7, 2016) pp. 51-52, 100-101.

[1109] T. 4070.

Given the disruption and harm that damages to the Companies facilities can cause, it is imperative to continue this metric to ensure that the total number of damages per one-call notifications remains at or below the Companies current performance levels. Based on the reported data from January through June of calendar year 2019, KEDNY and KEDLI performed at total damage prevention rates of 1.88 and 2.01, respectively.[1110] The Companies performance is within or near the band for not incurring an NRA and therefore should be the targeted performance levels for this proceeding. Also, Staff is supportive of the additional damage prevention resources and programs which should further improve the Companies damage prevention performance.

4. Emergency Response

The Companies proposed to maintain the current targets. Additionally, they proposed to increase their associated NRAs from 12 to 25 basis points. The Companies also proposed, to maintain the exclusion of emergency responses from the metric in instances of 20 or more gas leak, odor, and emergency reports that occur within a 2-hour period from mass odor issue not caused by the Companies.[1111] Finally, the Companies proposed an associated PRA, similar to that in place for other major LDCs, for superior performance in this metric.[1112] In responses to statements of other parties, the Companies stated that if they were required to dispatch a repair crew to every report, it would not be the best use of its resources. Further, the Companies explained that qualified Company personnel are properly trained and equipped to investigate gas leak, odor, and emergency reports in accordance with the accepted procedures and standards.[1113]

New York City proposed increased minimum targets below which the Companies would incur NRAs.[1114] New York City also recommended that the Commission examine whether this metric should measure response time as when the Company's first responder arrives at the scene of a call as it does or should measure it differently. For example, New York City

[1110] Ex. 674 (Response to NG-47).

[1111] T. 3761.

[1112] T. 3762.

[1113] T. 3817.

[1114] T. 5468.

suggests measuring response times as the interval between when the Companies' receive a call and when a qualified response crew begins remediating a leak.[1115]

Staff supports the continuation of this metric and recommends retaining the following statewide targets for each Company: respond to 75% of reports within 30 minutes; respond to 90% of reports within 45 minutes; and respond to 95% of reports within 60 minutes.[1116] Additionally, Staff supports the Companies' proposal to increase the associated NRAs from 12 to 25 basis points per Company, and the requested continuation of the exclusion of mass odor calls from the metric. Regarding the exclusion, Staff opines that, to be excluded, the 20 or more odor calls would have to result from mass area events, major weather-related occurrences, and major equipment failure not the fault of the Companies. Furthermore, the Companies should be required to make the exclusion request to safety@dps.ny.gov within seven days of such an event.[1117] Finally, Staff supports the Companies' PRA proposal as follows: for response to between 86% and 88% of reports within 30 minutes, the Companies would earn a PRA of two basis points; for response to between 88% and 90% of reports within 30 minutes, the Companies would earn a PRA of four basis points; and for response to greater than 90% of reports within 30 minutes, the Companies would earn a PRA of six basis points.[1118] The emergency response time PRAs would operate independently for each of the Companies.

Leaks on inside piping, improperly operated or installed appliances and gas migrations into a building from leaks on outside pipeline all present risks to the public. The Companies recognize this and dispatch personnel on a priority basis in response to reports of gas leak, odors, and emergencies. As the Companies' response times increase, so does the potential for an incident or safety-related impact to the public. Therefore, it is imperative that LDCs minimize their response times to gas leaks, odors, and emergency reports.[1119] As it stands, the Companies and Staff agree on the emergency response time targets, which are standardized amongst the major LDCs; associated NRAs; associated PRAs; exclusion requests; and exclusion guidelines. The specific guidance provided to the major LDCs requires that qualified company

[1115] T. 5469.

[1116] T. 4079.

[1117] T. 4079.

[1118] T. 4080.

[1119] T. 4075.

personnel must respond to these reports. Requiring a repair crew to respond, as proposed by New York City, would place an undue and costly strain on the Companies resources without necessarily creating a concomitant benefit for customers or the public. Therefore, the Companies should not be required to respond with a repair crew for each gas leak, odor, or emergency report. For the reasons set forth above, the Commission should adopt Staff's recommendations with regard to emergency response procedures and metrics.

5. Compliance with Pipeline Safety Regulations

With regard to the Compliance with Pipeline Safety Regulations Metric, the Companies proposed alternative targets consistent with that of its sister company, Niagara Mohawk. To that end, the Companies proposed a reduction in the total potential NRA from 100 to 75 basis points. Additionally, they seek to maintain the requirement for a compliance improvement plan for 10 or more violations of a single code section, and request that, for violations subject to a separate penalty proceeding, the occurrence would not count towards this metric. Additionally, the Companies request that any event encompassing more than one code section be counted as a single violation.[1120] In response to other Staff's positions, the Companies oppose Staff's recommendation to remove the 10-occurrence cap for field audit violations of a single code section.[1121]

New York City asserts that, at this time, decreasing the associated NRAs for this metric is not appropriate.[1122]

Staff confirmed that KEDNY incurred an NRA of $106^{4}/_{9}$ basis points for its performance from 2013 through 2017, and that KEDLI incurred an NRA of ¼ basis points for its performance in 2017.[1123] Staff proposed targets for this metric, which are consistent with those applicable for other major LDCs.[1124] While Staff supports continuing the 10 violation cap per code section for record audit violations, Staff recommends not providing such a cap for violations identified during field audits. Staff supports the use of remediation plans for 10 or

[1120] T. 3838.

[1121] T. 3818

[1122] T. 5461.

[1123] T. 4086.

[1124] T. 4091.

more violations of a single code section. As a corollary, Staff recommends that failure to comply with a remediation plan should result in the Companies incurring NRAs under this metric for those violations of a single code section in excess of 10.[1125]

Any number of violations of the Commission's minimum pipeline safety regulations could indicate a lack of control, issues with quality assurance, or a culture that is willing to accept non-compliances as a cost of doing business.[1126] Therefore, having a metric by which the Companies incur NRAs for non-compliance serves as an incentive to encourage compliance with the minimum pipeline safety regulations. The metric applicable to the Companies should be consistent with the metric applicable to other major LDCs. Accordingly, the targets and associated NRAs for record audit high-risk violations should be as follows: from zero to 5 violations, the Companies would not incur an NRA; from six to 20 violations, the Companies would incur an NRA equal to 1/2 of a basis point per violation; and for greater than 20 violations, the Companies would incur an NRA equal to one basis point per violation. For record audit other-risk violations, the targets and associated NRAs should be as follows: from zero to 15 violations, the Companies would not incur an NRA; and for greater than 15 violations, the Companies would incur an NRA equal to 1/4 of a basis points per violation. For field audit high-risk violations, the targets and associated NRAs should be as follows: from zero to 20 violations, the Companies would incur 1/2 of a basis point per violation; and for greater than 20 violations, the Companies would incur one basis point per violation. Finally, for field audit other-risk violations, the targets and associated NRAs should be as follows: for greater than zero violations, the Companies would incur 1/4 of a basis point per violation.

Additionally, the maximum NRA either Company could incur during a single year should be decreased from 100 to 75 basis points to more appropriately balance the exposure across the other pipeline safety performance metrics. Finally, it is reasonable to include each and every occurrence of a violation of a single code section observed by Staff. While the Companies should be performing with the utmost regard for safety at all times, it is logical that the Companies performance should be expected to be at its peak when it is being actively observed by Staff. Field audits are not merely a records review of what transpired during the prior year,

[1125] T. 4093.

[1126] T. 4083.

but rather, on-site inspection which occur throughout the year. Thus, repeated non-compliance with a single code section while being overserved by Staff is particularly troubling and could indicate a lack of competency.[1127] Accordingly, the cap of 10 occurrences for field audit violations should be discontinued.

B. Safety Programs

1. First Responder Training

Staff recommends that the Companies continue with their efforts to train first responders; adopt the principles of the Pipeline Emergency Responders Initiative (PERI); conduct regular drills with local fire departments and municipalities; and file an annual report detailing its progress which includes, but not limited to, the date and times of drills, who was in attendance, what topics were reviewed and any applicable recommendations.[1128]

Continual efforts to train first responders would benefit customers by reinforcing the knowledge required to respond to an incident with first responders, to review actions first responders should take, and those to avoid, and educate first responders on how to safely operate certain field devices. The Companies should be required to participate in PERI to train fire departments on how to prevent and manage pipeline incidents.

2. Methane Leak Pilot Program

The Companies proposed an incremental operating and maintenance program to continue exploring limited use of cavity ring down spectroscopy (CRDS) technology to enhance the leak repair programs. The Companies proposed to hire a contractor to operate a Google Car with CRDS for use in areas previously identified as possible high leak concentration areas to aid in prioritizing leak repairs. The methane leak program requires an additional gas distribution engineer "to work with procurement and contracts strategy to develop a contract for leasing the CRDS technology, manage the contractor, and monitor progress, and analyze and report results.[1129] The Companies stated that if this case is litigated, the program should be funded

[1127] T. 4904.

[1128] T. 4096.

[1129] T. 3748.

through rates. They did agree to work with EDF on the advancement and evaluation of CRDS technology.[1130]

EDF proposed that the methane leak program be expanded to incorporate a complete emissions survey of both Companies entire service territory.[1131]

Staff notes that CRDS devices are not yet approved in New York State, but does support the use of CRDS-like technologies.[1132] Staff does support the use of a contractor for data acquisition, but does not believe that the Companies require an additional engineer to manage the program. Instead, the methane leak program be incorporated into the Companies research and development efforts.[1133] Furthermore, Staff recommends requiring the Companies to file an annual report on its progress which includes: a listing of the highest emitting leaks that were discovered by the CRDS device; leak rankings; leak locations; leak identification numbers; and relative methane emissions.[1134]

The Companies, EDF, and Staff all support the methane leak program, and with the use of a contractor for data acquisition. As the program is new and the leak detection device is unapproved, however, it would be inappropriate for customers to pay for the full-time equivalent engineer to manage a methane leak program. This is at heart a research and development effort. Accordingly, the methane leak program should be incorporated into the Companies' research and development efforts. Staff's recommended reporting requirements will ensure that the Companies' efforts result in useful information that can be used to judge whether such programs and devices should be utilized in the future. Accordingly, the Commission should adopt Staff's recommendations.

3. Enhanced Contractor Safety Inspections

The Companies propose to deploy safety and compliance inspectors to perform on-site inspections and oversight of contractor crews, including field verification of operator qualifications, jobsite and safe work practices, work methods and construction

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[1130] T. 3309.

[1131] T. 5582 – 5614.

[1132] T. 4116.

[1133] Id.

[1134] T. 4117.

standards/procedure compliance, and work scope documentation. KEDNY and KEDLI request a total of 125 and 74 incremental full-time equivalent inspectors and supervisors, respectively. The Companies proposed a phased approach to hiring over the next three years.[1135]

While Staff generally supports the increased inspectors, Staff recommends reducing the requested positions by a modest 5%, to 118 and 70 FTEs for KEDNY and KEDLI, respectively.[1136] As can be expected, the Companies disagreed with this recommendation.[1137]

The Companies themselves admitted that "there may be occasions, where the workload is light, that the supervisors and inspectors may perform functions outside of their normal duties." Also, the Companies estimated that approximately 5% of the inspectors' time would be dedicated to other duties.[1138] It is incumbent upon the Companies to provide adequate justification for their requested full-time equivalent positions. The Companies propose to hire a total of 199 FTEs. If they know that 5% of these inspectors' time may be for "functions outside of their normal duties," this demonstrates that there is not a valid need for 5% of these requested positions. Therefore, the Commission should adopt Staff's recommended 5% reduction to KEDNY and KEDLI's incremental inspectors request.

4. Buried Vent Lines

The Companies state that "approximately five percent of their respective high-pressure services with inside meter sets have regulator vent lines that are buried underground."[1139] "In February 2016, KEDNY experienced an incident on its system that involved a buried bent line that was found to be corroded and could have contributed to an over pressure condition due to freezing water in the regulator."[1140] To rectify this situation, the Companies proposed a capital program to systematically address buried vent lines.[1141] The Companies stated that they began conducting inside inspections in 2017, which led to increased

[1135] T. 3796.

[1136] T. 4119.

[1137] T. 3823.

[1138] Ex. 481, p. 105 (Response to DPS-676).

[1139] T. 3738.

[1140] T. 3739.

[1141] Id.

identification of buried vent lines. Generally, the Companies have identified and addressed buried vent lines for years during their regular course of operations and maintenance.[1142]

The pipeline safety regulations require that each buried or submerged pipeline installed after July 31, 1971, must be protected against external corrosion, must have an external protective coating meeting the requirements of 16 N.Y.C.R.R., §255.461, and must have a cathodic protection system designed to protect the pipeline in its entirety, installed and placed in operation within one-year after completion of construction. The Companies explain that "[r]egulator vent lines are installed at the time of the original service and/or service regulator. The Companies have not identified installation dates of the buried vent lines that have been identified through the inside service line inspections to date."[1143] Thus, the Companies should have known of these buried vent lines, potentially for decades. It is unacceptable that the Companies are only now identifying buried vent lines as a part of their inside service line inspection programs.

Buried vent lines are more susceptible to corrosion and damage because the pipelines are not coated and do not have cathodic protection. Vent lines are a critical component to the safe and reliable distribution of natural gas through pipelines. Should a regulator experience an over pressure situation, the vent line would transport the excess natural gas to a safe location; typically, venting to atmosphere. Pursuant to 16 NYCRR §255.603(c), the Companies are required to maintain maps or records of services lines. Pursuant to 16 NYCRR §255.3(a)(43), buried vent lines are included within the definition of a service line. Had the Companies appropriately identified the buried vent lines as required by the regulations and ensured proper maintenance for them over the years, the current remediation efforts would not be necessary. Therefore, the Companies request to have rate recovery to remediate buried vent lines should be rejected. The costs should be borne by shareholders due to the Companies' failures to adequately address these vent lines in the past.

C. New York City Local Law 152

New York City Local Law 152 (Local Law 152), requires owners of many buildings in New York City to perform periodic inspections of their buildings' natural gas

[1142] T. 3826.

[1143] Ex. 481, p. 111 (Response to DPS-678).

piping. The inspections required by Local Law 152 would include examinations for atmospheric corrosion and testing for leakage. The natural gas piping inspected under Local Law 152 would include the inside piping that, due to the recent change in the definition of a service line, the Companies must inspect.[1144]

The Companies expressed disappointment that the Department of Buildings (DOB) rules were written in a manner that precluded coordination with the Companies for inside service line inspections.[1145] The Companies stated that is should not be assumed any efforts to coordinate these inspections would be fruitful. Thus, the Companies budgeted for independently conducting inside service line inspections.[1146]

According to New York City, the Companies' inside service line inspections and the DOB rules are not duplicative. Indeed, New York City asserts that two independent inspections may bolster safety. Further, New York City states that its inappropriate to suggest that it "ought to incorporate the State and Federal operator qualification requirements." However, New York City explains that the DOB may revisit the inspection cycle upon completion of at least one full cycle of periodic inspections.[1147]

There are three difference between the Companies inside service line inspections and the DOB rules. The first, is the training and qualifications of those persons conducting inspections.[1148] The second, is that the Companies are required to inspect tenant spaces, e.g., apartments, whereas the DOB do not require inspections of tenant spaces.[1149] And the third, is that the timeframes of both inspections do not align. The DOB requires that their inspections be completed once every five calendar years. The Commission's regulations require either annual, three-year, or five-year inspections depending on where the service is located.[1150]

It seems unreasonable that there would be benefits from both building owners and the Companies conducting separate, overlapping inspections of the same inside piping. If a

[1144] T. 4104

[1145] T. 3759.

[1146] T. 3835.

[1147] T. 5380.

[1148] T. 4105.

[1149] T. 4106.

[1150] T. 4107.

single inspection can be done to satisfy both requirements, that seems to be in the best interests of New York City, the Companies, and customers, be they residents or building owners.

Staff recommends that the Companies continue to work with the DOB to further align the requirements of the service line inspections. Additionally, the Commission should require the Companies to file a plan, within 60 days of a Commission Order in this proceeding, on how they will encourage building owners to use qualified plumbers that can conduct inspections that meet the requirements both of Local Law 152 and the pipeline safety regulations. To that end, the Companies should conduct an education campaign to explain to building owners the benefits of having a single inspection performed. In the meantime, the Companies request for rate recovery of the required inspections should be allowed.

D. Residential Methane Detectors

KEDNY and KEDLI propose to distribute approximately 54,000 and 36,000 residential methane detectors (RMDs), respectively, in the Rate Year. The Companies propose to include enhancements to customer education and outreach at the same time the RMD units are distributed.[1151] The Companies will only be providing the RMD units to customers. They will not be installing, tracing, or supporting the RMD units once they are provided to the customers.[1152]

New York City stated that it is concerned with customers properly installing, maintaining, and using the RMD units.[1153] It asserts that false positive could place unnecessary burdens onto its emergency resources, and notes that the useful life of RMD units is seven years.[1154] It proposes that the Companies be required to provide concise verbal instructions to customers. Additionally, New York City proposes requiring that the Companies test the RMD unit's functionality twice each year. Furthermore, New York City proposes that the Companies be required to coordinate RMD distribution with the deployment of AMI meters.[1155]

[1151] T. 3746

[1152] T. 3828

[1153] T. 5428

[1154] T. 5429

[1155] T. 5431.

Staff supports the Companies RMD program. Staff recommends that the Companies target customers with room meter sets, low income customers, multi-unit dwellings, and customers served by two-inch and four-inch cast-iron piping. Additionally, Staff recommends that the Companies coordinate their efforts with other planned work to minimize costs and fund the RMD program out of the net NRA funds owed to customers. Finally, Staff recommends requiring that the Companies file annual report detailing deployment strategies and costs to date.[1156]

The use of RMDs directly benefits those customers who install, maintain, and utilize the units. Ideally, RMD units would communicate directly with the Companies' infrastructure for early detection. However, and due to the Companies current infrastructure limitations, communication is not yet available. RMD units can still benefit customers, and the Companies should distribute the units as recommended by Staff. NYC's recommended conditions turn a useful and simple program that distributes functional residential methane detectors to customers for those customers' use into an onerous program that entangles the Companies for years to come; no doubt at customers' expense. NYC's proposals should be rejected. Accordingly, the Commission should adopt Staff's recommendations.

E. Inside Meter Relocations

Staff recommended that the Companies should be required to move meters presently inside buildings outside whenever the Companies perform service line replacements, either by insertion or direct burial, or service transfers.[1157] The Companies stated that they agree with the safety benefits of relocating meters outside, however, they do not want specific requirements at this time. KEDNY explained that it has suspended its meter relocation efforts to pursue ongoing discussions with the NYC Mayor's Office, Staff, and the DOB.[1158]

When the Companies perform service work, they have a construction crew on site and often are already interrupting service to the customer. Thus, these instances provide the most convenient, cost effective, and practical opportunity to relocate meters.[1159] The primary benefit

[1156] T. 4099.

[1157] T. 4110.

[1158] T. 3836.

[1159] T. 4110.

of relocating meters outside is safety, as outside meters are inherently safer than inside meters. In the event of an emergency, utility personnel and/or emergency responders canto quickly shut off the flow of gas at an outside meter without entering the building and without having to locate the curb valve. An additional benefit is that a utility does not require access to the premises in order perform leakage surveys and atmospheric corrosion inspections.[1160]

Therefore, the Companies should be required to relocate gas meters that are located inside a customer's premise and install them outside when performing any planned service line replacements (whether by insertion or direct bury) or service line repairs, new service installations, and where work can feasibly be performed. The Companies should also consider whether and where to relocate meters if the premise is located in a flood plain (e.g., elevating the gas meter to a higher location). However, Staff recognizes that there must be exceptions. Accordingly, Staff recommends allowing for the following exceptions: where the customer refuses to provide consent to such relocation; where local building codes or regulations preclude outside meters; where space constraints or physical barriers preclude relocation; and/or when the work involved is an emergency service line repair and/or replacement.[1161]

Customers that refuse to move meters outside: should be asked to sign a form explaining the reason(s) for refusal and acknowledging that they are aware of the benefits of having their meters outside. Furthermore, such customers should be subject to charges for costs related to survey and/or inspection of inside piping in accordance with Companies' tariff provisions.[1162]

For instances where one or more of the above exceptions apply, the Companies should be required to track and document each customer meter it does not relocate outside, as well as the reason(s) the relocation was not performed. The Companies should be required to file an annual report with the Secretary to the Commission that includes: the number of meters relocated outside; the number of meters left inside; and of the meters left inside, the number that

[1160] T. 4109.

[1161] Ex. 675 (Response to NG-49).

[1162] Id.

involved service replacements by installation of a new service line for one- and two-family homes.[1163]

F. Service Line Inspections

The Companies stated that more frequent leakage surveys and corrosion inspections are required by the service line proceeding.[1164] According to the Companies, these increased surveys and inspections impose additional operating and maintenance expenses, require incremental full-time equivalent field inspectors, and necessitate incremental capital funding to replace services.[1165]

Staff recommends that the Companies complete inspections during their normal course of business and during dedicated visits.[1166] Additionally, Staff recommends that the Companies submit a procedure by which they will automatically apply a provision, for example, after one refusal, two scheduled and then cancelled appointments, or if the customer does not respond to notifications. Furthermore, the Companies should consider using the funds collected through the provision to offset inspection costs.[1167]

In response to Staff's recommendations, the Companies stated that they have adequate records to document inaccessible properties. Additionally, the Companies state that that they already have a provision in place for those instances of inaccessibility, and that they will consider using the funds collected through the provision to offset inspection costs.[1168]

As a result of the service line proceeding, both KEDNY and KEDLI are now required to inspect service lines to the outlet of each customer's meter, or at the connection to a customer's piping, whichever is further downstream. Therefore, additional funding is required to complete these inspections. Regarding inaccessible service lines, Staff confirmed that a provision is set in the respective tariffs, thus rendering a formal procedure unnecessary.[1169] The

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[1163] Id.

[1164] Case 14-G-0357, In the Matter of Revising 16 NYCRR Gas Safety Regulations for Consistent Application of More Stringent Federal Gas Safety Standards in 49 CFR, Memorandum and Resolution Adopting Gas Safety Regulation Amendments (issued (April 2, 2015).

[1165] T. 3722.

[1166] T. 4102.

[1167] T. 4103.

[1168] T. 3822.

[1169] KEDNY No. Tariff Leaves 124, and KEDNY Tariff Leaves Nos. 29 and 29.1.

Companies should be directed to apply the provision and to adequately document its attempts to access the properties.

G. Inactive Accounts

When the Companies do not have a customer of record for gas service, they need to shut off the flow of gas to ensure that unsafe conditions do not result in the premise. The Companies refer to accounts without a customer of record as "inactive accounts." The Companies stated that for conditions warranting immediate action, they cut services or otherwise shut off the flow of gas to a premise within 24 hours.[1170] Otherwise, the process is designed to resolve inactive accounts within 60 days. Thus, the Companies proposed to reduce this 60-day period to 30 days.[1171] In their rebuttal testimony, the Companies claim that Staff's recommendation to take "immediate and continuous" action to remedy inactive account is unachievable for the reasons beyond their control.[1172]

Staff explained that accounts typically remain inactive due to the Companies' inability to gain access, the referral of accounts to field operations for physical disconnection, and the legal replevin process.[1173] However, according to the Commission's regulations at, all meters and service regulators are required to be installed in a readily accessible location and be protected from corrosion and other damage, including vehicular.[1174] From 2014 to 2018, KEDNY and KEDLI reported that 1,980,919 and 90,362 hundredths of cubic feet (CCF) were consumed by 28,490 and 1,575 inactive accounts, respectively.[1175] The impact of the usage at inactive accounts on the Companies LAUF gas calculation is addressed in Section VIII.H, above. Additionally, Staff recommends that, for any meters or services that are not readily accessible, the Companies should be required to take immediate and continuous action to remedy these conditions.[1176]

[1170] T. 3725.

[1171] T. 3726.

[1172] T. 3824.

[1173] T. 4111.

[1174] 16 N.Y.C.R.R., §255.353(a).

[1175] Ex. 481, p. 49 (Response to DPS-670).

[1176] T. 4115.

While the reduction from 60 to 30-days to is a step in the right direction, the most conservative and safest approach to address inactive accounts would be for the Companies to take "immediate and continuous" action as required by the pipeline safety regulations. While a specific timeframe is not defined within the regulations, it's important to note that the regulations do not recognize an active service without a customer. Furthermore, LDCs are required to commence disconnecting service as soon as practicable.

H. Annual Reporting

The Companies proposed to report their pipeline safety performance for each calendar year by April 1st of the following calendar year.[1177] Staff supports this annual reporting requirement for the Companies performance as they related to LPP removals, leak management, damage prevention, and emergency response times.[1178]

XI. CUSTOMER SERVICE

A. Customer Service Performance Metrics

The Customer Service Quality Program, or CSQP, measures and tracks customer service quality and satisfaction provided by a utility company. This program recognizes that in New York, utilities are monopoly providers of delivery service, and customers have no option to choose another delivery service based on the quality of the service. As such, the CSQP mechanism is put in place to align shareholder and customer interests by providing earning adjustments related to the quality of service and satisfaction a company provides its customers.[1179] This mechanism is currently in place in both KEDNY and KEDLI, as well as most other major, investor-owned utilities in New York State. In KEDNY and KEDLI, the mechanism is comprised of four metrics for each Company: PSC Complaint Rate per 100,000 customers, measured by the Department of Public Service Staff; Residential Customer Transaction Satisfaction, measured through a customer satisfaction survey administered by a third-party vendor; Percentage of Calls Answered within 30 Seconds as measured by each

[1177] T. 3767.

[1178] T. 4123.

[1179] T. 1461 – 1462.

Company; and Percentage of Adjusted Customer Bills.[1180] The current methodology uses a historical average that is comprised of three-years of customer service data.[1181] Staff explains that, "[t]he Commission has generally assumed that the historical average represents a satisfactory level of service, and adopted CSQP targets to require negative revenue adjustments if service degrades to a level two standard deviations removed from the utility's actual average performance."[1182]

The Companies proposed to maintain the current categories, targets, and NRAs for the CSQP mechanism.[1183] Although both Companies have met all performance targets since 2015 and have, in fact, exceeded these targets, the Companies claim the targets are challenging at their current levels.[1184] The Companies also state that there is a collaborative in Case 15-M-0566[1185] to measure customer satisfaction using a common survey across the New York States' utilities; however, Staff notes that there is no established or targeted end date for that proceeding.[1186]

On rebuttal, the Companies reiterated that they do not support any change in the metrics at this time.[1187] To support this proposal, the Companies reference the 2017 NFGD Rate Order. In that Order, the Commission determined that NFGD's performance would continue to be measured, but targets and associated revenue adjustments were not put in place. In addition, the Companies stated that because they have "demonstrated good performance over the years, there is no basis to include metrics in a one-year litigated rate case."[1188] The Companies assert that Staff's recommendations create a "perverse incentive" by responding to good performance

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[1180] T. 1128.

[1181] T. 1466.

[1182] Id.

[1183] T. 1130.

[1184] T. 1130 – 1131.

[1185] Case 15-M-0566, Case 15-M-0566, In the Matter of Revisions to Customer Service Performance Indicators Applicable to Gas and Electric Corporations, (2015 Customer Service Performance Case), erroneously listed as 15-M-0388 in the Companies' filing.

[1186] T. 1130.

[1187] T. 1204.

[1188] T. 1203.

with more difficult targets, that Staff has not provided for the funding to increase service, and that no new rationale was given for a reason to increase customer satisfaction.[1189]

UIU focuses on the "monopolistic nature" of utility service, stressing that the importance of these measures is to incent the Companies to provide a high level of customer service, and that performance targets should be set at levels that continue to incentivize utilities to achieve enhanced customer service.[1190] UIU recommends using a five-year average to calculate the historical performance and apply two standard deviations to that number to set the adjusted targets for some measures in the metric. This includes adjusting the target levels in KEDNY for the PSC Complaint Rate, Residential Transaction Satisfaction Index and the Adjusted Bills metrics and the target levels in KEDLI for the Telephone Answer Rate and Adjusted Customer Bills because the Companies have met or exceeded their targets since 2015.[1191] UIU supports their adjustments in testimony explaining that "(c)ustomers deserve to see their utility's performance improve over time, especially where, as here, the utility asks its customers to pay higher rates… A target that a Company has no trouble meeting fails to adequately incent the Company to improve its performance."[1192] The Companies have outperformed several of the current targets which leaves an opportunity for customer service levels to decline with no penalty to the Company.[1193] In order to keep the metrics effective, UIU believes that adjusting the target levels would incentivize the Companies to continue to maintain or improve customer service levels.[1194]

Staff proposes updating the targets for both Companies by looking at the last three calendar years of data (2016, 2017, and 2018) and adjusting that average by two standard deviations with three exceptions. Staff recommends to keep the targets the same for KEDNY's Calls Answered in 30 Seconds and the PSC Compliant Rate for both Companies.[1195] Staff recommends no change to KEDNY's Calls Answered in 30 Seconds metric because, based on

[1189] T. 1206.

[1190] T. 1796.

[1191] T. 1798.

[1192] T. 1798.

[1193] T. 1203.

[1194] T. 1798.

[1195] T. 1468 – 1469.

the last three calendar years of data available at the time of testimony (2016-2018), updating the targets for this measure using Staff's proposed methodology would set even lower targets for the Company to achieve, allowing poorer customer service in spite of the request for rate payers to pay higher rates.[1196] In addition, funding was requested and approved in KEDNY and KEDLI's last rate cases to implement a system of call load transfers among Niagara Mohawk, KEDNY, KEDLI, and in state third-party vendors to allow the Companies to transfer customer calls and improve the ability to respond to customers in a more timely manner.[1197] Although the Company stated in the response to IR DPS-394 that the anticipated implementation of technology upgrades to allow call load balancing was April of 2019, these upgrades have yet to be implemented[1198] While this metric, and the funding that has been approved for an initiative to help mitigate external factors, are within the Companies' control, Staff recommends no change in this metric at this time as the Companies have not yet implemented this effort.

Staff also proposed deviating from the standard methodology for PSC Complaint Rate targets for both Companies.[1199] While the Companies have performed well in this area, Staff stated in testimony that the targets produced from this methodology were too stringent.[1200] In order to continue to incent the Companies to provide satisfactory customer service without creating targets the Companies find too difficult to achieve, Staff recommends adjusting the target for both Companies from 1.1 to 1.0.[1201] Staff's recommendation allows flexibility for the Company to experience minor changes in performance while instituting a target which sets performance target equal to other utilities with the lowest complaint rates in the State.

Over the years, the Companies have requested several rate increases that have been subsequently approved by the Commission with little movement in customer service targets.[1202] While the Companies have steadily increased rates charged to customers, the targets

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[1196] Id.

[1197] Cases 16-G-0058 and 16-G-0059, KEDLI & KEDNY – Gas Rates.

[1198] Ex. 504, p. 343 (Response to DPS-394).

[1199] T. 1472.

[1200] Id.

[1201] Id.

[1202] Cases 16-G-0058 and 16-G-0059, KEDLI & KEDNY – Gas Rates; Order Adopting Terms of Joint Proposal and establishing Gas Rate Plans (issued December 16, 2016), pp. 97-103; Case 12-G-0544, KEDNY – 2013 Rates, Order Adopting Terms of a Joint Proposal (issued June 13, 2013), p. 8; and Case 06-M-0878, National Grid - Merger, Order Authorizing Acquisition Subject to Conditions and Making Some Revenue Requirement

for customer service have shown little to, in some instances, no movement. Staff and UIU agree that since Companies are monopoly delivery providers, the CSQP ensures that customers receive the satisfactory customer service that they pay for in rates.[1203] However, the Companies not only argue that adjustments to the metric targets are not necessary to provide higher levels of customers service or satisfaction while continuing to justify raising the rate, but the Companies have also delayed the implementation of certain projects, such as the call load balancing initiative to help them better serve customers.[1204] Customers pay for and deserve satisfactory customer service, as they have no other option to switch their gas delivery provider for a better price or experience. Staff considers it necessary to update these metric targets regularly to ensure they remain relevant and incent the Companies to provide, at the least, satisfactory customer service and satisfaction as historically approved by the Commission in various proceedings and rate cases.

In rebuttal testimony, the Companies claim the "consistently high level of performance delivered over multiple, consecutive years should provide the Commission with sufficient comfort that service will not be diminished on a one-year rate plan" while citing the 2017 NFGD Rate Order, in which the Commission did not approve revenue adjustments associated with metrics,[1205] and that the current targets are challenging.[1206] As discussed above, these metrics are necessary to incent the Companies to maintain an appropriate level of customer service. Staff cannot predict the Companies' performance if negative revenue adjustments were removed based solely on performance when the monetary incentive was in place. In addition, the Shared Services Panel did not note that while the 2017 NFGD Rate Order concluded a litigated one-year rate case, NFGD has yet to file a rate request with the Commission. Similarly, there is no guarantee that KEDNY and/or KEDLI would re-file another rate request at the end of these cases, potentially leaving customers without the protection for service and satisfaction provided by this mechanism. Additionally, Section X.A, above, contains an extensive discussion

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Determinations for KeySpan Energy Delivery New York and KeySpan Energy Delivery Long Island (issued September 17, 2007), pp.143-44.

[1203] T. 1462.

[1204] T. 1459.

[1205] T. 1203

[1206] T. 1131.

of why the Commission should exercise its authority to impose performance metrics in these litigated proceedings.

The Companies' rebuttal testimony further states that "necessary funding to meet these targets" was not provided for in Staff's recommendation.[1207] As discussed above, Staff's recommendations do not require the Companies to perform beyond their current capabilities; rather, Staff's adjustments to the targets would require the Companies to maintain the level of performance they have been consistently achieving with the current funding. In addition, the Companies have previously received funding to implement call load balancing to better serve customers and achieve higher levels of performance so Staff believes the Companies can achieve and exceed Staff's proposed targets with existing funding and staffing levels.

The Companies also took issue with the Staff's recommendations based on the number of PSC complaints from the moratorium imposed by the Companies that lasted from May 2019 to November 2019.[1208] Since the time this testimony was submitted, the issue that the Companies refer to, that "[t]he SCSP's proposal also fails to recognize the current environment wherein the Companies are unable to provide new gas service to customers, which inevitably will lead to an increase in the number of complaints and decrease in overall satisfaction," has been addressed in the November 2019 Order.[1209] Specific to the concern the Companies raised in its rebuttal, Section VII (b) of the November 2019 Order states:

> [t]he Department and the Commission shall exclude complaints related to or arising out of the Moratorium from the calculation of any negative revenue adjustments due under National Grid's PSC Complaint Rate metrics, and set forth in Sections IV(7.1) and V(7.1) of the Joint Proposal in Cases 16-G-0058 and 16-G-0059, dated September 7, 2016, for the calendar year 2019.[1210]

During the evidentiary hearing, the Companies probed the SCSP whether their rationale to increasing targets was simply because the Companies have met or exceeded targets in recent years.[1211] Staff reiterated its rationale,

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[1207] T. 1206.

[1208] T. 1206 - 1207.

[1209] T. 1113 – 1114.

[1210] November 2019 Order, p. 7.

[1211] T.1557 – 1560.

> [t]his performance indicates that the Companies have established a history of providing satisfactory customer service which their customers have come to expect. The Commission has generally assumed that the historical average represents a satisfactory level of service, and adopted CSQP targets to require NRAs if service degrades to a level two standard deviations removed from the utility's actual average performance. With this performance in mind, the measures should be updated regularly to properly reflect and improve upon the operating environments based on a three-year historic average. In addition, customers pay for and have come to expect this level of customer service in rates, and the service quality targets should be updated on a regular basis to protect customers' interests.[1212]

Through questioning around the uncertainty of the Companies' future performance, in this proceeding and beyond, it has been established that Staff cannot speculate or predict the level of performance the Companies will provide. This reinforces the importance of this mechanism, and its regular updates, to provide a consistent safeguard for customers against that uncertainty of the Companies future performance.

The SQPM metric is in place to provide customers with a safeguard against the degradation of customer service and satisfaction. Without this metric, utilities do not have a direct financial incentive to, at a minimum, maintain these levels. In order to remain effective and continue to protect customers, the metric targets must also be updated to appropriately reflect the current operating environment. As such, Staff's recommendations help to ensure customers are protected from failing service and poor satisfaction if the Companies provide poorer quality of service.

B. Terminations/Uncollectible Incentive Mechanism

In both KEDNY and KEDLI, an incentive mechanism is in place that encourages the Companies to reduce residential terminations by finding alternatives that do not negatively impact uncollectibles. Currently, both KEDNY and KEDLI can earn a PRA if they are able to manage collections in this way. The Companies describe the relationship between terminations and uncollectibles as,

> The short-term effect of reducing terminations is to suppress uncollectible write-off. However, the long-term effect of reducing terminations is to increase accounts receivable, which with all else equal, in turn leads to higher uncollectible write offs when these accounts with larger receivable balances are eventually written off. If

[1212] T. 1559 – 1560; T. 1466.

> effort to further reduce terminations for the Companies continue, accounts receivable will continue to rise (with potential higher write-off).[1213]

To incent utility companies to find ways to reduce terminations without increasing uncollectibles, the Commission has approved an incentive measure at several utilities to offer financial incentives for managing the collection process to result in this goal.[1214]

Specific to KEDNY and KEDLI, the Commission's 2016 Rate Order adopted a mechanism to measure residential terminations and uncollectibles with a positive-only revenue adjustment incentive.[1215] Using a normalized historical average, this metric established an average target and a threshold target for both categories in both Companies, with the threshold target set at one standard deviation from the average target.[1216] The adjustments were set at two levels, where the Companies would earn the full PRA if the threshold targets for both Terminations and Uncollectibles were met, and a partial PRA if the threshold target was met in one category and the average target was met in the other.[1217] Since that time, both Companies have been able to reduce terminations without increasing the average amount of uncollectibles and earn a Positive Revenue Adjustment, or PRA, for their efforts.

In the current case, the Companies defined the purpose of the metric as, "provid[ing] an incentive for the Companies to limit the number of terminations and to address the Commission's interest in utilities pursuing alternatives to terminations."[1218] The Companies propose to continue the Terminations and Uncollectible Metric as a PRA only with updated targets.[1219] KEDNY proposes to use a normalized five-year average, from seven years of data for the average target, and reduce that target by one standard deviation to set the threshold target.

[1213] T. 1107 - 1108.

[1214] E.g., Central Hudson (2018 Central Hudson Rate Order), Con Edison (2020 Con Edison Rate Order), Corning (Case 16-G-0369), KEDLI (2016 Rate Order), KEDNY (2016 Rate Order), Niagara Mohawk (2018 Niagara Mohawk Rate Order), New York State Electric & Gas Corporation (NYSEG) (Cases 15-E-0283 and 15-G-0284), O&R (Cases 18-E-0067 and 18-G-0068), RG&E (Cases 15-E-0285 and 15-G-0286), and St. Lawrence Gas Corp. (18-G-0133 and 18-G-0140).

[1215] Cases 16-G-0058 and 16-G-0059, KEDLI & KEDNY – Gas Rates, Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans (issued December 16, 2016) (2016 Rate Order) pp. 103 – 110.

[1216] Id.

[1217] Id., 103-110.

[1218] T. 1112 – 1113.

[1219] T. 1114 – 1116.

There is less data available for KEDLI due to KEDLI's separation from LIPA at the end of 2013. Thus, KEDLI proposes to use four years of data to set the average target and reduce that target by one standard deviation to set the threshold target.[1220]

In rebuttal, the Companies disagreed with SCSP's use of a three-year average, claiming uncollectible expense is "largely driven by exogenous factors."[1221] The Companies also disagreed with Staff's proposal to add the measurement of residential arrears as a metric.[1222] Continuing to cite external factors, the Companies state that the proposal by SCSP "basically assumes that the external variables are held constant while the Companies manage performance under the metrics."[1223]

On rebuttal, the Companies did not support the use of outstanding residential arrears reports on the CARs report as an appropriate measure for arrears, arguing that SCSP's proposal places undo emphasis on terminations over the other metrics.[1224] If the Commission were to implement an arrears component into the metric, the Companies recommend that "arrearage is more appropriately measured by using the ratio of 60-day arrears to total A/R."[1225] Lastly, the Companies' rebut SCSP's proposed metrics because they

> [U]nrealistically attempt to limit the Companies' collections activities without accounting for the fact that terminations are inversely correlated with arrears. Although the Companies have demonstrated that they can manage reductions in two of the three areas, they cannot realistically push down performance on all three metrics at once, and thus, the Panel believes the Commission should reject the SCSP's proposal to implement an arrearage metric.[1226]

UIU notes that the Terminations and Uncollectibles metric is an incentive for the Companies to "'identify and implement new measures to reduce residential service terminations for nonpayment while decreasing, or maintaining, the level of bad debt from residential accounts.'"[1227] UIU recommends that for the current cases, if the metric continues, the targets

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[1220] T. 1112 – 1116.

[1221] T. 1178.

[1222] T. 1179 – 1180.

[1223] T. 1180.

[1224] T. 1180.

[1225] T. 1184.

[1226] T. 1182.

[1227] T. 1802.

should be lowered to provide a PRA for achieving "true stretch goals" to incent the Companies to reduce the measures of the metric.[1228] To calculate these targets, UIU proposed to use the five-year average of actual performance to set the average target, and apply two standard deviations to that average to establish the threshold target in KEDNY, and, for KEDLI, take the four-year average of actual performance to set the average target, and apply two standard deviations to that average to establish the threshold target.[1229]

PULP states that the Terminations and Uncollectibles measure should be modified in several ways. PULP recommends the addition of an arrears component to the measure, updates to average and threshold targets, and the addition of Negative Revenue Adjustments (NRAs) to the current PRA only structure.[1230] Like UIU, PULP recommends "stretch" targets to provide an incentive to "challenge normal performance" by setting the threshold targets at two standard deviation from the five-year normalized average using seven years of data.[1231] In addition, PULP recommends updating the targets using the more recent available data at the time the targets are officially set in the cases.[1232]

In Direct Testimony, Staff clarified its understanding of the purpose of the incentive mechanism, with support from Staff's testimony in Cases 16-G-0058 and 16-G-0059, "'(t)he Companies should be encouraged to alter their practices to reduce residential service terminations for non-payment while at the same time not increasing uncollectibles," noting that this metric is in place to incent the utilities to find effective ways to lower terminations while balancing the other collection pieces, not to lower terminations by harming other areas of collections.[1233]

In response to IR DPS-989, the Companies submitted data to Staff which concluded that while both KEDNY and KEDLI have been able to decrease terminations since the incentive went into effect in 2017, allowing each company to earn a PRA, arrearages have increased for both Companies in the same time period for, both, the number of customers in

[1228] T. 1804.

[1229] T. 1802 – 1804; Ex. 634.

[1230] T. 1620.

[1231] Id.

[1232] T. 1620.

[1233] T. 1474 – 1475.

arrears and the total dollar amount.[1234] As stated above, and in multiple cases, the Terminations and Uncollectibles Incentive Mechanism was put into place to incent the Companies to lower terminations through alternative measures without negatively affecting other aspects of the collections process that may harm customers. Based on the Companies data from response to IR DPS-989, the Companies' arrears were trending up while terminations were trending down.[1235] Therefore, Staff recommends to add an additional arrears metric to ensure the effectiveness of this mechanism. SCSP also recommends adjusting the criteria that needs to be met for the Companies to earn a PRA in order to reflect the addition of the new arrears measure.[1236] SCSP proposes for the Companies to earn the full PRA when the threshold target is met in all three measures, and earning a partial PRA if the Companies meet the threshold target for terminations while maintaining the average target of the other two measures.[1237] This adjustment will further the Commission's goal of finding alternatives to service terminations.

Staff recommends updating the threshold and average targets for the Terminations and Uncollectibles metric using the last three calendar years of data (2016, 2017, and 2018) for the average target with one standard deviation removed for the threshold target for both Companies.[1238] The time frame of three years was chosen to not only better represent the current operating environment, but also to better represent the Companies' ability to manage terminations and collections when the incentive is in place. Utilizing seven years of data when there are only two years available within the current incentive structure is not representative of the Companies' methods or abilities when a PRA is involved. Using the three-year average mentioned above, SCSP recommends to continue the use of one standard deviation to set the threshold target.[1239]

Staff agrees that there are external factors outside of the Companies' control that can affect collections but continues to stress that the incentive is in place to reward the Companies for finding ways to mitigate and manage those factors. In addition, this incentive is

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[1234] T. 1483; Ex. 413, p. 89 (Response to DPS-989).

[1235] Id.

[1236] T. 1480; Ex. 415.

[1237] T. 1480 – 1481; Ex. 415.

[1238] T. 1480; Ex. 415.

[1239] Id.

positive only, meaning there is no negative adjustment if the Companies cannot manage their response to external factors and continue to do "business as usual."[1240]

To measure arrears, Staff used data that the Companies provided in response to DPS-989: "[f]or the last five calendar years, provide the total residential customer arrears, in both customer count and dollar amount, for each Company."[1241] Staff relied upon this data provided by the Companies to calculate the arrears targets. In its rebuttal testimony, the Companies' Shared Services Panel failed to explain why the arrearages data the Companies provided in response to DPS-989 is not the best way to look at arrears and why a ratio of the data is more indicative of the measure.

Staff's recommendation to structure the mechanism in a way that rewards lowering terminations while lowering or maintaining the other measures is in line with the purpose of this metric as it was defined when it was established in the 2016 Rate Order; not the Companies' partial definition offered in its testimony in the instant proceedings. Although the Companies claim, "they cannot realistically push down performance on all three metrics at once," this argument fails to take into account the nature of the incentive.[1242] The purpose of this incentive is to encourage the utilities to better serve customers by finding alternatives to terminations that do not simply shift the harm to another category and offer a financial incentive for success in doing so. In addition, Staff emphasized during cross-examination that the Companies are not penalized in the event the targets for the full or partial PRA are not achieved.[1243]

At the evidentiary hearing, the Companies reiterated their position that one standard deviation of the normalized average was an aggressive goal that was not easily achievable, but possible.[1244] Further, the Companies' testified that when comparing the use of two standard deviations to actual results, the results do not mirror two standard deviations and would not be reasonable targets.[1245]

[1240] T. 1553 – 1556.

[1241] Ex. 413, p. 89 (Response DPS-989).

[1242] T. 1182.

[1243] T. 1552 – 1556.

[1244] T. 1266.

[1245] T. 1290.

At the evidentiary hearing, Staff clarified for the record the purpose of the metric as stated above, that the metric is positive only, and that the metric incents the Companies to find alternatives to terminations above their normal course of business.[1246]

Staff's recommendation benefits the customers in several ways and does not place undo harm on the Companies. By restructuring the metric, Staff takes a more inclusive look at the collections process of the Companies by including arrears and continues to further the Commission's goal to find alternatives to terminations without negatively impacting other areas of collections. This benefits the customers by incenting the Companies to keep their service on while slowing the growth of arrears or the Companies' bad debt to balloon as a result. As this is a positive only incentive, the Companies are encouraged to provide better customer service and satisfaction and more effectively manage collections through financial incentives while, at the same time, not imposing a negative adjustment if the Companies are unable to effectively manage these three areas of collections as they claim in testimony.

C. Credit/Debit Card Payments and Fees

The Companies propose to include the estimated cost in base rates to recover the fees incurred by KEDLI and KEDNY when residential customers make Credit Card/Debit Card (CC/DC) payments.[1247] This is referred to as the "no-fee" model, which would eliminate the per-transaction cost to customers paying by a CC/DC and shift the cost into base rates.[1248]

Staff supports the Companies' proposal to shift the per-transaction costs into base rates; however, Staff does have concerns that once socialized in base rates, these per-transaction fees will increase.[1249] Therefore, Staff recommends that the Companies use their aggregate buying power to lower the transaction amount to ensure protection of customers, and that the per-transaction costs do not exceed the current amount of $2.25.[1250] Staff also proposes a downward-only reconciliation to further incent the Companies to keep costs low.[1251]

[1246] T. 1552 – 1556.

[1247] T. 1129 – 1132.

[1248] Id.

[1249] T. 1494.

[1250] T. 1139.

[1251] T. 1494.

On rebuttal, the Companies disagreed with Staff's recommendation that the per-transaction fee should have a limit of $2.25, as this would incentivize the utility to discourage and/or seek to limit card payments.[1252] Additionally, the Companies argue they already have sufficient incentive working with vendors to keep the per-transaction fee cost down.

In response to IR DPS-368, the Companies explain that they "recently issued a Request for Proposal (RFP) with a group of selected credit and debit card vendors that could result in an updated estimate of projected transaction fee costs."[1253] During cross examination of the Companies' Shared Services Panel, Staff inquired after the status of the RFP process and if a vendor has been selected.[1254] The SSP responded that it is still in process, "the vendor that currently is being vetted, with respect to RFP, is formulating responses, [and] expected to visit with [the Companies] in the coming weeks with conclusion expected by the end or middle of March."[1255]

Staff has yet to receive the Companies' decision on its RFP responses from vendors in order to determine what the per-transaction costs would be after socialization, and as such, Staff affirms its position that the Commission adopt a downward-only reconciliation mechanism, and a per-transaction fee limit of $2.25. Additionally, other utilities that have been approved to socialize credit/debit card fees have either lowered the per-transaction rate or have had varying per-transaction rates. For example, Central Hudson and NYSEG/RG&E's quarterly credit card transaction reports show varying transaction costs. Central Hudson's latest report for the fourth quarter of 2019, filed in Cases 17-E-0459 and 17-G-0460, shows that the original per-transaction cost of $3.35 decreased to a rate of $1.85 per transaction after the fees were socialized.[1256] NYSEG/RG&E's reports filed in Case 15-E-0283, et al., these reports show the volatility in transaction costs. To compare, NYSEG/RG&E's transaction fee decreased from $2.95 to $1.09 per-transaction, after socialization in base rates.[1257] Since fees were socialized in

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[1252] T. 1216 - 1218.

[1253] Ex. 413, p. 6 (Response to DPS-368).

[1254] T.1227.

[1255] T. 1227.

[1256] Case 17-E-0459 et al., Central Hudson Gas & Electric Corp – Rates, CHGE Credit Debit Card Payment Report Q4 2019 (filed February 6, 2020).

[1257] Case 15-E-0283, New York State Electric & Gas Corp – Electric Rates, NYSEG and RGE Quarterly Q4 Credit Card Transaction Report (filed January 29, 2020).

January 2017, the per-transaction rate has ranged from $2.01 to $7.79 for NYSEG and $1.84 to $10.19 for RG&E.[1258] These trends at other utilities prompted Staff's recommendations for setting a limit on the per-transaction cost fees and the downward-only reconciliation mechanism for KEDNY and KEDLI to ensure customer protections.

D. Collections

1. Electronic Deferred Payment Agreements (EDPAs)

The Companies propose to enhance the deferred payment agreement (DPA) process in order to permit customers to electronically enter into a DPA, rather than the current procedure of mailing in the DPA form or going to a customer office.[1259]

Staff supports the Companies' proposal to implement EDPAs and believes this electronic option will increase access for customers to avoid disconnections or potential delays in restoring service, as well as other unnecessary hardships.[1260] Additionally, Staff recommends that the Companies submit quarterly reports on the status of EDPAs, including specific information on several aspects of DPA participation as well as a summary of any complaints and/or inquiries received regarding EDPAs.[1261] PULP also supports the implementation of EDPAs.[1262]

On rebuttal, the Companies disagreed that the quarterly reports should include a summary of any complaints and/or inquiries received regarding EDPAs, as it would be redundant to the existing Department of Public Service complaint process.[1263]

In Case 17-E-0238, the Commission in its Order Approving Electronic Deferred Payment Agreements, issued October 18, 2018, directed Niagara Mohawk to include these summaries as part of the Company's quarterly reporting.[1264] Additionally, as KEDNY and KEDLI may receive complaints and/or additional inquiries that Staff should be provided updates

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[1258] Id.

[1259] T. 1133 – 1137.

[1260] T. 1490.

[1261] T. 1491.

[1262] T. 1670.

[1263] T. 1220.

[1264] Case 17-E-0238, supra, Order Approving Electronic Deferred Payment Agreements (issued October 18, 2018) pp. 8 – 9.

outside the DPS complaint process on said inquiries, therefore Staff reiterates its position that this complaint summary should be included in the quarterly reporting.

F. Outreach and Education

The Companies did not propose any changes to its outreach and education program. Staff recommends additional outreach on the rate block changes, as proposed in the Staff Gas Rate Panel, and that the Companies file its annual outreach and education plan in the generic outreach proceeding, Case 17-M-0475, by April 1 each year to align with the rate year.[1265] Additionally, PULP proposes that the Companies conduct additional outreach to customers about balance transfers.[1266]

The Companies do not support Staff's proposal for expanded outreach unless incremental costs were added to current O&E budgets.[1267] The Companies also state the outreach plans should be due at least 60 days following April 1 of each year instead of by April to allow time to prepare the reports and address the fiscal year-end.[1268]

Staff asserts that the Companies can use low-cost outreach options, such as bill messaging, websites, and customer emails within its existing outreach budget to conduct the expanded customer education regarding the rate blocks, as stated during the SCSP's cross-examination.[1269] Additionally, the Companies have inadequately demonstrated why the outreach plan cannot be filed by April 1; however, Staff understands that employee resources may be constrained during the fiscal year-end timeframe and therefore Staff is willing to accept a filing date of May 1.

G. Economic Development Programs

1. Grant Programs

Economic Development Discount Programs provide grants to businesses to incent economic growth. These grant programs are an important element of the offerings of the Companies' Economic Development portfolio and supports the adoption of all changes proposed

[1265] T. 1495 – 1496.

[1266] T. 1684.

[1267] T. 1218 – 1219.

[1268] T. 1219 – 1220.

[1269] T. 1582 – 1584.

by the Companies.[1270] Additionally, Staff recommends making certain modifications to the Grant Programs to accommodate non-firm customers.[1271] On rebuttal, the Companies agree that modifying existing Grant Programs to allow the infrastructure related costs of converting from firm to non-firm service to become eligible expenses to qualify for grant assistance would be an effective approach to accommodate Staff's recommendation.[1272]

2. Discount Programs

Discount Programs allow new and expanding qualifying business customers to receive a discounted rate and are an important incentive to attract new businesses. The Companies propose modifications to the Discount Programs, which includes changing the current areas where the Area Development Rate is offered in KEDNY by adding new targeted areas more appropriate conform to the current economic development priorities of NYC and the State.[1273] The grant program also includes creating an Area Development Rate for KEDLI where targeted areas have already been designated as economic development priorities through federal and state development programs.[1274] Additionally, the Companies propose to broaden the eligibility of the business incentive rates to include qualifying tenant businesses locating or expanding in properties receiving benefits from an Industrial Development Agency (IDA); currently, the business incentive rate is available only to the IDA beneficiaries themselves.[1275] The Companies also propose to implement a deferral mechanism whereby actual discounts are reconciled against targets established in rates.[1276]

Staff supports the Companies' proposals, except for the implementation of a deferral mechanism to reconcile discounts.[1277] Additionally, Staff recommends that all discounts be extended to non-firm customers as well as firm customers.[1278] Staff recommends that, when

[1270] T. 86 - 93.

[1271] T. 1503 – 1505.

[1272] T. 178.

[1273] T. 93 – 98.

[1274] T. 96.

[1275] T. 93- 98.

[1276] T. 97.

[1277] T. 1501 – 1502.

[1278] T. 1502 – 1504.

considering a single rate year, there is less financial risk involved in forecasting economic development discount program costs and therefore a deferral mechanism is not necessary.[1279]

The Companies disagree with Staff's recommendation against the deferral mechanism, as the implementation of the approved modifications to the Discount Programs are expected to increase the activity of the programs.[1280] While Staff agrees that the modifications will result in an increase in the number of eligible customers, it is not a guarantee that participation will increase in the Rate Year, as evidenced by program participation and the total number of customers for all discount programs experienced in 2016, 2017 and 2018.[1281] Based these three calendar years, there has been a steady decline in the total number of participating customers. Staff does not agree that the proposed modifications do not guarantee growth in participation.[1282] Therefore, Staff does not believe that a deferral mechanism for reconciliation of costs incurred beyond the forecasted amounts is appropriate.

XII. LOW INCOME PROGRAM

A. Calculating Discounts and Eligibility

The Companies provided updated bill discount amounts, a revised budget, and rate allowance for the Energy Affordability Program (EAP).[1283] The Companies also proposed to consolidate the bill discount tiers down to four tiers, originally from six tiers at KEDNY and five tiers at KEDLI. [1284] The Companies stated that Tiers 5 and 6 at KEDNY and Tier 5 at KEDLI are duplicative of Tier 1.[1285] The Companies also proposed to decrease the rate allowance based on the 2019 Energy Affordability Program budget, from $31.9 million at KEDNY and $6.6 million for KEDLI to $25.5 million and $5.5 million, respectively.[1286] The

[1279] T. 1500 – 1501.

[1280] T. 177.

[1281] Ex. 602.

[1282] Ex. 602.

[1283] T. 1146 – 1149.

[1284] T. 1148 – 1149.

[1285] T. 1148.

[1286] T. 1148 – 1149.

Companies proposed to add a .5 FTE for KEDNY and KEDLI to increase EAP enrollment.[1287] Staff agreed with the Companies' initial proposals and therefore did not submit Direct Testimony on the Companies' Energy Affordability Program proposals.

NYC proposed to increase the EAP bill discounts and budgets.[1288] NYC also asserts that the current EAP methodology, which was set by the Commission in the generic Affordability Proceeding, Case 14-M-0565, is flawed for New York City.[1289] NYC's analysis sets discounts based on what they believe is appropriate at "family level" rather than a household level, which is used by various Federal and State public assistance programs, as well as by the Commission in the generic Low Income Proceeding.[1290] PULP also expressed concern that the EAP discounts would not offset the Companies' proposed rate increases in these proceedings.[1291] Staff and the Companies disagreed with NYC's proposals, stating the discounts are recalculated annually, and the City's proposals deviates from Commission's established policies for the generic, statewide approach.[1292] Staff also recommended "that the Commission reject the NYC's low income bill discount proposals in these cases and continue its policy of a generic, statewide approach, which includes opportunities for refinements where applicable and in the Commission's Affordability Proceeding."[1293] In supplemental testimony, Staff provided the Companies' EAP program updates for calendar year 2020, which increased the discounts for both Companies, and are more in line with NYC's proposed discounts.[1294] In addition, KEDNY's updated discounts exceeded the budget cap of 2% of revenues and had to be adjusted, consistent the Commission's policy set forth in the generic Affordability Proceeding, Case 14-M-0565.[1295]

[1287] T. 1154 – 1155.

[1288] T. 5357 – 5360.

[1289] T. 5344 - 5360.

[1290] T. 5351.

[1291] T. 1622 – 1625.

[1292] T. 1513 – 1515; T. 1211 – 1214.

[1293] T. 1515.

[1294] T. 1517 – 1521.

[1295] Id.

B. Budget and Low Income Program Offerings

PULP proposed that the Companies provide six years of billing data to customers as well as a customer's availability of public assistance benefits through an e-billing portal.[1296] The Companies replied that they "would have to modify the legacy billing systems, data storage systems, and operating procedures in multiple ways, including increasing the amount of customer data stored and available in the current billing systems."[1297] The Companies also state that the costs would be "prohibitive, and there is no evidence such capabilities would provide a meaningful benefit to customers or the customer experience."[1298] Staff was unconvinced by the PULP's lack of support, that six years of billing data would benefit customers. Further, Staff has concerns regarding the cost impacts of providing and maintaining such data for every customer. Staff recommends that responsibility for tracking of customer public assistance benefits should lie with the New York State Office of Temporary and Disability Assistance, the New York City Human Resources Administration, or the County Department of Social Services.

E. Request for Additional Full-Time Equivalent Employee for Energy Assistance Program Participation

PULP supports the Companies' proposal for a one-half FTE if an additional one-half FTE could be dedicated to increasing KEDLI EAP participation, thus increasing the FTE request to one FTE, split between KEDNY and KEDLI.[1299] The Companies disagreed with PULP's proposal to add one full FTE if three-quarters of an FTE had to be dedicated to KEDLI and one-quarter to KEDNY.[1300] The Companies' Shared Services Panel agrees that additional resources would be beneficial in supporting EAP implementation but states the resource should not be dedicated solely to increasing KEDLI EAP participation rates and instead should be flexible between both Companies.[1301] Staff supports PULP's proposal for one full FTE dedicated to the EAP at both Companies, as we believe this additional resource would be beneficial to the Companies' EAP enrollment.

[1296] T. 1678.

[1297] T. 1194.

[1298] T. 1195.

[1299] T. 1645

[1300] T. 1215.

[1301] Id.

F. Increasing EAP Participation

The Companies did not provide a proposal regarding its Energy Affordability Program outreach. Currently, the Companies utilize automatic enrollment in HEAP and various other public assistance programs through a file match with the New York City Human Resources Association and the NYS Office of Temporary and Disability Assistance.[1302] Additionally, the Companies' consumer advocates conduct outreach to identify more EAP participants.[1303] PULP's direct testimony advocated for the Companies to accelerate efforts to enroll customers in EAP and energy efficiency, and to partner with the NYC HRA and Nassau/Suffolk Departments of Social Services to increase EAP enrollment.[1304]

While Staff would like to see an increase in KEDLI's EAP participation, we have not seen any evidence that an additional .5 FTE, as proposed by PULP, would actually accomplish this. Staff suggests that this issue includes a more robust file matching process between the counties and/or NYS Office of Temporary and Disability Assistance and be addressed in Phase Two of the generic Affordability Proceeding, Case 14-M-0565.

H. Elimination of reconnection fees for Energy Affordability Program customers (KEDNY)

NYC proposed that KEDNY waive reconnection fees for low-income customers, as is done in KEDLI's service territory.[1305] NYC also proposed quarterly file matching and to increase the HRA reimbursement budget from the current $100,000 to $200,000.[1306] The Companies disagreed with NYC's file-matching proposal because more frequent matches may not increase participation levels and may also increase removal of customers.[1307] Staff agrees with the Companies; NYC did not reasonably justify the increased costs for quarterly file matching.

[1302] T. 1150 – 1154.

[1303] Id.

[1304] T. 1674 – 1679.

[1305] T. 5368– 5371.

[1306] T. 5371 – 5376.

[1307] T. 1200 - 1203.

XIII. MANAGEMENT AUDIT COMPLIANCE

Public Service Law §66(19)(c), requires that "upon the application of a gas or electric corporation for a major change in rates…the Commission shall review that corporation's compliance with the directions and recommendations made previously by the Commission, as a result of the most recently completed management and operations audit." Since KEDNY and KEDLI's rates were last reset in the 2016 Rate Order, the Companies have participated in the implementation of recommendations from three audits. Accordingly, Staff addressed KEDNY and KEDLI's status in relation to three recently completed management and operations audits.[1308] These audits include Case 13-G-0009;[1309] Case 13-M-0314;[1310] and Case 13-M-0449.[1311]

On September 28, 2018, Staff issued a letter to KEDNY, KEDLI and Niagara Mohawk confirming the completion of the implementation of all audit recommendations from Case 13-G-0009.[1312] On March 13, 2018, Staff issued a letter to KEDNY and KEDLI, as well as Niagara Mohawk, confirming the completion of all audit recommendations from Case 13-M-0314.[1313] On July 30, 2019, Staff issued a letter to KEDNY and KEDLI, as well as Niagara Mohawk, confirming the completion of all audit recommendations from Case 13-M-0449.[1314] Staff confirms that the Companies have completed the implementation of their most recently completed audits.[1315]

[1308] T. 5786 – 5287.

[1309] Case 13-G-0009, Management and Operations Audit of National Grid USA's New York Gas Companies.

[1310] Case 13-M-0314, Review of the Accuracy and Effectiveness of Certain Reliability and Customer Service Systems – Gas and Combination Gas and Electric Utilities in New York State.

[1311] Case 13-M-0449, Operations Audit – Staffing -Major New York Energy Utilities.

[1312] Case 13-G-0009, supra, Letter Confirming the Completion of Audit Recommendations (September 28, 2018).

[1313] Case 13-M-0314, supra, Letter to National Grid Regarding Implementation Plan Update (issued March 13, 2018).

[1314] Case 13-M-0449, supra, Letter Confirming the Completion of Implementation Oversight of National Grid USA (issued July 30, 2019).

[1315] T. 5287.

XIX. CONCLUSION

For the reasons stated herein, Staff's recommendations and adjustments should be adopted.

Respectfully submitted,

Brandon F. Goodrich
Nicholas Forst
Raquel Parks
Staff Counsel

Dated: Albany, New York
April 6, 2020

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Statement of Operating Income
For the Rate Year Ending March 31, 2021
($000's)

Schedule 1

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021	Base Revenue Increase Required	Rate Year Ending March 31, 2021 with Base Revenue Requirement
Operating Revenues	$ 1,163,744	23	$ 22,056	31	$ (12,970)	$ 1,172,830	$ (39,737)	$ 1,133,093
Deductions								
Purchased Gas Costs	$ 323,066	24	$ 8,700	32	$ (376)	$ 331,390		$ 331,390
Revenue Taxes	17,358	25	(68)	33	(5,350)	11,940	(592)	11,348
Total Deductions	$ 340,424		$ 8,632		$ (5,726)	$ 343,330	$ (592)	$ 342,738
Gross Margin	$ 823,320		$ 13,424		$ (7,244)	$ 829,500	$ (39,145)	$ 790,355
Total Operation & Maintenance Expenses	$ 259,173	26	$ 1,206	34	$ 1,676	$ 262,055	$ (252)	$ 261,803
Amortization of Regulatory Deferrals	9,342		-			9,342		9,342
Depreciation, Amort. & Loss on Disposition	96,002	27	773	35	347	97,122		97,122
Taxes Other Than Revenue & Income Taxes	185,860		-			185,860		185,860
Total Operating Revenue Deductions	$ 550,377		$ 1,979		$ 2,023	$ 554,379	$ (252)	$ 554,127
Operating Income Before Income Taxes	$ 272,944		$ 11,445		$ (9,267)	$ 275,122	$ (38,893)	$ 236,229
Income Taxes								
Federal Income Taxes	$ 33,661	28	$ 1,805	36	$ (1,782)	$ 33,684	$ (7,483)	$ 26,201
State Income Taxes	16,718	29	785	37	(777)	16,726	(3,259)	13,467
Total Income Taxes	$ 50,379		$ 2,590			$ 50,410	$ (10,742)	$ 39,668
Operating Income After Income Taxes	$ 222,565		$ 8,855		$ (9,267)	$ 224,712	$ (28,151)	$ 196,561
Rate Base	$ 3,165,897	30	$ 50,641	38	$ 32,400	$ 3,248,938		$ 3,248,938
Rate of Return	7.03%					6.92%		6.05%

	Present Rates	Proposed	Difference
Base Delivery Revenues	$ 1,172,830	$ 1,133,093	**$ (39,737)**
GRT	(11,940)	(11,348)	592
Purchased Gas	(331,390)	(331,390)	-
Add Tax Surcredit	(31,827)	-	31,827
Add Back ETIP	9,478	-	(9,478)
Base Revenue Increase	$ 807,151	$ 790,355	$ (16,796)

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Operation and Maintenance Expense
For the Rate Year Ending March 31, 2021
($000's)

Schedule 2

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Operation & Maintenance Expenses:						
Departmental Items:						
Consultants	$ 7,151					$ 7,151
Contractors	32,961					32,961
Donations	-					-
Employee Expenses	3,016					3,016
Hardware	203					203
Software	3,816					3,816
Other	683					683
Rents	4,501					4,501
Service Company Rents	29,323					29,323
Construction Reimbursement	(69)					(69)
FAS 106	(4,924)					(4,924)
FAS 112	153					153
Health Care	10,398					10,398
Group Life Insurance	662					662
Other Benefits	525					525
Pension	5,302					5,302
Thrift Plan	3,535					3,535
Workers Comp	877					877
Materials Outside Vendor	2,323					2,323
Materials From Inventory	2,175					2,175
Materials Stores Handling	193					193
Postage	3,740					3,740
Total Labor	83,644					83,644
Transportation	4,190					4,190
Energy Efficiency Program	9,649	26a	1,232	34a	(166)	10,715
Injuries & Damages	4,949					4,949
Other Initiatives	32,112	26b	(174)	34b	152	32,090
Productivity Adjustment	(1,977)					(1,977)
Rate Case Expense	241					241
Regulatory Assessment Fees	4,393					4,393
Uncollectible Accounts	6,477	26c	148	34c	228	6,853
Site Investigation & Remediation Expenses	4,896					4,896
Joint Facilities	-					-
Savings	(9,677)			34d	140	(9,537)
Legal	727					727
Accounting	1,510					1,510
Economic Development Program	2,750					2,750
Low Income Program	5,544			34e	1,156	6,700
Incentive Program	-					-
Paving	3,201					3,201
Clean Energy Fund	-		-	34f	166	166
Sub Total - Departmental	$ 259,173		$ 1,206		$ 1,676	$ 262,055
TOTAL	**$ 259,173**		**$ 1,206**		**$ 1,676**	**$ 262,055**

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Taxes Other Than Income Taxes
For the Rate Year Ending March 31, 2021
($000's)

Schedule 3

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Real Estate Taxes						
Real Property	$ 179,555					$ 179,555
Special Franchise	-					-
Total Real Estate Taxes	$ 179,555					$ 179,555
Payroll Taxes	$ 5,585					$ 5,585
Other	$ 720					$ 720
Total Taxes Other Than Revenue and Income Taxes	$ 185,860		$ -		$ -	$ 185,860

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Federal and State Income Taxes
For the Rate Year Ending March 31, 2021
($000's)

Schedule 4

Federal Income Tax - Company

	Adj. #	Federal Taxable Income	Deferrable Basis	Federal Taxable Income	At the Statutory Federal Tax Rate	DFIT Reversals	Net FIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 284,389		$ 284,389	$ 59,722		
Interest		(68,553)		(68,553)	(14,396)		
Total Pretax Income / (Loss)		**$ 215,836**		**$ 215,836**	**$ 45,326**		**$ 45,326**
New York State Income Taxes		$ (17,503)		$ (17,503)	$ (3,676)		$ (3,676)
Flow-through AFUDC		(2,437)		(2,437)	(512)		(512)
Flow-through Depreciation		286		286	60		60
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		95		95	20		20
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	-		-
Tax Only Item - Federal Rate Change		-		-	-		-
Excess ADIT Amortization		-		-	(331)		(331)
Excess ADIT Amortization - Staff Adjustment	21				(5,421)		(5,421)
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 196,277**		**$ 196,277**	**$ 35,466**		**$ 35,466**
Federal Income Tax Rate:	21%						

State Income Tax - Company Adjustments Second Supplemental and Third Supplemental

	Adj. #	State Taxable Income	Deferrable Basis	State Taxable Income	At the Statutory State Tax Rate	DSIT Reversals	Net SIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 284,389		$ 284,389	$ 23,832		
Interest		(68,553)		(68,553)	(5,745)		
Total Pretax Income / (Loss)		**$ 215,836**		**$ 215,836**	**$ 18,087**		**$ 18,087**
New York State Income Taxes		$ -		$ -	$ -		$ -
Flow-through AFUDC		(2,437)		(2,437)	(204)		(204)
Flow-through Depreciation		286		286	24		24
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		90		90	8		8
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	(412)		(412)
Tax Only Item - Federal Rate Change		-		-	-	0	-
Excess ADIT Amortization		-		-	-		
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 213,775**	**$ -**	**$ 213,775**	**$ 17,503**	**$ -**	**$ 17,503**
State Income Tax Rate	8.38%						

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Federal and State Income Taxes
For the Rate Year Ending March 31, 2021
($000's)

Schedule 4

Federal Income Tax - Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff I

	Adj. #	Federal Taxable Income	Deferrable Basis	Federal Taxable Income	At the Statutory Federal Tax Rate	DFIT Reversals	Net FIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 275,122		$ 275,122	$ 57,776		
Interest		(68,553)		(68,553)	(14,396)		
Total Pretax Income / (Loss)		**$ 206,569**		**$ 206,569**	**$ 43,380**		**$ 43,380**
New York State Income Taxes		$ (16,726)		$ (16,726)	$ (3,512)		$ (3,512)
Flow-through AFUDC		(2,437)		(2,437)	(512)		(512)
Flow-through Depreciation		286		286	60		60
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		95		95	20		20
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	-		-
Tax Only Item - Federal Rate Change		-		-	-		-
Excess ADIT Amortization		-		-	(331)		(331)
Excess ADIT Amortization - Staff Adjustment	21				(5,421)		(5,421)
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 187,787**		**$ 187,787**	**$ 33,684**		**$ 33,684**
Federal Income Tax Rate:	21%						

State Income Tax - Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Pos

	Adj. #	State Taxable Income	Deferrable Basis	State Taxable Income	At the Statutory State Tax Rate	DSIT Reversals	Net SIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 275,122		$ 275,122	$ 23,055		
Interest		(68,553)		(68,553)	(5,745)		
Total Pretax Income / (Loss)		**$ 206,569**		**$ 206,569**	**$ 17,310**		**$ 17,310**
New York State Income Taxes		$ -		$ -	$ -		$ -
Flow-through AFUDC		(2,437)		(2,437)	(204)		(204)
Flow-through Depreciation		286		286	24		24
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		90		90	8		8
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	(412)		(412)
Tax Only Item - Federal Rate Change		-		-	-	0	-
Excess ADIT Amortization		-		-	-		
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 204,508**	**$ -**	**$ 204,508**	**$ 16,726**	**$ -**	**$ 16,726**
State Income Tax Rate	8.38%						

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Summary of Rate Base
For the Rate Year Ending March 31, 2021
($000's)

Schedule 5

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Net Utility Plant	$ 3,904,058	30a	$ 54,280	38a	$ 30,054	$ 3,988,392
Regulatory Assets / Liabilities	4,889				-	4,889
Accumulated Deferred Income Taxes - Federal	(763,451)	30b	(2,930)	38b	1,010	(765,371)
Accumulated Deferred Income Taxes - State	(126,678)	30c	(1,285)	38c	1,155	(126,808)
Working Capital						
Materials and supplies (inc Gas Inventory & deferred Fuel)	$ 54,604		$ -		$ -	$ 54,604
Prepayments	2,216		-		-	2,216
O&M Cash Allowance (1/8 O&M exp)	31,586	30d(1)	132	38d	181	31,899
Supply Cash Allowance (Dec 18 lead/lag study)	24,882		-		-	24,882
City/State Construction Accounts Receivable	0		-		-	-
Change in Supply Cash Allowance (4.77 % x RY PP exp)	(9,789)	30d(2)	444		-	(9,345)
Change in City/State Construction Accounts Receivable	0		-			-
Subtotal Working Capital	$ 103,499		$ 576		$ 181	$ 104,256
Subtotal Avg. Before EBCAP Adj.	$ 3,122,317		$ 50,641		$ 32,400	$ 3,205,358
Excess Earnings Base Adjustment	$ 43,580		$ -		$ -	$ 43,580
Total Rate Base	**$ 3,165,897**		**$ 50,641**		**$ 32,400**	**$ 3,248,938**

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Capital Structure Forecast
For the Rate Year Ending March 31, 2021
($000's)

Schedule 6

Staff's Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 1,668,866	51.37%	4.06%	2.09%	2.09%
Customer Deposits	20,581	0.63%	2.45%	0.02%	0.02%
Common Equity	1,559,490	48.00%	8.20%	3.94%	5.44%
Total	$ 3,248,938	100.00%		6.05%	7.55%

Per Staff's Corrected Rate Year Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 1,625,685	51.35%	4.06%	2.08%	2.08%
Customer Deposits	20,581	0.65%	2.45%	0.02%	0.02%
Common Equity	1,519,631	48.00%	8.20%	3.94%	5.44%
Total	$ 3,165,897	100.00%		6.04%	7.54%

Company's Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 1,679,330	51.37%	4.06%	2.09%	2.09%
Customer Deposits	20,581	0.63%	2.45%	0.02%	0.02%
Common Equity	1,569,149	48.00%	9.65%	4.63%	6.40%
Total	$ 3,269,061	100.00%		6.74%	8.51%

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OTHER REVENUE REQUIREMENT INPUTS

Forecast Rate Year Rates To Apply To Rev Req	
Bad Debt % For Rev Req	**0.63%**
GRT Rate For Rev Req	**1.49%**
Federal Income Tax Rate	**21.00%**
NYS Income Tax Rate	**8.38%**
General Inflation (from 12/31/2018 to 3/31/2021)	**3.96%**

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KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Company adjustments Second Supplemental, and Company Third Supplemental for the Rate Year Ending March 31, 2021
($000's)

Schedule 7d

Adj. 23		**Operating Revenues**		
	1	To reflect updated Sales forecast (2nd Supplemental)	22,589	
	2	To reflect updated Sales forecast (3rd Supplemental)	(322)	
	3	To reflect updated Sales forecast (3rd Supplemental /EE Order)	(211)	$ 22,056
Adj. 24		**Purchased Gas Costs**		
	1	To reflect updated Purchased Gas Costs (2nd Supplemental)	8,950	
	2	To reflect updated Purchased Gas Costs (3rd Supplemental /EE Order)	(250)	$ 8,700
Adj. 25		**Revenue Taxes**		
	1	To adjust Taxes associated with Company's latest sales forecast (2nd Supplemental)	256	
	2	To adjust Taxes associated with Company's latest sales forecast (3rd Supplemental)	(321)	
	3	To adjust Taxes associated with Company's latest sales forecast (3rd Supplemental /EE Order)	(3)	$ (68)
Adj. 26		**Operating and Maintenance Expenses**		
(a)		**Energy Efficiency**		
		To reflect the latest known EE budgets (3rd Supplemental)	1,232	$ 1,232
(b)		**Other Initiatives**		
	1	Damage Prevention Mark Out Contract Update (2nd Supplemental)	1,937	
	2	Capex related Opex - CNG sites (2nd Supplemental)	78	
	3	Adjustment for No NESE (2nd Supplemental)	53	
	4	Updated for 2020 EE Order - Empower (3rd Supplemental)	(2,500)	
	5	Updated for 2020 EE Order - Incremental FTE's (3rd Supplemental)	258	$ (174)
(c)		**Uncollectible Accounts**		
	1	Flow through for updated sales forecast (2nd Supplemental)	144	
	2	Flow through for updated sales forecast (3rd Supplemental)	4	$ 148
		Total Operating and Maintenance Expense Adjustment		$ 1,206
Adj. 27		**Depreciation Expense**		
	1	Update for LPP Contractor Unit Costs	(4)	
	2	Update for Damage Prevention Contractor Unit Costs	11	
	3	Updates to include projects to continue new gas supply connections	766	$ 773
Adj. 28		**Federal Income Taxes**		
		To adjust current Federal Income tax flow through	1,805	$ 1,805
Adj. 29		**State Income Taxes**		
		To adjust current State Income tax flow through	785	$ 785
		Total Income Tax Adjustments		**$ 2,590**
Adj. 30				
(a)		**Rate Base**		
		Net Utility Plant		
	1	Update for LPP Contractor Unit Costs	(495)	
	2	Update for Damage Prevention Contractor Unit Costs	1,290	
	3	Updates to include projects to continue new gas supply connections	53,485	$ 54,280
(b)		**Accumulated Deferred Income Taxes - Federal**	(2,930)	$ (2,930)
		To adjust ADFIT flow through related to adjustment to Net Utility Plant		
(c)		**Accumulated Deferred Income Taxes - State**	(1,285)	$ (1,285)
		To adjust ADSIT flow through related to adjustment to Net Utility Plant		
(d)		**Working Capital**		
	1	Change in Supply Cash Allowance associated with updated sales forecast (2nd Supplemental)	457	
	2	Change in Supply Cash Allowance associated with updated sales forecast (3rd Supplemental)	(13)	
	3	To adjust working capital to reflect O&M adjustments	132	$ 576
		Total Rate Base Adjustments		**$ 50,641**

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments for the Rate Year Ending March 31, 2021
($000's)

Schedule 7e

Adj. 31	**Operating Revenues**			
	To reflect Staff's latest Sales Forecast	(13,510)		
	To reflect Staff's latest Sales Forecast(post-hearing)	540	$	(12,970)
Adj. 32	**Purchased Gas Costs**			
	To reflect Staff's latest purchased gas costs	(668)		
	To reflect Staff's latest purchased gas costs (post-hearing)	292	$	(376)
Adj. 33	**Revenue Taxes**			
	To reflect Staff's latest revenue taxes	(5,353)		
	To reflect Staff's latest revenue taxes (post hearing)	3	$	(5,350)
Adj. 34	**Operating and Maintenance Expenses**			
(a)	**Energy Efficiency**			
	To remove clean energy fund from EE	(166)	$	(166)
(b)	**Other Initiatives**			
1	To correct the Company's Damage Prevention Mark Out Contract Update	168		
2	To reflect Staff's adjustment removing the Damage Prevention Mark Out Contract Update	(2,236)		
3	To reflect Staff's adjustment removing the EE Incremental FTEs	(258)		
4	To reflect Staff's adjustment including the funds associated with the Empower Program	2,500		
5	To add back 0.3 FTE from FOH Demand Response	39		
6	To remove 0.5 FTE from FOH Green Gas Tariff	(61)	$	152
(c)	**Uncollectible Accounts**			
	Flow through for updated sales forecast	228	$	228
(d)	**Savings**			
	To update for level 3 savings initiatives (January 2020)	140	$	140
(e)	**Low Income program**			
	To reflect the latest known Low Income Program budgets	1,156	$	1,156
(f)	**Clean Energy Fund**			
	To reflect the clean energy fund as a separate line item	166	$	166
	Total Operating and Maintenance Expense Adjustment		**$**	**1,676**
Adj. 35	**Depreciation Expense**			
1	Update for LPP Contractor Unit Costs	4		
2	Update for Damage Prevention Contractor Unit Costs	(11)		
3	To adjust depreciation expense tracking Staff's forecast of plant additions	354	$	347
Adj. 36	**Federal Income Taxes**			
	To adjust current Federal Income tax flow through	(1,782)	$	(1,782)
Adj. 37	**State Income Taxes**			
	To adjust current State Income tax flow through	(777)	$	(777)
	Total Income Tax Adjustments		**$**	**(2,559)**
Adj. 38				
	Rate Base			
(a)	**Net Utility Plant**			
1	To reflect Staff's adjustment removing the Update for LPP Contractor Unit Costs	495		
2	To reflect Staff's adjustment removing the Update for Damage Prevention Contractor Unit Costs	(1,290)		
3	To reflect Staff's updated forecast of plant additions	30,849	$	30,054
(b)	**Accumulated Deferred Income Taxes - Federal**			
	To adjust ADFIT flow through related to Staff's adjustment to Net Utility Plant	1,010	$	1,010
(c)	**Accumulated Deferred Income Taxes - State**			
	To adjust ADSIT flow through related to Staff's adjustment to Net Utility Plant	1,155	$	1,155
(b)	**Working Capital**			
	To adjust working capital to reflect O&M adjustments	181	$	181
	Total Rate Base Adjustments		**$**	**32,400**

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Summary of Depreciation and Amortization Expense, and Amortization of Regulatory Deferrals
For the Rate Year Ending March 31, 2021
($000's)

Schedule 8

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Depreciation Expense (acct 403)	$ 96,002	**27**	$ 773	**35**	$ 347	$ 97,122
Amortization Expense (acct 404-405)	-		-		-	-
Accretion Expense (acct 411.10)	-		-		-	-
(Gain) Loss on Disposition of Utility Plant (acct 411.7)	-		-		-	-
Total Depreciation & Amortization Expense	$ 96,002		$ 773		$ 347	$ 97,122

Summary of Amortization of Regulatory Deferrals

Amortization of Regulatory Deferrals						
SIR Deferral (Dec 2016)	14,168		-		-	14,168
Economic Development	(2,250)		-		-	(2,250)
Gas Safety NRAs	(526)		-		-	(526)
EEPS and ETIP	(2,050)		-		-	(2,050)
	$ 9,342		$ -		$ -	$ 9,342

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Tax Deduction for Interest Expense
For the Rate Year Ending March 31, 2021
($000's)

Schedule 9

	Staff Corrected Rate Year Ending March 31, 2021	Company Adjustments Second and Third Supplemental	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Avg Rate Base Per Books	$ 3,122,317	$ 50,641	$ 32,400	$ 3,205,358
Plus: Forecast of Avg Interest Bearing CWIP	-	-	-	-
Less: Rate Base Moved to GAC	-	-	-	-
Less: Excess Earnings Adj (EBCAP)	(43,580)	-	-	(43,580)
	$ 3,165,897	$ 50,641	$ 32,400	$ 3,248,938
Weighted Cost of LTD Debt	2.08%	0.01%	0.00%	2.09%
Weighted Cost of Cust Deposits	0.02%	0.00%	0.00%	0.02%
	2.10%	0.01%	0.00%	2.11%
Total Income Tax Interest Deduction	**$ 66,484**	**$ 2,069**	**$ -**	**$ 68,553**

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Working Capital - Cash Allowance
For the Rate Year Ending March 31, 2021
($000's)

Schedule 10

Description	Staff Corrected Rate Year Ending March 31, 2021	Company Adjustments Second and Third Supplemental	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Total O&M Expense	$ 259,173	$ 1,206	$ 1,676	$ 262,055
Remove Major Non-Cash Items Included in O&M Expense:				
Bad Debt Expense	(6,477)	(148)	(228)	(6,853)
Other (Energy Efficiency, 18-a Assessment)	0	-	-	-
Subtotal	$ (6,477)	$ (148)	$ (228)	$ (6,853)
Add Major Cash Items Not Included in O&M Expense:				
Other	$ -	$ -	$ -	$ -
Subtotal	$ -	$ -	$ -	$ -
Total Adjustments	$ (6,477)	$ (148)	$ (228)	$ (6,853)
Adjusted O&M Expense	$ 252,696	$ 1,058	$ 1,448	$ 255,202
Departmental Cash Allowance - 1/8 (45 days)	$ 31,587	$ 132	$ 181	$ 31,900
Supply Cost Cash Allowance (4.77% x HY Gas exp)	$ -	$ -	$ -	$ -

(note: The Supply Cost Allowance is being presented separately, therefore will be removed from the historic Excess Earnings Base Adjustment)

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Average Historic Rate Base and Capitalization
For the Rate Year Ending March 31, 2021
($000's)

Schedule 11

		TOTAL	Staff Adjustments	TOTAL
(A)	AVERAGE RATE BASE - PER BOOKS	$ 2,456,561	$ -	$ 2,456,561
(B)	ADD: Average Interest-Bearing CWIP	134,448	-	134,448
(C)	TOTAL EARNINGS BASE (A+B)	$ 2,591,009	$ -	$ 2,591,009
	Percent	100.00%		
(D)	AVERAGE CAPITALIZATION (CE excludes merger Goodwill, and may be adj for TCI if required):			
	Long Term Debt	$ 1,200,000		$ 1,200,000
	Notes Payable	0		0
	Gas Supplier Refunds	243		243
	Customer Deposits	14,814		14,814
	Preferred Stock	0		0
	Common Equity (excludes merger GW; incl TCI adj)	1,263,345		1,263,345
	Avg. Allocated to Elec / Gas based on Earnings Base	$ 2,478,402		$ 2,478,402
(E)	Add Dividends Declared But Unpaid (representing the timing difference between declaration and payment)	-	-	-
(F)	SUBTOTAL (D+E)	$ 2,478,402		$ 2,478,402
	LESS Average Investments In:			
	Detailed Balance Sheet Accounts	$ (237,600)	-	$ (237,600)
	Accumulated Def Inc Tax Adjustment	59,333	-	59,333
	Goodwill	n/a		
(G)	Total Deductions	$ (178,267)	$ -	$ (178,267)
(H)	Capitalization Dedicated to Public Service (F-G)	$ 2,656,669		$ 2,656,669
(J)	Excess Earnings Base (Total Earnings Base) less Average Capitalization Devoted to Service Current Customers) (C-H)	$ (65,660)		$ (65,660)

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310 Workpaper
Revenue Requirement
For the Rate Year Ending March 31, 2021
($000's)

	Company RY 3/31/21	Staff RY 3/31/21
Adjusted Rate Base	$ 3,269,061	$ 3,248,938
Rate of Return	6.74%	6.05%
Required Utility Operating Income	220,335	196,561
Utility Operating Income Before Increase	192,410	224,712
Under Operating Income	27,925	(28,151)
Retention Factor	69.4006%	70.8424%
Revenue Requirement	$ 40,238	$ (39,737)

	Company Retention Factor	Staff Retention factor
Revenues	100.000%	100.000%
Less: Revenue Taxes	3.482%	1.490%
Uncollectible Accounts	0.634%	0.634%
Total	95.884%	97.876%
Reciprocal of State Tax Rate	91.620%	91.620%
Net	87.849%	89.674%
Reciprocal of Federal Tax Rate	79.000%	79.000%
Retention Factor	69.401%	70.842%

	Company Rate of Return			**Staff Rate of Return**		
	Ratios	Cost	Weighted Cost	Ratios	Cost	Weighted Cost
Long-Term Debt	51.37%	4.06%	2.09%	51.37%	4.06%	2.09%
Customer Deposits	0.63%	2.45%	0.02%	0.63%	2.45%	0.02%
Common Equity	48.00%	9.65%	4.63%	48.00%	8.20%	3.94%
Totals	100.00%		6.74%	100.00%		6.05%

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Revenue Requirement Workpaper
For the Rate Year Ending March 31, 2021
($000's)

	Retention Factor
Revenues	100.0000%
Less: Revenue Taxes	1.4900%
Uncollectible Accounts	0.6341%
Total	97.8759%
Reciprocal of State Tax Rate	91.6200%
Net	89.6739%
Reciprocal of Federal Tax Rate	79.0000%
Retention Factor	70.8424%

Check

Operating Income Before Rate Increase	224,712
RY Operating Income Needed	196,561
Net Rate Increase Needed	(28,151)
Retention Factor	70.8424%
Base Rate Increase	(39,737)
Uncollectibles on SBC Revenues	0
Total Base Rate Increase	(39,737)
Base Rate Increase on Schedules	(39,737)
Difference	0

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Statement of Operating Income
For the Rate Year Ending March 31, 2021
($000's)

Schedule 1

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021	Base Revenue Increase Required	Rate Year Ending March 31, 2021 with Base Revenue Requirement
Operating Revenues	$ 1,760,576	24	$ 7,987	32	$ 37,750	$ 1,806,313	$ 30,588	$ 1,836,901
Deductions								
Purchased Gas Costs	$ 429,993	25	$ 6,997	33	$ 31,515	$ 468,505		$ 468,505
Revenue Taxes	62,065	26	362	34	1,128	63,555	1,076	64,631
Total Deductions	$ 492,058		$ 7,359		$ 32,643	$ 532,060	$ 1,076	$ 533,136
Gross Margin	$ 1,268,518		$ 628		$ 5,107	$ 1,274,253	$ 29,512	$ 1,303,765
Total Operation & Maintenance Expenses	$ 607,661	27	$ 7,257	35	$ 5,368	$ 620,286	$ 279	$ 620,565
Amortization of Regulatory Deferrals	3,624		-			3,624		3,624
Depreciation, Amort. & Loss on Disposition	145,014	28	383	36	436	145,833		145,833
Taxes Other Than Revenue & Income Taxes	179,161		-			179,161		179,161
Total Operating Revenue Deductions	$ 935,460		$ 7,640		$ 5,804	$ 948,904	$ 279	$ 949,183
Operating Income Before Income Taxes	$ 333,058		$ (7,012)		$ (697)	$ 325,349	$ 29,233	$ 354,582
Income Taxes								
Federal Income Taxes	$ 29,992	29	$ (1,651)	37	$ (135)	$ 28,206	$ 5,624	$ 33,830
State Income Taxes	18,806	30	(718)	38	(59)	18,029	2,450	20,479
Total Income Taxes	$ 48,798		$ (2,369)		$ (194)	$ 46,235	$ 8,074	$ 54,309
Operating Income After Income Taxes	$ 284,260		$ (4,643)		$ (503)	$ 279,114	$ 21,159	$ 300,273
Rate Base	$ 4,880,293	31	$ 33,344	39	$ 16,947	$ 4,930,584		$ 4,930,584
Rate of Return	5.82%					5.66%		6.09%

	Present Rates	Proposed	Difference
Base Delivery Revenues	$ 1,806,313	$ 1,836,901	**$ 30,588**
GRT	(63,555)	(64,631)	(1,076)
Purchased Gas	(468,505)	(468,505)	-
Add Tax Surcredit	(44,641)	-	44,641
Add Back ETIP	18,487	-	(18,487)
Base Revenue Increase	$ 1,248,099	$ 1,303,765	$ 55,666

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Operation and Maintenance Expense
For the Rate Year Ending March 31, 2021
($000's)

Schedule 2

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Operation & Maintenance Expenses:						
Departmental Items:						
Consultants	$ 10,893					$ 10,893
Contractors	72,260					72,260
Donations	-					-
Employee Expenses	5,022					5,022
Hardware	256					256
Software	6,114					6,114
Other	20,844					20,844
Rents	8,366					8,366
Service Company Rents	40,018					40,018
Construction Reimbursement	400					400
FAS 106	(2,389)					(2,389)
FAS 112	279					279
Health Care	17,377					17,377
Group Life Insurance	768					768
Other Benefits	526					526
Pension	11,313					11,313
Thrift Plan	7,010					7,010
Workers Comp	1,626					1,626
Materials Outside Vendor	4,274					4,274
Materials From Inventory	14,817					14,817
Materials Stores Handling	1,340					1,340
Postage	8,661					8,661
Total Labor	164,566					164,566
Transportation	7,780					7,780
Energy Efficiency Program	18,879	27a	142	35a	(261)	18,760
Injuries & Damages	7,473					7,473
Other Initiatives	47,964	27b	7,041	35b	(7,019)	47,986
Productivity Adjustment	(3,856)					(3,856)
Rate Case Expense	241					241
Regulatory Assessment Fees	7,509					7,509
Uncollectible Accounts	14,354	27c	74	35c	797	15,225
Site Investigation & Remediation Expenses	70,920					70,920
Joint Facilities	-					-
Savings	(21,055)			35d	(1,344)	(22,399)
Legal	1,841					1,841
Accounting	2,589					2,589
Economic Development Program	2,250					2,250
Low Income Program	25,466			35e	12,934	38,400
Incentive Program	500					500
Paving	30,465					30,465
Clean Energy Fund	-		-	35f	261	261
Sub Total - Departmental	$ 607,661		$ 7,257		$ 5,368	$ 620,286
TOTAL	**$ 607,661**		**$ 7,257**		**$ 5,368**	**$ 620,286**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Taxes Other Than Income Taxes
For the Rate Year Ending March 31, 2021
($000's)

Schedule 3

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Real Estate Taxes						
Real Property	$ 166,820					$ 166,820
Special Franchise	-					-
Total Real Estate Taxes	$ 166,820					$ 166,820
Payroll Taxes	$ 11,146					$ 11,146
Other	$ 1,195					$ 1,195
Total Taxes Other Than Revenue and Income Taxes	$ 179,161		$ -		$ -	$ 179,161

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Federal and State Income Taxes
For the Rate Year Ending March 31, 2021
($000's)

Schedule 4

Federal Income Tax - Company Adjustments Second Supplemental a

	Adj. #	Federal Taxable Income	Deferrable Basis	Federal Taxable Income	At the Statutory Federal Tax Rate	DFIT Reversals	Net FIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 326,046		$ 326,046	$ 68,470		
Interest		(106,008)		(106,008)	(22,262)		
Total Pretax Income / (Loss)		**$ 220,039**		**$ 220,039**	**$ 46,208**		**$ 46,208**
New York State Income Taxes		$ (18,088)		$ (18,088)	$ (3,798)		$ (3,798)
Flow-through AFUDC		(142)		(142)	(30)		(30)
Flow-through Depreciation		700		700	147		147
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		95		95	20		20
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	-		-
Tax Only Item - Federal Rate Change		-		-	-		-
Excess ADIT Amortization		-		-	(3,278)		(3,278)
Excess ADIT Amortization - Staff Adjustment	21				(10,928)		(10,928)
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 202,604**		**$ 202,604**	**$ 28,341**		**$ 28,341**
Federal Income Tax Rate:	21%						

State Income Tax - Company Adjustments Second Supplemental and

	Adj. #	State Taxable Income	Deferrable Basis	State Taxable Income	At the Statutory State Tax Rate	DSIT Reversals	Net SIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 326,046		$ 326,046	$ 27,323		
Interest		(106,008)		(106,008)	(8,883)		
Total Pretax Income / (Loss)		**$ 220,039**		**$ 220,039**	**$ 18,440**		**$ 18,440**
New York State Income Taxes		$ -		$ -	$ -		$ -
Flow-through AFUDC		(142)		(142)	(12)		(12)
Flow-through Depreciation		700		700	59		59
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		95		95	8		8
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	(407)		(407)
Tax Only Item - Federal Rate Change		-		-	-	0	-
Excess ADIT Amortization		-		-	-		
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 220,692**	**$ -**	**$ 220,692**	**$ 18,088**	**$ -**	**$ 18,088**
State Income Tax Rate	8.38%						

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Federal and State Income Taxes
For the Rate Year Ending March 31, 2021
($000's)

Schedule 4

Federal Income Tax - Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff I

	Adj. #	Federal Taxable Income	Deferrable Basis	Federal Taxable Income	At the Statutory Federal Tax Rate	DFIT Reversals	Net FIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 325,349		$ 325,349	$ 68,323		
Interest		(106,008)		(106,008)	(22,262)		
Total Pretax Income / (Loss)		**$ 219,342**		**$ 219,342**	**$ 46,061**		**$ 46,061**
New York State Income Taxes		$ (18,029)		$ (18,029)	$ (3,786)		$ (3,786)
Flow-through AFUDC		(142)		(142)	(30)		(30)
Flow-through Depreciation		700		700	147		147
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		95		95	20		20
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	-		-
Tax Only Item - Federal Rate Change		-		-	-		-
Excess ADIT Amortization		-		-	(3,278)		(3,278)
Excess ADIT Amortization - Staff Adjustment	21				(10,928)		(10,928)
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 201,966**		**$ 201,966**	**$ 28,206**		**$ 28,206**
Federal Income Tax Rate:	21%						

State Income Tax - Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Pos

	Adj. #	State Taxable Income	Deferrable Basis	State Taxable Income	At the Statutory State Tax Rate	DSIT Reversals	Net SIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 325,349		$ 325,349	$ 27,264		
Interest		(106,008)		(106,008)	(8,883)		
Total Pretax Income / (Loss)		**$ 219,342**		**$ 219,342**	**$ 18,381**		**$ 18,381**
New York State Income Taxes		$ -		$ -	$ -		$ -
Flow-through AFUDC		(142)		(142)	(12)		(12)
Flow-through Depreciation		700		700	59		59
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		95		95	8		8
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	(407)		(407)
Tax Only Item - Federal Rate Change		-		-	-	0	-
Excess ADIT Amortization		-		-	-		
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 219,995**	**$ -**	**$ 219,995**	**$ 18,029**	**$ -**	**$ 18,029**
State Income Tax Rate	8.38%						

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Summary of Rate Base
For the Rate Year Ending March 31, 2021
($000's)

Schedule 5

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Net Utility Plant	$ 5,739,593	31a	$ 36,587	39a	$ 29,058	$ 5,805,238
Regulatory Assets / Liabilities	18,500					18,500
Accumulated Deferred Income Taxes - Federal	(963,458)	31b	(3,115)	39b	(10,533)	(977,106)
Accumulated Deferred Income Taxes - State	(187,569)	31c	(1,360)	39c	(2,149)	(191,078)
Working Capital						
Materials and supplies (inc Gas Inventory & deferred Fuel)	$ 113,951		$ -		$ -	$ 113,951
Prepayments	107,530		-		-	107,530
O&M Cash Allowance (1/8 O&M exp)	74,163	31d(1)	898	39d	571	75,632
Supply Cash Allowance (Dec 18 lead/lag study)	31,865		-		-	31,865
City/State Construction Accounts Receivable	0		-		-	-
Change in Supply Cash Allowance (4.77 % x RY PP exp)	(11,672)	31d(2)	334		-	(11,338)
Change in City/State Construction Accounts Receivable	0		-		-	-
Subtotal Working Capital	$ 315,837		$ 1,232		$ 571	$ 317,640
Subtotal Avg. Before EBCAP Adj.	$ 4,922,903		$ 33,344		$ 16,947	$ 4,973,194
Excess Earnings Base Adjustment	$ (42,610)		$ -		$ -	$ (42,610)
Total Rate Base	**$ 4,880,293**		**$ 33,344**		**$ 16,947**	**$ 4,930,584**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Capital Structure Forecast
For the Rate Year Ending March 31, 2021
($000's)

Schedule 6

Staff's Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 2,542,848	51.57%	4.14%	2.14%	2.14%
Customer Deposits	21,055	0.43%	2.45%	0.01%	0.01%
Common Equity	2,366,680	48.00%	8.20%	3.94%	5.44%
Total	$ 4,930,584	100.00%		6.09%	7.59%

Per Staff's Corrected Rate Year Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 2,516,697	51.57%	4.14%	2.13%	2.13%
Customer Deposits	21,055	0.43%	2.45%	0.01%	0.01%
Common Equity	2,342,541	48.00%	8.20%	3.94%	5.44%
Total	$ 4,880,293	100.00%		6.08%	7.58%

Company's Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 2,560,965	51.58%	4.11%	2.12%	2.12%
Customer Deposits	21,055	0.42%	2.45%	0.01%	0.01%
Common Equity	2,383,403	48.00%	9.65%	4.63%	6.40%
Total	$ 4,965,423	100.00%		6.76%	8.53%

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OTHER REVENUE REQUIREMENT INPUTS

Forecast Rate Year Rates To Apply To Rev Req	
Bad Debt % For Rev Req	**0.91%**
GRT Rate For Rev Req	**3.52%**
Federal Income Tax Rate	**21.00%**
NYS Income Tax Rate	**8.38%**
General Inflation (from 12/31/2018 to 3/31/2021)	**3.96%**

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THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Company adjustments Second Supplemental, and Company Third Supplemental for the Rate Year Ending March 31, 2021
($000's)

Schedule 7d

Adj. 24		**Operating Revenues**		
	1	To reflect updated Sales forecast (2nd Supplemental)	31,403	
	2	To reflect updated Sales forecast (3rd Supplemental)	(22,112)	
	3	To reflect updated Sales forecast (3rd Supplemental /EE Order)	(1,304)	$ 7,987
Adj. 25		**Purchased Gas Costs**		
	1	To reflect updated Purchased Gas Costs (2nd Supplemental)	28,936	
	2	To reflect updated Purchased Gas Costs (3rd Supplemental)	(21,413)	
	3	To reflect updated Purchased Gas Costs (3rd Supplemental /EE Order)	(526)	$ 6,997
Adj. 26		**Revenue Taxes**		
	1	To adjust Taxes associated with Company's latest sales forecast (2nd Supplemental)	946	
	2	To adjust Taxes associated with Company's latest sales forecast (3rd Supplemental)	(547)	
	3	To adjust Taxes associated with Company's latest sales forecast (3rd Supplemental /EE Order)	(37)	$ 362
Adj. 27		**Operating and Maintenance Expenses**		
(a)		**Energy Efficiency**		
	1	Flow through for updated sales forecast	72	
	2	To reflect the latest known EE budgets (3rd Supplemental)	70	$ 142
(b)		**Other Initiatives**		
	1	Damage Prevention Mark Out Contract Update	6,829	
	2	Adjustment for No NESE	9	
	3	Updated for 2020 EE Order - Incremental FTE's (3rd Supplemental)	203	$ 7,041
(c)		**Uncollectible Accounts**		
	1	Flow through for updated sales forecast (2nd Supplemental)	287	
	2	Flow through for updated sales forecast (3rd Supplemental)	(202)	
	3	Flow through for updated sales forecast (3rd Supplemental/ EE Order)	(11)	$ 74
		Total Operating and Maintenance Expense Adjustment		$ 7,183
Adj. 28		**Depreciation Expense**		
		Updates to include projects to continue new gas supply connections	383	$ 383
Adj. 29		**Federal Income Taxes**		
		To adjust current Federal Income tax flow through	(1,651)	$ (1,651)
Adj. 30		**State Income Taxes**		
		To adjust current State Income tax flow through	(718)	$ (718)
		Total Income Tax Adjustments		**$ (2,369)**
Adj. 31				
(a)		**Rate Base**		
		Net Utility Plant		
		Updates to include projects to continue new gas supply connections	36,587	$ 36,587
(b)		**Accumulated Deferred Income Taxes - Federal**		
		To adjust ADFIT flow through related to adjustment to Net Utility Plant	(3,115)	$ (3,115)
(c)		**Accumulated Deferred Income Taxes - State**		
		To adjust ADSIT flow through related to adjustment to Net Utility Plant	(1,360)	$ (1,360)
(d)		**Working Capital**		
	1	Change in Supply Cash Allowance associated with updated sales forecast (2nd Supplemental)	1,381	
	2	Change in Supply Cash Allowance associated with updated sales forecast (3rd Supplemental)	(1,022)	
	3	Change in Supply Cash Allowance associated with updated sales forecast (3rd Supplemental/ EE Order)	(25)	
	4	To adjust working capital to reflect O&M adjustments	898	$ 1,232
		Total Rate Base Adjustments		**$ 33,344**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments for the Rate Year Ending March 31, 2021
($000's)

Schedule 7e

Adj. 32	**Operating Revenues**			
	To reflect Staff's latest Sales Forecast		37,722	
	To reflect Staff's latest sales forecast (post-hearing)		28	$ 37,750
Adj. 33	**Purchased Gas Costs**			
	To reflect Staff's latest purchased gas costs		31,504	
	To reflect Staff's latest purchased gas costs (post-hearing)		11	$ 31,515
Adj. 34	**Revenue Taxes**			
	To reflect Staff's latest revenue taxes		1,127	
	To reflect Staff's latest revenue taxes (post-hearing)		1	$ 1,128
Adj. 35	**Operating and Maintenance Expenses**			
(a)	**Energy Efficiency**			
	To remove clean energy fund from EE		(261)	$ (261)
	Other Initiatives			
(b)	1 To correct the Company's Damage Prevention Mark Out Contract Update		(1,888)	
	2 To reflect Staff's adjustment removing the Damage Prevention Mark Out Contract Update		(4,950)	
	3 To reflect Staff's adjustment removing the EE Incremental FTEs		(203)	
	4 To add back 0.7 FTE from FOH Demand Response		85	
	5 To remove 0.5 FTE from FOH Green Gas Tariff		(63)	$ (7,019)
(c)	**Uncollectible Accounts**			
	Flow through for updated sales forecast		797	$ 797
(d)	**Savings**			
	To update for level 3 savings initiatives (January 2020)		(1,344)	$ (1,344)
(e)	**Low Income program**			
	To reflect the latest known Low Income Program budgets		12,934	$ 12,934
(f)	**Clean Energy Fund**			
	To reflect the clean energy fund as a separate line item		261	$ 261
	Total Operating and Maintenance Expense Adjustment			**$ 5,368**
Adj. 36	**Depreciation Expense**			
	To adjust depreciation expense tracking Staff's forecast of plant additions		436	$ 436
Adj. 37	**Federal Income Taxes**			
	To adjust current Federal Income tax flow through		(135)	$ (135)
Adj. 38	**State Income Taxes**			
	To adjust current State Income tax flow through		(59)	$ (59)
	Total Income Tax Adjustments			**$ (194)**
Adj. 39	**Rate Base**			
(a)	**Net Utility Plant**			
	To reflect Staff's updated forecast of plant additions		29,058	$ 29,058
(b)	**Accumulated Deferred Income Taxes - Federal**			
	To adjust ADFIT flow through related to Staff's adjustment to Net Utility Plant		(10,533)	$ (10,533)
(c)	**Accumulated Deferred Income Taxes - State**			
	To adjust ADSIT flow through related to Staff's adjustment to Net Utility Plant		(2,149)	$ (2,149)
(d)	**Working Capital**			
	To adjust working capital to reflect O&M adjustments		571	$ 571
	Total Rate Base Adjustments			**$ 16,947**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Summary of Depreciation and Amortization Expense, and Amortization of Regulatory Deferrals
For the Rate Year Ending March 31, 2021
($000's)

Schedule 8

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Depreciation Expense (acct 403)	$ 145,014	**28**	$ 383	**36**	$ 436	$ 145,833
Amortization Expense (acct 404-405)	-		-		-	-
Accretion Expense (acct 411.10)	-		-		-	-
(Gain) Loss on Disposition of Utility Plant (acct 411.7)	-		-		-	-
Total Depreciation & Amortization Expense	$ 145,014		$ 383		$ 436	$ 145,833

Summary of Amortization of Regulatory Deferrals

Amortization of Regulatory Deferrals						
SIR Deferral (Dec 2016)	18,521		-		-	18,521
Economic Development	(1,750)		-		-	(1,750)
Gas Safety NRAs	(5,852)		-		-	(5,852)
EEPS and ETIP	(7,295)		-		-	(7,295)
	$ 3,624		$ -		$ -	$ 3,624

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Summary of Depreciation and Amortization Expense, and Amortization of Regulatory Deferrals
For the Rate Year Ending March 31, 2021
($000's) **Schedule 9**

	Staff Corrected Rate Year Ending March 31, 2021	Company Adjustments Second and Third Supplemental	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Avg Rate Base Per Books	$ 4,922,903	$ 33,344	$ 16,947	$ 4,973,194
Plus: Forecast of Avg Interest Bearing CWIP	-	-	-	-
Less: Rate Base Moved to GAC	-	-	-	-
Less: Excess Earnings Adj (EBCAP)	42,610	-	-	42,610
	$ 4,880,293	$ 33,344	$ 16,947	$ 4,930,584
Weighted Cost of LTD Debt	2.13%	0.01%	0.00%	2.14%
Weighted Cost of Cust Deposits	0.01%	0.00%	0.00%	0.01%
	2.14%	0.01%	0.00%	2.15%
Total Income Tax Interest Deduction	**$ 104,438**	**$ 1,569**	**$ -**	**$ 106,008**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Working Capital - Cash Allowance
For the Rate Year Ending March 31, 2021
($000's)

Schedule 10

Description	Staff Corrected Rate Year Ending March 31, 2021	Company Adjustments Second and Third Supplemental	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Total O&M Expense	$ 607,661	$ 7,257	$ 5,368	$ 620,286
Remove Major Non-Cash Items Included in O&M Expense:				
Bad Debt Expense	(14,354)	(74)	(797)	(15,225)
Other (Energy Efficiency, 18-a Assessment)	-	-	-	-
Subtotal	$ (14,354)	$ (74)	$ (797)	$ (15,225)
Add Major Cash Items Not Included in O&M Expense:				
Other	$ -	$ -	$ -	$ -
Subtotal	$ -	$ -	$ -	$ -
Total Adjustments	$ (14,354)	$ (74)	$ (797)	$ (15,225)
Adjusted O&M Expense	$ 593,307	$ 7,183	$ 4,571	$ 605,061
Departmental Cash Allowance - 1/8 (45 days)	$ 74,163	$ 898	$ 571	$ 75,633
Supply Cost Cash Allowance (4.77% x HY Gas exp)	$ -	$ -	$ -	$ -

(note: The Supply Cost Allowance is being presented separately, therefore will be removed from the historic Excess Earnings Base Adjustment)

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Average Historic Rate Base and Capitalization
For the Rate Year Ending March 31, 2021
($000's)

Schedule 11

		TOTAL	Staff Adjustments	TOTAL
(A)	AVERAGE RATE BASE - PER BOOKS	$ 3,550,394	$ -	$ 3,550,394
(B)	ADD: Average Interest-Bearing CWIP	462,738	-	462,738
(C)	TOTAL EARNINGS BASE (A+B)	$ 4,013,132	$ -	$ 4,013,132
	Percent	100.00%		
(D)	AVERAGE CAPITALIZATION (CE excludes merger Goodwill, and may be adj for TCI if required):			
	Long Term Debt	$ 1,562,500		$ 1,562,500
	Notes Payable	0		0
	Gas Supplier Refunds	422		422
	Customer Deposits	23,553		23,553
	Preferred Stock	0		0
	Common Equity (excludes merger GW; incl TCI adj)	1,976,780		1,976,780
	Avg. Allocated to Elec / Gas based on Earnings Base	$ 3,563,255		$ 3,563,255
(E)	Add Dividends Declared But Unpaid (representing the timing difference between declaration and payment)	-	-	-
(F)	SUBTOTAL (D+E)	$ 3,563,255		$ 3,563,255
	LESS Average Investments In:			
	Detailed Balance Sheet Accounts	$ (396,123)	-	$ (396,123)
	Accumulated Def Inc Tax Adjustment	(20,926)	-	(20,926)
	Goodwill	n/a		
(G)	Total Deductions	$ (417,049)	$ -	$ (417,049)
(H)	Capitalization Dedicated to Public Service (F-G)	$ 3,980,304		$ 3,980,304
(J)	Excess Earnings Base (Total Earnings Base) less Average Capitalization Devoted to Service Current Customers) (C-H)	$ 32,828		$ 32,828

THE BROOKLYN UNION GAS COMPANY d/b
PSC Case No. 19-G-0309 Workpaper
Revenue Requirement
For the Rate Year Ending March 31, 2021
($000's)

	Company RY 3/31/21	Staff RY 3/31/21
Adjusted Rate Base	$ 4,965,423	$ 4,930,584
Rate of Return	6.76%	6.09%
Required Utility Operating Income	335,663	300,273
Utility Operating Income Before Increase	214,078	279,114
Under Operating Income	121,584	21,159
Retention Factor	69.1978%	69.1718%
Revenue Requirement	$ 175,705	$ 30,589

	Company Retention Factor	Staff Retention factor
Revenues	100.000%	100.000%
Less: Revenue Taxes	3.482%	3.518%
Uncollectible Accounts	0.914%	0.914%
Total	95.604%	95.568%
Reciprocal of State Tax Rate	91.620%	91.620%
Net	87.592%	87.559%
Reciprocal of Federal Tax Rate	79.000%	79.000%
Retention Factor	69.198%	69.172%

	Company Rate of Return			**Staff Rate of Return**		
	Ratios	Cost	Weighted Cost	Ratios	Cost	Weighted Cost
Long-Term Debt	51.58%	4.11%	2.12%	51.57%	4.14%	2.14%
Customer Deposits	0.42%	2.45%	0.01%	0.43%	2.45%	0.01%
Common Equity	48.00%	9.65%	4.63%	48.00%	8.20%	3.94%
Totals	100.00%		6.76%	100.00%		6.09%

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Revenue Requirement Workpaper
For the Rate Year Ending March 31, 2021
($000's)

	Retention Factor
Revenues	100.0000%
Less: Revenue Taxes	3.5180%
Uncollectible Accounts	0.9142%
Total	95.5678%
Reciprocal of State Tax Rate	91.6200%
Net	87.5592%
Reciprocal of Federal Tax Rate	79.0000%
Retention Factor	69.1718%

Check

Operating Income Before Rate Increase	279,114
RY Operating Income Needed	300,273
Net Rate Increase Needed	21,159
Retention Factor	69.1718%
Base Rate Increase	30,589
Uncollectibles on SBC Revenues	0
Total Base Rate Increase	30,589
Base Rate Increase on Schedules	30,588
Difference	1